UPSC CSE 2027 · GS FOUNDATION

Economy

Poverty, inequality and employment · National income · Prices, money and finance · External sector, GST and the budget · Rural and climate finance

Personal Study Edition
Built from the Sarrthi IAS GS Foundation Economy handouts (Aditya Kalia) with PYQ sheets. Copyright belongs to the teacher and institute; keep this private.

How to use this book

Every chapter opens with the **Exam lens** and plain-language key terms, then the full notes in handout order with PYQ tags, alerts, mnemonics and diagrams, and ends with a recall sheet. The practice quizzes, flashcards and question banks live on the Study Shelf.

Priority tags: **H** = two or more PYQs map to the chapter; **M** = one PYQ or a partial fit; **L** = none quoted in the material.

The wide blank column on the right of every page, and the binding margin on the left, are kept free for your own current affairs, data and value additions.

Reign-year codes (for example Babur 26-30) are kept exactly as the teacher writes them.

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ECONOMY · GS FOUNDATION · START HERE

Start Here: How to Use This Notebook

Handout only | 13 chapters written from 14 files | PYQ sheets: 0 Prelims · 0 Mains · Light

How the Economy notebook is built, what the box colours mean, which handout in your merged PDF feeds which chapter, and how the figures that disagree between handouts are flagged.

1 · What this notebook is

This is your Economy notebook, built the same way as Modern Indian History. Each chapter keeps the handout facts, rewritten clearly, and adds an **exam lens,** tables, redrawn flows, a timeline, traps, a recall sheet, a quiz, mains skeletons and flashcards. Everything comes **only from your merged Economy PDF** (Sarrthi IAS, GS Foundation, material by Aditya Kalia).

IMPORTANT: ALMOST NO TEACHER INK IN THIS SOURCE

Your merged PDF (415 pages, 14 files) holds **handouts and two class slide decks.** I looked at every slide image. The **External Sector slides (Chapter 10)** carry one piece of ink: **pink ovals and a star around 2020-21 Q1 and Q2** on the BoP chart (the reason is not written). The **Budget slides (Chapter 12)** are typed with **no handwriting.** The handouts carry no teacher ink. The GST handout (Chapter 11) has the teacher's **handwritten worked examples** inside the handout.

So the orange "Teacher's board" boxes in most chapters quote the **handout's own emphasis** (asterisks, repeated points, "Crucial Trap" boxes), and the PYQ table says "none quoted in the material" wherever the file has none. Nothing is guessed from outside.

2 · The box colours

ORANGE: STRESS

In Modern India this is the teacher's handwriting. Here it marks a point the handout itself stresses (asterisks, "important note", formulas).

RED: HANDOUT ALERT

A conflict, a trap or a garbled place in the source, with a rule for the exam hall. Examples: $4.20 versus $3.65 for the lower-middle-income line.

BLUE: NOTE

A definition or a pointer the handout gives.

GREEN: EXAMPLE

A worked example from the handout (PPP factor, MPI).

TEAL: REMEMBER

What to prepare for Prelims and Mains.

3 · How to study a chapter

1. Read the **Exam lens** first (two minutes). It tells you what the handout stresses and what to prepare.
2. Skim the **Chapter map,** then read the sections. Tap **Mark read** or just scroll; the shelf tracks progress.
3. Read the **red alerts** twice. They are where marks are lost.
4. Do the **Quick quiz,** then the **mains skeletons** on a blank page, then **flashcards** on your phone.
5. Revise with the **recall sheet** at +1, +3, +7, +21 and +45 days.

4 · Your merged PDF: which file feeds which chapter

The 14 files in Merged_Economy_14_PDFs.pdf (page numbers are PDF pages)

#	File	PDF pages	Type	PYQs in the file	Status
1	Poverty & Inequality (Ch 1 Poverty, Ch 2 Inequality)	1-36	Handout	None	**Written Chapter and 2**
2	Unemployment	37-71	Handout	**Yes: 10 Prelims PYQs** (years quoted 2011, 2012, 2013, 2017, 2018, 2020, 2021, 2022)	**Written Chapter**

#	File	PDF pages	Type	PYQs in the file	Status
3	Basic Concepts of Economics	73-92	Handout	1 Prelims PYQ (2021)	**Written Chapter**
4	National Income Accounting	93-129	Handout	3 Prelims PYQs (2018, 2015, 2015)	**Written Chapter**
5	Inflation	131-146	Handout	None quoted	**Written Chapter**
6	Banking and NBFCs	148-180	Handout	None quoted	**Written Chapter**
7	Money and Monetary Policy	182-212	Handout	None quoted	**Written Chapter**
8	Capital Markets	214-231	Handout	None quoted	**Written Chapter**
9	External Sector: Balance of Payments	232-250	Class slides	None quoted	**Written Chapter** (with file
10	GST	251-265	Handout	None quoted	**Written Chapter**
11	External Sector	267-313	Handout	None quoted	**Written Chapter** (with file
12	Government Budgeting and Fiscal Policy	314-342	Class slides	None quoted	**Written Chapter** (with file 13)
13	Government Budgeting and Fiscal Policy	343-400	Handout	None quoted	**Written Chapter** (with file
14	NABARD, NBFCs, climate finance (Economics class handout)	402-413	Handout	None quoted	**Written Chapter**

HOW "PYQS IN THE FILE" WAS FOUND

By reading each chapter's text and slides for PYQ sections. "None quoted" means no PYQ appears in the material; it does not prove the exam never asked about the topic. The count of years is "years quoted", not distinct questions. Pages 72, 130, 147, 181, 213, 234, 250, 266, 317-323, 325-327, 330, 335, 342, 401 are blank or image-only in the text search (mostly slide images).

POSSIBLE GAPS TO CHECK

The merged PDF also ends with pages 414-415 from **other subjects** (a History Optional title page, "Aditya Kalia"). They are not economy and were left out.

> The same rule applies to the slides: ink on the External Sector slides is only the pink marks on slide 13; the Budget slides have none.

5 · Priority map for all 13 chapters

Master table (generated from the chapters; PYQ years are "years quoted" in the material)

Chapter	Marking in the source	Prelims years quoted	Mains years quoted	Where to spend t
1 · Poverty	Handout asterisk: Tendulkar stays official PL; heavy space on World Bank lines and National MPI	none quoted in the material	none quoted in the materia l	**High:** committees table, WB lines, M formula, NFHS numbers
2 · Inequality	Kuznets is theory, Gini shortcomings, rule of law, four conditions of trickle-down	none quoted in the material	none quoted in the materia l	**Medium-high:** Lorenz and Gini mechanics; trickle down versus inclusive
3 · Unemploym ent	Handout: "Crucial Prelims Fact" on gratuity; ten PYQs at the end	**2011, 2012, 2013 (x2), 2017, 2018 (x2), 2020, 2021, 2022**	none quoted in the materia l	**Highest:** PLFS definitions, types (disguised, margi product), scheme Labour Codes
4 · Basic Concepts	Opportunity cost stressed; types of goods; investment and depreciation	**2021**	none quoted in the materia l	**Medium:** types of goods, GCF, depreciation versu CFC versus CCA
5 · National Income	Longest formula chapter: GDP, GNP, GVA, MP/BP/FC, new base 2022-23	**2015 (x2), 2018**	none quoted in the materia l	**High:** formulas, re versus nominal, ta to-GDP, alternativ to GDP
6 · Inflation	Handout emphasis only (types, measures, AD-AS)	none quoted in the material	none quoted in the materia l	**High:** CPI/WPI, causes, AD-AS, Phillips-type trade offs
7 · Banking and NBFCs	Handout emphasis; many source conflicts flagged	none quoted in the material	none quoted in the materia l	**High:** NPA, IBC, Basel, bank types SARFAESI, scale-based NBFC regulation
8 · Money and Monetary Policy	Handout emphasis; EBLR = MCLR alert	none quoted in the material	none quoted in the materia l	**High:** M-measure money multiplier, repo and the rate corridor, transmis

Chapter	Marking in the source	Prelims years quoted	Mains years quoted	Where to spend t
9 · Capital Markets	Handout emphasis on numbers (T-bills, Sensex, Nifty)	none quoted in the material	none quoted in the materia l	**Medium-high:** IP(process, intermediaries, derivatives, funds Notes
10 · External Sector	Slides: pink ovals and star on 2020-21 Q1 and Q2 (reason not written)	none quoted in the material	none quoted in the materia l	**High:** BoP structu FDI versus FPI, exchange rates, C IMF and World Ba
11 · GST	Handout emphasis: three properties, Council voting, compensation, RNR	none quoted in the material	none quoted in the materia l	**High:** definition, Articles, Council, outside GST, compensation
12 · Budget and Fiscal Policy	Handout “Ultimate Prelims Trap” (PMFBY) and “Crucial Trap” (external debt); slides typed	none quoted in the material	none quoted in the materia l	**Highest by volum** deficits, FRBM, de Finance Commiss tax types, buoyan
13 · NABARD, NBFCs, chit funds	Handout emphasis on dates, thresholds and regulators	none quoted in the material	none quoted in the materia l	**Medium:** NABARD facts, NBFC types who regulates wh

READING THE TABLE

Inside your 14 handouts, only Chapters 3, 4 and 5 quote any PYQ. For the other ten chapters, priority came from the handout’s own emphasis, not from exam history. The rating in the last column is my reading of how much of each handout is numbers, definitions and flagged traps; it is a guide, not an exam forecast.

CONFLICTS BETWEEN HANDOUTS (READ BEFORE THE EXAM)

NBFC size: Chapter 13 says systemically important = ₹500 crore (older RBI FAQ); Chapter 7 uses the 2022 scale-based layers (Base Layer below ₹1,000 crore).

GST rates and RNR: Chapter 11 lists the five slabs (0, 5, 12, 18, 28) and a 30% pre-GST illustration; Chapter 12 says GST 2.0 (August-September 2025) rationalised rates and uses 33% in its illustration. The new slabs are not in the material.

Composition scheme limit: ₹100 lakh versus ₹75 lakh inside Chapter 11.

6 · PYQ map from the Saarthi subject-wise sheets

You gave me two PYQ sheets from Saarthi IAS: the **Economy subject-wise Prelims sheet** (288 questions with keys, 2004 to 2024) and the **GS-III Mains sheet** (economy and agriculture slots, 2013 to 2025). Every question is placed under the chapter and topic it tests. Chapters 1 to 13 each have a **Past-year questions** section; Mains questions carry keyword chips.

How many PYQs each chapter carries (counts of questions in the sheets, not of distinct concepts)

Chapter	Prelims	Prelims years	Mains	Mains years	P w h
1 · Poverty	4	2012, 2019	0	none	L
2 · Inequality	3	2011, 2012, 2014	6	2014, 2016, 2017, 2019, 2020, 2021	M u
3 · Unemployment	12	2011, 2012, 2013, 2017, 2018, 2019, 2021, 2022, 2024	8	2014, 2015, 2016, 2022, 2023, 2024	H
4 · Basic Concepts	8	2013, 2018, 2021, 2022, 2023, 2024	2	2017, 2020	M u
5 · National Income	6	2011, 2013, 2015, 2018, 2022	4	2020, 2021, 2025	M u
6 · Inflation	13	2011, 2012, 2013, 2015, 2020, 2021	1	2019	M u
7 · Banking and NBFCs	35	2004, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2024	2	2016, 2022	H
8 · Money and Monetary Policy	31	2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024	1	2024	H
9 · Capital Markets	16	2014, 2019, 2020, 2021, 2022, 2023, 2024	1	2013	H
10 · External Sector	45	2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022	9	2013, 2014, 2015, 2016, 2018, 2023, 2025	H
11 · GST	4	2011, 2014, 2017, 2018	3	2013, 2019, 2020	M u
12 · Budget and Fiscal Policy	25	2010, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023	10	2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025	H
13 · NABARD, NBFCs, chit funds	4	2010, 2020, 2023, 2024	1	2014	L

82 Prelims and 70 Mains questions test topics that none of your 13 chapters cover (agriculture, industry and trade policy, infrastructure and energy, human development, planning). They are kept in the PYQ bank so nothing is lost.

> **READ THIS ABOUT THE PYQ SOURCE**
>
> **These are coaching compilations, not the raw UPSC papers.** upsc.gov.in could not be opened from my workspace, so I could not check each question against the

official paper. Questions, years and answer keys are exactly as printed in your sheets.

Rule for the exam hall: if a key here disagrees with your own reasoning or with the official key, trust the official key and tell me, and I will correct the note.

Five Prelims questions have no year printed in the sheet; they show "year not stated". A few questions in the Prelims sheet are really Polity, History or Geography (for example Money Bill and chronology items). They sit in the PYQ bank under the last group.

Mains keyword chips: a **solid** chip appears in that chapter's notes; an **outline** chip is taken from the question wording. In the PYQ bank only question-wording chips are shown, because there is no handout text to check against.

7 · Tools inside the notebook

- **Aa:** text size, width, sepia or dark theme, focus mode, keep-screen-on.
- **Search** and **Timeline** in the top bar.
- **Done** box per chapter; read marks per section; a resume prompt when you return.
- Offline reading: an Artifact cannot be installed for offline use. Ask for the PDF edition if you need offline or A4 print.

ECONOMY · GS FOUNDATION · CHAPTER 1

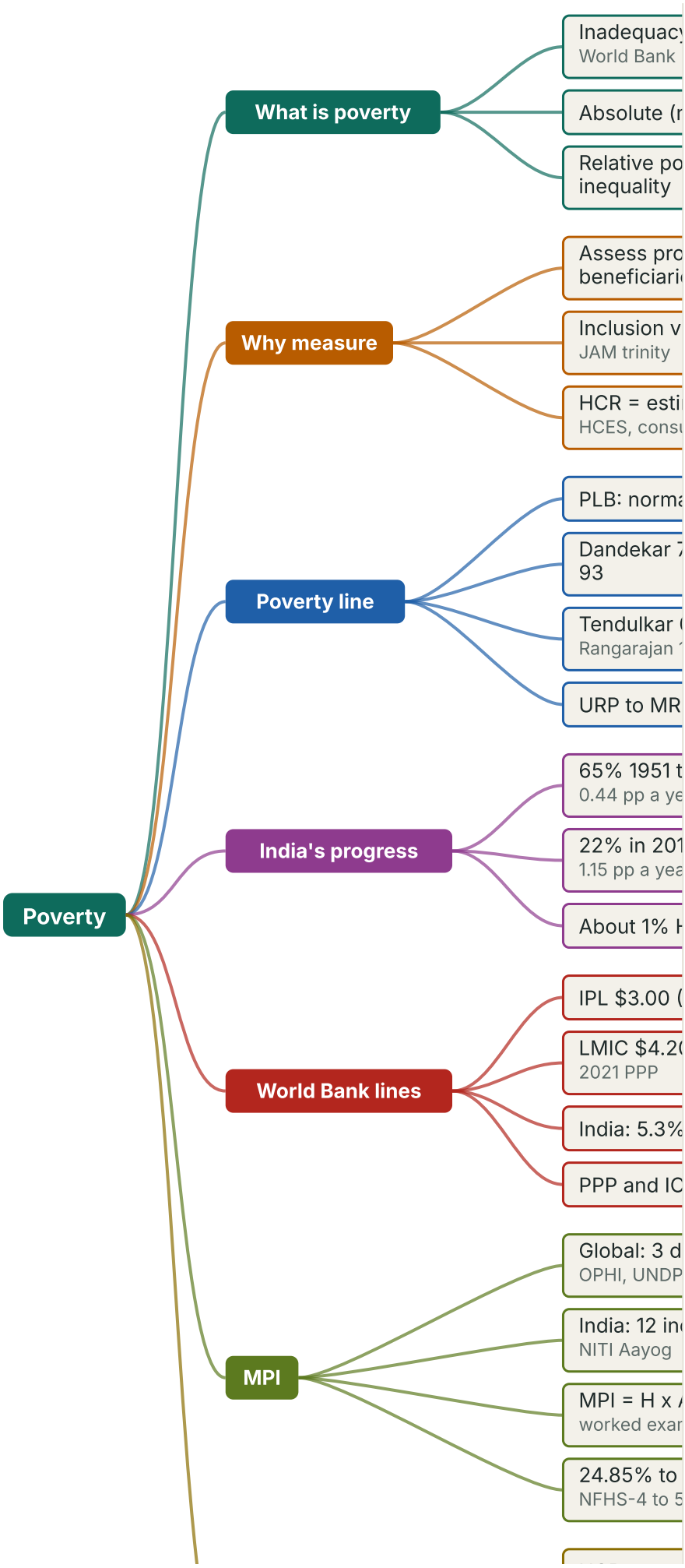
Poverty: Meaning, Measurement and India's Progress

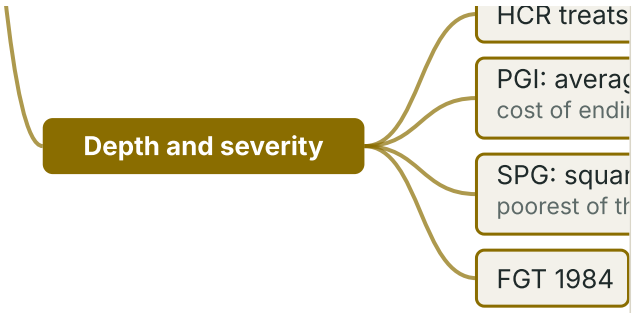
Handout only: no class slides | Handout pages 2-26 | Handout quotes no PYQs | PYQ sheets: 4 Prelims · 0 Mains · Light

What poverty means, why and how it is measured, the poverty line and its six expert committees, India's slow-then-fast decline, the World Bank lines and PPP, the multidimensional index (global and India's National MPI with the worked example), and the depth and severity of poverty (PGI and SPG).

Chapter map

MY NOTES


Poverty
What is poverty
Inadequacy
World Bank
Absolute (r
Relative po
inequality
Why measure
Assess pro
beneficiari
Inclusion v
JAM trinity
HCR = esti
HCES, consu
Poverty line
PLB: norma
Dandekar 7
93
Tendulkar (
Rangarajan
URP to MR
India's progress
65% 1951 t
0.44 pp a ye
22% in 201
1.15 pp a yea
About 1% H
World Bank lines
IPL $3.00 (
LMIC $4.2(
2021 PPP
India: 5.3%
PPP and IC
MPI
Global: 3 d
OPHI, UNDP
India: 12 in
NITI Aayog
MPI = H x A
worked exar
24.85% to
NFHS-4 to 5



In simple words

IN SIMPLE WORDS

- **Poverty** means not having enough well-being: low income, poor health and education, poor water and sanitation, no security, no voice, no chance to improve.
- We measure it to **judge progress**, not to pick beneficiaries. The tool is a **poverty line** on **consumption**, and the **headcount ratio (HCR)** is the share below it.
- India's line evolved through five committees. **Tendulkar (2009) is still the official line**; Rangarajan's was not accepted. India has had **no poverty line since 2014**.
- The World Bank uses **PPP** and three lines: **$3.00, $4.20 and $8.30** a day. India is 5.3%, 24% and over 80% poor at those lines.
- A money line misses deprivation. **MPI = H x A** counts it directly: the National MPI has **12 indicators** and a **33% cut-off**.
- HCR treats all poor alike. **PGI** shows how far below the line, and **SPG** gives extra weight to the poorest.

Key terms in plain words

Key term	In plain words
Well-being	How well a person is doing across life dimensions; poverty i inadequacy.
Absolute (normative) poverty	Poor by a standard set by experts.
Relative poverty	Poor compared with others; it reflects inequality.
Exclusion / inclusion error	A deserving person left out of the list / an undeserving pers put on it.
Poverty line basket (PLB)	Goods and services an expert thinks are needed for a life of basic dignity.
Headcount ratio (HCR)	Share of the population below the poverty line; an estimate, a count.
HCES	NSSO's Household Consumption Expenditure Survey, the source of standard estimates.
MMRP	Modified mixed recall period: 7 or 30 days for frequent item 365 days for less frequent ones.
International Poverty Line (IPL)	The World Bank line from the median of low-income countri national lines: $3.00.

Key term	In plain words
PPP	A conversion rate that equalises what money buys in differe countries.
Multidimensional poverty	Deprivation measured directly in health, education and standard of living.
Deprivation score	A household's weighted share of deprivations; above 33% means poor in the National MPI.
Headcount (H) and intensity (A)	H: how many are poor. A: how poor the poor are. MPI = H x
Poverty Gap Index (PGI)	Average shortfall from the poverty line, a measure of depth.
Squared Poverty Gap (SPG)	Each gap squared, so larger gaps weigh more; a measure of severity.

Exam lens: priority and PYQs

SOURCE NOTE

This chapter comes from the handout only. No class slides, no teacher ink and no PYQ section came with it, so nothing here is marked by a teacher and no past-year question is quoted.

PYQs quoted in the material: **none quoted in the material.** The priority below is built only from what the handout itself stresses.

What the handout itself stresses

Signal in the handout	Where	Why it matters
"Rangarajan's PL was not accepted & Tendulkar continued to be our official PL"	Section 4 (handout p6)	The handout flags this wi asterisks. A classic one-li Prelims fact.
"Understand the 'why' to know the 'how'": poverty estimation is for assessing progress, not for picking beneficiaries	Section 3 (p3-4)	The handout repeats this twice. Mains-style reasor
SDG 1.1 (end extreme poverty by 2030) and SDG 1.2 (halve poverty in all dimensions by 2030)	Sections 6 and 9	Both targets are named w their wording.
World Bank lines: $3.00, $4.20 and $8.30 a day (2021 PPP, June 2025)	Sections 6 and 7	Three lines, three econon groups, three very differe Indian poverty rates.
National MPI: 12 indicators, 33% cut-off, MPI = H x A, NFHS-4 versus NFHS-5	Sections 9 and 10	The handout spends the most space here, with a worked example and stat data.

WHAT TO PREPARE

Prelims hooks: committee, year and what each one added (table in section 4); the World Bank line names and values; PPP versus market exchange rate; HCR versus PGI versus SPG; the 12 indicators and their dimensions; MPI = H x A; the states with the highest MPI and the biggest falls.

Mains hooks: why measure poverty at all; absolute versus relative; why consumption not income; why a money line misses deprivation and how MPI fixes it; why the headcount ratio hides depth; why India's fast fall still leaves a "dignity deficit".

Closing idea: poverty is deprivation in well-being; every measure (line, index, gap) is a normative yardstick used to judge progress, so always say which yardstick a number comes from.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Light. 4 Prelims and 0 Mains questions map to this chapter.

Most-asked topics: India's progress on reducing poverty (2 Prelims, 0 Mains); The poverty line basket and the committees (1 Prelims, 0 Mains); Why a money line is not enough: multidimensional poverty (1 Prelims, 0 Mains).

Prelims years: 2012, 2019. Mains: none in the sheets.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · What is poverty? Well-being and deprivation

Everyone knows what poverty is, but defining it is harder. Is it too little income? Not reaching basic necessities? Poor health and education? Missing opportunities? The **World Bank** gives the broad answer: poverty is **inadequacy of well-being**. So the first question is what well-being is.

Dimensions of well-being (the handout says the list is not exhaustive)

Dimension	Focus	Key elements
Physical	Caring for your body so it works well	Regular activity, balanced nutrition, sleep, proactive healthcare
Emotional	Understanding and managing feelings	Healthy coping, managing stress, emotional intelligence
Social	A healthy support network	Meaningful relationships, community participat belonging
Financial	Stability and peace of mind about material	Income balanced with spending, assets and savings, planning. Financial stress ranks as a t

Dimension	Focus	Key elements
	resources	source of anxiety
Intellectual	Creative and mentally stimulating activity	Continuous learning, new hobbies, problem-solving
Spiritual	Meaning and purpose	Living by core values, purpose, mindfulness (religion, meditation or nature)
Environmental	The effect of your surroundings on health	Safe, organised spaces, time in nature, sustainable living

WORLD BANK DEFINITION

Poverty is pronounced deprivation in well-being, and comprises many dimensions. It includes low incomes and the inability to acquire the basic goods and services needed for survival with dignity. It also covers low levels of health and education, poor access to clean water and sanitation, inadequate physical security, lack of voice, and insufficient capacity and opportunity to better one's life.

In general, poverty is the state of not having enough material possessions or income for basic needs. It can have **social, economic and political** elements. It includes lack of income for basic facilities, lack of healthcare, education, drinking water and sanitation, lack of physical and social security, and lack of opportunities to improve one's life.

MEMORY AID · WHAT POVERTY TAKES AWAY (WORLD BANK)

V O I C E S

Poverty silences VOICES: each letter is something the poor are short of.

- **V** Voice: lack of say
- **O** Opportunity and capacity to better one's life, insufficient
- **I** Income low; basics for survival with dignity out of reach
- **C** Clean water and sanitation, poor access
- **E** Education and health at low levels
- **S** Security, physical, inadequate

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

2 · Two ways to assess poverty: absolute and relative

	Absolute poverty	Relative poverty
Basis	A standard criterion used to separate poor from non-poor	Comparison with others
Who decides	Experts suggest a **normative** criterion (their opinion), so it is also called **normative poverty**	Mean or median income of th population, or another perso group
Example	Cannot afford the expert's basket of goods	A person is relatively poor if income is below the populati average
Link	A person who is not poor by the absolute standard may still be poor relative to others	**Relative poverty is a reflecti of inequality**

3 · Why measure poverty? Understand the "why" to know the "how"

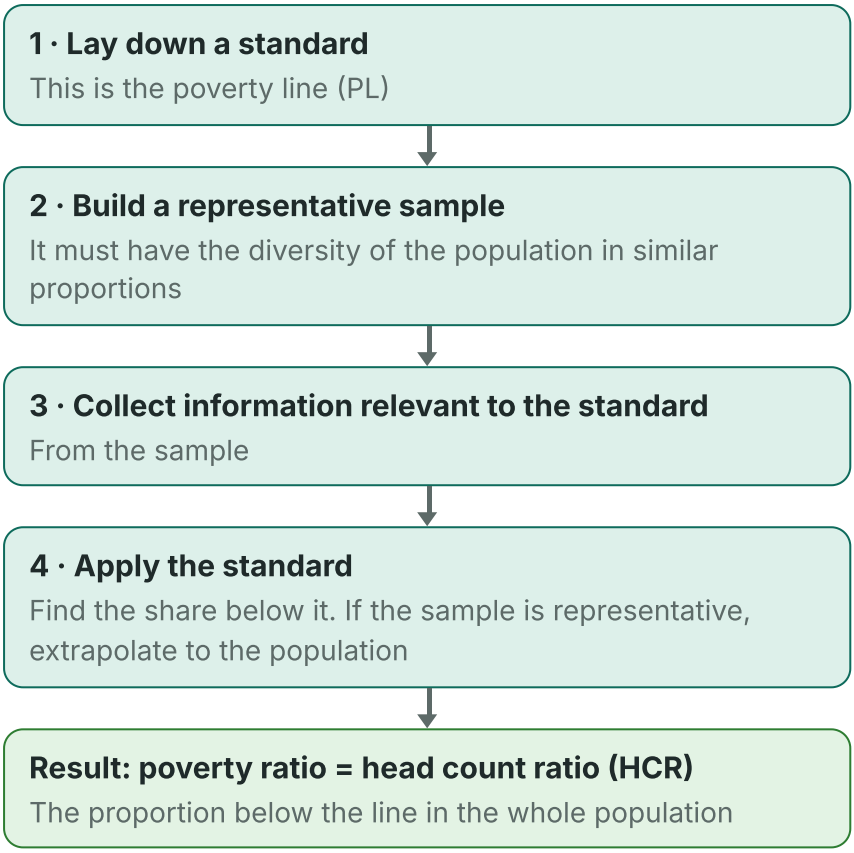
The poor must be identified so that they can get benefits from anti-poverty programmes. Each scheme has its own beneficiary criteria, and the aim is to minimise two errors:

- **Exclusion error:** a deserving person is left out of the list.
- **Inclusion error:** an undeserving person is put on the list.
- There is a **trade-off** between the two, so governments try to **minimise exclusion errors first.**
- Technology helps: the **JAM trinity** (Jan Dhan accounts, Aadhaar-based identification, Mobile for instant communication). The trade-off will always remain.

> **HANDOUT ALERT: BENEFICIARIES ARE NOT THE POOR**
>
> Counting everyone on all beneficiary lists does not give the number of poor. At best it is an estimate of **beneficiaries.** The lists are hard to revise and only grow, since few people give up benefits when they become better off.
>
> **So we do not, cannot and should not estimate poverty by counting unique beneficiaries.**

The real purpose of poverty measurement is **not** identification for benefits. It is to **assess the progress of the country**: is the money spent on schemes improving people's standard of living and well-being? For that we need a normative standard, a milestone, and we ask how many were below it then and how many are below it now. It also allows a fair comparison across regions, for example across states.

The five-step process of measuring poverty



- Example: if 20% of a representative sample is below the PL, the population is assumed to have around 20% below the line. **This is an estimate, not a count.**
- The handout calls poverty estimation "a purely academic exercise". The poor have nothing to do with it and may not even know the criteria, since it has no bearing on their well-being. It is a tool to judge success in improving well-being.
- Standard estimates come from **NSSO** through the **Household Consumption Expenditure Survey (HCES).**
- Poverty is assessed on **consumption expenditure (CE), not income,** because income is less truthfully revealed and more volatile.

4 · The poverty line basket and the committees

PYQs for this topic: 1 Prelims · 0 Mains

An expert builds a poverty line by constructing a **poverty line basket (PLB):** the goods and services the expert thinks must be consumed to live a life of basic dignity. Not being able to afford the basket means pronounced deprivation. The PLB is **normative:** experts differ, and an expert's view can change as living standards improve. The idea stays the same: everybody should be able to afford some basket of goods and services (G&S) for a life of basic dignity.

The price of the basket is collected from the relevant market, and its total value becomes a **consumption-based poverty line.**

Before independence, scientific efforts to measure poverty were made by **Dadabhai Naoroji** ("Poverty & Un-British Rule in India", 1906), the **National Planning Committee (1938)** and the **Bombay Plan (1944)**, among others. **After independence** the Planning Commission was given the job and, from the 1970s, set up expert committees.

Evolution of the poverty line in India

Committee	What it added	Detail
Dandekar and Rath (1971)	Laid the foundation of a **calorie-based** PL	Poverty = inability to get a minimum of **2250 calories** pe person per day. The PLB had food and non-food parts.
YK Alagh (1979)	Split the PL into **rural and urban**	Minimum energy **2400 (rural) versus 2100 (urban)** calories. Baskets reflected different consumption patter with prices from relevant markets.
Lakdawala (1993)	**State-specific** PLs	Reflected differences in consumption pattern and prices across states. Calorie requirement kept the same. Suggested updating the PL with a relevant **inflation inde**
Tendulkar (2009)	Added **health, education, drinking water and sanitation**	Earlier committees assumed the government paid for th on behalf of the poor, so they had minimal or no value ir PL. Tendulkar observed HCES data and added normativ expenses on them. Still calorie-based, but the non-food part grew, so **the PL rose.**
Rangaraja n (2014)	Added a **behavioural** component	Counted actual spending on items like alcohol, tobacco, entertainment, behavioural health and education, since poor do spend on them.

MEMORY AID · POVERTY LINE COMMITTEES, IN ORDER

Dal Always Lifts Tired Runners

- **D** Dandekar and Rath (1971): 2250 calories a day
- **A** Alagh (1979): rural and urban lines
- **L** Lakdawala (1993): state-specific lines
- **T** Tendulkar (2009): health, education, water, sanitation; still official
- **R** Rangarajan (2014): behavioural part; not accepted

Memory aid for the order of the handout's table; the sentence initials follow the committee names.

Rangarajan's basket in three parts

Part	Contents
Normative: food	Based on **ICMRguidelines** (calories, fat, protein) for the age-sex mix o an average household of **5** (for example grandmother, parents, 2 children)
Normative: non-food	Housing, clothing, transport, health, education and so on
Behavioural	Alcohol, tobacco, behavioural health and education and so on

HANDOUT FLAG (ASTERISKED)

Rangarajan's PL was not accepted and Tendulkar continued to be our official PL.

To improve data accuracy, Tendulkar and then Rangarajan suggested that NSSO use **multiple recall periods** for items with different frequencies of consumption.

How the recall period changed

URP · uniform recall period

↓

MRP · mixed recall period

↓

MMRP · modified mixed recall period

Today's method: 7-day or 30-day recall for frequently consumed items, 365 days for less frequent items

5 · India's progress on reducing poverty

PYQs for this topic: 2 Prelims · 0 Mains

The handout uses the Tendulkar line to compare progress since Independence and splits the period into two phases.

Phase	What happened	The arithmetic in the handout
Slow reduction (before 2000s)	HCR fell from about **65% in 1951** to about **45% in 1993**	About 20 percentage points (pp) in about 4 years = **0.44 pp a year.** The number of poo still rose because population grew faster. Compare China.
Fast reduction (after 2000s)	Growth almost doubled, from **3.5% to 6.5%.** HCR was about **22% in 2012**	A fall of about 23 pp (45 to 22) in 20 years **1.15 pp a year, thrice the earlier pace.**
Latest (HCES 2023-24)	HCR about **1%**	Almost **2 pp a year** over the last decade, so the pace has been exceptionally rapid.

HANDOUT ALERT: THREE DIFFERENT NUMBERS FOR ABOUT 2011-12

The handout quotes several poverty rates for the same years because each uses a different yardstick. **Always name the yardstick.**

Yardstick	Year	Figure	Where
Tendulkar line (HCR)	2012	Around **22%**	Section

Yardstick	Year	Figure	Where
India's latest national line (announced 2014)	2011-12	Nearly **30%** (the handout adds "or at least a third": the wording is loose)	Section
World Bank extreme poverty line ($3, 2021 PPP)	2011-12	**27.1%**	Summa section
World Bank extreme poverty line ($3, 2021 PPP)	2022-23	**5.3%**	Section and 11
HCES latest (Tendulkar-based comparison)	2023-24	Around **1%**	Section

Because of population growth, the **absolute number** of poor in India rose until the 2000s to around **530 million** and then fell sharply. The handout explains that the 1970s saw the fastest population growth since Independence, with low economic growth at the same time.

6 · World Bank poverty lines, PPP and how India's rate is computed

The World Bank uses **group-specific** poverty lines based on **GNI per capita.** The line for **low-income countries (LIC)** is the **Extreme** or **International Poverty Line (EPL or IPL).** A person in a non-LIC who spends below the line would be poor not only at home but in an LIC as well. So the IPL is the basis of development goals: under **SDG 1.1** countries must **eliminate extreme poverty by 2030.**

The three lines (June 2025, 2021 PPP)

Line	How it is set	Value per person per day	In rupees (handout)
International Poverty Line (extreme)	Median of national lines of **low-income** countries	**$3.00**	About **₹60** (₹ in the summ at PPP 20.6)
LMIC line	Median of national lines of **lower-middle-income** countries. India is in this group	**$4.20**	About **₹84**
UMIC line	Median of national lines of **upper-middle-income** countries (for example China, Mexico, Indonesia, South Africa)	**$8.30**	Not given

Purchasing power parity (PPP)

- PPP is a theory that tries to equate the purchasing power of a sum of money at one place with the amount needed to buy the same goods elsewhere. **Example in the handout:** apples at ₹100/kg in India and $5/kg in the US mean ₹100 has the same purchasing power as $5.
- PPPs are **rates of currency conversion** that equalise purchasing power by removing price-level differences between countries.

- Why it is needed: in 2023 GDP per capita was about **205,000 rupees** in India, **89,000 yuan** in China and **83,000 dollars** in the US. In local currency these say nothing about how they compare. PPP adjusts for the higher cost of living in some countries.
- Market exchange rates do not help: US$1 may convert to Rs 90 in the market, but something costing $1 in the US cannot be bought at Rs 90 in India.

> **HANDOUT EXAMPLE: PPP FACTOR**
> A basket of daily needs costs **$100 in the US** and **Rs 2000 in India.** With the dollar as benchmark ($1 PPP = US$1), what $1 buys in the US can be bought for **Rs 20** in India. So the **PPP conversion factor for India is 20**, different from the market exchange rate.

How the World Bank estimates poverty

From national survey to a global poverty rate

ICP builds PPPs
The International Comparison Programme prices a pre-defined basket in each country, with the US dollar as base currency. Latest PPPs: **2021**

↓

Draw the global lines
Median of national poverty lines, converted into PPP terms. The Bank began measuring in the 1980s; first global line: **$1 a day in 1990**

↓

Take a household survey near the PPP base year
Income or consumption survey of the country

↓

Deflate or inflate to 2021 prices
Use each country's consumer price index, so surveys done in different years are comparable

↓

Convert to PPP dollars and apply the line
Share below the line = poverty rate (headcount ratio)

How India's rate is calculated

- India built national lines several times from the 1970s to the 2010s. The latest was announced in **2014** and applied to **2011-12** data: nearly 30% poor.
- **Since 2014 India has had no poverty line,** so the World Bank's current global lines are computed without an Indian line. The Bank still estimates India's rate with its

international lines.

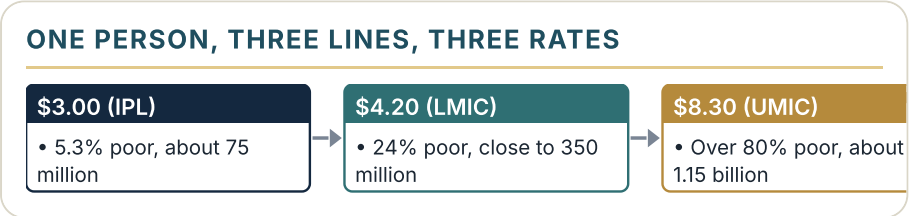
- NSO ran a nationally representative **HCES in 2022-23 after an 11-year gap.** It records all monetary spending on domestic consumption and values the **subsidised goods** consumed.
- The Bank converted the cost of the pre-defined basket (the "welfare aggregate") from survey-time prices to **2021 prices** using India's CPI, expressed it in a common currency with **2021 PPPs**, got the distribution of households by PPP-adjusted real consumption, and applied the global lines.

7 · What the World Bank says about India (latest estimates)

The Bank estimates India's poverty fell from **one in two people in the 1970s to one in twenty by 2022.** (The handout heads this part "Dec 2025 estimates"; the lines themselves are the June 2025 ones.)

India at each line

Line	Share of India poor	Number	Remark
$3.00 (extreme)	**5.3%** (one in twenty)	About **75 million** in 2022	More than a quarter were in extreme poverty in 2011; the majority in 1977. Fas fall after 2004.
$4.20 (LMIC)	**24%** in 2022 (nearly one in four)	Close to **350 million**	Seen as the more appropriate line for In a lower-middle-income country.
$8.30 (UMIC)	More than **80%** (four in five)	A little over **1.15 billion**	Only about one in five in China and Viet Nam.



India compared with others

- Extreme poverty: **world 10.8%, India 5.3%.** This is the **first time India is below the global average.**
- Bangladesh is similar (5.9%). **China and Viet Nam have eradicated extreme poverty.**
- At the LMIC line, India's rate is **still higher than the world average.**
- India's fall in extreme poverty was **slower than China and Viet Nam, faster than Nigeria and Kenya.**
- China's rates were higher than India's until the 2000s. By **2020** it had ended extreme poverty and lifted the whole country above the LMIC line.

- Global extreme poverty is concentrated in **Sub-Saharan Africa;** South Asia holds a large share of the poor when measured at middle-income lines.
- India's share of the world's extreme poor fell from **27% in the 2000s to about 9% in 2022.** Before the 2000s India had more poor than Sub-Saharan Africa.
- The message: few Indians are in extreme poverty now, but most of the rest are **not very rich either** and live in conditions that would count as poverty in middle-income countries.

HANDOUT ALERT: CONFLICTING FIGURES INSIDE THE HANDOUT

LMIC line: section 7 says **$4.20** (2021 PPP, about ₹84), but the summary at the end says "lower-middle-income benchmark **$3.65**/day". Use **$4.20**: it is stated with the date, PPP year and rupee value. Check your notebook for $3.65.

IPL in rupees: about **₹60** in section 7 and about **₹62** in the summary (PPP 20.6 x $3). Say "about ₹60-62 a day".

Rule for the exam hall: quote the dollar value and PPP year, and avoid committing to a rupee figure unless asked.

8 · Why a money line is not enough: multidimensional poverty

PYQs for this topic: 1 Prelims · 0 Mains

The conventional approach (consumption-based lines) does include deprivation, but it checks it through the **ability to spend** a normative amount. So deprivation is judged in money terms. A person may be able to spend on necessities and still be deprived because those necessities are **not regularly available or accessible.** Such deprivation is assessed **directly and explicitly** through **multidimensional poverty.**

- The **standard (global) MPI** was proposed by **OPHI (Oxford Poverty & Human Development Initiative)** to **UNDP**, which publishes the global MPI report.
- It looks at **three dimensions: health, education and standard of living,** using **10 indicators,** each with a deprivation criterion (malnourishment, mortality, attendance, drinking water, cooking fuel and so on). Each criterion links to an SDG.
- Example: a household is deprived of cooking fuel if it uses solid fuel such as tree bark or cow dung and has no modern fuel such as LPG or kerosene.
- A household deprived on **3 or more of the 10 indicators** is multidimensionally poor (as the handout states for the global version).
- The **MPI was developed by Sabina Alkire and James Foster** and adopted by UNDP in its Human Development Report in **2010.** It captures overlapping deprivations in health, education and living standards.

9 · India's National MPI: method, indicators and the worked example

- NITI Aayog, with **UNDP and OPHI,** developed the **National MPI.** It complements income poverty by measuring deprivations directly, and can monitor poverty at **national, state and district** levels.
- It contributes to **SDG target 1.2:** reduce **at least by half** the proportion of men, women and children of all ages living in poverty in all its dimensions according to national definitions, **by 2030.**
- The **Progress Review 2023** gives estimates for **36 States and UTs and 707 administrative districts** on **12 indicators,** from **NFHS-5 (2019-21),** and changes since **NFHS-4 (2015-16).** It gives both **how many are poor (headcount)** and **how poor the poor are (intensity).**
- **Method:** the **dual-cutoff approach of Alkire-Foster (AF)**, as in the Global MPI. India kept the **10** global indicators and added **2: Maternal Health** (in Health) and **Bank Account** (in Standard of Living).



HANDOUT FIGURE Indicators and their weights: Health 1/3 (Nutrition 1/6, Child and Adolescent Mortality 1/12, Maternal more

Computing the National MPI

1 · Deprivation profile
Each household gets a deprivation score from its deprivations in the 12 indicators

2 · Identify the poor
If the household's deprivation score is **above 33%,** it is multidimensionally poor

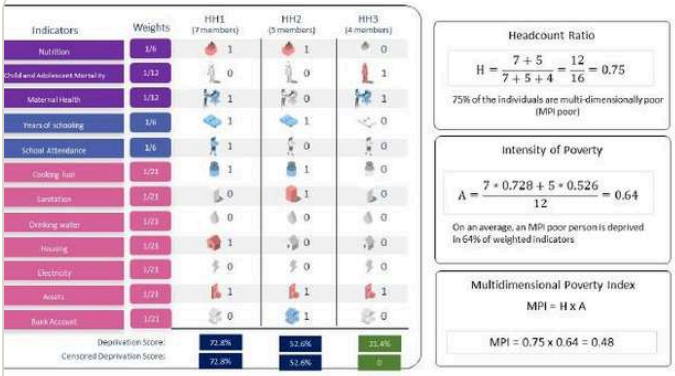
3a · Headcount ratio (H): how many are poor?
Multidimensionally poor persons divided by total population

↓

3b · Intensity (A): how poor are the poor?
Sum of weighted deprivation scores of all the poor divided by the number of poor people

↓

MPI = H x A
Headcount ratio multiplied by intensity of poverty



HANDOUT FIGURE Worked example from the handout: three households (HH1 with 7 members and deprivation score 72. more

READING THE EXAMPLE

Only **persons in poor households** count in H, so HH3's 4 members stay out. **A** averages the scores of the poor only (12 people), weighted by household size. So **75% of individuals are MPI poor and, on average, each is deprived in 64% of the weighted indicators.**

The 12 indicators and their deprivation definitions

Dimension	Indicator	A household is deprived if…
Health	1 · Nutrition	any child (0-59 months), woman (15-49 years) or man (15 years) with nutrition information is undernourished
Health	2 · Child-adolescent mortality	any child or adolescent under 18 died in the household in five years before the survey
Health	3 · Maternal health	any woman who gave birth in the last 5 years did not get at least **4 antenatal visits** for the latest birth, or no trained skilled help at the latest childbirth
Education	4 · Years of schooling	no member aged **10 or above** has completed **six years** of schooling
Education	5 · School attendance	any school-aged child is not attending school up to the ag at which he or she would complete class (the handout tex cut off here)

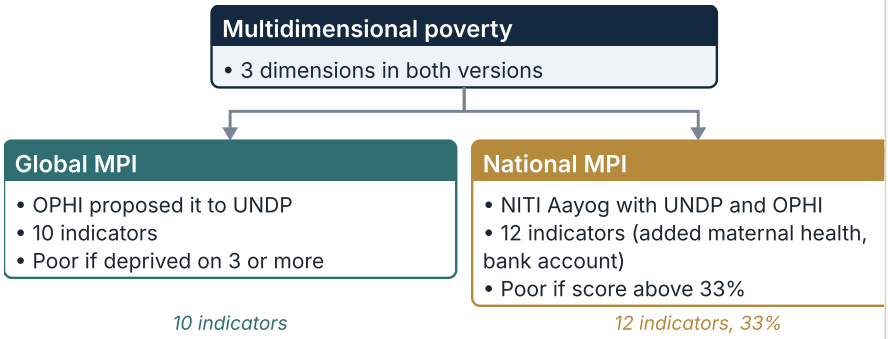
Dimension	Indicator	A household is deprived if...
Standard of living	6 · Cooking fuel	cooks with dung, agricultural crops, shrubs, wood, charc or coal
Standard of living	7 · Sanitation	unimproved or no sanitation facility, or improved but **shar** with other households
Standard of living	8 · Drinking water	no improved or safe drinking water, or safe water is at lea **30-minute walk** (round trip)
Standard of living	9 · Housing	floor of natural materials, or roof or wall of rudimentary materials
Standard of living	10 · Electricity	no electricity
Standard of living	11 · Assets	does not own more than one of radio, TV, telephone, computer, animal cart, bicycle, motorbike, refrigerator, an does not own a car or truck
Standard of living	12 · Bank account	no household member has a bank or post office account

HANDOUT ALERT: TWO THRESHOLDS, TWO VERSIONS

The handout says the **global** MPI treats a household as poor if deprived on **3 or more of 10 indicators,** and the **national** MPI uses a deprivation score **above 33%** on **12 indicators.** Do not mix them up.

Rule for the exam hall: "33%, 12 indicators" means India's National MPI; "10 indicators" means the global MPI. Both have 3 dimensions.

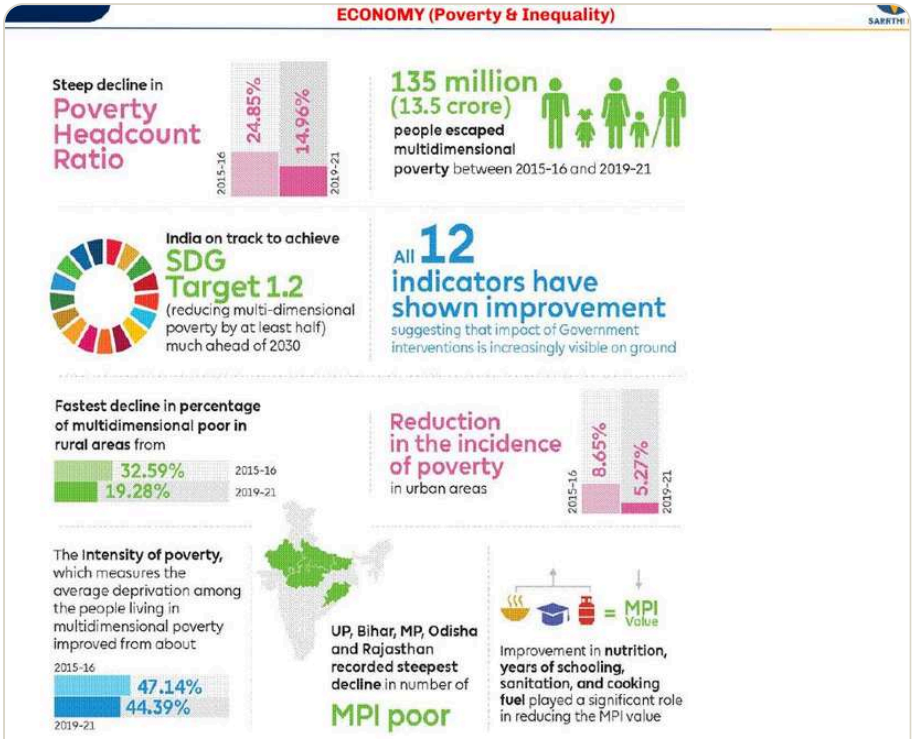
GLOBAL MPI VERSUS INDIA'S NATIONAL MPI



Why MPI helps (handout conclusion)

Benefit	Meaning
Complements money statistics	Shows non-monetary deprivation direc
Monitors single indicators and dimensions	Overlaps with several SDGs
Breaks down by state and district	Better policy focus
Enables integrated policy	Cross-sectoral action

10 · India's progress on multidimensional poverty (NFHS-4 to NFHS-5)



HANDOUT FIGURE Handout infographic: poverty headcount ratio fell from 24.85% (2015-16) to 14.96% (2019-21); 135 million more

National figures

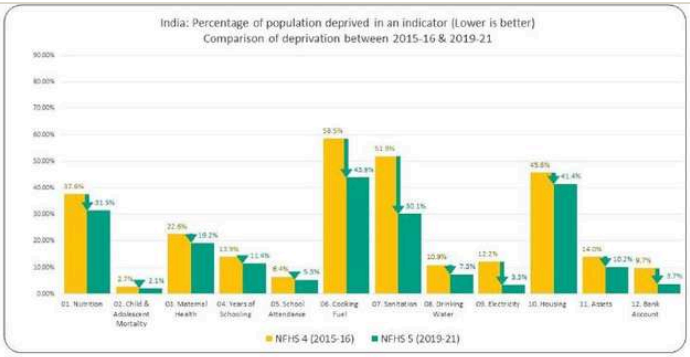
Survey	MPI	Headcount ratio (H)	Intensity (A)
NFHS-5 (2019-21)	**0.066**	**14.96%**	**44.39%**
NFHS-4 (2015-16)	**0.117**	**24.85%**	**47.14%**

Rural and urban

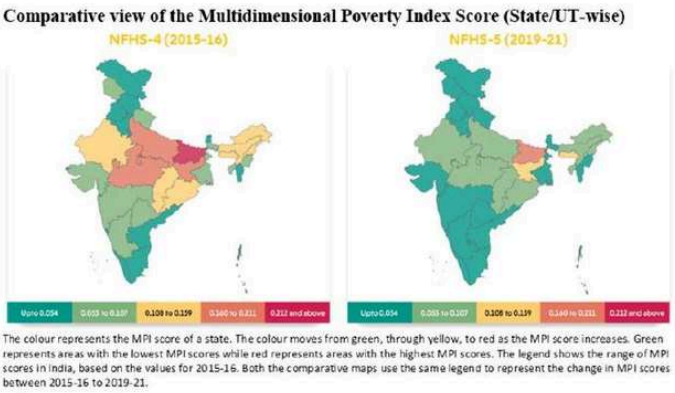
Survey	Rural MPI	Rural H	Rural A	Urban MPI	Urban H	Urba
NFHS-5 (2019-21)	0.085	19.28%	44.55%	0.023	5.27%	43.1
NFHS-4 (2015-16)	0.154	32.59%	47.38%	0.039	8.65%	45.2

- **135 million** people escaped multidimensional poverty in the five years. India is on track for **SDG 1.2** (halve poverty in all forms by 2030).
- The **MPI value nearly halved** (0.117 to 0.066). Intensity fell from about 47.14% to 44.39%.
- Rural-urban gap remains (**19.28% rural versus 5.27% urban in 2021**), but the fall was **pro-poor in absolute terms:** rural areas saw the fastest fall.
- All **12 indicators** improved, with statistically significant reductions. **Biggest falls: sanitation (21.8 pp) and cooking fuel (14.6 pp).**
- Highest headcount: **Bihar 33.76%, then Jharkhand 28.81%.**

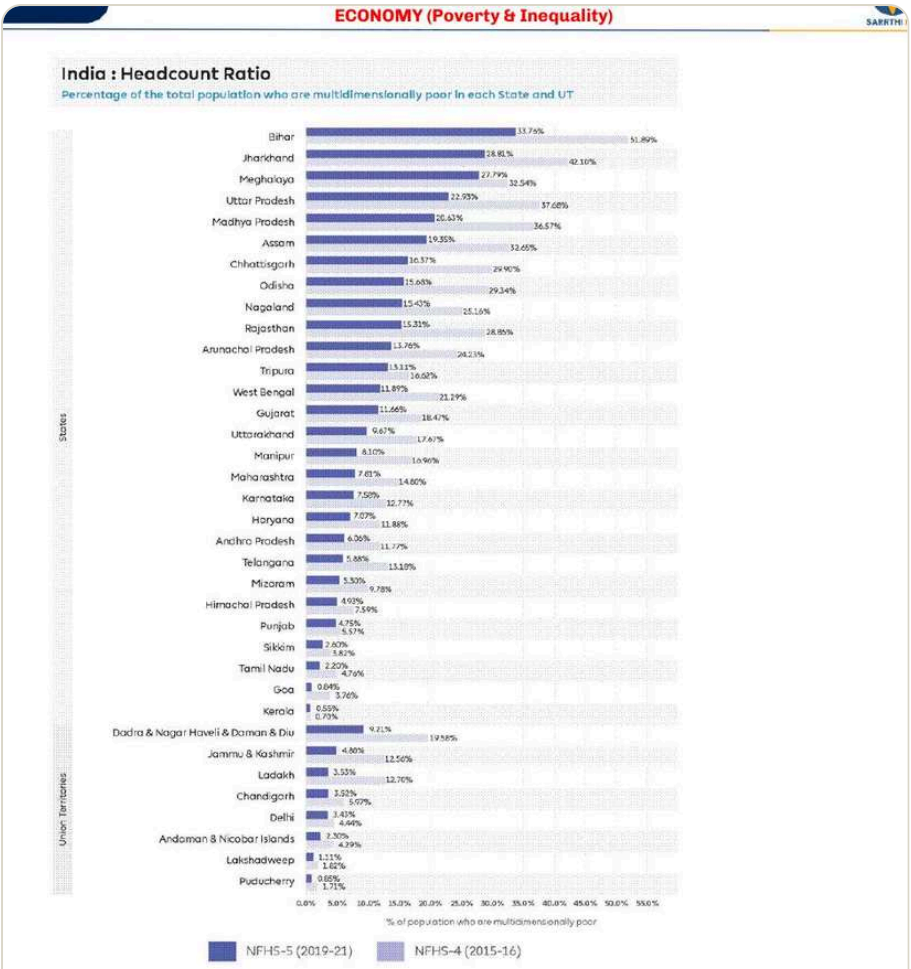
- Biggest fall in incidence: **Bihar (18.13 pp), Madhya Pradesh (15.94 pp), Uttar Pradesh (14.75 pp).**
- District-level estimates let governments and organisations see specific challenges and target interventions.



HANDOUT FIGURE Percentage of India's population deprived in each of the 12 indicators, NFHS-4 (2015-16) versus NFHS-5 **more**



HANDOUT FIGURE State and UT maps of the MPI score for NFHS-4 and NFHS-5: green is a low score (less poverty), re **more**



HANDOUT FIGURE Headcount ratio by state and UT, NFHS-5 versus NFHS-4. Bihar and Jharkhand are highest; Kerala, Goa and Sikkim are among the lowest.

Policy push behind the fall

- The handout credits investment in education, nutrition, water, sanitation, cooking fuel, electricity and housing.
- Schemes named: **Swachh Bharat Mission (SBM), Jal Jeevan Mission (JJM), Poshan Abhiyan, Samagra Shiksha, Saubhagya (PM Sahaj Bijli Har Ghar Yojana), PM Ujjwala Yojana (PMUY), PM Jan Dhan Yojana (PMJDY), PM Awas Yojana (PMAY).**
- Several **MPICC meetings** were held after the baseline report to prepare **Reform Action Plans. More than 50 reform actions in 16 reform areas** (nutrition, financial inclusion, education, rural development, housing and more) were identified.
- The second edition of the National MPI helps states track hotspots down to the district level. NITI Aayog supports states in making reform plans.

11 · Summary of India's progress and what is still missing

> **HANDOUT ALERT: THE SUMMARY USES ITS OWN LINE VALUES**
>
> This part of the handout restates the lines: IPL raised **from $2.15 a day (2017 PPP) to $3.00 (2021 PPP);** a lower-middle-income benchmark of **$3.65** (conflicts with the $4.20 above, see section 7); PPP about **20.6** in 2025 so $3 is about **₹62.** It also says much of the **upward revision is due to changes in the underlying national poverty lines,** not just price inflation.

Key triumphs: a decade of decline

Measure	Then	Now
Extreme poverty rate (national)	**27.1%** (2011-12)	**5.3%** (2022-
Rural extreme poverty	18.4%	2.8%
Urban extreme poverty	10.7%	1.1%
Rural-urban gap	7.7 pp	**1.7 pp**
Multidimensional poverty (12-indicator NITI index)	**55.34%** (2005-06)	**14.96%** (201 21)
Consumption-based Gini	**28.8** (2011-12)	**25.5** (2022-2

- **Five populous states** (UP, Maharashtra, Bihar, West Bengal, MP) held **65%** of India's extreme poor in 2011-12 and drove **two-thirds** of the national fall.
- **Drivers:** Jan Dhan, PM Kisan Samman Nidhi, and foodgrain distribution to **80 crore** people. Methodology also changed with the 2022-23 consumption survey (better tracking of food and non-food spending).

Persistent challenges (the "dignity deficit" and more)

Challenge	Figure in the handout
Dignity deficit	₹62 ($3) a day is widely seen as too little for a life with dign One litre of Amul milk cost **₹63 in 2022.**
Income inequality (2023-24)	Median earnings of the **top 10% are 13 times** those of the bottom 10%
Gender gap in jobs	**234 million more men** than women in paid jobs
Youth unemployment	**13.3%,** rising to **29%** for graduates with tertiary education
Global Hunger Index	Rank **105**, with **35.5% stunting** and **18.7% child wasting**
World Happiness Report	Rank **118**
Inequality and human development	India loses **over 30%** of its HDI score to inequality

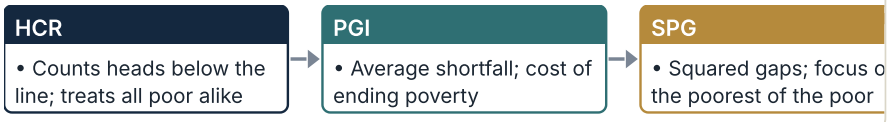
12 · Depth and severity of poverty: HCR, PGI and SPG

The headcount ratio counts the share below the line, but it has a flaw: **it treats all poor people equally.** It cannot tell someone ₹1 below the line from someone with zero income. To see how poor the poor are, economists use **depth and severity.**

These were developed in **1984** by **James Foster, Joel Greer and Erik Thorbecke,** so they are called the **FGT class** of poverty measures (specifically **FGT1 and FGT2**). The World Bank and the UN adopted them as standard tools. Governments use them to work out how much cash transfer programmes need and to check whether growth reaches the poorest.

	Poverty Gap Index (PGI): depth	Squared Poverty Gap (SPG): severity
What it measures	The **average shortfall** of the population from the poverty line	Severity of poverty, and **inequa among the poor**
How it works	Distance between a poor person's income and the line, as a **percentage of the line.** Non-poor count as gap **zero**	Take each person's poverty gap **square it,** then average across population
Why it is useful	Gives the **minimum cost of eliminating poverty:** PGI x poverty line x total population = money to lift every poor person exactly to the line (with perfectly targeted transfers)	Squaring puts **more weight on larger gaps,** so society is penalised for people far below line. It forces focus on the **"poorest of the poor"**
Limit	Ignores inequality among the poor. Two districts can have the same PGI, one with extreme destitutes and the other with people just below the line	Drops sharply only when programmes reach the most deeply destitute. Helping only those near the line improves the HCR but barely moves the SPG

HOW MANY, HOW FAR, WHO IS FURTHEST



HANDOUT ALERT: ONE MEASURE, TWO NAMES

The handout calls the SPG "**the Sen index,** named after Prof. Amartya Sen" in the same passage that labels it **FGT2.** If a question asks for "Sen index", link it to the squared poverty gap as the handout does, and check your class notes for any difference.

Next, the handout turns to **inequality** to understand the relative side of poverty. See Chapter 2.

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: TENDULKAR IS OFFICIAL, NOT RANGARAJAN

Rangarajan (2014) added a behavioural part, but his line was not accepted. Tendulkar continued as the official poverty line.

Rule: official line = Tendulkar; Rangarajan = behavioural, not accepted.

CONCEPT TRAP: BENEFICIARIES ARE NOT THE POOR

Beneficiary lists are hard to revise and only grow. Counting them gives beneficiaries, not poverty, which is an estimate from a representative sample.

Rule: poverty is estimated to judge progress, never by counting beneficiaries.

HANDOUT ALERT: THREE NUMBERS FOR ABOUT 2011-12

Tendulkar gives about 22% (2012), India's national line nearly 30% (2011-12), and the World Bank extreme line 27.1%. Each uses a different yardstick.

Rule: always name the yardstick before quoting a poverty rate.

HANDOUT ALERT: $4.20 OR $3.65

Section 7 gives the LMIC line as $4.20 (2021 PPP, about Rs 84) but the end summary says $3.65.

Rule: use $4.20 and check your notebook for $3.65.

HANDOUT ALERT: TWO MPI THRESHOLDS

The global MPI calls a household poor if deprived on 3 or more of 10 indicators. India's National MPI uses a score above 33% on 12 indicators.

Rule: 12 indicators and 33% = India; 10 indicators = global.

HANDOUT ALERT: SPG IS ALSO CALLED THE SEN INDEX

The handout calls the squared poverty gap both FGT2 and the Sen index, named after Amartya Sen.

Rule: link 'Sen index' to the SPG as the handout does, and check class notes.

Past-year questions

4 Prelims and 0 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

4 · The poverty line basket and the committees

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2019 Q275

In a given year in India, official poverty lines are higher in some States than in others because:

a. poverty rates vary from State to State.
b. price levels vary from State to State.
c. Gross State Product varies from State to State.
d. quality of public distribution varies from State.

▶ Show answer

5 · India's progress on reducing poverty

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2012 Q215

How do District Rural Development Agencies (DRDAs) help in the reduction of rural poverty in India?

1. DRDAs act as Panchayati Raj Institutions in certain specified backward regions of the country.
2. DRDAs undertake area-specific scientific study of the causes of poverty and malnutrition and prepare detailed remedial measures.
3. DRDAs secure inter-sectoral and inter-departmental coordination and cooperation for effective implementation of anti-poverty programmes.
4. DRDAs watch over and ensure effective utilization of the funds intended for anti-poverty programmes.

Which of the statements given above is/are correct?

a. 1, 2 and 3 only
b. 3 and 4 only
c. 4 only
d. 1, 2, 3 and 4

▶ Show answer

2012 Q277

How does the National Rural Livelihood Mission seek to improve livelihood options of rural poor?

1. By setting up a large number of new manufacturing industries and agribusiness centres in rural areas
2. By strengthening 'Self-Help Groups' and providing skill development

3. By supplying seeds, fertilizers, diesel pump-sets and micro-irrigation equipment free of cost to farmers

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

8 · Why a money line is not enough: multidimensional poverty

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2012 Q276

The Multi-dimensional Poverty Index developed by Oxford Poverty and Human Development Initiative with UNDP support covers which of the following?

1. Deprivation of education, health, assets and services at household level
2. Purchasing power parity at national level
3. Extent of budget deficit and GDP growth rate at national level

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

Timeline and numbers

1906 — Dadabhai Naoroji, "Poverty & Un-British Rule in India": an early scientific effort to measure poverty ★

1938 — National Planning Committee: another pre-independence effort

1944 — Bombay Plan: another pre-independence effort

1951 — India's HCR about 65%

1971 — Dandekar and Rath: calorie-based PL, 2250 calories per person per day ★

1979 — YK Alagh: separate rural (2400) and urban (2100) calorie lines ★

1984 — FGT measures (Foster, Greer, Thorbecke) for depth and severity

1990 — World Bank's first global poverty line: $1 a day

1993 — Lakdawala: state-specific PLs, inflation-indexed. HCR about 45% ★

2009 — Tendulkar: adds health, education, water and sanitation. Still India's official PL ★

2010 — MPI (Alkire and Foster) adopted by UNDP in the Human Development Report

2011-12 — National line: nearly 30% poor. World Bank extreme rate 27.1%

2012 — India's HCR about 22% (Tendulkar basis)

2014 — Rangarajan's behavioural PL (not accepted). India's latest national line announced; India has had no PL since ★

2015-16 — NFHS-4: MPI 0.117, H 24.85%, A 47.14%

2019-21 — NFHS-5: MPI 0.066, H 14.96%, A 44.39%. 135 million escape MPI poverty ★

2022-23 — HCES after an 11-year gap. World Bank extreme rate 5.3%

2023 — NITI Aayog National MPI Progress Review 2023 (36 States and UTs, 707 districts)

June 2025 — World Bank lines: $3.00, $4.20, $8.30 (2021 PPP) ★

2030 — SDG 1.1 (end extreme poverty) and SDG 1.2 (halve multidimensional poverty) target year

Connects to

Chapter 2: Inequality

The handout ends Chapter 1 by turning to inequality, "the relative aspect of poverty". Relative poverty is a reflection of inequality, and the PGI limit (ignores inequality among the poor) leads straight into it.

Unemployment handout (next in your PDF)

The summary here cites youth unemployment of 13.3% and 29% for graduates. The Unemployment handout explains the structure behind those numbers and lists schemes (PMKVY, Jan Dhan, Mudra are also named for inclusive growth in Chapter 2).

National Income Accounting handout

Uses PPP to compare GDP per capita across countries, and covers the Inequality-adjusted HDI (IHDI), which discounts HDI for inequality in health, education and income. Same PPP idea as section 6.

Banking and NBFCs handout

PM Jan Dhan Yojana (2014) shifted financial inclusion from area-focused to person-focused. Here it is part of the JAM trinity and the MPI "bank account" indicator.

Budget and Fiscal Policy handout

Debates free foodgrains to 75% of the population versus only those strictly below the poverty line. Connects to the beneficiaries-versus-poor point in section 3.

CURRENT AFFAIRS · OCTOBER 2026

- **World Bank: India made "remarkable progress" in reducing poverty**: The World Bank's October 2026 Poverty and Equity Brief for India says the country saw one of the fastest reductions in poverty in the world over the…

CURRENT AFFAIRS · SEPTEMBER 2026

- **District Mineral Foundations (DMF) and PMKKKY**: The CAG flagged irregularities in DMF functioning and PMKKKY implementation in Odisha.
- **Defining Urban Areas in India**: MoHUA told a parliamentary panel that census-town criteria do not capture the scale of urbanisation.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Poverty = pronounced deprivation in well-being (World Bank): low income, poor health and education, poor water and sanitation, no security, no voice, no opportunity.
2. Absolute (normative, expert-set) versus relative (a reflection of inequality).
3. Measure poverty to assess progress, not to pick beneficiaries. Do not count beneficiaries: inclusion and exclusion errors, JAM trinity. HCR is an estimate from a representative sample, from HCES, on consumption not income.
4. Five steps: standard, sample, information, apply, HCR.
5. Committees: Dandekar-Rath 1971 (2250 cal), Alagh 1979 (rural 2400, urban 2100), Lakdawala 1993 (state PLs, inflation index), Tendulkar 2009 (health, education, water, sanitation), Rangarajan 2014 (behavioural). Tendulkar stays official. Recall: URP to MRP to MMRP.

6. India: 65% (1951) to 45% (1993), 0.44 pp a year; 22% (2012), 1.15 pp a year; about 1% (2023-24). Growth 3.5% to 6.5%. Poor numbers peaked near 530 million.
7. World Bank lines June 2025 (2021 PPP): IPL $3.00 (LIC median), LMIC $4.20 (about ₹84), UMIC $8.30. India: 5.3%, 24%, over 80%. World extreme 10.8%.
8. PPP: the US$100 versus Rs 2000 basket gives a PPP factor of 20. India has had no PL since 2014. HCES 2022-23 after 11 years.
9. Global MPI: OPHI and UNDP, 3 dimensions, 10 indicators, 3 or more deprivations. National MPI: NITI Aayog, 12 indicators (added maternal health, bank account), 33% cut-off, MPI = H x A. Example: 0.75 × 0.64 = 0.48.
10. NFHS-4 to NFHS-5: MPI 0.117 to 0.066; H 24.85% to 14.96%; A 47.14% to 44.39%; 135 million out; rural 32.59% to 19.28%; urban 8.65% to 5.27%. Sanitation -21.8 pp, cooking fuel -14.6 pp. Bihar 33.76%, Jharkhand 28.81%. Biggest falls: Bihar, MP, UP.
11. HCR ignores depth. PGI = average shortfall (cost of ending poverty). SPG = squared gaps (poorest of the poor). FGT 1984.
12. Blank page: draw the flow from "what is poverty" to "why HCR is not enough", adding one number per box.

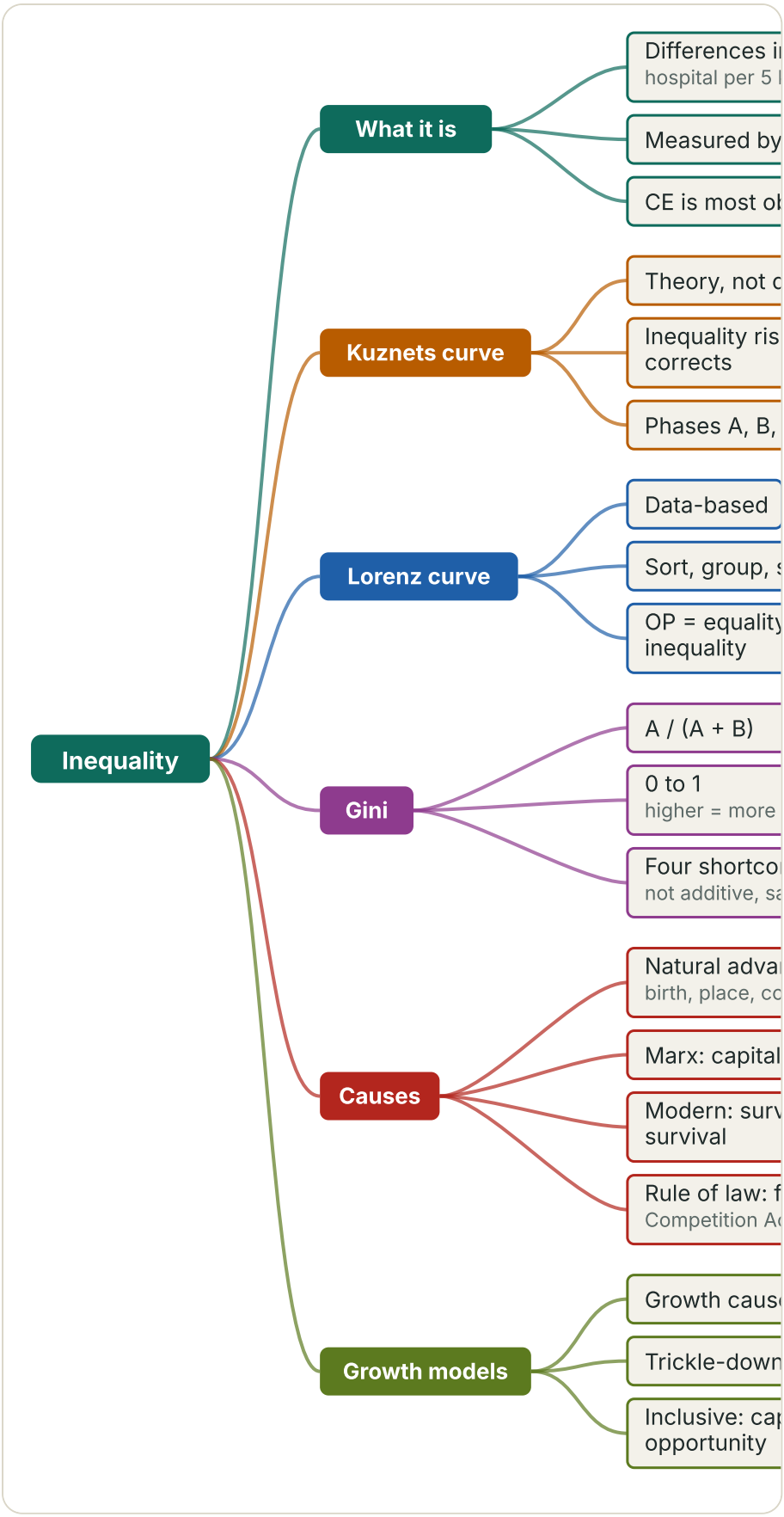
ECONOMY · GS FOUNDATION · CHAPTER 2

Inequality: Measures, Causes and Growth Models

Handout only: no class slides | Handout pages 27-35 | Handout quotes no PYQs | PYQ sheets: 3 Prelims · 6 Mains · Medium

What inequality is and why consumption is used, the Kuznets curve, the Lorenz curve and Gini coefficient (with four shortcomings), the reasons for inequality (natural advantages, Marx, modern reasoning and the rule of law), why growth causes inequality, and the two policy approaches: trickle-down and inclusive growth.

Chapter map



In simple words

IN SIMPLE WORDS

- **Inequality** is differences in attainment of well-being. It is measured mostly through **consumption expenditure**, the most objective choice.
- The **Kuznets curve** is a **theory**: inequality rises, stabilises, then corrects. The **Lorenz curve** is **data-based**, and **Gini = A / (A + B)** runs from 0 to 1.
- Inequality comes from **natural advantages**, from capital versus labour (**Marx**), and from the **nature** of inequality, which the **rule of law** decides.
- **Growth, by design, causes inequality** because resources go where growth potential is higher.
- **Trickle-down** works only if four conditions hold. **Inclusive growth** rests on **capability** and **opportunity**, so the bottom becomes a contributor with a rightful claim.

Key terms in plain words

Key term	In plain words
Inequality	Differences in the degree of attainment on aspects of well-being.
Consumption expenditure (CE)	The preferred, most objective base for measuring inequality.
Kuznets curve	A theoretical expectation: inequality rises, stabilises, then corrects as incomes rise.
Lorenz curve (LC)	A data-based picture of inequality from cumulative shares of income, CE or wealth.
Line of perfect equality (OP)	The x = y line where every group has the same share.
Line of perfect inequality (QP)	Runs along the x-axis, then rises vertically at the last point.
Gini coefficient	A / (A + B), calculated from the Lorenz curve; higher means more inequality.
Natural advantages	Accidents of birth or location that give some people a better chance.
Survivorship bias	Using only the visible information, such as the profits of surviving firms.
Rule of law	A collective environment of competent, fair institutions that frame, execute and adjudicate laws.
Trickle-down	Focus resources on high-growth sectors and let benefits rea the bottom.
Inclusive growth	Broad-based growth that includes the bottom as active contributors.
Capability	Pillar 1: skills, basic healthcare and quality education.
Opportunity	Pillar 2: jobs, entrepreneurship, ease of doing business and access to capital.

Exam lens: priority and PYQs

SOURCE NOTE

This chapter comes from the handout only. No class slides, no teacher ink and no PYQ section came with it. PYQs quoted in the material: **none quoted in the material.**

What the handout itself stresses

Signal in the handout	Where	Why it matters
Kuznets curve is "not a data-based curve, merely a theoretical expectation"; Lorenz curve is data-based	Section 2	A clean statement trap: theory versus data.
Gini ranges 0 (perfect equality) to 1 (perfect inequality); a higher Gini means more inequality. Four shortcomings listed	Section 4	The handout gives each with "Th Concept" and "The Explanation"
Modern reasoning: it is about the nature of inequality, and the rule of law decides it	Section 5	A Mains theme. The handout stresses that rule of law is more than a law.
Trickle-down works only if four conditions hold; inclusive growth rests on capability and opportunity	Sections 7-8	A compare-and-contrast Mains question. The handout says the are "essentially the same" with different emphasis.
Skill and inclusion readings named: National Skill Development Programme, PMKVY, Jan Dhan, Mudra, Economic Survey 2025-26	Section 8	The handout points to these for further reading.

WHAT TO PREPARE

Prelims hooks: Kuznets versus Lorenz; the Lorenz plotting steps and what the equality line OP and the line QP mean; the Gini formula and range; the four Gini shortcomings; the four conditions for trickle-down; the two pillars of inclusive growth.

Mains hooks: causes of inequality (natural, Marxist, modern); why growth causes inequality; why trickle-down fails; why inclusive growth is about claim, not charity; the rule-of-law argument.

Closing idea: some inequality comes with growth, but its kind decides the outcome. Good inequality (earned by fair means under rule of law) is tolerable; bad inequality (from connections and weak law) hurts everyone.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 3 Prelims and 6 Mains questions map to this chapter.

Most-asked topics: Inclusive growth (3 Prelims, 6 Mains).

Prelims years: 2011, 2012, 2014. Mains years: 2014, 2016, 2017, 2019, 2020, 2021.

> All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

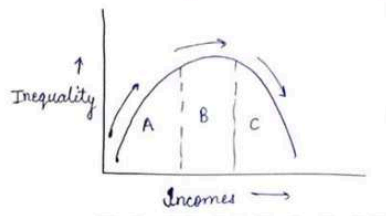
1 · What is inequality?

Inequality is differences in the degree of attainment on various aspects of well-being. Example: one person lives where there is one hospital per 5 km² and another where there are two. Neither is probably facing pronounced deprivation, but the second's attainment is better than the first's. That is inequality. (Poverty is about a floor; inequality is about differences above it.)

- It can be economic, social or political, but it is generally **measured through economic differences:** income, expenditure and wealth.
- Like poverty, the preferred method is **consumption expenditure (CE).**
- Inequality measured through **wealth** is generally higher. But wealth and income are less truthfully revealed and highly volatile, so **CE-based inequality, even though lower, is generally the most objective.**
- The government generally measures **consumption inequality** because it lacks verifiable, regularly collected data on other measures.

2 · Kuznets curve: a theory

The Kuznets curve is a **theoretical prediction** about how inequality relates to incomes in a society over time. Kuznets predicts that **as incomes rise, inequality first rises** (incomes of some grow faster than others), then **stabilises,** and eventually **corrects.**



Kuznet predicts that as incomes rise, initially there would be a rise in inequality (incomes of some increase faster than others), then a stabilization and eventually a correction.

HANDOUT FIGURE Hand-drawn Kuznets curve: inequality on the vertical axis, income on the horizontal axis. An inverted U with three phases marked A, B and C.

- It is **not a data-based curve,** only a theoretical expectation.
- The phases **A, B, C are not necessarily of equal or proportional lengths.**

> **HANDOUT ALERT: WHAT THE CURVE SHOWS**

The handout gives the shape as rise, stabilise, correct. It labels the phases A, B, C on the sketch but does not define each one separately. **Rule for the exam hall:** call it a theoretical, inverted-U expectation, never a measured curve.

3 · Lorenz curve: a data-based picture

The Lorenz curve (LC) is a **data-based representation** of existing inequality in income, CE or wealth.

How to plot the Lorenz curve

1 · Collect data
Income, CE or wealth, from the population or a sample

↓

2 · Sort it
Generally in descending order (the handout's wording)

↓

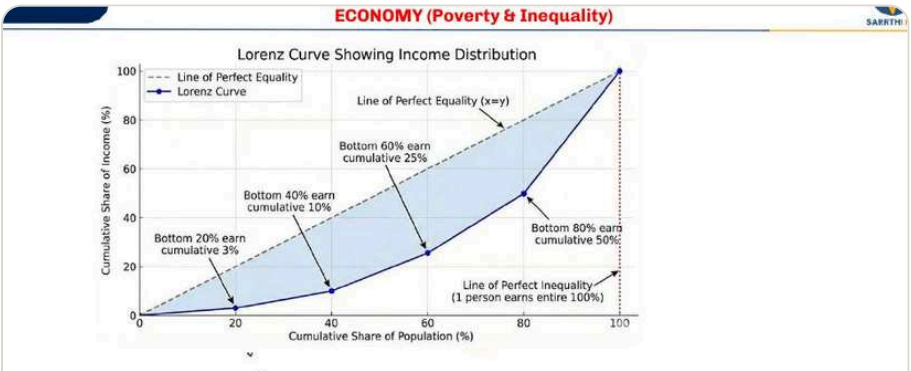
3 · Divide into equal-sized groups
For example 5 groups of 20% of the population

↓

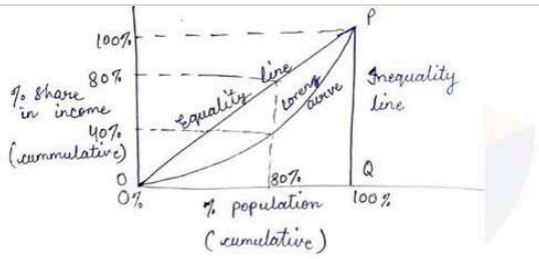
4 · Find each group's share
Total income of the group, hence its share in total income

↓

5 · Plot cumulative shares
Example: bottom 20% have 3%, next 20% have 7%, so bottom 40% have a cumulative 10%. Join the points



HANDOUT FIGURE Lorenz curve of income distribution. The diagonal is the line of perfect equality. Points: bottom 20% e **more**



For example, in the above Lorenz curve, the bottom 80% have a share of 40% in total

HANDOUT FIGURE Hand-drawn sketch from the handout: the equality line OP, the Lorenz curve, and the right-angle line C more

HANDOUT ALERT: TWO EXAMPLES, DIFFERENT NUMBERS

The text example says bottom 20% have 3%, bottom 40% have 10%. The chart printed beside it labels bottom 80% as 50% cumulative, while the written example beneath the sketch says bottom 80% have **40%.** They are two different illustrations. **Rule for the exam hall:** do not quote a number from these pictures; explain the method and the two extreme lines.

Reading the curve

Case	What the LC looks like
Perfect equality	Every group has the same share as any other group of the same size. T LC is the **x = y line, OP:** the **line of perfect equality**
Perfect inequality	One person has all the income, so the rest have zero. The LC runs alon the **x-axis** until the very last point, then rises vertically: **OQP, or simply**
A real country	Lies between the two. **The closer to the equality line, the more equal;** farther away, the less equal

KUZNETS CURVE VERSUS LORENZ CURVE

Picturing inequality
- Two curves, two natures

Kuznets curve
- Theoretical expectation
- Rises, stabilises, corrects
- Phases A, B, C unequal

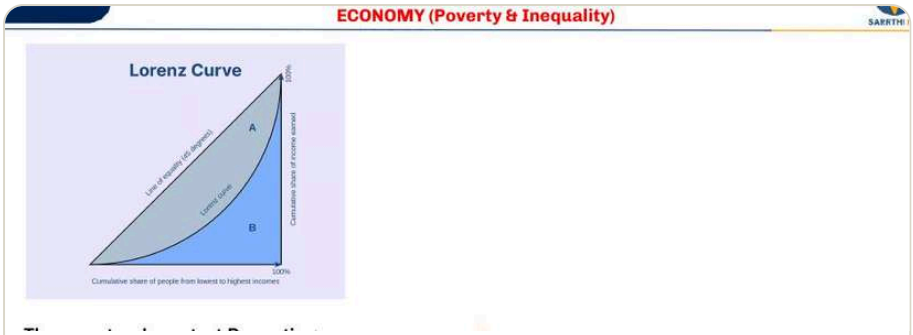
Theory, not data

Lorenz curve
- Built from income, CE or wealth
- Sort, group, cumulate shares
- OP equality, QP perfect inequality

Data-based

4 · Gini coefficient and its four shortcomings

The Gini coefficient is a statistical measure of inequality calculated using the Lorenz curve. Let **A** be the area between the line of equality and the Lorenz curve, and **B** the area below the Lorenz curve.

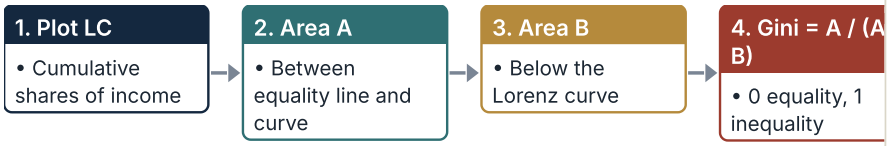


HANDOUT FIGURE Lorenz curve with areas A (between the equality line and the curve) and B (below the curve). Gini = A / (A + B).

FORMULA

Gini (GC) = Area between equality line and Lorenz curve / Area between equality line and inequality line = A / (A + B).

FROM LORENZ CURVE TO GINI



- **Range:** 0 when A = 0 (perfect equality) to 1 when B = 0 (perfect inequality).
- **An increase in Gini means an increase in inequality.**

Shortcomings of the Gini (the handout's four)

Shortcoming	The concept	The handout's explanation
1 · Not easily decomposable or additive	You cannot do simple maths with Ginis to see the bigger picture	Average incomes of two states combine easily one average. Ginis do not: State A at 0.3 and St B at 0.4 do **not** combine to 0.35. The maths is complex, so policymakers cannot easily say wh region or sector drives overall inequality
2 · Different distributions can give the same Gini	One number hides the **shape** of society	Society A: starving lower class, wealthy middle class, no billionaires. Society B: comfortable lo and middle class, but a few trillionaires hoardin half the wealth. Both could score **0.40,** yet feel completely different
3 · Reacts differently to transfers at the tails than in the middle	Over-sensitive to the middle class, somewhat **blind to the extremes**	A ₹10,000 gift between two middle-class peopl visibly improves the Gini. A multi-billionaire taki ₹10,000 from a destitute beggar (a transfer at tl tails) barely moves it. It misses rising concentration at the very top
4 · Hides demographic variation among subgroups	Blind to **who** the rich and poor are	A "low" Gini cannot show whether the old hold 90% of the wealth while youth face poverty, or whether one racial group or caste earns far les throws everyone into one pot

MEMORY AID · FOUR SHORTCOMINGS OF THE GINI

H **A** **T** **S**

The Gini wears four HATS that hide the real picture of society.

H	Hides demographic variation among subgroups
A	Adding Ginis fails: not easily decomposable
T	Tails: transfers at the extremes barely register
S	Same Gini can come from different distributions

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

5 · Why does inequality exist?

(1) Natural advantages

These are **accidents of birth or location** that give some people a better chance at well-being: birth in a family of means or higher social status, better networks, inherited wealth. A place with better geography and fewer adverse events has better access to health, education and livelihood. **Most inequalities can be explained by natural advantages or disadvantages,** and they cannot be wished away.

But they cannot explain everything. Siblings in the same household can have very different outcomes. That is explained by **comparative advantages and disadvantages:** also natural, but not apparent at first. Example: an elder sibling is given responsibility earlier and is better prepared for such roles; a younger sibling may lean toward artistic or talent-based pursuits.

(2) Economic reasons: the Marxist view

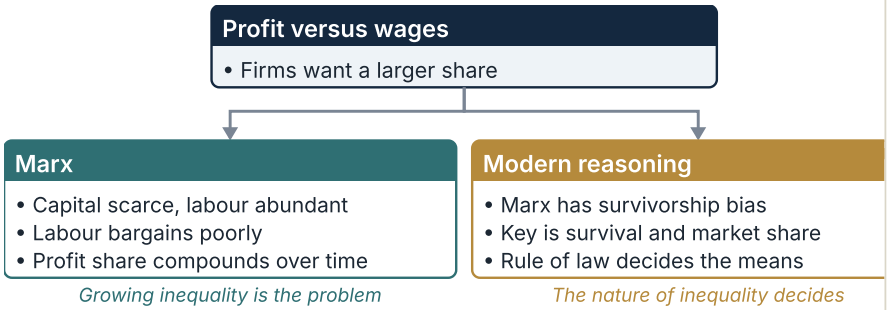
- Marx: inequality results from **differences in the ability of different groups to enforce their interests.** The groups are those with **capital** and those with **labour,** and the interest is to take a larger share of revenue as **profits versus wages.**
- A firm gets factors of production as capital (entrepreneurship, capital, land) and labour. Revenue is split into wages and the retained profit. Both sides want a larger share.
- **Capital is scarce and labour abundant,** so labour's ability to bargain is low. Capital is concentrated in few hands, so providers keep a larger share as profit.
- To some extent this is fair: capital takes greater risk and deserves higher reward. But as revenue rises, **profit's share keeps increasing while wages rise slowly,** so initial inequalities **compound** over time. That growing inequality is the problem, according to Marx.

(3) Modern reasoning

a. A critique of the Marxist view. The handout says Marxist reasoning has **survivorship bias:** it uses only the information that is visible.

- Profits do rise faster than wages at a broad level. But adjust profits for the **losses of firms that shut down** and the growth rate is not very different.
- **Most firms that start today shut down within 10 years.** Marxist reasoning considers only profit, which belongs to the firm that survives.
- There are periods when profits decline but wages do not. Over a longer term, **profits and wages grow at a similar rate.**
- Why do profits still rise quickly? Surviving firms grow because of market growth **and** because of **larger market share after other firms close.** Wages grow only with market size, since the number of workers stays mostly stable.
- Marxism is "obviously not wrong" (it rightly points to unequal ability to enforce interests) but it underplays the **low survival rate of firms** versus a stable worker count.
- So firms see that the key to exceptional profit is **survival and market share.** The **means** they choose decide the kind of inequality a society has.

WHY INEQUALITY: MARX VERSUS MODERN REASONING



b. The political-legal system: the rule of law. Every firm wants to survive and to monopolise; when market share rises, profits rise sharply. There are two routes to more share:

	Fair means	Unfair means
What firms do	Better goods and services through **R&D,** risk-taking, innovation, hiring skilled workers and paying them well	Exploit position and **connection with lawmakers and enforcers** making it hard for others to compete
Under a strong rule of law	Firms are pushed to this route, since connections are not exploited and violators are punished	Strong disincentive
Under a weak rule of law	Fair players fall; wrongdoers get away	Firms lack integrity and ignore workers, consumers, minority shareholders and society
Outcome	They still monopolise and inequalities emerge, but society	Everyone loses except the own (and only briefly). Inequality giv **bad** outcomes

	Fair means	Unfair means
	benefits. Such inequality is tolerable and "**good**"	

THE MODERN POINT

Modern reasoning is less about why inequality exists anywhere and more about why a certain kind of inequality exists in some places that gives the worst outcomes for everyone. It is about its nature.

WHAT IS "RULE OF LAW"?

It is **not merely a law or some laws.** It is a **collective environment of institutions** that frame, execute and adjudicate the laws. The people and institutions must be competent **and** act fairly and without bias.

Example: the **Competition Act, 2002** aims to prevent monopolies through unfair practices. But many entities decide what a monopoly is, what is fair, and what to do about it. The Act is **one aspect** of the rule of law; how it is applied decides whether the rule of law exists.

6 · Growth and inequality

- **Growth, by its design, is inequality-causing.** Faster growth happens when limited resources go where growth potential is higher, in sectors or places that can use them more efficiently.
- Faster growth means **more employment and a faster fall in poverty,** which is desirable.
- But if resources are focused on certain sectors, regions or industries, the incomes of those grow faster, so **inequality rises.** Growth is "not without its costs".
- To correct this, governments have tried models of growth that aim for **faster growth with less inequality.** The handout stresses these are **not mathematical models** but **general policy approaches,** and by the end you see both are **essentially the same,** differing in emphasis.

7 · Trickle-down approach

The intent is **focus:** maximum output in least time. The government focuses scarce economic, technological, human and natural resources, through policy, on sectors or regions with potential for faster growth. The expectation is a **multiplier effect:** one sector grows and pulls the whole economy up, while evenly spread resources would give only an average rate.

- Benefits **can trickle down** naturally to nearby areas, sectors and people, but it may take a long time, and those left out just keep waiting.

- So the government **accelerates** it by **redistributing** benefits to those at the bottom.

Four conditions for trickle-down to work

#	Condition
1	**The chosen sector grows**
2	The government is able to collect more **taxes** from that growth (**high taxation efficiency**)
3	The government **decides to redistribute,** i.e. spends on those left out instead reinvesting in the same or a related sector
4	**Efficiency of redistribution is high:** benefits reach the intended beneficiaries

MEMORY AID · TRICKLE-DOWN: FOUR CONDITIONS

S **E** **E** **D**

Plant a SEED at the top; it feeds the bottom only if all four conditions hold.

- **S** Sector chosen grows
- **E** Efficient tax collection from that growth
- **E** Efficient redistribution reaching beneficiaries
- **D** Decides to redistribute, not reinvest in the same sector

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

WHY IT OFTEN FAILS

If any condition fails, trickle-down does not happen and the inequalities created **become permanent.** More often than not these assumptions fail, so inequalities persist and are even **created by the approach.** It is **not an anti-poor model,** but a well-meant pursuit of growth ends up creating more inequality. This leads to the inclusive approach.

8 · Inclusive growth

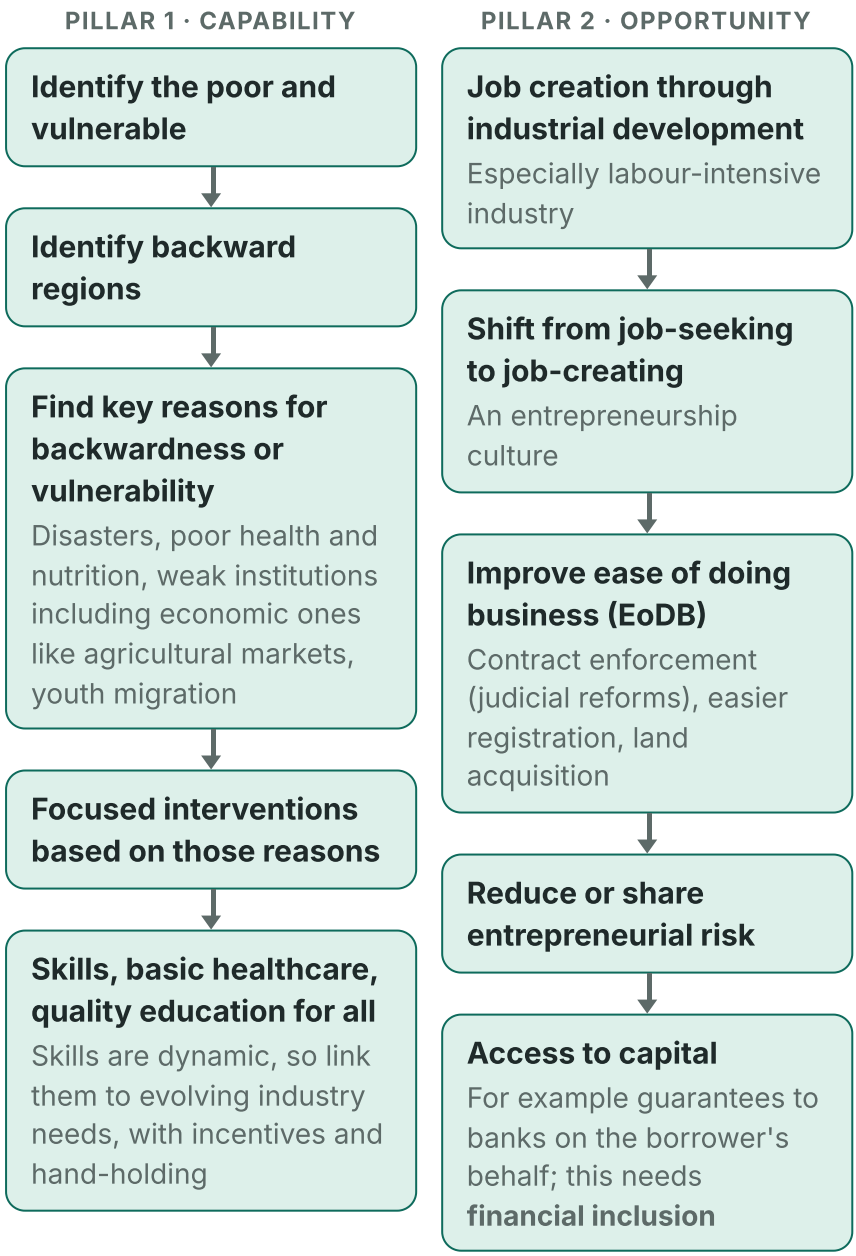
PYQs for this topic: 3 Prelims · 6 Mains

The handout calls trickle-down a **pro-poor** model that relies on the government moving the benefits of growth to the bottom. Being "brutally honest": the benefits do not **rightfully** belong to the bottom, since they did not contribute to growth, which is driven largely by those at the top. The top contributes and so **keeps most of the benefits.** The bottom's only "sacrifice" was not getting special policy focus, and schemes for the poor are a payment for

it. So the poor get benefits only at the **government's discretion,** transfers often fail and inequality stays.

Inclusive growth is based on the premise that growth should be **broad-based:** it must include as many sections of society and the economy as possible, driven not only by the top but also by the bottom. The aim is to move those at the bottom from **passive recipients** of growth's benefits to **active contributors,** with a rightful claim on its fruits. It has **two pillars:**

The two pillars of inclusive growth



BEHAVIOURAL POINT

Interventions must recognise **behaviour.** "The government should build more schools" is not enough. Ask why children are not going to school. Are teachers skilled and qualified? Are there separate girls' washrooms? Can poor families afford the incidental costs?

Skills are dynamic, so link them to evolving industry requirements and recognise the need for **incentives and hand-holding.**

Trickle-down versus inclusive growth

	Trickle-down	Inclusive growth
Idea	Focus resources on high-growth sectors; let benefits reach the bottom	Broad-based growth that includes the bottom as **contributors**
Bottom's position	Passive recipient of benefits	Active contributor with a right claim
Role of government	Redistributes benefits (at its discretion)	Builds **capability** and provide **opportunity**
Weakness	Fails if any of four conditions fails; inequality becomes permanent	Takes effort on skills, institut credit and enterprise

READING NAMED IN THE HANDOUT

Students may refer to the **National Skill Development Programme, PMKVY** and the **Economic Survey 2025-26** discussion on skill development, health and education.

For opportunities, refer to **Jan Dhan Yojana, Mudra Yojana** and Economic Survey 2025-26 on support to industry.

Important note: the handout says it will return to inequality when it turns to different kinds of economies, and will discuss inclusive growth much more in later chapters. "This is just the beginning."

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: KUZNETS IS THEORY, LORENZ IS DATA

The handout says the Kuznets curve is not a data-based curve, only a theoretical expectation. The Lorenz curve is a data-based representation.

Rule: Kuznets = theoretical inverted U; Lorenz = built from data.

HANDOUT ALERT: TWO LORENZ EXAMPLES, TWO NUMBERS

The chart labels the bottom 80% as 50%, while the written example under the sketch says the bottom 80% have 40%.

Rule: do not quote numbers from these pictures; explain the method and the two extreme lines.

CONCEPT TRAP: GINIS DO NOT SIMPLY AVERAGE

State A at 0.3 and State B at 0.4 do not combine to 0.35. The Gini is not easily decomposable or additive.

Rule: never average Ginis; say the maths is complex.

CONCEPT TRAP: GINI BARELY SEES THE TAILS

A Rs 10,000 gift between middle-class people visibly moves the Gini, but a billionaire taking Rs 10,000 from a beggar barely does.

Rule: Gini is sensitive to the middle and nearly blind to the extremes.

CONCEPT TRAP: RULE OF LAW IS NOT JUST A LAW

It is a collective environment of institutions. The Competition Act, 2002 is only one aspect; how it is applied decides whether the rule of law exists.

Rule: law plus competent, unbiased institutions.

CONCEPT TRAP: TRICKLE-DOWN IS NOT ANTI-POOR

The handout calls it a pro-poor model. It fails when any of four conditions fails, and then inequalities become permanent.

Rule: not anti-poor, but it needs all four conditions.

Past-year questions

3 Prelims and 6 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

8 · Inclusive growth

3 Prelims · 6 Mains

Read the notes for this topic

PRELIMS

2014 Q213

The main objective of the 12th Five-Year Plan is:

a. inclusive growth and poverty reduction
b. inclusive and sustainable growth
c. sustainable and inclusive growth to reduce unemployment
d. faster, sustainable, and more inclusive growth

▶ Show answer

2012 Q283

Which of the following can be said to be essentially the parts of ‘Inclusive Governance’?

1. Permitting the Non-Banking Financial Companies to do banking
2. Establishing effective District Planning Committees in all the districts
3. Increasing the government spending on public health
4. Strengthening the Mid-day Meal Scheme

Select the correct answer using the code given below:

a. 1 and 2 only
b. 3 and 4 only
c. 2, 3 and 4 only
d. 1, 2, 3 and 4

▶ Show answer

2011 Q284

Which of the following can aid in furthering the Government’s objective of inclusive growth?

1. Promoting Self-Help Groups
2. Promoting Micro, Small and Medium Enterprises
3. Implementing the Right to Education Act

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2021 15 marks Infrastructure & Inclusive Growth

“Investment in infrastructure is essential for more rapid and inclusive economic growth. ”Discuss in the light of India’s experience

KEYWORDS inclusive growth infrastructure investment

2020 10 marks Intergenerational Equity

Explain intra-generational and inter-generational issues of equity from the perspective of inclusive growth and sustainable development.

KEYWORDS inclusive growth sustainable development equity

2019 15 marks Inclusive Growth & Sustainability

It is argued that the strategy of inclusive growth is intended to meet the objectives of inclusiveness and sustainability together. Comment on this statement.

KEYWORDS: inclusive growth | sustainability | inclusiveness

2017 15 marks Inclusive Growth Metrics

What are the salient features of 'inclusive growth'? Has India been experiencing such a growth process? Analyze and suggest measures for inclusive growth.

KEYWORDS: inclusive growth | poverty | inequality | salient features | measures

2016 12.5 marks Skill Deficit & Inclusive Growth

Comment on the challenges for inclusive growth which include careless and useless manpower in the Indian context. Suggest measures to be taken for facing these challenges.

KEYWORDS: inclusive growth | manpower | challenges | measures

2014 12.5 marks Capitalism vs Inclusive Growth

Capitalism has guided the world economy to unprecedented prosperity. However, it often encourages shortsightedness and contributes to wide disparities between the rich and the poor. In this light, would it be correct to believe and adopt capitalism driving inclusive growth in India? Discuss.

KEYWORDS: inclusive growth | rich and poor | trickle-down | redistribution | capitalism | disparities | shortsightedness

Timeline and numbers

2002 — Competition Act: the handout's example of a law that is only one part of the rule of law

2011-12 — Consumption-based Gini 28.8 (from the handout's summary in Chapter 1)

2022-23 — Consumption-based Gini 25.5

2023-24 — Median earnings of the top 10% are 13 times those of the bottom 10% ★

2025-26 — Economic Survey 2025-26: the handout's pointer for skills, health, education and support to industry

Connects to

Chapter 1: Poverty

Relative poverty reflects inequality; the PGI ignores inequality among the poor; the Gini fell from 28.8 to 25.5 (2011-12 to 2022-23) in the Chapter 1 summary.

Unemployment handout (next in your PDF)

Refers back to "our discussion on inclusive growth" and to the same schemes. The capability pillar (skills) and opportunity pillar (jobs) are the structure behind youth unemployment.

National Income Accounting handout

Covers the Inequality-adjusted HDI (IHDI), which discounts HDI for inequality in health, education and income: the Gini and Lorenz ideas at work in a development index.

Banking and NBFCs handout

Financial inclusion (PM Jan Dhan Yojana, 2014) is the "access to capital" requirement of the opportunity pillar.

Budget and Fiscal Policy handout

Redistribution, taxation and who should receive free foodgrains are the fiscal side of trickle-down conditions 2 to 4.

CURRENT AFFAIRS · OCTOBER 2026

- **World Bank brief: jobs, youth unemployment and wage gaps**: The same World Bank brief reports a large rise in employment, a rise in youth unemployment and sharp wage disparities.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Inequality = differences in attainment on aspects of well-being. Measured through consumption expenditure (most objective); wealth inequality is higher but less reliable.
2. Kuznets curve: theory, not data. Inequality rises, stabilises, then corrects as incomes rise. Phases A, B, C unequal.
3. Lorenz curve: data-based. Sort, group, find shares, plot cumulative. OP = equality line; QP (OQP) = perfect inequality.
4. Gini = A/(A+B); 0 to 1; up = more inequality.
5. Four Gini shortcomings: not decomposable; same Gini for different distributions (0.40 example); tails versus middle transfers; no demographic detail.
6. Causes: natural advantages (birth, place, comparative); Marx (capital versus labour, compounding); modern (survivorship bias, firm survival, market share); rule of law (fair versus unfair means, Competition Act 2002, good versus bad inequality).
7. Growth causes inequality by focusing resources; models try to keep growth with less inequality.
8. Trickle-down: four conditions (sector grows, tax efficiency, decision to redistribute, redistribution efficiency). Fails often; inequality becomes permanent.

9. Inclusive growth: capability (identify poor and regions, reasons, focused interventions, skills, health, education) and opportunity (jobs, entrepreneurship, EoDB, risk sharing, capital with financial inclusion).
10. Blank page: draw Lorenz with OP and QP, shade A and B, then write the four shortcomings.

ECONOMY · GS FOUNDATION · CHAPTER 3

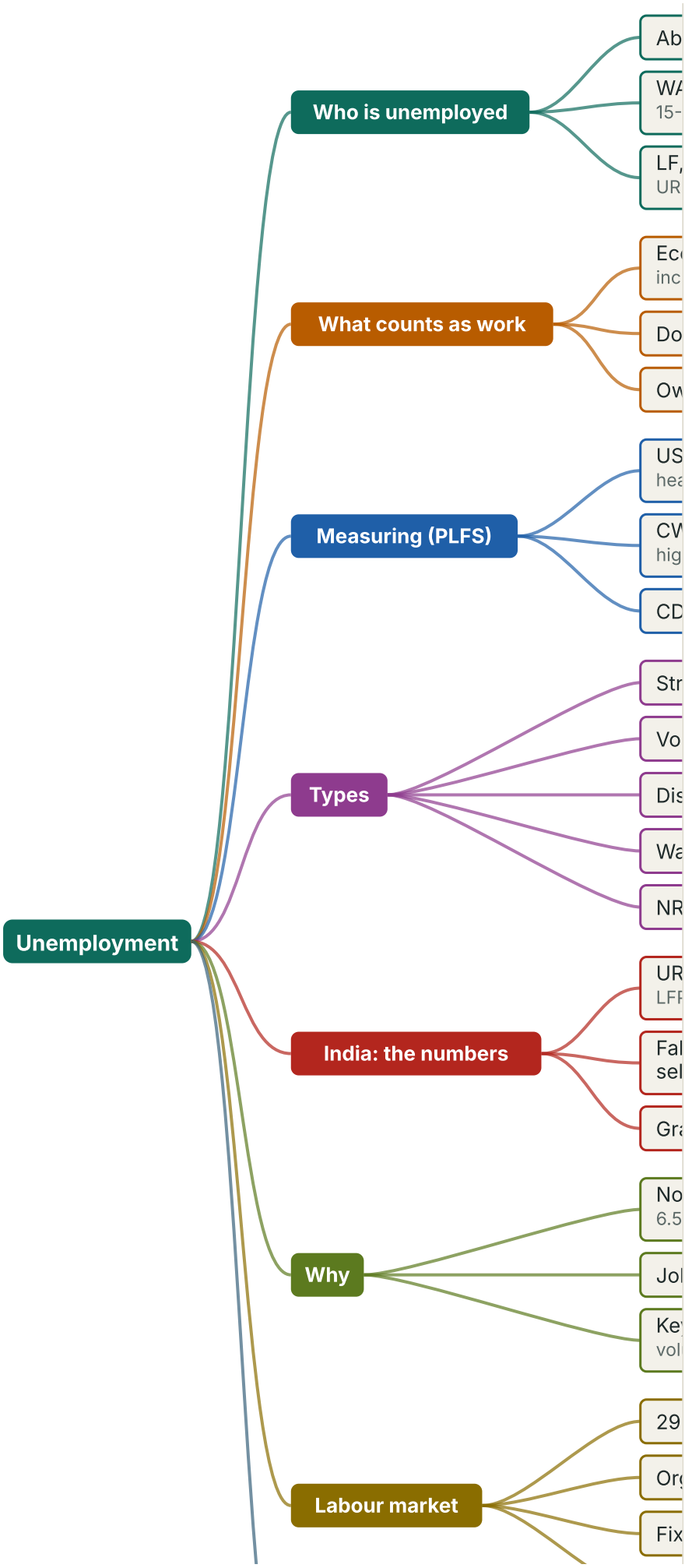
Unemployment: Measures, Types, Causes and Labour Market

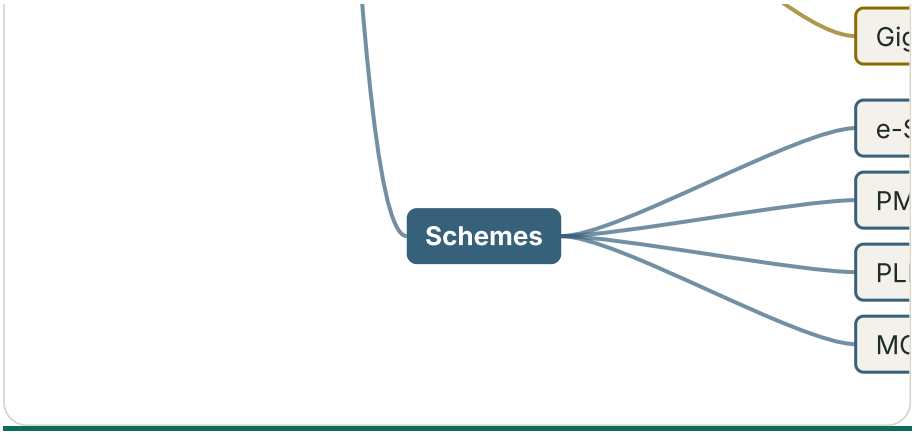
Handout only: no class slides | Handout pages 1-34 | 10 Prelims PYQs quoted | PYQ sheets: 12 Prelims · 8 Mains · High

Who counts as unemployed, the PLFS and its two approaches (usual status and current weekly status), the types of unemployment, how demand and supply explain wage-rate unemployment, India’s PLFS numbers and what hides behind them, jobless growth, the skill mismatch, labour laws, formal and informal work, the four Labour Codes, fixed-term employment and the schemes.

Chapter map

MY NOTES


Unemployment
Who is unemployed
Ab
WA
15-
LF,
UR
What counts as work
Ec
inc
Do
Ow
Measuring (PLFS)
US
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CW
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In simple words

IN SIMPLE WORDS

- An **unemployed** person is able and willing to work, is looking, and cannot find work. **UR = UE ÷ labour force**, not ÷ population.
- The **PLFS** counts in two ways. **Usual Status** uses one year (**183 days** for principal status, **30 days** for subsidiary) and the headline is **PS+SS**. **CWS** uses the last 7 days (**1 hour** of work) and usually gives a higher rate.
- Types: **structural, seasonal, frictional, voluntary, disguised** (marginal product zero), **wage-rate** and **cyclical**. **Underemployment** is counted as employed.
- India's UR fell from **6.0% to 3.2%** while LFPR rose to **60.1%** (2017-18 to 2023-24). But the fall came mostly from **agriculture and self-employment**.
- The handout's key cause is a **mismatch of aspirations and skills**, not low growth. Growth is about 6.5%, and employment growth still beats labour-force growth.
- **29 labour laws became 4 Codes.** Organised vs unorganised is about the **firm**; formal vs informal is about the **worker**. Fixed-term staff get gratuity after **1 year**.

Key terms in plain words

Key term	In plain words
Working Age Population (WAP)	People in the age group fit for economic activity: 15+ in PLFS, 64 for demographics.
Dependency Ratio	Dependents (0-14 and 65+) divided by people aged 15-64, tim 100.
Labour Force (LF)	People who are working or looking for work; employed plus unemployed.
LFPR	Labour force in a group as a share of the total population of th group.
Unemployment Rate (UR)	Unemployed divided by labour force (Emp + UE); a share of th labour force.
Worker Population Ratio (WPR)	Employed persons divided by total population.
Principal Status (PS)	In the labour force for 183 days or more; employed if working most of those days.

Key term	In plain words
Subsidiary Status (SS)	A person with at least 30 days of work in the year is employed SS.
UPSS	Usual Principal and Subsidiary Status; employed if a worker in either capacity. PS+SS is the headline rate.
Current Weekly Status (CWS)	Look at the last 7 days; one hour of work on any day counts a employed.
Disguised unemployment	Extra workers whose marginal product of labour is zero; recor as employed.
Underemployment	Employed, but the job does not use the person's skills or hour on offer.
Natural rate (NRU)	UR with no wage-rate and no cyclical unemployment; full employment, which is not zero.
Employment elasticity	% change in employment divided by % change in output.
Gig and platform workers	Treated as independent contractors by platforms; outside the employer-employee relationship.
Fixed-term employment	Direct hiring for a set period on a written contract, with parity wages and benefits.

Exam lens: priority and PYQs

SOURCE NOTE

This chapter comes from the handout only. No class slides and no teacher ink came with it. The handout ends with a **UPSC Prelims PYQs** section of **10 questions** (years quoted: 2011, 2012, 2013 twice, 2017, 2018 twice, 2020, 2021, 2022). **Mains PYQs: none quoted in the material.**

Priority here comes from the handout's own signals: the 10 PYQs, the "Crucial Prelims Fact" on gratuity, and the "do not memorise, just understand" note on NSSO definitions.

Prelims PYQs quoted in the handout (answers as printed in the handout)

Year	What was asked	Answer in handout	Trap / where covered
2022	Which body compiles information on industrial disputes, closures, retrenchments and layoffs in factories?	(c) Labour Bureau	Handout gives only th answer. The body is n discussed in the chap text
2021	Casual workers: EPF for all, regular hours and overtime for all, wages through bank account by notification	(b) 2 and 3 only	Word "all" in statemer and 2. Handout gives only the answer. Relat Section 8 (labour laws Code on Wages)

Year	What was asked	Answer in handout	Trap / where covered
2020	Post-1991: worker productivity, rural share of workforce, non-farm economy, rural employment growth	(b) 3 and 4 only	Handout gives only th answer. Related: Secti 6 (employment share agriculture)
2018	Rise in real GNP does not mean higher development if...	(c) poverty and unemployme nt increase	Links Chapter 1 and th chapter
2018	PM Kaushal Vikas Yojana: flagship of Ministry of Labour and Employment? soft skills, entrepreneurship, digital literacy? align the unregulated workforce to the NSQF?	(c) 2 and 3 only	Statement 1 is the trap Related: Section 9 (PMKVY)
2017	National Career Services: initiative of DoPT? launched in mission mode for uneducated youth?	(d) Neither 1 nor 2	Handout gives only th answer. Not in the chapter text
2013	Disguised unemployment generally means...	(c) marginal productivity of labour is zero	**Direct hit:** Section 4, disguised UE
2013	Economic growth in country X will necessarily occur if...	(c) there is capital formation in X	Handout gives only th answer. Not discusse the chapter text
2012	How does the National Rural Livelihood Mission seek to improve livelihoods of the rural poor?	(b) 2 only (strengtheni ng SHGs and skill development)	Not in the chapter tex Statement 3 (free inpu is the trap
2011	Who is eligible for MGNREGA?	(d) Adult members of any household	Section 9 says it guarantees 100 days t rural households that demand unskilled mar work

HOW THE YEARS WERE COUNTED

The list above is the ten questions printed in the handout. The years are "years quoted": 2013 and 2018 each appear twice. Only 2013 (disguised UE), 2018 (PMKVY) and the schemes sit squarely inside the chapter text. Several PYQs (Labour Bureau, NCS, NRLM, capital formation) are quoted **without any explanation** in this handout, so their answers are carried from the handout and not explained.

WHAT TO PREPARE

Prelims hooks: the definition set (WAP, dependents, dependency ratio, labour force, LFPR, UR, WPR); working age 15-64 versus 15+; US (PS+SS) versus CWS and which gives the higher rate; PS 183 days, SS 30 days, CWS 1 hour in 7 days; the types of unemployment (above all disguised UE with MPL zero); floor, minimum,

fair and living wage order; NRU and NAIRU; employment elasticity; organised versus unorganised and formal versus informal; the four Labour Codes; fixed-term employment and gratuity after 1 year; the schemes and their problems.

Mains hooks: why UR is falling but not for the right reasons; jobless growth versus the numbers; skill mismatch and the youth-education paradox; informalisation and the compliance burden; productivity versus employment as a false choice; gig workers and the new codes.

Closing idea: India's problem is not too little growth or too few jobs. It is a mismatch between aspirations and skills, and a labour market split between protected and unprotected workers.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 12 Prelims and 8 Mains questions map to this chapter.

Most-asked topics: Nature of employment: labour laws, formal and informal work (6 Prelims, 2 Mains); Schemes: the problem each one fixes (3 Prelims, 1 Mains); Why is there unemployment in India? Low growth, jobless growth, or skills? (0 Prelims, 3 Mains).

Prelims years: 2011, 2012, 2013, 2017, 2018, 2019, 2021, 2022, 2024. Mains years: 2014, 2015, 2016, 2022, 2023, 2024.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · Who is unemployed? The demographic divisions

PYQs for this topic: 2 Prelims · 0 Mains

The standard definition: **unemployment is "a situation where someone who is able as well as willing to work, is unable to find work".** The handout quotes Mankiw, Samuelson-Nordhaus and Blanchard: the unemployed have no job, are available for work and have actively looked for work in the previous four weeks. "Not working" is a large set; "unemployed" is a **subset** of it, because the grandparent, the young child or the homemaker who is not looking is not unemployed.

The main source for Indian definitions is the **Periodic Labour Force Survey (PLFS)** of the NSSO. The RBI and the Ministry of Labour generally align with it; the **ILO** sets the global standard.

The building blocks

Term	Meaning in the handout
Working Age Population	People in the age group considered fit for economic activity. In India (NSSO/PLFS) this is typically **15 years and above**. The ILO often use

Term	Meaning in the handout
(WAP)	**15-64**
Dependents	Those not in the WAP: **children (0-14)** and, in many contexts, **senio citizens (65+)**. The word is reserved for the non-working-age population
Dependency Ratio (DR)	Dependents ÷ people of working age × 100. DR = [Population (0-14) Population (65+)] ÷ Population (15-64) × 100
Labour Force (LF)	People who are **working or looking for work**: both able and willing. Splits into the employed and the unemployed
Not in Labour Force	Unable or unwilling to work: students, rentiers, the disabled, those i domestic duties
Able to work	Physical and mental capacity. Age is only a filter applied later
Willing to work	A genuine effort: the **active search** criterion (applying for jobs, registering at exchanges) in the reference period
LFPR	Labour force in a cohort ÷ total population of the cohort × 100. Can crude (whole population), 15+ (the commonly reported one) or for a specific group such as married women aged 21-30
Unemployment rate (UR)	**n(UE) ÷ n(LF)**, and n(LF) = n(Emp) + n(UE). So UR = UE ÷ (Emp + U It is a share of the labour force, **not** of the population
Worker Population Ratio (WPR)	Employed persons ÷ total population. Expressed per 1000 persons

HANDOUT STRESS: WHICH WORKING AGE?

The handout spends a page on one exam trap: the **working age.** If the question is about **demographics** (demographic dividend, population pyramids, dependency ratio) the answer is **15-64**, because at 65 people are globally classified as elderly dependents.

If the question is about **India's NSSO/PLFS metrics** (LFPR, UR, WPR) the answer is **15 years and above**, because India's informal sector lacks universal social security and a 70-year-old farmer cannot afford to retire. The handout says the first reading is "not wrong"; the second "becomes more right" in this context.

HANDOUT ALERT: FORMULA WORDING

The handout writes the dependency ratio's denominator as "people in the working age" and then as 15-64 in the formula, while its PLFS tables use 15+. **Rule for the exam hall:** DR uses 15-64; LFPR, UR and WPR as reported by the PLFS use 15+.

2 · What counts as employment

PYQs for this topic: 0 Prelims · 1 Mains

Employment is **not just a 9-to-5 job.** The NSSO defines it through **economic activities**, using the System of National Accounts (SNA) boundary (SNA is covered in the National Income Accounting handout). A salary is not mandatory.

- **Self-employment:** own-account workers (a street vendor, a consultant) and employers.
- **Unpaid family helpers:** a child helping in a parent's kirana store counts as employed even without cash.
- **Casual labour:** daily-wage work in construction or agriculture.
- **Regular salaried:** employees with a contract and monthly pay.
- **Remuneration can be in kind** (food, clothing, a place to stay), **in assets** (shares or equity), or **exchange labour** (two farmers working each other's fields).

Economic or not?

Activity	Employed?	Why
Running a business for profit	Yes	Economic activity for profit
Working in a family shop (unpaid)	Yes	Contributing to a family economic enterprise
Farming for own consumption	Yes	Production of goods for self-consumption (ins the SNA boundary)
Domestic work for own family	No	Non-economic, non-market activity
Paid domestic work for others	Yes	Market activity for remuneration
Volunteer work for an NGO	No	Usually excluded: no remuneration or profit int

NSSO wording (the handout says understand, do not memorise). Workers: persons engaged in any economic activity, or who despite attachment to it abstained for illness, injury, disability, bad weather, festivals or other contingencies. Unemployed: persons who, owing to lack of work, had not worked but sought work (exchanges, intermediaries, friends or relatives, applications) or expressed willingness or availability for work. "Able to work" is purely physical and mental capacity: the NSSO has a code (**Code 95**) for those not able to work owing to disability and does not use age. A 13-year-old working at a tea stall is counted as employed in the raw data.

3 · Measuring unemployment: PLFS, US and CWS

PYQs for this topic: 0 Prelims · 1 Mains

The NSSO measures unemployment through the **PLFS.** Earlier it used the **EUS** (Employment-Unemployment Survey), carried out about once in 5 years. The PLFS has a larger sample, higher frequency and better technology: an **annual** survey where sampled households are **visited once every month**. Field investigators ask how household members spent their time over set reference periods, and each person is classified into one of three statuses: **Working, Seeking/Available for work, Not in labour force.**

How the PLFS arrives at the unemployment rate (same logic as poverty: standard, sample, information, application)

1 · Lay down two standards
One to decide whether a person is in the LF; one to decide, if in LF, whether working

↓

2 · Take a representative sample
Collect data relevant to the standards

↓

3 · Apply the standards
Status A: neither working nor looking (not in LF). Status B: working (employed). Status C: not working (unemployed)

↓

4 · Compute UR
n(status = UE) ÷ [n(status = Emp) + n(status = UE)]

An "approach" is simply a standard. As with poverty, a person can be "working" on one approach and not even in the LF on the other. The PLFS uses two.

Usual Status (US) versus Current Weekly Status (CWS)

Point	Usual Status (US)	Current Weekly Status (CWS)
Reference period	One year (365 days)	The 7 days before the survey
Criterion	**Majority time**: what was the person doing for most of the period	**Priority**: Working beats Unemploy beats Not in LF
In LF if	Working or seeking work for the majority of the year (**≥ 183 days**) = Principal Status (PS)	Worked or was available for work any point in the 7 days
Working if	PS: worked the majority of the days in the LF. SS: worked at least **30 days** in the year	Worked for **at least 1 hour on any day** in the week
Unemployed if	In LF but did not work for the majority of LF days (PS); and on SS, did not work even 30 days	Did not work even an hour but wa seeking or available for work for a least 1 hour on any day
What it captures	Chronic or long-term (structural) picture; smooths seasonal bumps	Short-term fluctuations and underemployment; closer to ILO standards; reacts quickly to shoc
Which UR is higher?	Generally lower	**Generally higher.** Short recall ma answers accurate and captures seasonality

Principal and Subsidiary status in detail

- **PS (Principal Status):** in the LF if working or seeking for ≥ 183 days. Then "employed" if work was found for the majority of the days in the LF. Example: LF for 200 days and work for 120 days gives employed.
- **SS (Subsidiary Status):** a person who is principally unemployed but found work for at least 30 days is **employed on SS.** Anyone with work for at least 30 days in the year is employed on SS basis. Unemployed on both PS and SS means not even 30 days of work.
- **UPSS** (Usual Principal and Subsidiary Status) merges both: a person is employed if a worker in either capacity. This deliberately captures invisible labour, for example millions of women whose principal status is domestic duties but who spend about 40 harvest days in farm labour.

The handout's four-person example

Person	Days working	Days looking	Total LF days	In LF (≥ 183)	PS employed	SS employe
A	150	0	150	No (not in LF)	-	Yes (≥ 3(days)
B	110	90	200	Yes	Yes (110 ≥ 100)	Yes
C	140	160	300	Yes	No (140 < 150)	Yes
D	25	275	300	Yes	No	No (25 <

WORKED EXAMPLE FROM THE HANDOUT (POPULATION 1000)

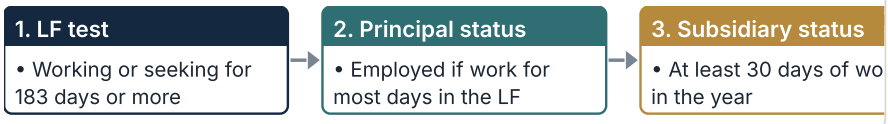
Not in LF = 200; LF = 800. Principal status: employed 600, unemployed 200. Of the 200 principally unemployed, subsidiary status: employed 150, unemployed 50.

UR (PS) = 200 ÷ 800 = 25% and **UR (PS+SS) = 50 ÷ 800 = 6.25%.** The handout calls **UR (PS+SS) the headline rate**: the one the government uses and quotes without naming the approach, because those with no work even for 30 days are the chronically unemployed and the priority.

READING THE TABLE

Person A (150 working days, none spent looking) is **not in the LF** on the principal-status test (150 < 183) but is still counted as **employed on subsidiary status**, because the work was at least 30 days. This is exactly why UPSS merges the two. **Rule for the exam hall:** first the LF test (≥ 183 days), then PS, then SS.

USAL STATUS: THE ORDER OF TESTS



CDS DROPPED

> Up to 2012 the EUS also used the **Current Daily Status (CDS)** approach, which measured underemployment by the time worked on each day of the last week. It was dropped in the PLFS because the data now come far more frequently, from a larger sample and with monthly visits.

4 · Types of unemployment

PYQs for this topic: 1 Prelims · 0 Mains

The types at a glance

Type	What it is	Handout's example or ca
Structural	Joblessness from a fundamental **mismatch** between skills workers have and skills employers demand, or between worker and job location. Long-term and dangerous: workers are "immobile" from the old structure to the new	Agriculture to industry; ne technology; automation displaces low-skilled facto labour while AI developers are scarce
Seasonal	Predictable drops in labour demand at specific times of year	Agriculture outside harves tourism off-season; construction in the rains
Frictional	The "search time" to match worker and job under imperfect information. A certain level is healthy. Job portals have reduced it	Quitting one job and not y finding another; fresh graduates entering the workforce
Voluntary	In the LF, offered a job, but chooses not to accept it, and so counted as unemployed	Below one's dignity; skills higher than required; unacceptable terms (timin location, wages); lucrative unemployment benefits
Underemployment (*employment*, not unemployment)	Officially employed but the job does not use skills, education or hours on offer. **Invisible:** over-qualified, over-skilled. **Visible:** wants longer hours	PhD holders applying for peon or sweeper posts; 3 hours of work in an 8-hou day (the old CDS test)
Disguised	More workers than needed; the extra workers add **no output.** Their **marginal product of labour (MPL) is zero** (or negative). Recorded as employed, so the reality is hidden	A 2-acre family farm that needs 2 people but has 5 brothers: output stays 100 quintals, so the 3rd, 4th a 5th brother have MPL zero hallmark of Indian agricult
Wage-rate (classical)	Wages stay **above equilibrium** and cannot fall, so labour supply exceeds demand permanently	Minimum wages fixed abo equilibrium by law; strong unions bargaining wages
Cyclical (Keynesian)	Extra unemployment above the natural rate because growth is slower than expected (a downturn in the business cycle)	Falls when aggregate demand grows fast; rises when it slows

HANDOUT STRESS: MARGINAL PRODUCT

Marginal product of the (n+1)th worker = output with n+1 workers minus output with n workers. If n workers produce x and n+1 produce x + y, the marginal output is y. Disguised unemployment is where y = 0. This is the 2013 PYQ.

HANDOUT ALERT: UNDEREMPLOYMENT IS NOT UNEMPLOYMENT

The handout flags the word: it is **employment**, not unemployment. An underemployed person's working status remains **employed. Rule for the exam hall:** underemployment and disguised unemployment both sit inside "employed" in the statistics.

5 · Demand, supply and the market (needed for wage-rate unemployment)

The handout inserts the basics of markets here so that wage-rate unemployment can be understood.

- **Demand** exists only when there is both **ability** and **willingness.** Quantity demanded (QD) is what is actually asked for. Factors: price, income, taste, culture, geography (season), population size, substitutes.
- **Law of demand** (ceteris paribus): QD varies **inversely** with price. If another factor changes, the curve **shifts**.
- **Supply** needs both ability and willingness. Quantity supplied is what **is being** produced. Factors: price, profitability, raw materials, labour, capital, ease of doing business and policy, investment (especially R&D), infrastructure.
- **Law of supply** (ceteris paribus): quantity supplied varies **directly** with price.
- **Price takers.** Producers and consumers take the price the market offers. Under perfect competition (identical goods, no entry or exit barriers) no one can set a price. In real markets competition is imperfect and producers have limited pricing power. **Only in a monopoly are producers price setters.**
- **A market is a place of exchange of information** and so of rationalising expectations, not merely a place.

How a market reaches equilibrium (as the handout explains it)

Start: some random price P1

At P1, quantity supplied is greater than quantity demanded: **excess supply**

↓

Sellers fear unsold stock

They cut prices: downward pressure. New buyers enter (QD rises), some sellers exit (QS falls)

↓

Price adjusts to P0

QS = QD. No excess supply, no downward pressure

↓

If the start price was P2 (below P0)

QD > QS: **excess demand.** Buyers bid prices up until QS = QD at P0

↓

Equilibrium price and market clearance

At P0 everyone who came to sell has sold and everyone who came to buy has bought. Equilibrium is rarely seen because factors keep changing; the price is always adjusting towards it

The labour market works the same way. Firms demand labour; the labour force supplies it. **Demand for labour (DL) ∝ 1 ÷ wages** (high wages, fewer workers wanted); **supply of labour (SL) ∝ wages** (high wages, more people willing to work). Factors for DL: wages, price of substitutes such as machines, skill, number of firms, willingness to hire given complex laws. Factors for SL: wages, terms and conditions, education and skill level of the population. If wages above equilibrium cannot adjust downwards, there is permanent excess supply: **wage-rate unemployment.**

6 · Four kinds of wage, and cyclical unemployment

Types of wages

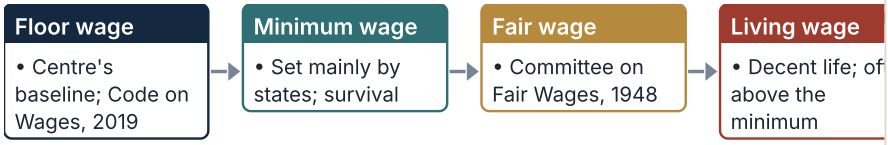
Wage	What it is	Focus
Floor wage	A **central baseline** set by the Union Government (Code on Wages, 2019). States cannot set minimum wages lower than it, which prevents a race to the bottom	Absolute national bottom
Minimum wage	The lowest legal pay for a category of work. **State governments** primarily set it, so a factory worker in Haryana may have a different one from Bihar. Designed to prevent extreme exploitation	Survival
Fair wage	Between the minimum and the living wage; capped by what the industry can afford. Formalised by the **Committee on Fair Wages (1948).** Depends on prevailing area rates, productivity and profitability	Industry capacity to pay and worker's willingness
Living wage	A **normative** wage for a decent standard of living: nutrition, housing, healthcare, children's education, transport, savings.	Decent life dignity

Wage	What it is	Focus
	Ignores whether the employer can afford it. Almost always above the statutory minimum	

ORDER TO REMEMBER

Floor wage ≤ Minimum wage ≤ Fair wage ≤ Living wage.

THE WAGE LADDER



Cyclical (Keynesian) unemployment

- A firm hires because it **needs** workers, and that depends on the demand for the goods it expects to sell. At the economy level, demand for workers is **derived from aggregate demand (AD).**
- **UR falls only when employment growth is faster than labour-force growth.** Example: LF 100 (80 employed, 20 unemployed, UR 20%). LF rises 10% to 110 and employment rises 5% to 84. Unemployed = 26 and UR = 26 ÷ 110 = 23.6%, higher than 20%, even though jobs rose.
- Growth is **cyclical** (booms and recessions) and unemployment moves inversely. If growth is slower than an economist expected, the extra UR is **cyclical.**

Natural rate of unemployment (NRU) and NAIRU

- **NRU:** the UR when wages are at equilibrium (zero wage-rate UE) and the cycle is neutral (zero cyclical UE). **NRU = frictional + structural + seasonal + voluntary UE.** At the NRU the economy is at **full employment** (which is **not** zero unemployment) and producing at **potential GDP.**
- **NAIRU** (Non-Accelerating Inflation Rate of Unemployment): comes from the Phillips Curve (covered in the Inflation chapter). If UR is pushed below it by printing money or heavy deficit spending, the labour market tightens, wages are bid up, a **wage-price spiral** starts and inflation accelerates.
- The actual UR can be counted. **NRU and potential GDP cannot be measured; they are estimated** and depend on the model. Example: UR is 8%. Economist A says NRU is 5% so cyclical UE is 3%; Economist B says NRU is 7% so cyclical UE is 1%.

7 · Unemployment in India: the PLFS numbers

India's UR is measured by the PLFS, carried out every year since **2017.** It gives both US (PS+SS) and CWS rates; the CWS numbers are now released **monthly** for rural and urban

areas. The survey period was July-June and has now changed to the **calendar year (Jan-Dec).**

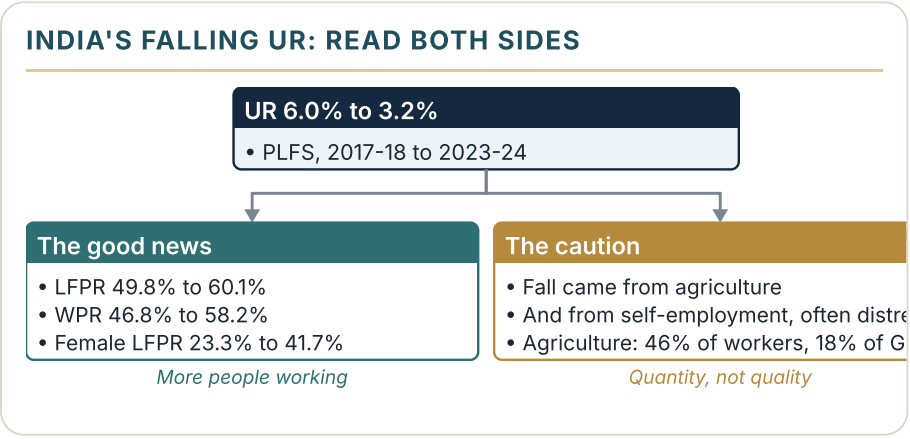
PLFS (usual status, age 15+)

Survey (July-June)	UR	LFPR (overall)	Female LFPR
2017-18	6.0%	49.8%	23.3%
2018-19	5.8%	50.2%	24.5%
2019-20	4.8%	53.5%	30.0%
2020-21	4.2%	54.9%	32.5%
2021-22	4.1%	55.2%	32.8%
2022-23	3.2%	57.9%	37.0%
2023-24	3.2%	60.1%	41.7%

Then and now

Indicator	2017-18	2023-24	Trend
LFPR	49.8%	60.1%	Rising
WPR	46.8%	58.2%	Rising
UR	6.0%	3.2%	Falling

The handout calls this "outstanding": a falling UR **with** a rising LFPR. Then it asks what is behind the numbers.



Critical analysis of the trends

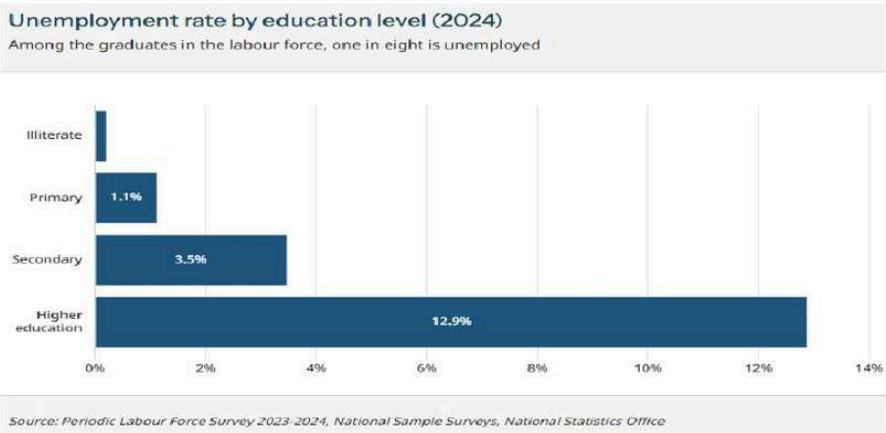
- **LFPR is still low.** Handout comparators: Vietnam ~68.5%, China ~66.5%, South Korea ~63.5%, Japan ~63.2%, United States ~62.5%, Bangladesh ~61.9%. India crossed 60% for the first time in 2023-24.
- **The UR decline is not entirely desirable.** Between PLFS rounds 2 to 3 and 3 to 4 almost the whole fall came from (a) more **agricultural jobs** and (b) more **self-employment.**
- **Agriculture** already has disguised UE and underemployment and the lowest productivity, so a net rise in agricultural jobs is undesirable for a country wanting the demographic dividend.

- **Self-employment** is generally more productive and remunerative, but leaves workers vulnerable to shocks without safety nets, and much of it is **distress employment.**

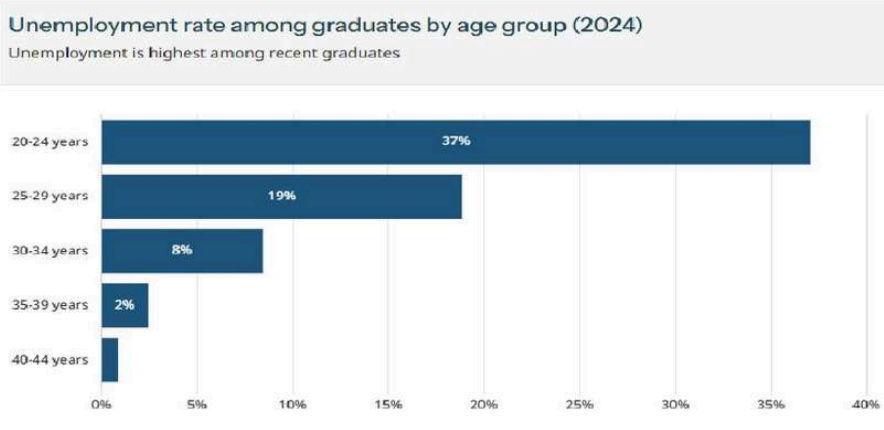
Sector productivity (the handout's table)

Sector	Share in GDP (₹)	Share in employment (workers)	Relative productivity (GDP ÷ employment)
Agriculture	18	46	₹0.39 per worker
Industry	28	25	₹1.12 per worker
Services	54	29	₹1.86 per worker

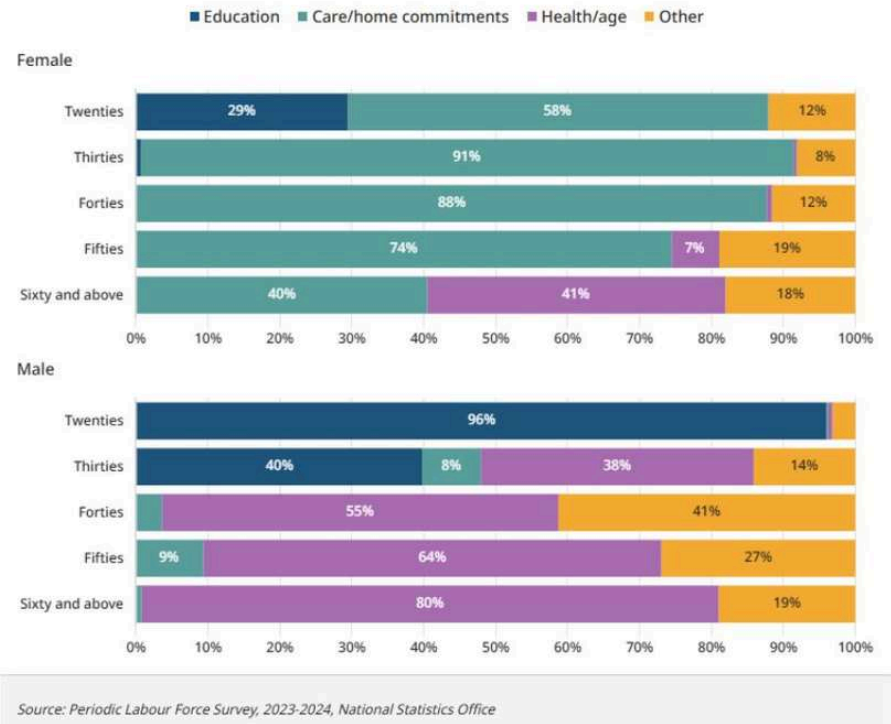
Context. Agriculture's employment share was about **75% at independence,** fell below 50% around **2012,** reached about **44% before Covid,** and rose to about **46% by PLFS round 5** because only agriculture could absorb the laid-off. The last two surveys show it declining again. Self-employment has risen continuously and Covid only accelerated it. Firms prefer contractual workers (no compliance burden, flexible size), and a growing proportion of workers prefer self-employment for quicker earnings. The handout calls it "a low-income country with first world problems" and says the focus should be on reducing vulnerability and building skills.



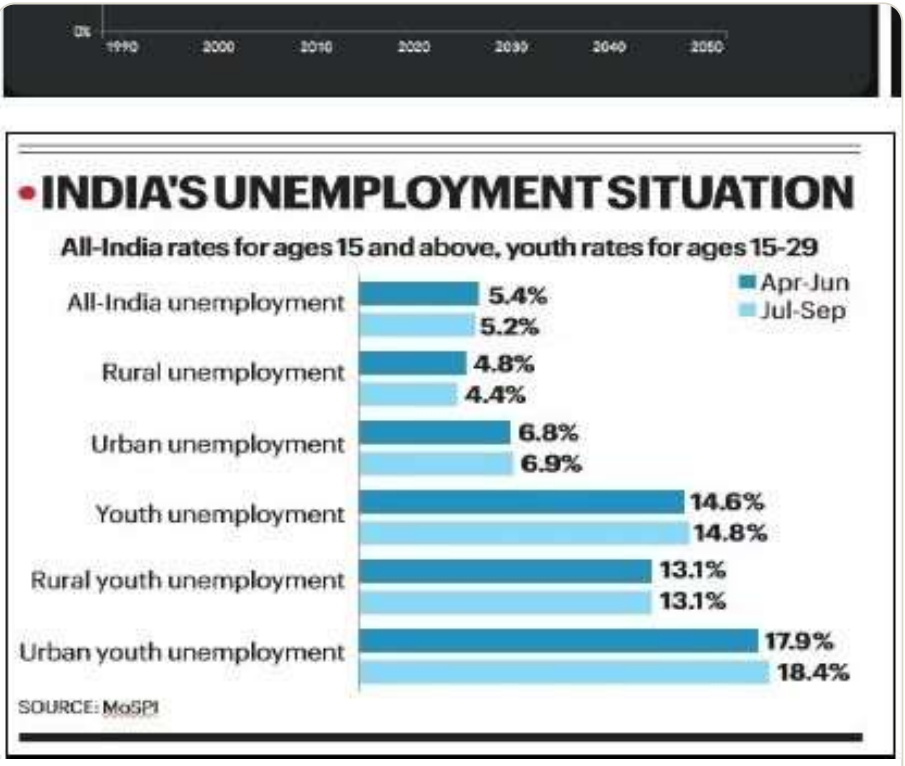
HANDOUT FIGURE Unemployment rate by education level (2024): illiterate close to nil, primary 1.1%, secondary 3.5%, higher more



HANDOUT FIGURE Unemployment rate among graduates by age group (2024): 20-24 years 37%, 25-29 years 19%, 30-34 y more



HANDOUT FIGURE Graduates outside the labour force, by reason, gender and age (2024). Women: care and home commitmer **more**



HANDOUT FIGURE India's unemployment situation (all-India, age 15+ and youth 15-29), Apr-Jun and Jul-Sep: all-India 5.4% a **more**

HANDOUT ALERT: READING THE CHART NUMBERS

The last figure is a newspaper-style graphic reproduced in the handout with small print. The quarter labels (Apr-Jun, Jul-Sep) and the values above are read from the picture. **Rule for the exam hall:** use the trend (youth and urban youth are far higher than the all-India rate), not the decimal points.

8 · Why is there unemployment in India? Low growth, jobless growth, or skills?

PYQs for this topic: 0 Prelims · 3 Mains

1 · Is our growth "low"?

Post-1990s average growth is about **6.5%**, faster than the world average (**3.5%**) and the developing-country average (**~4.5%**). A plain "low growth" argument does not hold for most of the post-2000s.

2 · Jobless growth?

Employment elasticity (ε) = % change in employment ÷ % change in output. If output grows 10% and employment 6%, ε = 0.6: **60% of growth comes from more workers and 40% from higher productivity.** Falling ε means growth is attributed more to productivity. Between **2004-09,** the fastest-growth period, ε fell to **about 0.01**; economists called this "jobless growth."

HANDOUT'S CRITIQUE OF "JOBLESS"

A falling elasticity should push UR up, but long-term UR (ILO data) has not risen. The reason: **employment growth, though falling, is still faster than labour-force growth.**

So "jobless" is "misleading or at least too harsh".

Three periods (handout figures)

Period	Labour force growth	Employment growth	Reading
Sluggish decade 2000-01 to 2011-12	~1.8%	~1.5-1.6%	LF faster than jobs: rising UE. 2004-2010 employment growth near 0%
Lost and found 2011-12 to 2020-21	~1.3% (volatile)	~1.2%	Workforce stagnated or shrank to 2017 as wor left the LF (female LFPR ~23%); 2017-21 distre pulled women back as unpaid agricultural help
Surge 2017-18 to 2023-24	~4.5%	~5.0%	WPR 46.8% to 58.2%; workforce up ~36%, ab **170 million jobs** in 7 years; UR falls to 3.2%

HANDOUT ALERT: THE "SURGE" AND THE DATA

The handout says the surge appears "as soon as we start collecting data in a better manner" (the PLFS captures the informal sector better). Part of the surge is therefore better counting and, as Section 7 shows, much of it is agriculture and self-employment. **Rule for the exam hall:** quote the surge together with its quality caveat.

Productivity versus employment: a false choice

- **Cannot be inefficient:** if Indian firms avoid technology to save jobs, China or Vietnam will undercut them, the firm may go bankrupt and everyone loses their job.
- **The goal is decent jobs, not just more jobs.** (Hire a million people to dig holes with spoons and another million to fill them in: 0% UE, but poor.) A high wage needs a highly productive worker.
- **Falling elasticity is not always bad:** one skilled worker may produce what ten once did. It is bad only if total jobs do not absorb new entrants.
- The answer is "to skill our youth so they can run the machines", not to break them.

3 · The key reason: aspirations and skills do not match

- The handout's conclusion: not lack of growth or jobs, but a mismatch between **aspirations and skills** versus the jobs. That is **voluntary and structural unemployment.**
- **Voluntary:** the job matching the worker's skill exists but fails the worker's aspiration. **Structural:** the aspired job exists but the worker lacks the skill; the job stays vacant.
- **Youth-education paradox:** as education rises, wage and status expectations rise. The young, educated and non-poor can afford the "luxury of unemployment". **Unemployment is a luxury only the non-poor can afford; the poor are too poor to be unemployed.** With age the buffer runs out: they accept lower-skilled work or drop out of the LF (**hidden unemployment**).
- **India Skills Report** (Wheebox with CII, AICTE and AIU; the WNET test): graduate employability hovers around **50% to 55%** (ISR 2024/2025).
- Graduate UR is estimated at **13%**, close to nil for those with no education. The LFPR of women with diplomas/certificates is about **55%** versus about **89%** for men. Youth (15-29) urban UR stays high while older groups collapse to near zero.
- The remedy: **skills and vocational training,** plus better wages in lower-skilled jobs.

HANDOUT ALERT: TWO UR NUMBERS FOR GRADUATES

The text says graduate UR is "estimated at 13 percent"; the chart in Section 7 prints **12.9%** for higher education (2024). They are the same estimate, rounded. **Rule for the exam hall:** write "about 13%".

9 · Nature of employment: labour laws, formal and informal work

PYQs for this topic: 6 Prelims · 2 Mains

Labour laws govern the employer-employee relationship (who is a worker, leave, safety, misconduct, night shifts for women). The pre-2020 laws the handout lists:

Key pre-2020 labour laws

Year	Act	What it does
1926	Trade Unions Act	Registration, rights and regulation of trade unions for collective bargaining
1936	Payment of Wages Act	Wages on time; no arbitrary deductions
1947	Industrial Disputes Act	Employer-union relations: strikes, lockouts layoffs, retrenchment
1948	Minimum Wages Act	Government fixes minimum wages for scheduled occupations
1948	Factories Act	Safety, health and welfare in factories (hou ventilation, hazardous work)
1952	Employees' Provident Funds and Miscellaneous Provisions Act	Compulsory employer and employee contributions: retirement corpus, pension, insurance
1961	Maternity Benefit Act	Paid maternity leave (currently 26 weeks); firing for pregnancy
1970	Contract Labour (Regulation and Abolition) Act	Conditions of contract labour; can abolish certain core industries

Till 2019 India had **over 40 central and over 100 state labour laws.** Compliance was costly ("Inspector Raj"). A small firm stays off the radar and risks non-compliance; as it grows, its compliance cost rises exponentially. So it hires **indirectly** (for example security guards through a contractor). Law makes no distinction between workers: **the formal/informal split is an artificial distinction created by firms** to cut compliance cost. Ways to formalise: PF contributions, tax deducted at source, a formal contract.

Two different classifications (NCEUS or Arjun Sengupta Committee)

	Organised vs unorganised	Formal vs informal
Looks at	The **enterprise** (ignores the workers)	The **worker's** contract and benefits (ignores firm size)
Organised / formal	Registered, incorporated, bound by formal accounting and labour laws; government, registered bodies, private firms with 10+ workers (with power) or 20+ (without)	Written contract, paid leave and abov all **social security** (PF, ESIC, pension maternity) paid by the employer
Unorganised / informal	"All unincorporated private enterprises owned by individuals or households...on a proprietary	Workers in unorganised enterprises households, excluding regular worke with social security, **and** workers in t

	Organised vs unorganised	Formal vs informal
	or partnership basis and with **less than ten** total workers"	formal sector without employment ar social security benefits from employe

Four boxes

	Formal worker	Informal worker
Organised enterprise	Software engineer at Infosys; government bank manager	**Informalisation of the formal sector:** a contract guard or cleaner at a big IT park or factory, hire through a contractor (no PF, leave or job securit
Unorganise d enterprise	Statistically almost non-existent	Farm labourer, street vendor, assistant at a tiny bakery. About **80%+** of India's workforce

- **Gig and platform workers** (defined in the NITI Aayog report "India's Booming Gig and Platform Economy"): treated as "independent contractors" or "partners" by platforms (Uber, Swiggy, Urban Company), outside the employer-employee relationship, with no social security.
- **Contractual employment** is the bridge between the organised sector and informal labour: hired for a period or task, often through a third-party agency. NITI Aayog points out that rigid laws (hard to fire permanent staff) pushed the organised sector towards contract workers.

The solution: four Labour Codes (2019-2020)

The government amalgamated **29 central labour laws into four codes:**

The four Labour Codes

Code	Main point in the handout
Code on Wages, 2019	Universalises minimum wages and timely payment, including the unorganised sector
Code on Social Security, 2020	First legal framework for social security funds for gi platform and unorganised workers. Gratuity after **1 y** for fixed-term employees
Occupational Safety, Health and Working Conditions Code, 2020	Streamlines safety rules; heavily regulates the use o contract labour
Industrial Relations Code, 2020	Simplifies dispute resolution and gives firms somew more hiring and firing flexibility

MEMORY AID · THE FOUR LABOUR CODES

W **I** **S** **H**

It is the worker's WISH list: pay, protection, safety and fair dispute rules in four Codes.

W Wages: Code on Wages, 2019

I Industrial Relations Code, 2020

S Social Security: Code on Social Security, 2020

H Health and safety: Occupational Safety, Health and Working Conditions Code, 2020

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

Fixed-term employment (FTE)

- Direct hiring for a **pre-determined period** on a written contract; it ends automatically unless renewed. Introduced across all sectors to fix the exploitation of contract workers hired through agencies.
- **Parity with permanent workers:** same working hours, wages, allowances and statutory benefits (EPF, ESIC).
- **Gratuity (crucial Prelims fact):** a permanent employee needs **5 years** of continuous service, a fixed-term employee becomes eligible after **1 year** under the Code on Social Security, 2020.
- **What they lack:** long-term job security. Expiry is **not retrenchment,** so no notice and no retrenchment compensation.
- **Superior to contract workers:** on the principal employer's direct payroll, no middleman cut, social security guaranteed, cannot be paid less for the same work.
- In the handout's words, FTE gives the worker the **social security of a formal job** and the employer the **hiring flexibility of an informal job.**

10 · Schemes: the problem each one fixes

PYQs for this topic: 3 Prelims · 1 Mains

Problem and fix (the handout's summary)

Problem	Fix
Employer compliance burden	Shram Suvidha
Unorganised worker vulnerability	e-Shram and PM-SYM
Structural skill mismatch	PMKVY (Skill India)
Lack of formal jobs (jobless growth)	PLI and ELI schemes
Rural distress and cyclical shocks	MGNREGA

The schemes in detail

Scheme	What the handout says
e-Shram portal (2021)	First **National Database of Unorganised Workers.** Gives a **Univers Account Number (UAN)**. Lets the government transfer cash or foo vulnerable workers in a shock
PM Shram Yogi Maan-dhan	Voluntary, contributory **pension** for unorganised workers earning **under ₹15,000 a month.** Worker pays e.g. ₹55-200 a month, the

Scheme	What the handout says
(PM-SYM)	government **matches** it, pension **₹3,000 a month after age 60**
Shram Suvidha portal	Employer side: a **Labour Identification Number (LIN),** single consolidated online returns, **randomly assigned inspectors** by computer (removes bribery and bias). Cuts compliance cost so firm hire formally
PMKVY / Skill India	Flagship for the skill mismatch: short-term, industry-relevant trainin for dropouts and unemployed youth. **Recognition of Prior Learning (RPL)** certifies existing skills (a traditional carpenter) so workers ca bargain for better wages
PLI scheme	Subsidies to companies **only if** they meet domestic production targ Drives derived demand for semi-skilled and skilled labour
ELI scheme (Budget 2024-25)	Subsidises **job creation:** the government pays a portion of **EPFO contributions for first-time employees** entering the formal workfo lowering the employer's cost of hiring
MGNREGA / VB-GRAM(G)	Guarantees **100 days** of wage employment to rural households demanding unskilled manual work. Acts as a shock absorber and a legal floor for rural wages

HANDOUT ALERT: THE SCHEME NAME

The handout writes "MGNREGA/VB-GRAM(G)" for the rural job guarantee and does not explain the second name. **Rule for the exam hall:** the 2011 PYQ uses "Mahatma Gandhi National Rural Employment Guarantee Act"; write that.

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: WHICH WORKING AGE: 15-64 OR 15+

The handout gives 15-64 for demographics and the dependency ratio, but 15 and above for PLFS metrics (LFPR, UR, WPR).

Rule: DR uses 15-64; LFPR, UR and WPR as reported by PLFS use 15+.

CONCEPT TRAP: UNDEREMPLOYMENT IS EMPLOYMENT

The word is employment, not unemployment. An underemployed or disguised worker is still recorded as employed.

Rule: underemployment and disguised unemployment both sit inside 'employed' in the statistics.

PRELIMS TRAP: US VERSUS CWS: WHICH RATE IS HIGHER

The US approach looks at a year and smooths seasonal bumps. CWS uses a short recall and captures seasonality and short-term swings.

Rule: CWS is generally higher; the headline rate is UPSS (PS+SS). Order: LF test (183 days), then PS, then SS.

CONCEPT TRAP: ORGANISED IS NOT THE SAME AS FORMAL

Organised vs unorganised looks at the enterprise. Formal vs informal looks at the worker's contract and social security. A contract guard at a big IT park is an informal worker in an organised enterprise.

Rule: ask 'about the firm or about the worker?' before choosing the box.

PRELIMS TRAP: GRATUITY: 5 YEARS OR 1 YEAR

A permanent employee needs 5 years of continuous service. A fixed-term employee becomes eligible after 1 year under the Code on Social Security, 2020.

Rule: permanent 5 years, fixed-term 1 year.

HANDOUT ALERT: THE 'SURGE' NEEDS ITS CAVEAT

The handout says the surge appears as data are collected better, and the fall in UR came mostly from agriculture and self-employment.

Rule: quote the surge together with its quality caveat.

Past-year questions

12 Prelims and 8 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

1 · Who is unemployed? The demographic divisions

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2013 Q274

To obtain the full benefits of demographic dividend, what should India do?

a. Promoting skill development
b. Introducing more social security schemes
c. Reducing infant mortality rate
d. Privatisation of higher education

▶ Show answer

2011 Q266

India is regarded as a country with a "Demographic Dividend". This is due to

a. Its high population in the age group below 15 years.

b. Its high population in the age group of 15-64 years.
c. Its high population in the age group above 65 years.
d. Its high total population

▶ Show answer

2 · What counts as employment

0 Prelims · 1 Mains

Read the notes for this topic

MAINS (GS-III)

2023 15 marks Care economy

Distinguish between ‘care economy’ and ‘monetised economy’. How can care economy be brought into monetised economy through women empowerment?

KEYWORDS care economy | monetised economy | women empowerment

3 · Measuring unemployment: PLFS, US and CWS

0 Prelims · 1 Mains

Read the notes for this topic

MAINS (GS-III)

2023 15 marks Unemployment and its methodology

Most of the unemployment in India is structural in nature. Examine the methodology adopted to compute unemployment in the country and suggest improvements.

KEYWORDS structural unemployment | PLFS | usual status | weekly status | unemployment | methodology | improvements

4 · Types of unemployment

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2013 Q214

Disguised unemployment generally means:

a. large number of people remain unemployed

b. alternative employment is not available
c. marginal productivity of labour is zero
d. productivity of workers is low

▶ Show answer

8 · Why is there unemployment in India? Low growth, jobless growth, or skills?

0 Prelims · 3 Mains

Read the notes for this topic

MAINS (GS-III)

2022 15 marks Labour Productivity vs Employment

"Economic growth in the recent past has been led by increase in labour productivity." Explain this statement. Suggest the growth pattern that will lead to creation of more jobs without compromising labour productivity.

KEYWORDS employment · jobs · informal · labour productivity · growth pattern

2015 12.5 marks Jobless Growth

The nature of economic growth in India in described as jobless growth. Do you agree with this view? Give arguments in favour of your answer.

KEYWORDS jobless growth · employment · growth · informal · formal · arguments

2014 12.5 marks Demographic Dividend & Employability

While we found India's demographic dividend, we ignore the dropping rates of employability. What are we missing while doing so? Where will the jobs that India desperately needs come from? Explain.

KEYWORDS demographic dividend · employability · jobs · dropping rates

9 · Nature of employment: labour laws, formal and informal work

6 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2024 Q279

With reference to the Pradhan Mantri Shram Yogi Maan-dhan (PM-SYM) Yojana, consider the following statements:

1. The entry age group for enrolment in the scheme is 21 to 40 years.
2. Age specific contribution shall be made by the beneficiary.
3. Each subscriber under the scheme shall receive a minimum pension of 3,000 per month after attaining the age of 60 years.
4. Family pension is applicable to the spouse and unmarried daughters.

Which of the statements given above is/are correct?

a. 1,3 and 4
b. 2 and 3 only
c. 2 only
d. 1,2 and 4

▶ Show answer

2022 Q196

In India, which one of the following compiles information on industrial disputes, closures, retrenchments and lay-offs in factories employing workers?

a. Central Statistics Office
b. Department for Promotion of Industry and Internal Trade
c. Labour Bureau
d. National Technical Manpower Information System

▶ Show answer

2021 Q208

With reference to casual workers employed in India, consider the following statements:

1. All casual workers are entitled for Employees Provident Fund coverage.
2. All casual workers are entitled for regular working hours and overtime payment.
3. The government can by a notification specify that an establishment or industry shall pay wages only through its bank account.

Which of the above statements are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2019 Q200

Which of the following statements is/are correct regarding the Maternity Benefit (Amendment) Act, 2017?

1. Pregnant women are entitled for three months pre-delivery and three months post-delivery paid leave
2. Enterprises with creches must allow the mother minimum six creche visits daily
3. Women with two children get reduced entitlements.

Select the correct answer using the code given below

a. 1 and 2 only
b. 2 only

c. 3 only
d. 1,2 and 3

▶ Show answer

2019 Q201

As per the Industrial Employment (Standing Orders) Central (Amendment) Rules, 2018:

1. If rules for fixed-term employment are implemented, it becomes easier for the firms/companies to lay off workers
2. No notice of termination of employment shall be necessary in the case of temporary workman Which of the following statements given above is/are correct

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2012 Q87

Consider the following:

1. Hotels and restaurants
2. Motor transport undertakings
3. Newspaper establishments
4. Private medical institutions The employees of which of the above can have the 'Social Security' coverage under Employees' State Insurance Scheme?

a. 1, 2 and 3 only
b. 4 only
c. 1, 3 and 4 only
d. 1, 2, 3 and 4

▶ Show answer

MAINS (GS-III)

2024 15 marks Labour Codes

Discuss the merits and demerits of the four 'Labour Codes' in the context of labour market reforms in India. What has been the progress so far in this regard?

KEYWORDS: labour codes | formal | informal | merits | demerits | progress | labour market reforms

2016 12.5 marks Informalization

How globalization has led to the reduction of employment in the formal sector of the Indian economy? Is increased informalization detrimental to the development of the country?

KEYWORDS

globalization informalization detrimental

10 · Schemes: the problem each one fixes

3 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2018 Q269

With reference to Pradhan Mantri Kaushal Vikas Yojana, consider the following statements

1. It is the flagship scheme of the Ministry of Labour and Employment.
2. It, among other things, will also impart training in soft skills, entrepreneurship, financial and digital literacy.
3. It aims to align the competencies of the unregulated workforce of the country to the National Skill Qualification Framework.

Which of the statements given above is/are correct ?

a. 1 and 3 only
b. 2 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

2017 Q270

Consider the following in respect of 'National Career Service':

1. National Career Service is an initiative of the Department of Personnel and Training, Government of India.
2. National Career Service has been launched in a Mission Mode to improve the employment opportunities to uneducated youth of the country.

Which of the above statements is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2011 Q278

Among the following who are eligible to benefit from the “Mahatma Gandhi National Rural Employment Guarantee Act”?

a. Adult members of only the scheduled caste and scheduled tribe households
b. Adult members of below poverty line (BPL) households
c. Adult members of households of all backward communities
d. Adult members of any household

▶ Show answer

MAINS (GS-III)

2015 12.5 marks Make in India and Skill India

"Success of 'Make in India' programme depends on the success of 'Skill India' programme and radical labour reforms." Discuss with logical arguments.

KEYWORDS Skill India | Make in India | labour reforms | logical arguments

Timeline and numbers

- **1926** — Trade Unions Act
- **1936** — Payment of Wages Act
- **1947** — Industrial Disputes Act
- **1948** — Minimum Wages Act, Factories Act and the Committee on Fair Wages
- **1952** — Employees' Provident Funds and Miscellaneous Provisions Act
- **1961** — Maternity Benefit Act (26 weeks today)
- **1970** — Contract Labour (Regulation and Abolition) Act
- **2004-09** — Employment elasticity falls to about 0.01: the "jobless growth" period ★
- **2012** — Last year of the CDS approach in the EUS
- **2017** — PLFS starts as an annual survey ★
- **2017-18** — UR 6.0%, LFPR 49.8%, WPR 46.8%, female LFPR 23.3% ★

2019	Code on Wages (floor wage, universal minimum wage)
2020	Codes on Social Security, OSH and Industrial Relations
2021	e-Shram portal launched
2023-24	UR 3.2%, LFPR 60.1% (first time above 60%), WPR 58.2%, female LFPR 41.7% ★
2024-25	Employment Linked Incentive scheme announced in the Budget

Connects to

Chapter 1: Poverty

The 2018 PYQ ties poverty and unemployment to development. The poor are "too poor to be unemployed", so UR is not a poverty measure.

Chapter 2: Inequality

The handout asks the reader to see the skills and jobs schemes through "our discussion on inclusive growth": capability (skills) and opportunity (jobs).

National Income Accounting handout

The handout says the System of National Accounts, which draws the production boundary used to decide what counts as employment, is covered there.

Inflation handout

NAIRU comes from the Phillips Curve, which the handout says is studied in the inflation chapter.

Money, Banking and Budget handouts

The Budget announced the ELI scheme (2024-25); the handout points to PLI and the schemes in the same breath as manufacturing growth.

CURRENT AFFAIRS · OCTOBER 2026

- **World Bank brief: jobs, youth unemployment and wage gaps**: The same World Bank brief reports a large rise in employment, a rise in youth unemployment and sharp wage disparities.

CURRENT AFFAIRS · SEPTEMBER 2026

- **District-level labour market indicators (PLFS)**: NSO released district-level PLFS labour indicators for the first time.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Unemployed = able and willing, in the labour force, not finding work. UR = UE ÷ LF (not ÷ population). LF = Emp + UE.
2. Working age: 15-64 for demographics and dependency ratio; 15+ for PLFS (LFPR, UR, WPR).
3. Employment includes unpaid family helpers, own-consumption farming and pay in kind; domestic chores and volunteering are excluded.
4. US: PS needs ≥ 183 days in LF; SS needs ≥ 30 days of work; headline = PS+SS. CWS: 1 hour in 7 days; priority rule; higher UR. CDS dropped.
5. Example: pop 1000, LF 800, UR(PS) 25%, UR(PS+SS) 6.25%.
6. Types: structural (skills mismatch), seasonal, frictional (search time), voluntary, underemployment (employed!), disguised (MPL zero), wage-rate (wages stuck high), cyclical (below-potential growth).
7. Wage order: floor ≤ minimum ≤ fair ≤ living. Floor: Centre; minimum: states; fair: 1948 committee.

8. NRU = frictional + structural + seasonal + voluntary. Full employment ≠ zero UE. NAIRU: below it, inflation accelerates. Both are estimates.
9. PLFS: UR 6.0 to 3.2, LFPR 49.8 to 60.1, WPR 46.8 to 58.2, female LFPR 23.3 to 41.7 (2017-18 to 2023-24).
10. UR fell because of agriculture and self-employment; agriculture is 46% of workers but 18% of GDP.
11. Not low growth (6.5% vs 3.5%). Jobless growth: ε about 0.01 in 2004-09, but employment growth still beats LF growth. Real cause: skills versus aspirations.
12. 29 laws into 4 codes. Organised versus unorganised is about the firm; formal versus informal is about the worker. Gratuity: 5 years permanent, 1 year fixed-term.
13. Schemes: e-Shram (2021, UAN), PM-SYM (₹3,000 after 60), Shram Suvidha (LIN), PMKVY and RPL, PLI, ELI (EPFO for first jobs), MGNREGA (100 days).
14. Blank page: draw the PS/SS/CWS comparison, then list the eight types with one example each.

ECONOMY · GS FOUNDATION · CHAPTER 4

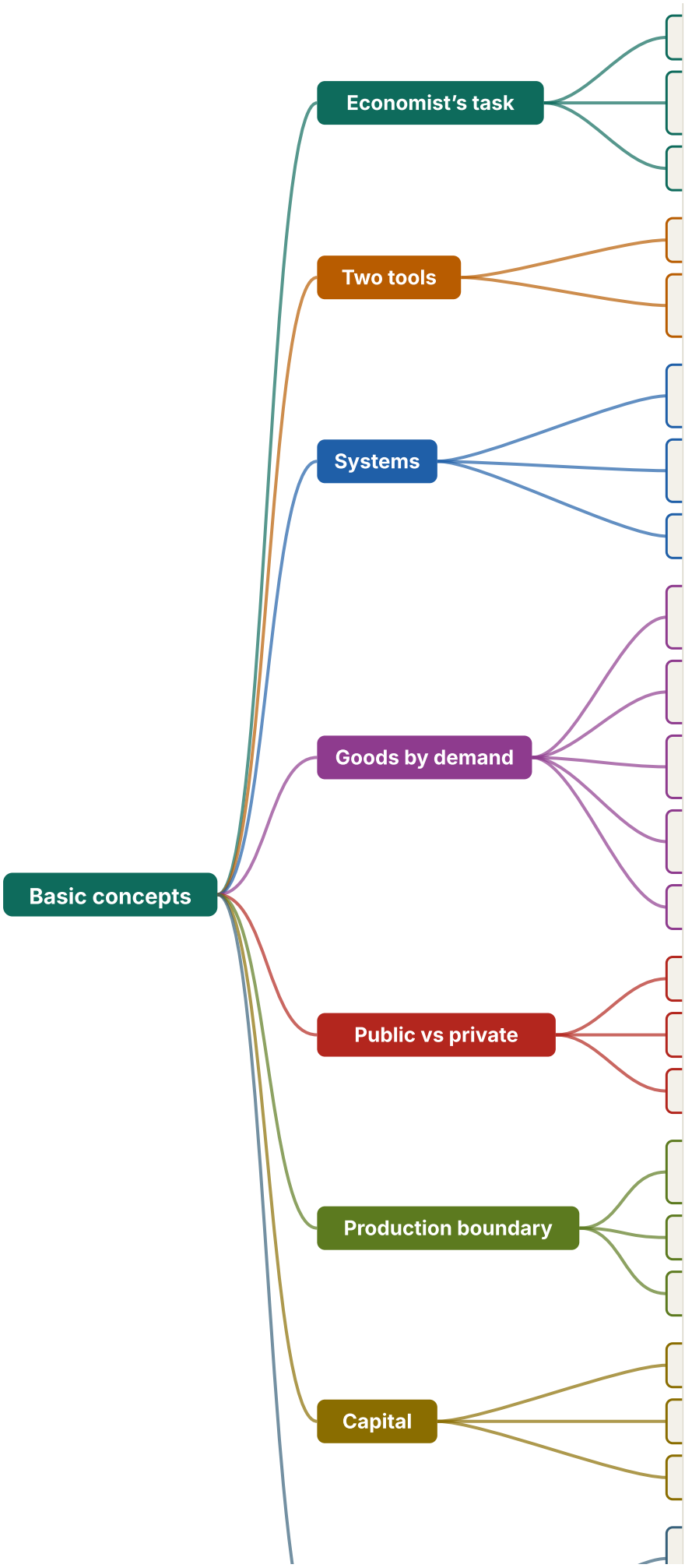
Basic Concepts of Economics: PPF, Goods and Capital

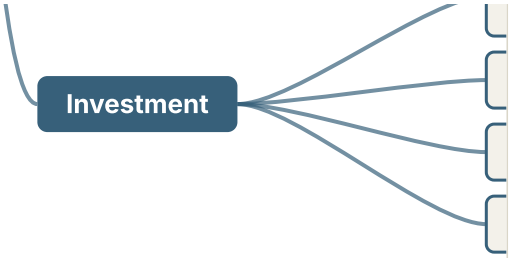
Handout only: no class slides | Handout pages 1-20 | 1 Prelims PYQ quoted | PYQ sheets: 8 Prelims · 2 Mains · Medium

The economist’s job, the production possibilities frontier, marginal cost and opportunity cost, free-market versus command systems, the types of goods (necessary, luxury, normal, inferior, substitute, complement, merit, demerit, Giffen, Veblen, private, public, intermediate, final, consumer, capital), fixed and working capital, investment and gross capital formation, and depreciation versus CFC versus CCA.

Chapter map

MY NOTES


Basic concepts
Economist’s task
Two tools
Systems
Goods by demand
Public vs private
Production boundary
Capital



In simple words

IN SIMPLE WORDS

- The economic problem is **limited resources and unlimited wants**. The economist **advises**; the decision-maker chooses. The **PPF** is the maximum sustainable output given the **budget constraints** and the **technology**.
- **Marginal cost** is the cost of one more unit. **Opportunity cost** is the next best alternative given up (the stadium versus the hospital).
- A free market uses **prices and the invisible hand** but produces inequality. A command system has the **information problem** and **rent-seeking**.
- Goods are classified by demand (**necessary, luxury, normal, inferior, substitute, complement, merit, demerit**), with **Giffen** and **Veblen** as exceptions. **Public goods** are non-excludable and non-rival, so the government provides them.
- **Final or intermediate** depends on end-use (economic modification). **Investment** is spending on capital goods (a flow): **GCF = GFCF + change in inventory + valuables**.
- Net investment = gross investment minus depreciation. **Depreciation** uses historical cost, **CFC** uses replacement cost, and **CCA** is a tax rule.

Key terms in plain words

Key term	In plain words
PPF	The maximum sustainable output possible for given resources technology; normative and dynamic.
Marginal cost (MC)	The actual cost of producing one more unit.
Opportunity cost (OC)	The benefit foregone: the value of the next best alternative giv up.
Invisible hand	Self-interest in a free market leads to collective well-being.
Rent-seeking	Being connected to the planner instead of serving consumers.
Normal and inferior goods	Normal: demand rises with income. Inferior: demand falls as income rises.
Substitute and complement	Substitute: positive cross-price effect. Complement: negative.
Merit and demerit goods	Merit: positive externality, under-consumed. Demerit: negative externality, over-consumed.
Giffen good	An inferior good with a huge share of a poor person's income a no substitute; price up, demand up.
Veblen good	An ultra-luxury status good; demand falls if the price falls.

Key term	In plain words
Excludable and rivalrous	Can non-payers be stopped, and does my use reduce yours? Private goods are both.
Free-rider problem	Everyone expects someone else to pay, so a public good is not supplied by the market.
Intermediate and final goods	Intermediate: economic identity lost, used for resale. Final: ider retained.
Fixed and working capital	Fixed: used over more than one year. Working: used up within a production cycle.
Gross Capital Formation	GFCF + change in inventories + acquisitions less disposals of valuables.
CFC and CCA	CFC: depreciation at replacement cost (NDP, NNP). CCA: statu tax allowance.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout ends with **one** Prelims PYQ (2021). **Mains PYQs: none quoted in the material.** The chapter is the foundation for National Income Accounting (the handout ends with "Now we are ready to formally begin: National Income Accounting").

Prelims PYQ quoted in the handout

Year	What was asked	Answer in handout	Where covered
2021	Other things unchanged, market demand for a good might increase if: 1) price of its substitute increases 2) price of its complement increases 3) it is an inferior good and income rises 4) its price falls	(a) 1 and 4 only	Section 4: substitutes (positive cross-price effe complements (negative), inferior goods (demand fa as income rises), law of demand

What the handout stresses

Signal in the handout	Where	Why it matter
Production boundary: a good is final or intermediate by economic modification, not by its physical form. Salt for a household is final; salt for a hotel is intermediate	Section 6	A classic Preli trap; the base GDP counting
"Investment" in economics is spending on capital goods (a flow), not buying shares or gold. Capital is a stock	Section 8	Asterisked statement; flo versus stock
Depreciation (historical cost) versus CFC (current replacement cost) versus CCA (tax rule)	Section 9	Three similar terms with thr different owne

Signal in the handout	Where	Why it matter
Giffen goods are inferior goods under special circumstances; Veblen goods are ultra-luxury	Section 4	Both break the law of demand
Public goods: non-excludable and non-rival, so free-rider problem and market failure	Section 5	Marked with a star in the handout

WHAT TO PREPARE

Prelims hooks: PPF is normative and dynamic; MC versus OC; elasticity-based and income-based classes of goods; cross-price sign for substitutes and complements; merit versus demerit (externalities); Giffen versus Veblen; excludability and rivalry grid; intermediate versus final; capital versus working capital; GFCF, change in inventory and valuables; net investment; depreciation, CFC, CCA.

Mains hooks: why decentralised and command systems both fail in some way (inequality, information problem, rent-seeking); why governments provide public goods; opportunity cost in public spending.

Closing idea: economics does not say what to choose; it shows what you give up by choosing.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 8 Prelims and 2 Mains questions map to this chapter.

Most-asked topics: Investment and gross capital formation (5 Prelims, 2 Mains); Consumer goods versus capital goods; fixed versus working capital (1 Prelims, 0 Mains); Types of goods: applying demand and supply (1 Prelims, 0 Mains).

Prelims years: 2013, 2018, 2021, 2022, 2023, 2024. Mains years: 2017, 2020.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · The economist’s task: budget, technology and the PPF

The economic problem is **limited resources and unlimited wants.** The economist cannot create more resources or reduce desires, and is not the decision-maker. The **decision-maker** (a person, family, firm, community or government) chooses; the economist’s main task is to **advise** whether the current use of resources is optimal. He first assesses two things:

- **(a) Budget constraints:** the resources that actually **limit** output. All resources are limited, but only some are limiting (for a farmer it may be water or fertiliser, not

seeds).

- **(b) The prevailing technology:** the current manner of using resources (stone tools, iron tools, tractors and harvesters).

Given these, the decision-maker has many options (chairs or tables, tobacco or mango or wheat). The economist estimates the **maximum sustainable output** for each possibility. That is the **Production Possibilities Frontier (PPF).**

The handout's hunter-gatherer PPF (8 hours of daylight)

Scenario	Deer hunted	Berries gathered
A	10	0
B	8	200
C	6	380
D	4	530
E	2	630
F	0	700

Reading the table (simple arithmetic on the handout's figures): every 2 fewer deer buys 200, 180, 150, 100 and then 70 more berries. Each sacrifice buys less than the one before.

- The **PPF is a normative concept:** every economist has an assessment. Actual output is a **fact;** the PPF is a "sustainable-potential" benchmark.
- **Below the PPF:** possible but not desirable. **Beyond the PPF:** desirable but not sustainably possible (working 15 hours a day).
- It is **not cast in stone:** better technology pushes it out. Today there are "less deer but more bullets": time is no longer the constraint, the number of deer is.
- The economist's key role: help society reach the PPF, an output both **desirable and sustainably possible.**

2 · The two tools: marginal cost and opportunity cost

PYQs for this topic: 1 Prelims · 0 Mains

Marginal cost versus opportunity cost

	Marginal cost (MC)	Opportunity cost (OC)
Meaning	The actual, tangible cost of producing **one more unit** at the current level of output	The **benefit foregone** w a choice is made: the va of the **next best alterna** given up
Nature	Resources actually spent	A **conceptual** cost, not necessarily financial
Use	Prevents overreach: the best resources are used first, so more output becomes harder and	Forces the decision-ma to look past visible resu

	Marginal cost (MC)	Opportunity cost (OC)
	dearer. A high MC is justified only if the marginal benefit is equally high	to what was sacrificed
Handout example	Stadium: cement, steel and labour bought	Stadium: the rural hospi or school that the same resources could have b

HANDOUT STRESS

The handout calls opportunity cost "arguably the most powerful concept in all of economics" and "the ultimate reality check on human intentions." Economics "has no morals": it does not say hospitals are better than stadiums, only that choosing the stadium means choosing **not** to have the hospital.

3 · Systems of resource allocation: decentralised versus centralised

Two extremes (seen as systems of information and incentives)

	Decentralised (libertarian, free market)	Centralised (authoritarian, command)
Core mechanism	Individuals have liberty to own, trade and allocate. Millions of consumers and producers use **prices** as signals	An **authority** (king, dictator, politburo, feudal lord, even an elected governmer with such powers) directs the use of resources. Central planning replaces th market
Role of the state	**Laissez-faire.** Only the "invisible infrastructure": rule of law, private property, contract enforcement, truthful information, preventing fraud and violence, minimal regulation (car safety standards)	Controls or directs resources; intent is "deeply moral": equitable, socialist distribution and protecting the vulnerab
Incentive	Self-interest (Adam Smith): to profit, a producer must offer what society values. Self-interest gives collective well-being: the **invisible hand.** Market punishes waste and rewards competence	The state cannot meet all demands, so appoints private entities as **state-creat monopolies** (licences, quotas). The incentive shifts from serving consumer **being connected: rent-seeking** (crony
Critique	People differ in capabilities, capital and luck, so the capitalists come to dominate. Raises absolute wealth but produces **high inequality** from natural advantages	**Information problem:** no planner can know the subjective wants and opportu costs of millions. Designed to reduce inequality, it creates a **rigid, worse kinc** (wealth goes to the politically connecte and even a more competent producer i denied)

MEMORY AID · THE STATE'S INVISIBLE INFRASTRUCTURE IN A FREE MARKET

R I P P L E

A free market runs on trust: a RIPPLE in any of these six spreads through every trade.

- **R** Regulation kept minimal (for example car safety standards)
- **I** Information that is truthful
- **P** Property: private property
- **P** Prevention of fraud and violence
- **L** Law: the rule of law
- **E** Enforcement of contracts

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

THE TRADE-OFF

A state that enforces equality must use authoritarian force to confiscate and redistribute, crushing incentives. The handout quotes Milton Friedman: “A society that puts equality before freedom will get neither. A society that puts freedom before equality will get a high degree of both.” And George Bernard Shaw on communism at 20 and capitalism at 30. **None of the systems is perfect.**

4 · Types of goods: applying demand and supply

PYQs for this topic: 1 Prelims · 0 Mains

Goods classified by how demand behaves

Pair	Defining behaviour	Curve	Examples
Necessary vs Luxury (price elasticity)	Necessary: high utility, **inelastic**; a big price change barely moves Qd. Luxury: lower utility, **elastic**; demand rises a lot when price falls slightly	Necessary: steep (near vertical). Luxury: flat (near horizontal)	Staples, life-saving drugs, vs high-end home décor, premium electronics, vacation packages

Pair	Defining behaviour	Curve	Examples
Normal vs Inferior (income elasticity)	Normal: demand rises with income, curve shifts **right.** Inferior: demand actively **falls** as income rises, curve shifts **left**	Shift right / shift left	Cars instead bicycles, nutritious foo coarse grains public transp second-hand clothing
Substitute vs Complementary (cross-price)	Substitutes: demand for A **rises** when price of B rises (positive cross-price elasticity). Complements: demand for A **falls** when price of B rises (negative cross-price elasticity). In complements one good leads and the other complements it	-	Coffee and te cars and petr bread and bu printers and i cartridges
Merit vs Demerit (effect on society)	Merit: positive externalities, **under-consumed** by the free market. Demerit: negative externalities, **over-consumed**	-	Education, healthcare, vaccines, libraries vs alcohol, tobac recreational drugs

RELATIVITY OF GOODS

Very few goods are universally normal or inferior. A basic motorcycle is a **normal** good in a low-income nation (richer people buy more bikes) but **inferior** in a high-income one (they buy cars instead). It depends on the society's baseline income.

Exceptions to the law of demand: Veblen and Giffen

Upward-sloping demand

	Veblen goods	Giffen goods
What they are	Ultra-luxury goods; almost nil marginal utility over cheaper luxury versions; they give **social status**	**Inferior** goods that, in special circumstances, show demand rising price
Why price up means demand up	Status comes at a price. If the price falls, those who could afford it no longer find the unique status, so demand falls (and those who could not afford it still cannot)	Must take a **massive share of a poor consumer's income** and have **no cheaper substitutes.** A price rise ma him so much poorer he drops the costlier normal good and buys even more of the staple
Handout example	Luxury sports cars, designer jewellery, heritage items, rare animal breeds	Worker spends 90% of income on coarse grain and 10% on meat. Grain price rises, meat becomes unaffordable the worker buys more grain. The negative **income effect** overpowers t **substitution effect**
Reality	-	Mostly **theoretical**, rarely observed

5 · Private goods versus public goods

The classification uses two characteristics: **excludability** (can you stop someone using it if they do not pay?) and **rivalry** (does one person's use reduce what is left for others?).



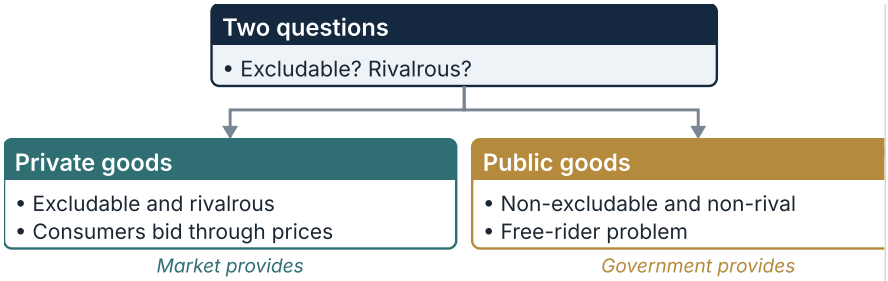
HANDOUT FIGURE Classification of goods by consumption mechanics. Rows: excludable yes or no. Columns: rivalrous more

Private versus public

	Private goods	Public goods
Characteristics	Excludable **and** rivalrous. Consumers bid through prices for limited supply: "market efficiency"	**Non-excludable** and **non-rival**
Result	Provided by the market	**Free Rider Problem (FRP):** everyone expe someone else to pay, so no private busine will produce it. A permanent unmet desire **market failure**
Who provides	Producers	Government: society gives someone auth to collect taxes and the responsibility to provide. "This is how a government come into existence"
Examples	Food, clothing, cars, electronics	Law and order (police), defence, administration, licensing and regulatory services, streetlights and lighthouses

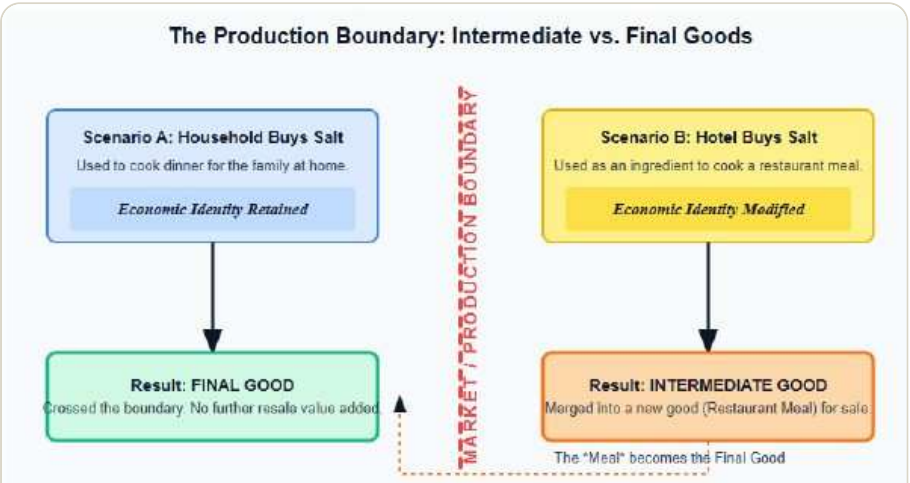
Because government resources are limited, it provides only the most vital ones, prioritised by necessity (police presence may be higher in one area than another). Because there is no rivalry, one person's use does not reduce availability to others.

PRIVATE GOODS VERSUS PUBLIC GOODS



6 · Intermediate versus final goods: the production boundary

This classification is crucial for calculating **National Income (GDP).** A good is not inherently intermediate or final; it depends on **end-use.**



HANDOUT FIGURE The production boundary. Scenario A: a household buys salt to cook dinner; economic identity retair **more**

- **Intermediate goods (IG):** used as inputs for other goods **for resale;** their economic identity is **lost** (modified into a new good meant for sale).
- **Final goods (FG):** economic identity **retained;** no further **economic** modification, even if physically or chemically changed.
- **Crucial:** the new good may or may not be physically or chemically different. What matters is only whether it was **economically** modified.

The handout's examples

Case	Classification	Reason
Salt bought by a household (cooked at home)	**Final**	Home-cooked food is not sold; no new commer identity
Salt bought by a hotel	**Intermediate**	The meal is sold; the salt's value merges into th price of the dish

Case	Classification	Reason
Mobile phone, screen guard and cover used together	All **final**	Physical assembly by the consumer is only a wa of using final goods; no commercial value adde for resale
Phone sold second-hand after 3 years	Still **final**	Identity was finalised at first purchase; resale is only a transfer of ownership of an existing final good, no new production

7 · Consumer goods versus capital goods; fixed versus working capital

PYQs for this topic: 1 Prelims · 0 Mains

Both consumer goods and capital goods are **sub-categories of final goods:** neither is transformed and resold.

- **Consumer goods:** final goods for household consumption (non-producers). By replacement frequency: **durables** and **non-durables.**
- **Capital goods:** machines and tools that **assist** production; bought by **producers.** Unlike raw materials (used up in one cycle) they last for **many** production cycles. They are still **final goods.**
- In the System of National Accounts (SNA) capital goods are **produced assets** "used repeatedly or continuously in production processes for **more than one year**": factory buildings, heavy machinery, blast furnaces, delivery trucks, tractors, and intangibles such as commercial software and R&D.

Fixed capital versus working capital

	Fixed capital	Working (circulating) capital
What	Assets retained and used repeatedly over **more than one accounting year**	Capital used up in day-to-day operations; identity modified or liquidated within a production cycle or **under a year**
Role	The rigid "infrastructure" of capacity; not for immediate resale	The "blood" through the infrastructure
Examples	Plants, machinery, equipment, buildings	Raw-material inventory, work-in-progress, cash for wages and utilities

HANDOUT ALERT: FINANCIAL CAPITAL

Financial capital (money, stocks, bonds) is NOT economic capital in this context, because a stock certificate cannot manufacture a product. The handout says: "Do not make this mistake in the exam."

8 · Investment and gross capital formation

PYQs for this topic: 5 Prelims · 2 Mains

In everyday language investment means mutual funds or gold. In macroeconomics that is merely a **transfer of financial assets: not investment. Investment is the expenditure by firms on capital goods in a period (usually a year).**

Stock versus flow

	Capital	Investment
Type	**Stock** variable	**Flow** variable
Meaning	Total value of machines a firm currently owns	Money spent buying **new** capital goo over a period

Institutions such as the IMF, OECD and India's National Accounts Statistics call it **Gross Capital Formation (GCF):** "the total value of the gross fixed capital formation, changes in inventories, and acquisitions less disposals of valuables for a unit or sector."

Components of investment

Total investment (GCF)
= GFCF + Δ Inventory + Valuables

1 · GFCF (Gross Fixed Capital Formation)
Addition to the stock of fixed capital before depreciation: machines, tools, software, buildings, new roads, factories, intellectual property. The **most important** component. A high GFCF share of GDP signals a rapidly industrialising, future-focused economy

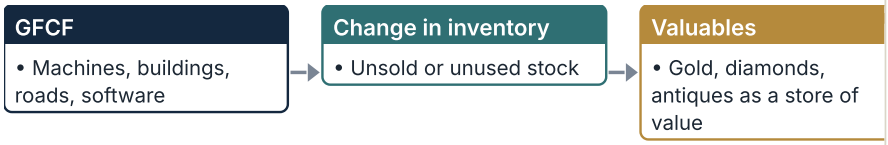
GFCF has three parts
a) business fixed investment (machinery), b) public investment (roads, bridges), c) residential construction investment (houses)

2 · Δ Inventory
Unsold or unused stock, treated by convention as capital. A factory makes 100 cars and sells 90: the 10 unsold are added to inventory, as if the firm invested in its own unsold goods

3 · Acquisition of valuables
Non-financial assets held as a store of value, not for production or consumption: monetary gold, diamonds,

antiques

WHAT MAKES UP INVESTMENT (GCF)



WHY HOUSING IS INVESTMENT

Households "produce" labour services, and dwelling units are the infrastructure that sustains that. So an addition to the number of dwellings in a year is **investment,** not consumption.

9 · Depreciation, CFC, CCA and maintenance

Depreciation is the loss in value of capital goods from an actual or perceived loss of ability to assist production, commonly wear and tear. It is **neither an actual loss nor an actual expenditure.** Gross spending on capital goods is partly only replacement, so:

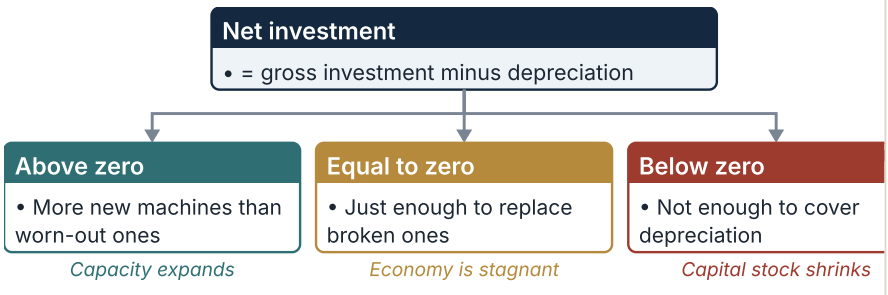
FORMULA

Net Investment = Gross Investment − Depreciation.

Three scenarios

Case	Meaning	Effect
Net investment > 0	More new machines than worn-out ones	Productive capacity expands (PPF shifts outward)
Net investment = 0	Just enough to replace the broken ones	Economy is stagnant
Net investment < 0	Not enough even to cover depreciation	Capital stock shrinks; capacity collapses

NET INVESTMENT: THREE CASES



Depreciation versus CFC versus CCA

Term	Whose tool	Basis	Handout example (machine bought for ₹10 lakh in 2015)
Depreciation	Corporate accountant (financial accounting)	**Historical cost** (original price)	Lasts 10 years, so ₹1 lakh deducted each year, even if a new machine now costs ₹25 lakh
Consumption of Fixed Capital (CFC)	National statistician and the RBI (SNA); used for **NDP and NNP**	**Current replacement cost** (today's market price)	Replacing 10% of its capacity costs ₹2.5 lakh today, so CFC recorded as ₹2.5 lakh, not ₹1 lakh
Capital Consumption Allowance (CCA)	Income Tax Department (tax lawyer's tool)	**Statutory rate** set by the government; a "legal fiction"; applied on historical cost	Accelerated depreciation: writing off 40% of a solar pla in year one to encourage gre energy, though it did not lose 40% of capacity

MAINTENANCE IS DIFFERENT

Maintenance is routine expenditure to keep an asset working (oiling a machine, fixing a belt). It is an **intermediate cost.** It does **not** stop depreciation: a perfectly oiled 1990s loom still becomes useless because a 2024 automated loom is 10 times faster (obsolescence).

Exam traps

Each trap ends with a rule for the exam hall.

HANDOUT ALERT: FINANCIAL CAPITAL IS NOT CAPITAL

Money, stocks and bonds are not economic capital here, because a stock certificate cannot make a product. Buying shares or mutual funds is a transfer of financial assets, not investment.

Rule: investment means spending on capital goods; capital is a stock, investment is a flow.

PRELIMS TRAP: FINAL OR INTERMEDIATE: SALT

A good is final or intermediate by end-use, not by physical form. Salt for a household is final; salt for a hotel is intermediate. A second-hand phone is still final.

Rule: ask whether it was economically modified and resold.

CONCEPT TRAP: GIFFEN VERSUS VEBLEN

Both show demand rising with price. Giffen: a poor person's inferior staple with no substitute. Veblen: an ultra-luxury good bought for status.

Rule: Giffen is about poverty and income effect; Veblen is about status.

PRELIMS TRAP: DEPRECIATION, CFC AND CCA

Three similar terms, three owners: the accountant (historical cost), the national statistician (current replacement cost) and the tax department (statutory rate).

Rule: NDP and NNP use CFC; maintenance does not stop depreciation.

PRELIMS TRAP: INFERIOR GOOD AND RISING INCOME (2021 PYQ)

An inferior good loses demand as income rises. A rise in the price of a substitute raises demand; a rise in the price of a complement lowers it.

Rule: substitute price up means demand up; complement price up means demand down; inferior good with income up means demand down.

Past-year questions

8 Prelims and 2 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

2 · The two tools: marginal cost and opportunity cost

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 Q288

If a commodity is provided free to the public by the Government, then

a. The opportunity cost is zero.
b. The opportunity cost is ignored.
c. The opportunity cost is transferred from the consumers of the product to the tax-paying public.
d. The opportunity cost is transferred from the consumers of the product to the Government.

▶ Show answer

4 · Types of goods: applying demand and supply

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2021 Q287

Consider the following statements: Other things remaining unchanged, market demand for a good might increase if

1. price of its substitute increases
2. price of its complement increases
3. the good is an inferior good and income of the consumers increases
4. its price falls

Which of the above statements are correct?

a. 1 and 4 only
b. 2, 3 and 4
c. 1, 3 and 4
d. 1, 2 and 3

▶ Show answer

7 · Consumer goods versus capital goods; fixed versus working capital

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q250

With reference to physical capital in Indian economy, consider the following pairs: Items : Category

1. Farmer's plough: Working capital
2. Computer: Fixed capital
3. Yarn used by the weaver: Fixed capital
4. Petrol: Working capital

How many of the above pairs are correctly matched?

a. Only one
b. Only two
c. Only three
d. All four

▶ Show answer

8 · Investment and gross capital formation

5 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2023 Q105

Consider the investments in the following assets:

1. Brand recognition
2. Inventory
3. Intellectual property
4. Mailing list of clients

How many of the above are considered intangible investments?

a. Only one
b. Only two

c. Only three
d. All four

▶ Show answer

2022 Q106

With reference to the Indian economy, consider the following statements :

1. A share of the household financial savings goes towards government borrowings.
2. Dated securities issued at market-related rates in auctions form a large component of internal debt.

Which of the above statements is/are correct ?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2018 Q218

Despite being a high saving economy, capital formation may not result in significant increase in output due to

a. weak administrative machinery
b. illiteracy
c. high population density
d. high capital-output ratio

▶ Show answer

2018 Q282

Human capital formation as a concept is better explained in terms of a process which enables

1. individuals of a country to accumulate more capital.
2. increasing the knowledge, skill levels and capacities of the people of the country.
3. accumulation of tangible wealth.
4. accumulation of intangible wealth

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 2 only
c. 2 and 4 only
d. 1, 3 and 4 only

▶ Show answer

2013 Q222

Economic growth in country X will necessarily have to occur if

a. there is technical progress in the world economy
b. there is population growth in X
c. there is capital formation in X
d. the volume of trade grows in the world economy

▶ Show answer

MAINS (GS-III)

2020 15 marks Investment Models

Explain the meaning of investment in an economy in terms of capital formation. Discuss the factors to be considered while designing a concession agreement between a public entity and a private entity.

KEYWORDS capital formation | investment | concession agreement | public entity | private entity

2017 10 marks Savings Rate & Economic Growth

Among several factors for India's potential growth, savings rate is the most effective one. Do you agree? What are the other factors available for growth potential?

KEYWORDS capital formation | savings rate | potential growth | other factors

Connects to

Chapter 2: Inequality

The handout asks "remember reasons for inequality?" when it says a pure free-market system creates inequality through natural advantages; the rule-of-law and rent-seeking points reappear.

Chapter 3: Unemployment

The demand-and-supply and market-clearance ideas used for wage-rate unemployment are the same ones applied to goods here; Chapter 3 also refers to the SNA production boundary.

National Income Accounting handout (next in your PDF)

The handout says this chapter prepares you for it: final versus intermediate goods, GCF, depreciation, CFC and NDP/NNP are the building blocks of GDP.

Budget and Fiscal Policy handout

Public goods and merit goods explain why governments tax and spend; opportunity cost frames public spending choices.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Economist advises: budget constraint + technology give the PPF. PPF is normative, dynamic, “sustainable and desirable”.
2. MC = cost of one more unit. OC = value of next best alternative foregone (stadium versus hospital).
3. Free market: invisible hand, inequality. Command: information problem, rent-seeking, rigid inequality. Friedman: equality before freedom gets neither.
4. Necessary = steep, inelastic. Luxury = flat, elastic. Normal: income up, demand up. Inferior: income up, demand down. Substitute: positive cross-price. Complement: negative.
5. Merit: positive externality, under-consumed. Demerit: negative externality, over-consumed.
6. Giffen: inferior, big share of poor income, no substitutes. Veblen: ultra-luxury status good. Both: price up, demand up (in theory / status).
7. Private = excludable + rivalrous. Public = neither; free-rider problem; government provides.
8. Intermediate versus final is about economic modification: household salt final, hotel salt intermediate; second-hand phone is still final.
9. Capital goods: final goods used repeatedly for more than one year. Fixed versus working capital. Financial capital is not capital.
10. Investment = spending on capital goods (flow). GCF = GFCF + Δ inventory + valuables. Net investment = gross − depreciation.

MY NOTES

11. Depreciation (historical cost, accountant) versus CFC (replacement cost, statistician, NDP/NNP) versus CCA (tax rule).
12. Blank page: draw the excludable-rivalrous 2×2 and place private, club, common and public goods.

ECONOMY · GS FOUNDATION · CHAPTER 5

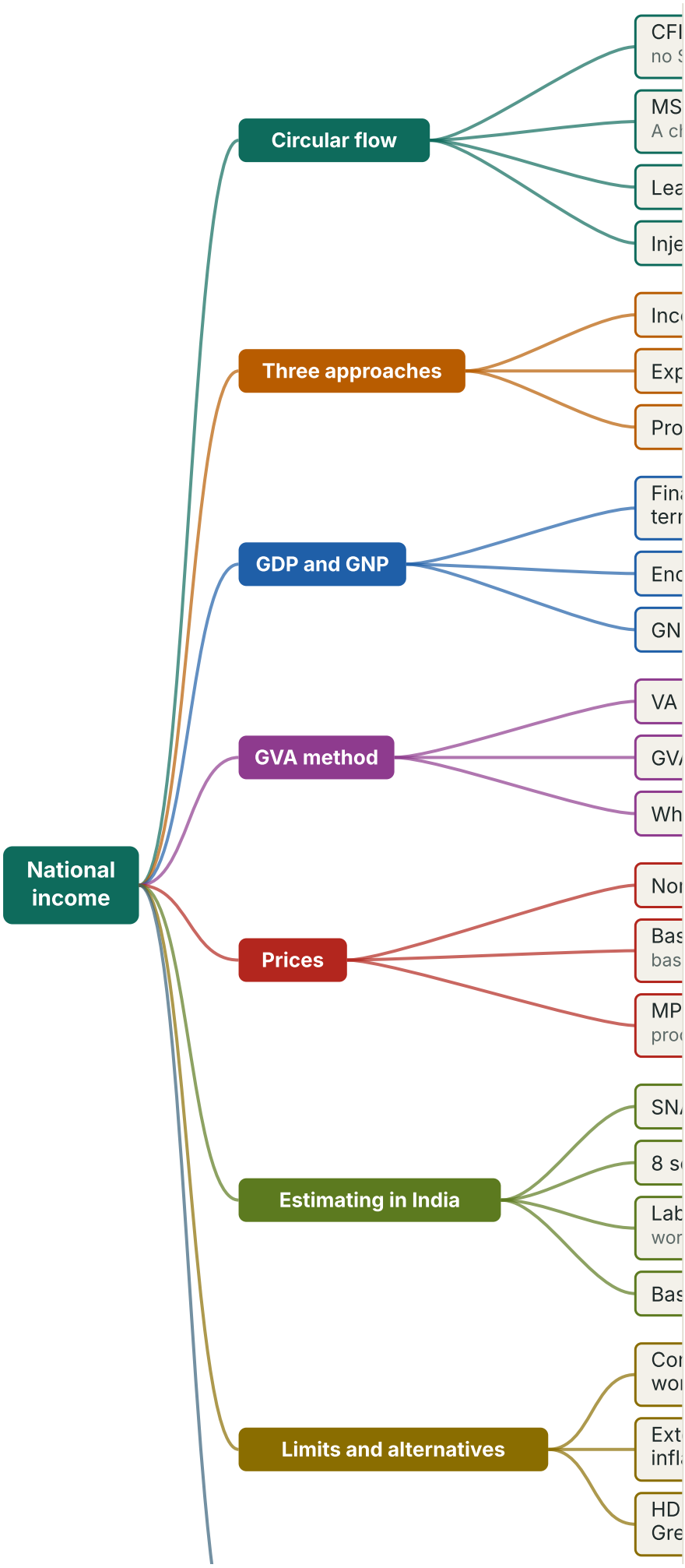
National Income Accounting: GDP, GVA, GNP and Alternatives

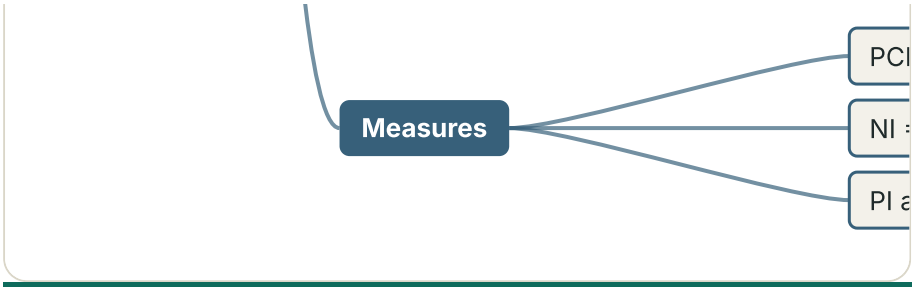
Handout only: no class slides | Handout pages 1-36 | 3 Prelims PYQs quoted | PYQ sheets: 6 Prelims · 4 Mains · Medium

The circular flow of income and the multi-sectoral model, the three approaches (income, expenditure, production), what GDP means word by word, economic territory, GNP and NFIA, the GVA method, nominal versus real GDP and the base year, market price versus basic price versus factor cost, how India estimates GDP (SNA 2008, MCA-21, labour input, the 2022-23 base year), the limitations of GDP, HDI and the other alternatives, and the full family of national-income measures.

Chapter map

MY NOTES


National income
Circular flow
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Three approaches
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GDP and GNP
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GVA method
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Estimating in India
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In simple words

IN SIMPLE WORDS

- National income accounting is the economy's **dashboard**. It records the **income** paid to land, labour, capital and enterprise.
- In the **circular flow**, incomes (A), production (B) and expenditure (C) are equal: **A = B = C**. **Injections** (I, X, G) push money in; **leakages** (S, T, M) pull it out.
- **GDP** is the total **price-tag** value of **final** goods and services **produced** inside the **economic territory** in a period. **GNP = GDP + NFIA**.
- GDP is counted by **value added** so that nothing is counted twice. **Real GDP** uses base-year prices; growth is the % change in real GDP.
- **Market price** = basic price + product taxes - product subsidies. **Factor cost** = basic price - production taxes + production subsidies.
- GDP is a good thermometer of income but a poor judge of **well-being**, so we pair it with **HDI** and other indices.

Key terms in plain words

Key term	In plain words
Income	The reward paid to factors of production: rent, wages, interest and profit.
Leakages	Savings, taxes and imports; they pull money out of the flow.
Injections	Investment, exports and government expenditure; they pump money in.
Dynamic equilibrium	A, B and C keep changing but readjust towards each other: A chases C, B chases A.
Double counting	Counting an intermediate good and the final good that already contains it.
Economic territory	Where production is counted, whoever produces it; it can differ from the political map.
NFIA	Income earned by Indians abroad minus income earned by foreigners in India.
Value added	A producer's output value minus the value of the inputs it bought.
Nominal GDP	Output valued at current prices.
Real GDP	Output valued at constant base-year prices.
Base effect	A depressed base year makes the next year's growth look huge.
Basic price	What the seller wants to receive and keep: the factory gate price.
Product taxes	Taxes or subsidies tied to quantity, such as GST or LPG subsidy.

Key term	In plain words
Production taxes	Lump-sum taxes or subsidies independent of volume, such as lan revenue or stamp duty.
Double deflation	Inflation stripped separately from inputs and from outputs.
Labour input method	Number of workers multiplied by value added per worker, used fo unorganised sector.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout ends with **3 Prelims PYQs** (2018, 2015, 2015). **Mains PYQs: none quoted in the material.** This is the longest conceptual chapter so far and the formula chapter of the book.

Prelims PYQs quoted in the handout

Year	What was asked	Answer in handout	Where covered / tr
2018	Increase in absolute and per capita real GNP do not connote a higher level of development, if...	(c) poverty and unemploym ent increase	Section 11 (limitatio of GDP: inequality, well-being) and Chapters 1 and 3
2015	A decrease in the tax-to-GDP ratio indicates: 1. slowing economic growth rates 2. less equitable distribution of national income	(a) 1 only	Handout gives only answer. Statement the trap
2015	Real GDP growth has steadily increased in the last decade? GDP at market prices (in rupees) has steadily increased in the last decade?	(b) 2 only	Section 8: nominal GDP rises with pric real growth does n rise steadily

What the handout stresses

Signal in the handout	Where	Why it matters
A = B = C: income, production and expenditure are equal over a year (dynamic equilibrium)	Sections 2-3	The base of all three approaches
GDP = GVA + net product taxes; GVA is at basic price	Sections 7 and 9	Appears again as a “headli formula
MP, BP and FC: product taxes versus production taxes	Section 9	The handout builds this carefully: volume-based versus lump-sum
Production approach is given primacy; “discrepancy” balances the expenditure side	Section 10	Statement-type question
2022-23 new base year; double deflation; SUT (early 2026 changes)	Section 10	Current-affairs hook inside handout

Signal in the handout	Where	Why it matters
Eight alternatives to GDP, each with one defining feature	Section 12	Match-the-pair questions

WHAT TO PREPARE

Prelims hooks: the A-B-C identity; injections (I, X, G) and leakages (S, T, M); AD = C + G + I + X − M; GDP terms (total, value, final, produced, territory, time); GNP = GDP + NFIA; GVA; nominal versus real; base-year properties; MP = BP + product taxes − product subsidies; FC = BP − production taxes + production subsidies; the eight GVA sectors; MCA-21; labour input method; HDI components; the eight alternatives; NI = NNP at factor cost; PI and PDI.

Mains hooks: why GDP is still king despite its limits; limitations (merit versus demerit, inequality, unpriced work, externalities, informality, inflation); how the informal sector is estimated; why the base year matters; what the 2022-23 revision changes.

Closing idea: GDP is a good thermometer of income and a poor judge of well-being, which is why we pair it with other indices.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 6 Prelims and 4 Mains questions map to this chapter.

Most-asked topics: How India estimates GDP (2 Prelims, 3 Mains); Nominal and real GDP; the base year (1 Prelims, 0 Mains); Circular flow of income model (CFIM) (1 Prelims, 0 Mains).

Prelims years: 2011, 2013, 2015, 2018, 2022. Mains years: 2020, 2021, 2025.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · What national income accounting is for

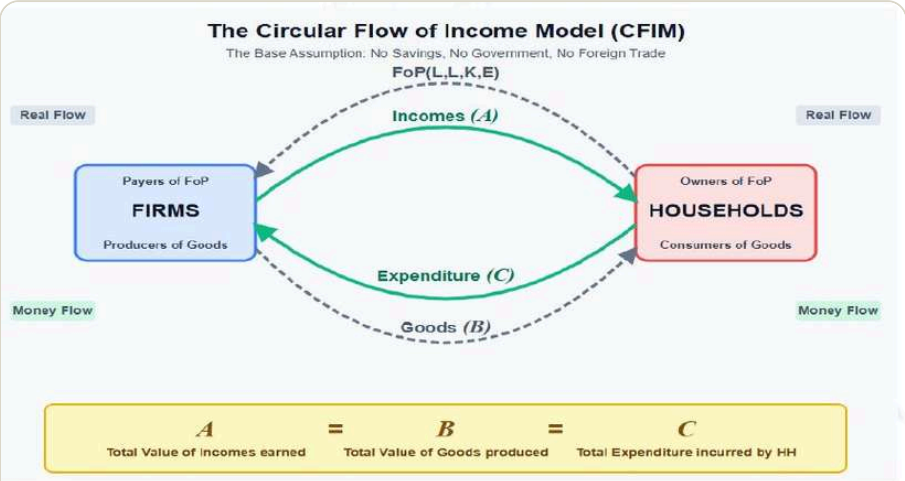
Accounting is the systematic recording, classification and summarising of incomes. **National** sets the boundary: either the income earned **in** the nation (irrespective of who earns it) or the income earned **by** the nationals (irrespective of where). **Income** is strictly the reward paid for the **Factors of Production:** rent for land, wages for labour, interest for capital, profit for entrepreneurship.

Without national accounts the government, the central bank and citizens are “driving blind”: NIA is the economy’s **dashboard.** It cannot be measured by asking 1.4 billion people what they earn (people lie, forget, and much of the economy is informal), so the handout builds the idea in three steps: a **basic model** (the “tree’s shadow”), an **advanced model** (dropping unrealistic assumptions) and the **real world** (the methods used in India today).

2 · Circular flow of income model (CFIM)

PYQs for this topic: 1 Prelims · 0 Mains

Two entities only: **households** (own all factors of production and supply them) and **firms** (use them to produce and sell goods back).



HANDOUT FIGURE The Circular Flow of Income Model. Assumptions: no savings, no government, no foreign trade. more

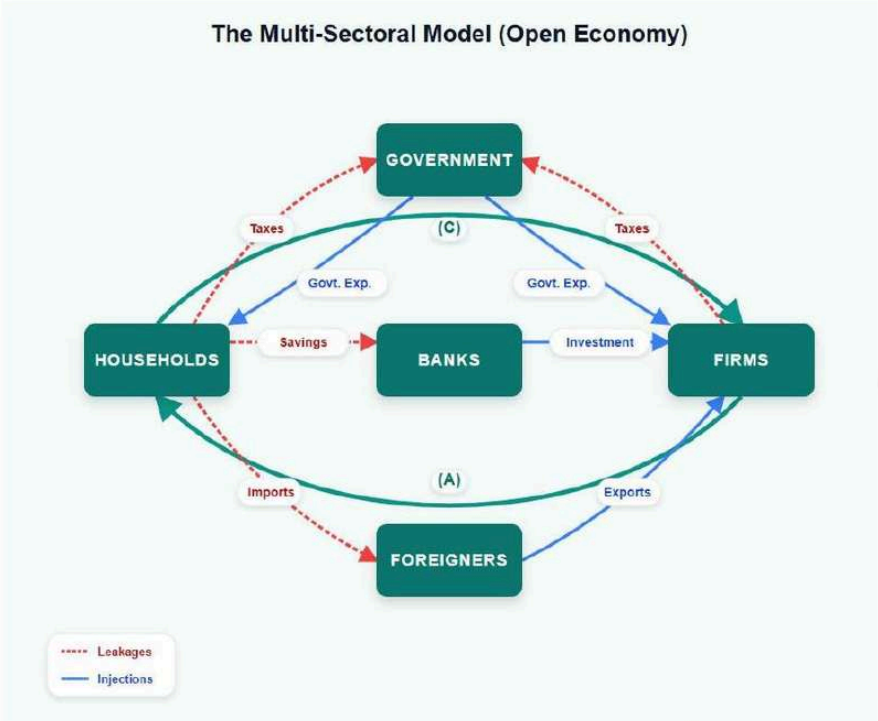
The three flows

Label	Meaning
A · total incomes	Total payments by firms to households for factors: wages + rent + interest + profit
B · total production	Total value of all goods and services produced by firms
C · total expenditure	Total money spent by households on those goods

CFIM states A = B = C. Households spend all they earn (A = C); firms keep no inventory (B = C); firms pay out all expenditure received as factor incomes (whatever is left is profit for the entrepreneurial households).

3 · Multi-sectoral model (MSM): injections and leakages

CFIM assumes no saving, no inventory, no government, no foreign trade and no spending on capital goods. The MSM drops all of these and still arrives at **A = B = C**, but as a **dynamic equilibrium:** the three are always changing, may not be equal at a point in time, but readjust towards each other. "**A will always chase C, and B will always chase A.**" They are **flow variables** measured over a period (usually a year).



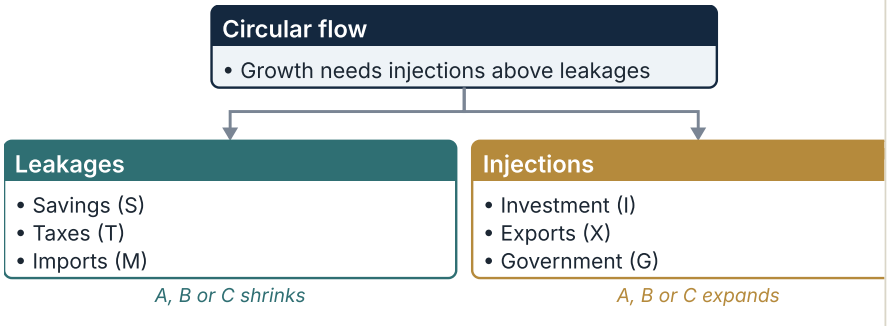
HANDOUT FIGURE The Multi-Sectoral Model (open economy). Households, firms, government, banks and foreigners. Leak more

Leakages and injections

	Items	Effect
Leakages (pull money out)	Savings (S), taxes (T), imports (M)	A, B or C shrinks
Injections (pump money in)	Investment (I), exports (X), government expenditure (G)	A, B or C expands

- **Saving example:** households save, spend less; firms build inventory, produce less next cycle, use fewer factors, pay less income: C falls, then B, then A.
- **Government** is both a special household and a special firm. Spending on goods raises C, then B, then A. Hiring teachers and soldiers raises A, then C, then B. Savings go through banks to firms as investment, again lifting B, C and A. Export demand does the same.
- **The economy grows only if injections exceed leakages.** Over an accounting year the adjustments settle and A = B = C.

LEAKAGES AND INJECTIONS



4 · The three approaches to measuring national income

PYQs for this topic: 1 Prelims · 0 Mains

Three ways to measure the same total

Approach	Formula	What it counts
Income (A)	TI = R + P + W + Int	All payments to factors of production in the domestic territory
Expenditure (C)	TI = AD = C + G + I + X − M	Expenditure **received by domestic firms.** Total spending is C + I + X, but each of C, G and I has a domestic and a foreign pa subtract the foreign parts (total imports M) to get what domes firms received
Production (B)	TI = GDP = Σ VA_i = GVA	Total value of final goods and services produced in a year

GDP word by word

Total value of all final goods and services produced in an economy over a given time

Word	Meaning in the handout
Total	GDP is an aggregate: indifferent to merit versus demerit goods and to wl owns the factors
Value	Not "worth" (which varies by person) but the objectively assessed **price** (transaction value). So only goods and services that have a price count: parent cooking dinner for a child is excluded
Final	Only final goods. Their value already includes intermediates, so counting both is **double counting**
Produced	Counted in the year of **production,** not when or how often sold. Second- hand sales are not counted again, but new services (brokerage, registra repair) are
Economic territory	Production inside the territory, **irrespective of who produces** (residents foreigners)
Given period	A flow variable: a quarter or a year

THE LAND QUESTION

The handout asks: if you buy land worth ₹10 crore in Delhi, what is the effect on GDP? It leaves the question open. By its own rules ("production matters, not the sale") the purchase itself adds nothing; services such as brokerage and registration would.

5 · Economic territory and GNP

The economic territory (ET) mostly coincides with the political territory, **except:**

Where economic territory differs from the map

Counts as India's ET	Does NOT count as India's ET
Enclaves abroad: Indian embassy in Washington, consulate in Dubai, research bases in Antarctica (Bharati, Maitri). Salaries of Indian staff are Indian GDP	**Foreign enclaves in India:** the American embassy in Chanakyapu Japanese consulate in Mumbai: pa of that country's GDP
Ships and aircraft in international transit: an Air India flight over the Atlantic, a Shipping Corporation of India vessel in the Mediterranean	**International organisations in Indi** UN, WHO, IMF offices are "extraterritorial"; their core produc is excluded
Fishing vessels and oil rigs in international waters where India has exclusive exploitation rights (the EEZ)	

GNP is the total value of final goods and services produced by the **nationals** of a country (residents), wherever they are. The handout writes **GNP = GDP + C − B** where C is output by Indians abroad and B is output by foreigners in India, i.e. **GNP = GDP + NFIA** (net factor income from abroad). If nationals produce more outside than foreigners produce inside, GNP exceeds GDP.

> **HANDOUT ALERT: LETTERS REUSED**
>
> In this section the handout reuses the letters B and C for "output by foreigners in India" and "output by Indians abroad", while elsewhere B and C are the production and expenditure flows. **Rule for the exam hall:** write it as **GNP = GDP + NFIA = GDP + (income earned by Indians abroad − income earned by foreigners in India).**

6 · The GVA method: why GDP is counted by value added

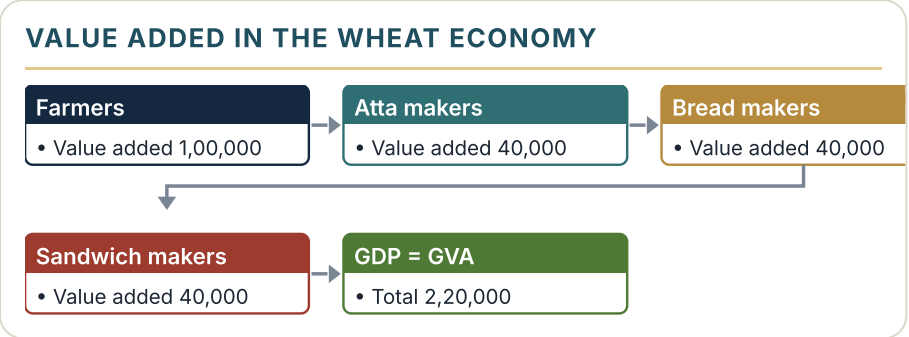
Using GDP = $\Sigma\ P_i \cdot Q_i$ over final goods needs final goods to be separated from intermediates, which is nearly impossible: every producer sees their output as final. Instead, **each producer's value added** is summed: **VA_i = output value − input value.** The total is **GVA, which equals GDP.**

The handout's wheat-atta-bread-sandwich economy (all in rupees)

Producer	Output	Inputs bought	Value added
Farmers (wheat)	1,00,000	0	1,00,000
Atta makers	1,00,000	60,000 wheat	40,000
Bread makers	1,00,000	60,000 atta	40,000

Producer	Output	Inputs bought	Value added
Sandwich makers	1,00,000	60,000 bread	40,000
GDP = GVA			**2,20,000**

Final goods check: wheat 40k + atta 40k + bread 40k + sandwiches 1L = **₹2.2 lakh.** The two methods agree. The proof: the value of any final good equals the total value added by all producers with respect to that good; summing over all final goods gives the total value added by all producers.



7 · Nominal and real GDP; the base year

PYQs for this topic: 1 Prelims · 0 Mains

Valuing output at different prices

	Nominal GDP	Real GDP
Formula	P(current year) · Q(current year)	Q(current year) · P(constant base-year price)
Prices	Current prices	Constant (e.g. previous year or a base year)
Use	Size of the economy at today's prices	Fair comparison of output across years, removing pri changes. **Economic growth = % change in real GDP**

A **base year** provides the constant prices. The handout says the choice dictates the officially measured growth rate. A good base year has two properties:

- **Structurally similar** to the present (the "time machine" problem): the basket produced and consumed should resemble today's. Using 1980 would make telecom impossible to price (no smartphones or 5G then). So it should be as recent as possible, usually updated every **5 to 10 years.**
- **Stable** (avoiding the **base effect**): if 2020, a Covid year, were the base, 2021's recovery would look like 20-25% growth. A base year must be free of droughts, floods, pandemics, wars and policy shocks such as demonetisation. "It should be a boring year."

8 · Market price, basic price and factor cost

Because of government taxes and subsidies, what the buyer pays differs from what the seller receives. Output can be valued at three prices:

Three prices

Price	Meaning	Relation
Market price (MP)	What the **buyer pays:** the sticker price. Closer to the consumer	MP = BP + produc taxes − product subsidies
Basic price (BP)	What the seller actually wants to receive and keep: the "factory gate price"	BP = MP − produc taxes + product subsidies
Factor cost (FC)	The cost attributable to the factors of production: what workers, landowners and capitalists take home. Closer to the producer	FC = BP − produc taxes + productio subsidies

Product versus production taxes and subsidies

	Product T and S	Production T and S
Basis	Levied or given on a **quantity** basis (per unit, per kg, per litre)	Independent of the volume of productic **lump sum**
Exampl es	GST (₹100 good + 18% GST = ₹118 market price, seller keeps ₹100); subsidies on LPG and fertilisers	Land revenue, stamp duties, a municipa factory licence fee; help for setting up i backward region or for small-scale industry

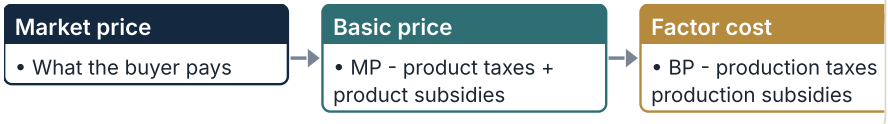
GDP AT THE THREE PRICES

GDP(BP) = GDP(MP) − product taxes + product subsidies, so **GDP(MP) = GDP(BP) + product taxes − product subsidies.**

GDP(FC) = GDP(BP) − production taxes + production subsidies.

Headline form: **GDP = GVA + net product taxes** (GDP at market prices = GVA at basic prices + product taxes − product subsidies).

THREE PRICES, ONE OUTPUT



THE EARLIER SIMPLE VERSION

The handout first introduces GDP(MP) = GDP(FC) + total indirect taxes − subsidies and says this was "nothing wrong" but incomplete: factor cost needs the production-level taxes and subsidies removed as well. **Rule for the exam hall:** use the BP step.

9 · How India estimates GDP

PYQs for this topic: 2 Prelims · 3 Mains

How the NSO estimates GDP

Step 1 · The global rulebook: SNA 2008
UN System of National Accounts. India overhauled its GDP methodology in **2015** to align with it, so that numbers are comparable across years and countries

↓

Step 2 · Slice the economy
NSO under MoSPI defines the economic territory and splits the economy into agriculture, industry and services, then **8 official GVA sectors**

↓

Step 3 · Choose the tool for each sector
Different methods for agriculture, organised corporate and unorganised sectors (below)

↓

Step 4 · Extrapolate
Scale the sample up to the sub-sector using secondary data and assumptions that are reasonable, standardised and replicable

↓

Step 5 · From GVA to headline GDP
Add the 8 sectors to get **GVA at basic prices,** then **GDP(MP) = GVA(BP) + product taxes – product subsidies**

↓

Step 6 · Reality check
Production-method GDP and expenditure-method AD rarely match (different data sources). The NSO gives **primacy to the production method** and adds a balancing **"discrepancy"** to the expenditure side

The eight GVA sectors

#	Sector
1	Agriculture, forestry and fishing
2	Mining and quarrying
3	Manufacturing

#	Sector
4	Electricity, gas, water supply and other utility services
5	Construction
6	Trade, hotels, transport, communication and broadcasting
7	Financial, real estate and professional services
8	Public administration, defence and other services

Method by sector

Sector	Method	Detail
Agriculture	Production method	Satellite data give **total sown area;** multiply by **yield per hectare;** multiply by mandi prices to get gross value
Organised corporate	Value added method using **MCA-21** (Ministry of Corporate Affairs database)	Every registered company uploads audited balance shee and P&L; value added = revenue – intermediate expense The shift to MCA-21 in **2015** replaced the old **Annual Sur of Industries (ASI) establishment approach** (counting factory output) with an **enterprise approach** that also captures R&D labs, marketing and headquarters
Unorganised	**Labour input method** (Effective Labour Input)	Employment surveys (e.g. PLFS) give the **headcount;** a smaller survey gives **value added per worker;** multiply. Example: 10 lakh e-rickshaw drivers × ₹1.8 lakh a year = ₹18,000 crore

The informal sector is estimated at **60-90%** of the economy (the handout's range).

EXTRAPOLATION BY "BLOW-UP FACTOR" (THE RAJENDRA NAGAR COACHING EXAMPLE)

Two sample firms have a combined value added of ₹100 crore (from MCA-21). The NSO needs their share of the market. A survey of 1,000 students finds 400 study at the two firms, so they are 40% of the market.

Total output = 100 crore ÷ 40% = ₹250 crore. If they held 10% it would be ₹1,000 crore; at 50%, ₹200 crore. The same issue arises with Airtel, Jio and Vodafone: Airtel's rent and financial income must not be counted as telecom value added. This is why SNA 2008 rules are needed.

RECENT CHANGES (EARLY 2026): THE NEW BASE YEAR 2022-23

New base year 2022-23, seen as a "normal" post-Covid, post-GST stabilisation year reflecting a service-heavy, digital economy. The older 2011-12 had become distant.

Double deflation adopted for manufacturing and agriculture: inflation stripped separately from inputs and outputs (earlier: single deflation of output only).

High-frequency data directly integrated: GST collections, e-Vahan vehicle registrations, digital transactions.

Supply and Use Tables (SUT) reconcile the production and expenditure methods, reducing discrepancies.

10 · Limitations of GDP

PYQs for this topic: 1 Prelims · 0 Mains

Why GDP only approximates well-being

Limitation	Handout's illustration
Aggregate: ignores composition	Country A produces ₹1,000 crore of schools, hospitals and clean energy; Country B ₹1,000 crore of assault weapons, cigarettes and casinos. Same GDP, very different well-bein (merit versus demerit)
Ignores inequality	10 people, GDP ₹100, per capita ₹10 looks fine, but one hol ₹99 and nine share ₹1
Counts only priced goods and services	Hire a maid and GDP rises; the family does it and it does no India has large non-monetised sectors (subsistence farmin household care), so well-being is understated
Externalities	Cutting a forest raises GDP; a polluting factory raises GDP; inhalers bought for the resulting asthma raise GDP too
Hard to estimate with a large informal sector and black money	Estimates less accurate; comparison unfair
Valued at price	Prices can rise from inflation, higher taxes or lower subsidi which do not improve well-being

MEMORY AID · SIX LIMITS OF GDP

B I C E P S

GDP flexes big BICEPS, yet muscle size is not well-being.

- **B** Black money and a large informal sector make estimates less accurate
- **I** Inequality is ignored: one person can hold ₹99 of ₹100
- **C** Composition is ignored: schools and weapons count alike
- **E** Externalities: a polluting factory and the inhalers both raise GDP
- **P** Prices can rise from inflation, higher taxes or lower subsidies
- **S** Services and goods with no price, like household care, are left out

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

11 · Alternatives to GDP

PYQs for this topic: 0 Prelims · 1 Mains

The eight alternatives

Index	What it is
1 · HDI	Proposed by Amartya Sen and Mahbub-ul-Haq to UNDP (the handout sa **1980**), reported in the Human Development Reports. **Composite of three dimensions:** a long and healthy life (**life expectancy at birth**), knowledg (**expected years of schooling** and **mean years of schooling** for ages 25 decent standard of living (**GNI per capita** in PPP international dollars). Groups: low, medium, high, very high. **India is in the medium category**
2 · IHDI (Inequality-adjusted HDI)	HDI "discounted" for inequality in health, education and income. If perfe equal, HDI = IHDI
3 · GDI (Gender Developme nt Index)	Gender gap in HDI: HDI of women compared with that of men
4 · GII (Gender Inequality Index)	Loss of achievement from gender inequality: reproductive health (mater mortality), empowerment (women in parliament), labour-market participation
5 · GPI (Genuine Progress Indicator)	GDP **plus** unpaid volunteer and household work, **minus** costs of pollutio crime and resource depletion
6 · GNH (Gross National Happiness)	Pioneered by **Bhutan;** rejects pure materialism; **nine domains** including psychological well-being, cultural resilience, community vitality, ecologi diversity
7 · Green GDP	GDP minus the monetary value of environmental degradation and deplet of natural capital
8 · GHI (Global Hunger Index)	100-point severity scale (**0 best, 100 worst**). Four indicators under three dimensions: **inadequate food supply; child undernutrition** (wasting and stunting in under-fives); **child mortality**

WHY GDP IS STILL "KING"

(i) Standardisation and objectivity: built on UN SNA 2008, calculated the same way everywhere; alternatives rely on subjective assumptions (how do you value "happiness"?).

(ii) Data availability: GDP is calculated regularly by almost every country, and can be done **quarterly,** a "real-time heartbeat monitor".

HANDOUT ALERT: THE HDI YEAR

The handout says Sen and Mahbub-ul-Haq proposed the HDI to UNDP in **1980.** The handout also says the HDR has measured it "since then". **Rule for the exam hall:**

treat the year as a detail to verify against your standard reference before quoting; the question is more likely to test the three dimensions.

12 · The family of national income measures

Aggregate measures

Measure	Formula
Income approach	TI = R + P + W + Int
Expenditure approach	TI = AD = C + G + I + X − M
Production approach	TI = GDP = Σ VA_i = GVA
GNP (income of nationals)	GNP = GDP + NFIA
Income from the use side	TI = C + S + T (consumption, savings, taxes)

Average, headline and special measures

Group	Measure	Meaning
Average	**Per capita income (PCI)**	GDP ÷ mid-year population
	GNI per capita	GNP ÷ population, with NFIA = income earned by Indians outside India − income earned by foreigners in India
Headline	**GDP**	GDP(MP), i.e. nominal GDP
	GVA	GVA(BP); GDP(MP) = GDP(BP) + product taxes − product subsid **GDP = GVA + net indirect taxes**
	Economic growth	% change in **real** GDP
	National Income (NI)	**NI = NNP at factor cost = GNP(MP) − indirect taxes + subsidies depreciation**
Special	**Personal income (PI)**	Household income. **PI = NI − incomes not paid to households + other transfers to households.** Subtract corporate taxes (CT), undistributed profits (UP) and net interest paid by households; a transfers by firms or government to households (bonuses, welfa transfers, scholarships)
	Personal disposable income (PDI)	**PDI = PI − personal taxes** (income, property, professional). PDI = consumption + savings

TRANSFERS

Transfers (for example money from a brother in Dubai) are **not income;** they are only a transfer of the right to spend income earned by someone else. Counting them

in GDP would double count. But when the money is spent, it becomes consumption (C), and the circular flow lifts B and A.

Exam traps

Each trap ends with a rule for the exam hall.

HANDOUT ALERT: LETTERS B AND C REUSED

In the GNP section the handout reuses B and C for output by foreigners in India and by Indians abroad, while elsewhere B and C are the production and expenditure flows.

Rule: write GNP = GDP + NFIA = GDP + (income earned by Indians abroad - income earned by foreigners in India).

HANDOUT ALERT: THE HDI YEAR

The handout says Sen and Mahbub-ul-Haq proposed the HDI to UNDP in 1980 and also says the HDR has measured it since then.

Rule: verify the year against a standard reference before quoting; the question more likely tests the three dimensions.

PRELIMS TRAP: NOMINAL RISES, REAL GROWTH DOES NOT

The 2015 PYQ pairs steadily rising real GDP growth with steadily rising GDP at market prices. Nominal GDP rises with prices; real growth does not rise steadily. Answer: 2 only.

Rule: GDP in rupees at market prices can rise just from inflation.

CONCEPT TRAP: BUYING LAND ADDS NOTHING

By the handout's own rules production matters, not the sale. A land purchase adds nothing itself; brokerage and registration services do.

Rule: second-hand sales are not counted again, only the new services around them.

CONCEPT TRAP: TERRITORY IS NOT THE POLITICAL MAP

An Indian embassy abroad, ships and aircraft in transit and rigs in the EEZ count as India's. A foreign embassy or UN office in India does not.

Rule: ask whose enclave it is; extraterritorial bodies are excluded.

PRELIMS TRAP: PRODUCT VERSUS PRODUCTION TAXES

Product taxes and subsidies are per unit (GST, LPG). Production taxes and subsidies are lump sums independent of volume (land revenue, stamp duty).

Rule: BP is MP minus product taxes plus product subsidies; only then use production taxes to reach factor cost.

Past-year questions

6 Prelims and 4 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

2 · Circular flow of income model (CFIM)

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2022 Q216

Which of the following activities constitute a real sector in the economy ?

1. Farmers harvesting their crops
2. Textile mills converting raw cotton into fabrics
3. A commercial bank lending money to a trading company
4. A corporate body issuing Rupee Denominated Bonds overseas

Select the correct answer using the code given below :

a. 1 and 2 only
b. 2, 3 and 4 only
c. 1, 3 and 4 only
d. 1, 2, 3 and 4

▶ Show answer

4 · The three approaches to measuring national income

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2013 Q223

The National Income of a country for a given period is equal to the:

a. Total value of goods and services produced by the nationals.
b. Sum of total consumption and investment expenditure.
c. Sum of personal income of all individuals.
d. Money value of final goods and services produced.

▶ Show answer

7 · Nominal and real GDP; the base year

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2022 Q108

With reference to the Indian economy, consider the following statements:

1. An increase in Nominal Effective Exchange Rate (NEER) indicates the appreciation of rupee.
2. An increase in the Real Effective Exchange Rate (REER) indicates an improvement in trade competitiveness.
3. An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER.

Which of the above statements are correct ?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

9 · How India estimates GDP

2 Prelims · 3 Mains

Read the notes for this topic

PRELIMS

2015 Q221

With reference to India economy, consider the following statements:

1. The rate of growth of real Gross Domestic Product has steadily increased in the last decade.
2. The Gross Domestic Product at market prices (in rupees) has steadily increased in the last decade.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2011 Q224

In the context of Indian economy, consider the following statements:

1. The growth rate of GDP has steadily increased in the last five years.
2. The growth rate in per capita income has steadily increased in the last five years.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only

c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

MAINS (GS-III)

2021 · 10 marks · GDP Methodology

Explain the difference between computing methodology of India's Gross Domestic Product (GDP) before the year 2015 and after the year 2015.

KEYWORDS: GDP methodology · base year · GVA · market price · factor cost

2021 · 15 marks · V-Shaped Economic Recovery

Do you agree that the Indian economy has recently experienced V- shapes recovery? Give reasons in support of your answer.

KEYWORDS: GDP · recovery · reasons · agree

2020 · 10 marks · Potential GDP

Define potential GDP and explain its determinants. What are the factors that have been inhibiting India from realizing its potential GDP?

KEYWORDS: GDP · potential GDP · determinants

10 · Limitations of GDP

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 · Q219

Increase in absolute and per capita real GNP do not connote a higher level of economic development, if

a. industrial output fails to keep pace with agricultural output.
b. agricultural output fails to keep pace with industrial output.
c. poverty and unemployment increase.
d. imports grow faster than exports.

▶ Show answer

11 · Alternatives to GDP

0 Prelims · 1 Mains

Read the notes for this topic

MAINS (GS-III)

2025 10 marks Inequality-Adjusted HDI (IHDI)

Distinguish between the Human Development Index (HDI) and the Inequality-adjusted Human Development Index (IHDI) with special reference to India. Why is the IHDI considered a better indicator of inclusive growth?

KEYWORDS HDI IHDI inequality-adjusted India indicator inclusive growth

Timeline and numbers

- **1980** — HDI proposed by Sen and Mahbub-ul-Haq to UNDP (the handout's date; see alert)
- **2008** — SNA 2008 published by the UN
- **2011-12** — Earlier base year for GDP (replaced by 2022-23)
- **2015** — India overhauls GDP methodology to align with SNA 2008; shift to MCA-21 and the enterprise approach ★
- **2015** — PYQs on real versus nominal GDP and the tax-to-GDP ratio
- **2018** — PYQ: real GNP growth does not mean development if poverty and unemployment increase
- **2022-23** — New base year introduced in early 2026; double deflation and SUT ★

Connects to

Chapter 4: Basic Concepts

The handout calls this chapter the formal start after Chapter 4: final versus intermediate goods, GCF and depreciation (CFC for NDP and NNP) are used here.

Chapter 3: Unemployment

The SNA production boundary decides what counts as employment; the PLFS supplies the headcount for the labour input method.

Chapter 2: Inequality

GDP is blind to inequality; IHDI and the Gini carry the same idea. The handout refers back to "the inequality chapter" for the meaning of income.

Chapter 1: Poverty

The 2018 PYQ links real GNP to poverty and unemployment; HDI and GHI are well-being measures alongside poverty measures.

GST and Budget handouts

Product taxes (GST) move GDP between basic and market prices; taxes and subsidies are the fiscal side of MP, BP and FC.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Annual Survey of Industries (ASI) 2024-25**: MoSPI released ASI results for FY 2024-25.
- **Double deflation in GDP estimation**: Q1 FY27 real GDP grew 7.8% and nominal GDP 10.3%, an implicit GDP deflator of about 2.3%.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. NIA = dashboard. Income is the reward to factors: rent, wages, interest, profit.
2. CFIM: A = B = C with no saving, government or trade. MSM: dynamic equilibrium; A chases C, B chases A.

3. Leakages: S, T, M. Injections: I, X, G. Growth when injections exceed leakages.
4. Income: R + W + P + Int. Expenditure: C + G + I + X − M. Production: GDP = Σ VA = GVA.
5. GDP: total, value (price, priced only), final, produced, in territory, in a period.
6. Territory: embassies abroad, ships and aircraft in transit, rigs in EEZ count; foreign embassies and UN offices in India do not.
7. GNP = GDP + NFIA.
8. GVA method: wheat economy gives ₹2.2 lakh either way.
9. Nominal = current prices. Real = constant prices. Growth = change in real GDP. Base year: structurally similar and stable (avoid base effect).
10. MP = BP + product taxes − product subsidies. FC = BP − production taxes + production subsidies. GDP = GVA + net product taxes.
11. India: SNA 2008 (2015), 8 sectors, agriculture by area × yield × price, corporate by MCA-21, unorganised by labour input; production method has primacy; discrepancy balances.
12. 2022-23 base year, double deflation, GST and e-Vahan data, SUT.
13. Limits: composition, inequality, unpriced work, externalities, informality, inflation. Alternatives: HDI, IHDI, GDI, GII, GPI, GNH, Green GDP, GHI.
14. NI = NNP at FC = GNP(MP) − indirect taxes + subsidies − depreciation. PI = NI − CT − UP − net interest + transfers. PDI = PI − personal taxes.

ECONOMY · GS FOUNDATION · CHAPTER 6

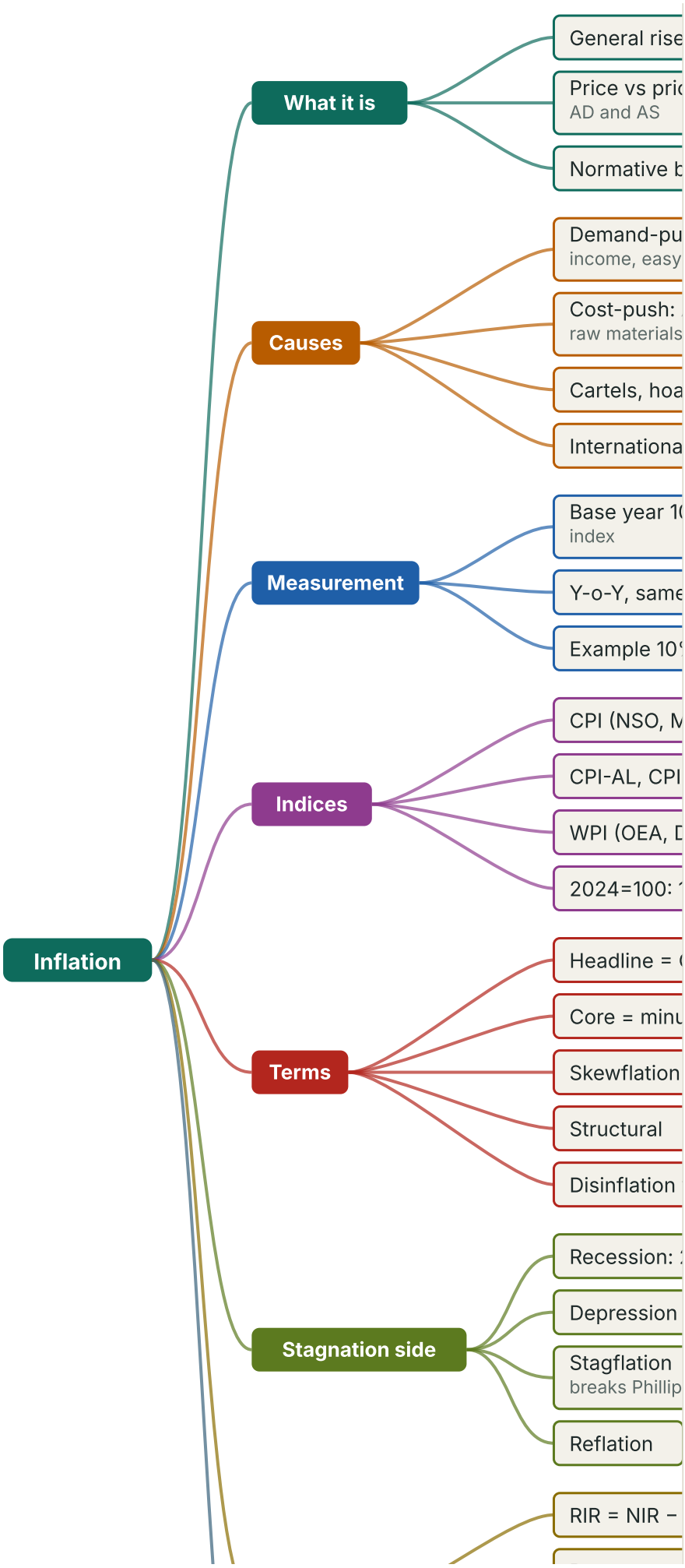
Inflation: Causes, Measurement, Effects and Control

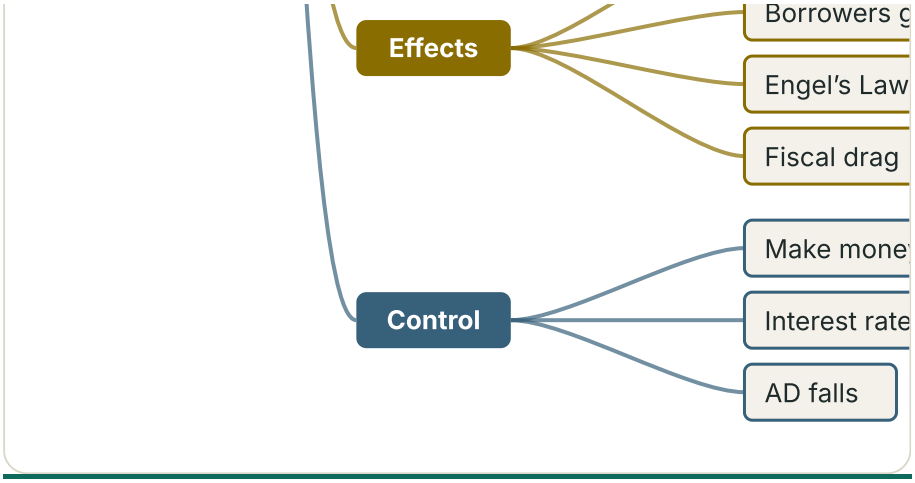
Handout only: no class slides | Handout pages 1-16 | Handout quotes no PYQs | PYQ sheets: 13 Prelims · 1 Mains · Medium

Price versus price level, AD and AS, demand-pull and cost-push causes, how inflation is measured and indexed, CPI and WPI, the 2024 base-year CPI, headline, core and skewflation, hyperinflation, stagflation and the Phillips curve, who gains and loses, fiscal drag, and why control works through the cost of money.

Chapter map

MY NOTES


Inflation
What it is
General rise
Price vs pric
AD and AS
Normative b
Causes
Demand-pu
income, easy
Cost-push:
raw materials
Cartels, hoa
Internationa
Measurement
Base year 1(
index
Y-o-Y, same
Example 10
Indices
CPI (NSO, M
CPI-AL, CPI
WPI (OEA, D
2024=100:
Terms
Headline =
Core = minu
Skewflation
Structural
Disinflation
Stagnation side
Recession:
Depression
Stagflation
breaks Phillip
Reflation
RIR = NIR −



In simple words

IN SIMPLE WORDS

- **Inflation** is a general rise in the **price level**. A rise in one good's price is not inflation by itself.
- Prices rise when **Aggregate Demand (AD) is bigger than Aggregate Supply (AS)**. Demand-pull pushes AD right; cost-push pushes AS left.
- We track a fixed **basket** against a **base year** (index = 100). Inflation is the % change over the **same month** of last year.
- India's **headline** inflation is **CPI-C** with a target of **4% ± 2%**. The new **2024 = 100** series has 12 divisions, 358 items and a food weight of 36.75%.
- **Core** = headline minus food and fuel. Petrol and diesel stay **inside** core.
- Borrowers gain, depositors lose, and the poor are hit hardest (**Engel's Law**). The cure is to **make money expensive**.

Key terms in plain words

Key term	In plain words
Price vs prices	One good's price is set by its own demand and supply; the price level is set by AD and AS.
Aggregate Demand (AD)	Total demand for all goods and services in the economy.
Aggregate Supply (AS)	Total supply of all goods and services that producers make together.
Normative basket	A fixed basket of goods and services for an average person of a target group.
Base year / index	The base-year basket price is set to 100; later baskets are shown against it.
Year-on-year (Y-o-Y)	This month against the same month of the previous year.
Headline inflation	Overall inflation, measured by CPI-C; the news number.
Core inflation	Headline minus food and fuel.
Skewflation	A few items rise fast while most stay stable.
Disinflation	The rate of inflation falls; prices still rise, only slower.

Key term	In plain words
Stagflation	Low growth, high unemployment and high inflation together.
Real interest rate	Nominal interest rate minus inflation.
Fiscal drag	Inflation pushes people into higher tax brackets, which cools demand by itself.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides and no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. The priority below is the handout's own emphasis (definitions, worked examples, and the recent changes in measurement).

What the handout stresses

Signal in the handout	Where	Why it matters
Inflation is a rise in the **price level**, not in one price. Prices rise when **AD exceeds AS**	Sections 1-2	The base of ever cause and every cure
Index = (100 ÷ base-year basket price) × current basket price. Inflation = % change over the same month of the previous year	Section 4	Worked numbers (₹10,000 → ₹15,0 → ₹16,500)
The new 2024 = 100 CPI series (released Feb 2026): 12 divisions, COICOP 2018, food weight 36.75%, 358 items, e-commerce data	Section 5	Recent changes; likely current-aff hook
Headline = CPI-C, target 4% ± 2%, adopted for inflation targeting in 2015; Urjit Patel Committee 2014	Section 6	Facts and dates
Core inflation: headline minus food and fuel; petrol and diesel stay inside core	Section 6	A classic trap
Stagflation breaks the Phillips Curve (A.W. Phillips, UK 1861-1957)	Section 7	Concept plus aut
Fiscal drag: inflation pushes workers into higher tax brackets; an automatic stabiliser	Section 9	Worked table (₹9 → ₹10.8 L)
Real interest = nominal interest − inflation (RIR = NIR − Inflation)	Section 8	Borrowers gain, lenders and depositors lose

WHAT TO PREPARE

Prelims hooks: price versus prices; AD and AS factors; demand-pull versus cost-push; CPI versus WPI (who releases which); the 2024 base and 12 divisions; headline, core, super core, skewflation, structural inflation; deflation versus disinflation; recession versus depression; shrinkflation; stagflation and the Phillips Curve; Engel's Law; fiscal drag.

Mains hooks: why inflation hurts the poor most (Engel's Law); who gains and loses; why a cause-agnostic cure is needed; why cheaper-money policy fuels demand-pull; fiscal drag as an automatic cooling effect; why a lower food weight changes how the RBI reads inflation.

Closing idea: inflation is AD chasing AS; since you cannot fix every cause in time, make money expensive and AD falls.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 13 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Causes of inflation (5 Prelims, 0 Mains); Indices in India and the 2024 base-year CPI (4 Prelims, 0 Mains); Effects of inflation (1 Prelims, 1 Mains).

Prelims years: 2011, 2012, 2013, 2015, 2020, 2021. Mains years: 2019.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · What inflation is, and what it is not

PYQs for this topic: 1 Prelims · 0 Mains

Inflation is a general rise in prices or the price level. A rise in the price of one good may cause inflation but is **not** inflation by itself. People feel inflation when the **overall value of the basket** they buy goes up. Each person has a different basket, so the experience differs (the handout asks how an agricultural labourer in Odisha feels it versus a new joiner in a Bengaluru startup).

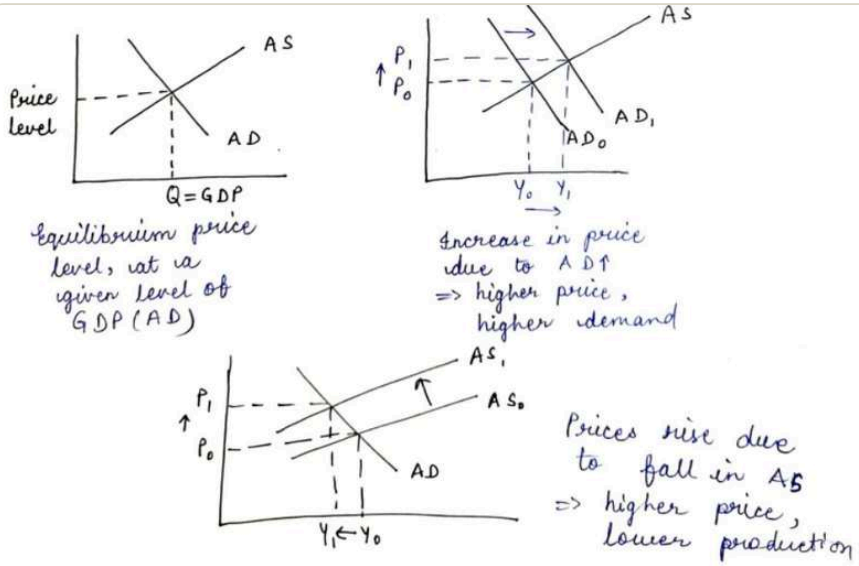
- **Price** is the value at which a single good is exchanged, set by that good's demand and supply.
- **Prices (the price level)** are set by **Aggregate Demand (AD)** and **Aggregate Supply (AS).**
- We cannot measure inflation for each person. We track a **normative basket** reflecting the consumption pattern of a specific group.

2 · AD, AS and the price level

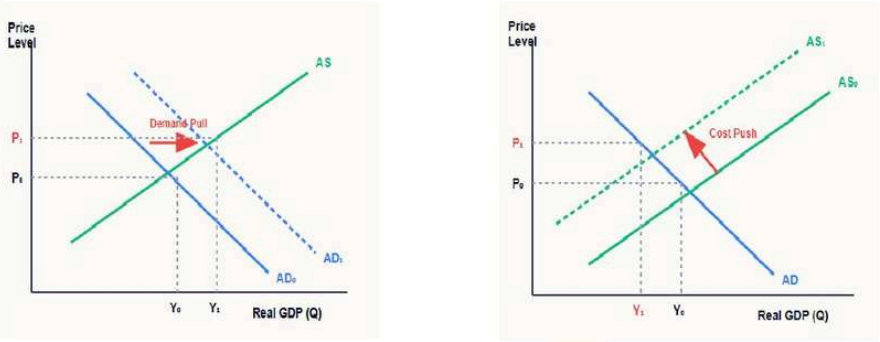
Aggregate Demand versus Aggregate Supply

	Aggregate Demand (AD)	Aggregate Supply (AS)
Meaning	Total demand for all goods and services in the economy, which domestic producers are required to meet	Total supply of all goods and services what all producers produce combined

	Aggregate Demand (AD)	Aggregate Supply (AS)
Depends on	General price level; incomes; spending habits (culture of spending); availability of money (easy loans); size of population	General price level; availability of bas raw materials (coal, iron, oil); skill leve the population; investment in infrastructure, capital goods and R&D
Link to price level	Inversely related: if things become expensive, people demand less	Rises with price level: producers have incentive to produce more (but inputs eventually run out)



HANDOUT FIGURE The teacher's sketches in the handout. Top left: equilibrium price level at a given level of GDP (AD meets more



HANDOUT FIGURE Demand-side inflation: AD shifts right (demand-pull). Supply-side inflation: AS shifts left (cost-push).

RULE

Prices rise when AD exceeds AS: either AD rises for some reason, or AS falls for some reason.

3 · Causes of inflation

PYQs for this topic: 5 Prelims · 0 Mains

Demand and supply factors of any good split into **specific** factors (taste for ice cream) and **general** factors (size of population, income levels, availability of money). Causes of inflation are the **general** factors that shift AD or AS, not the factors of one good.

Demand-side versus supply-side inflation

	Demand-pull (AD shifts right)	Cost-push (AS shifts left)
Trigger	Anything that raises AD	Anything that lowers AS or restricts productio
Examples	Rising income levels; easy money (lower interest rates, cheaper credit); more government spending; rising population; changing spending habits (less saving, more consumption, usually a secondary effect of higher incomes)	Rising cost or non-availability of basic raw materials (crude, metals, coal); higher cost of factors of production (wages, interest on capi low investment (poor infrastructure, no capita goods, poor R&D); falling productivity or failu adopt new skills; poor Ease of Doing Busines (compliance, contract enforcement, weak entrepreneurship culture); frequent disasters disrupting supply chains

Other factors named in the handout:

- **Legal and market distortions:** cartelisation (producers collude to act as a monopoly), hoarding (artificial scarcity), widespread black money (untracked cash).
- **International shocks:** geopolitical tension, war, trade sanctions, disasters, especially in countries we import heavily from (oil producers).

MEMORY AID · DEMAND-PULL: FIVE WAYS AD SHIFTS RIGHT

C H I P S

More CHIPS on the table means more to spend: AD moves right and prices follow.

C Cheap credit: easy money, lower interest rates

H Habits: less saving, more consumption

I Income levels rising

P Population rising

S Spending by government goes up

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

MEMORY AID · COST-PUSH: SIX WAYS AS SHIFTS LEFT

P R I C E D

Why are goods so highly PRICED? Check the six supply-side causes.

P	Productivity falls, new skills not adopted
R	Raw materials costly or not available
I	Investment low: poor infrastructure, R&D
C	Cost of factors: wages, interest on capital
E	Ease of Doing Business is poor
D	Disasters disrupt supply chains

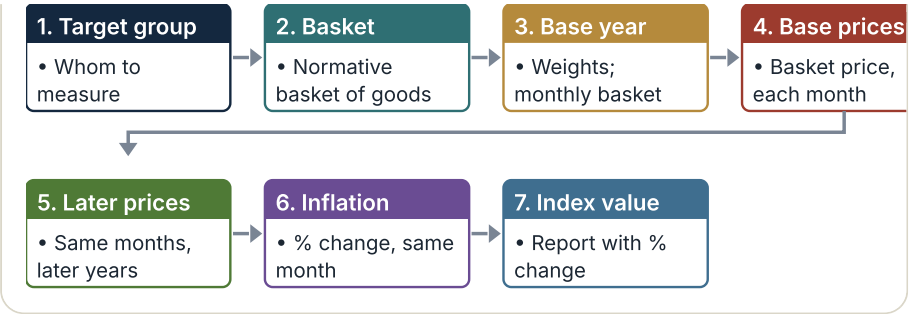
Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

4 · Measuring inflation and the idea of an index

Inflation is the **percentage change in prices** in the current period over the previous period. It is usually reported **year-on-year (Y-o-Y):** the current month against the **same month** of the previous year.

1. Identify the **target group.**
2. Construct a **normative basket** of goods and services for an average person in that group.
3. Choose a **base year.** The basket is built separately for each month to account for seasonality. The importance of each item is its **weight** (% of total expenditure). Most items stay, some enter and exit, and some weights change.
4. Collect the prices of the items for each month of the base year to get the basket's total price.
5. Collect the prices for the corresponding months of later years to get the new basket price.
6. Inflation = **% change** in the basket price in a month of this year over the same month of last year.
7. Communicate the **index value** along with the % change over the year.

SEVEN STEPS TO MEASURE INFLATION



5 · Indexing: why, and a worked example

If the government only said "prices are 4.3% higher than last year", last year would become a moving benchmark. People need a **fixed** base. Also, the raw basket price (like ₹11,345 and ₹18,967) is a meaningless number for a normative basket. So the base-year basket price is set to a clean value, **usually 100.**

The handout's example

Period	Basket price	Index value
Base year (March 2015)	₹10,000	100
March 2025	₹15,000	(100 ÷ 10,000) × 15,000 = **150**
March 2026	₹16,500	(100 ÷ 10,000) × 16,500 = **165**

- **Inflation (March 2026 over March 2025)** = (16,500 − 15,000) ÷ 15,000 × 100 = **10%.**
- An index of **165** means prices are **65% higher** than in the 2015 base year.
- The base year here gives a **constant basket** to compare the cost of living; in Real GDP the base year gives **constant prices** to value output.

6 · Indices in India and the 2024 base-year CPI

PYQs for this topic: 4 Prelims · 0 Mains

Common inflation indices

Index	Variants	Released by
CPI	CPI-Rural, CPI-Urban, CPI-Combined (CPI-C)	National Statistical Office (NSO) under MoSPI
CPI-AL and CPI-IW	Agricultural Labourers; Industrial Workers	Labour Bureau (Ministry of Labour and Employmen
WPI	Wholesale Price Index	Office of the Economic Adviser (OEA), Department Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry

- A working group chaired by **Prof. Ramesh Chand** was constituted to revise the **WPI base year from 2011-12 to 2022-23,** and to recommend a roadmap to switch from **WPI to a Producer Price Index (PPI).**
- India has **no official PPI.** So in **2017** WPI was adjusted to sit closer to **basic prices / factor cost** by **removing indirect taxes,** bringing it nearer to producers' realised prices.

WHO RELEASES WHICH INDEX



In Feb 2026 MoSPI released the new 2024 = 100 base-year series, a structural overhaul, not a routine weight change:

2012 series versus 2024 series (as given in the handout)

Change	2012 series	2024 series
Breakup of "Miscellaneous"	6 groups; a giant "Miscellaneous" bucket (doctor visits, bus fares, school fees) with **28.32%** weight	**12 divisions** under the UN **COICOP 2018** framework; Transport, Health, Education and Communications tracked separately
Engel's Law (food loses its crown)	Food and Beverages weight **45.86%**	**36.75%.** Food is volatile (onion, tomato spikes so headline inflation should be less volatile and give the RBI a clearer demand signal
Digital and service economy	**299** items	**358** items. Removed: VCRs, tape recorders, CI Added: OTT subscriptions, pen drives, attendant/babysitter services, pet products. Fo the first time, prices scraped from **12 major e-commerce platforms; Rural House Rent** introduced

7 · Key terminology

PYQs for this topic: 1 Prelims · 0 Mains

Headline, skewflation, core, structural

Types of inflation measure

Term	Meaning in the handout	Notes and trap
Headline inflation	Overall inflation = **CPI-C.** What the news reports	Adopted as the **primary anchor of Inflation Targeting in 2015.** Shift from WPI to CPI-C recommended by the **Urjit Patel Committee, 2014.** Target set by the **Monetary Policy Framework Agreement at 4%, tolerance ±2%**

Term	Meaning in the handout	Notes and trap
Skewflation	Inflation driven by a few items rising fast while most stay stable. "Skew" means bent or asymmetrical	Gained prominence in India around **2009-201** (Economic Survey): onions and pulses spiked while manufactured goods stayed cheap
Core inflation	Headline minus highly volatile items (**food and fuel**) that authorities cannot immediately control. Also **non-food, non-fuel** inflation	NSO calculates headline; food and fuel are removed to reach core; **RBI calculates the val Petrol and diesel for vehicles are inside core** (under Transport and Communication within Miscellaneous), not in "Fuel and Light"; their prices are controlled through taxation
Super core / refined core	Headline minus food, fuel, petrol, diesel and precious metals	Truest picture of underlying demand
Structural inflation	Caused by structural features (poor infrastructure, bad EODB, skill deficits, supply-chain bottlenecks) that take long to fix	Handout example: political complexity blocks agriculture supply-chain reform, so the curren system stays inherently inflationary

HANDOUT ALERT: WHERE PETROL SITS

Many people assume petrol and diesel are in "Fuel and Light". **The handout puts vehicle petrol and diesel under Transport and Communication, so they are inside core.** Exam-hall rule: core = headline minus food and fuel (Fuel and Light) only; petrol and diesel come out only in **super core.**

Hyperinflation, deflation, disinflation

- **Hyperinflation:** runaway, exceptionally high inflation (galloping, trotting). Costs: **shoe-leather costs** (running to the bank before money loses value) and **menu costs** (constantly updating prices).
  - There is **no consensus** on the criteria separating high from hyper. **Phillip Cagan:** more than **50% per month.** Examples: **Weimar Germany (1923), Zimbabwe (2008).** It is commonly understood as the rate beyond people's normal capacity to bear: the US normal is 1-2%, so 6% looks "hyper" there; India's normal over two decades is 5-6%, so even 9% is "high", not "hyper"; Turkey has had 80-100%.
- **Deflation:** a fall in prices (negative inflation). **Disinflation:** a fall in the **rate** of inflation; prices still rise, but slower, largely a result of **base effect.** Continued disinflation may become deflation.
- **Japan** is the famous modern deflation example: "Lost Decades" since the 1990s; consumers delayed purchases expecting cheaper goods tomorrow.

Recession, depression, shrinkflation

Contraction terms

Term	Meaning	Note
Recession	Contraction in output for **two consecutive quarters**	A rule of thumb. The US **NBER** looks at broade metrics (employment, industrial production, wholesale-retail sales) to declare one
Depression	Severe, prolonged contraction; the economy cannot get back to its original output	No objective criterion. **Great Depression (192** US GDP fell by nearly **30%,** unemployment hit **25%.** "A recession is a speed bump; a depres is a crater"
Shrinkflation	Size or quantity of a good shrinks while the packet price stays the same	Rampant in FMCG. Handout examples: **Parle-** **Maggi** cutting grammage to hold the ₹5 or ₹10 price point

8 · Spirals, stagflation and the Phillips Curve

- **Price-wage spiral:** prices rise, workers demand higher wages, firms pass the wage cost to consumers, a continuous positive feedback loop.
- **Inflation expectations:** a **self-fulfilling prophecy.** If people expect prices to rise, panic-buying today creates shortages and prices actually rise.
- **Reflation:** the government induces inflation (stimulus cheques, tax cuts, lower interest rates) to boost AD and reduce unemployment after a recession or deflation.

> **STAGFLATION**
> **Stagflation = stagnation of output (low growth, high unemployment) + high inflation, together.** Merely a contraction is recession; merely high inflation is hyperinflation. Stagflation needs **both** to be adverse at once.

Normally there is a **trade-off:** fast growth (low unemployment) comes with high inflation, and slow growth (high unemployment) comes with low inflation. This comes from the **Phillips Curve: A.W. Phillips** studied the **UK from 1861 to 1957** and found an **inverse relation between inflation (wage growth) and unemployment.** Points where both were low, or both high, were outliers; the both-high points are the periods of stagflation.

- If inflation is very high, unemployment is probably low, so the policy maker will pay the price of a slight rise in UE to cut inflation. If UE is very high, prices are probably low, so a rise in prices is a bearable cost to cut UE.
- **Stagflation breaks the Phillips Curve:** pursuing either goal worsens the other, which creates **policy uncertainty and paralysis.**

9 · Effects of inflation

PYQs for this topic: 1 Prelims · 1 Mains

Time value of money and real return

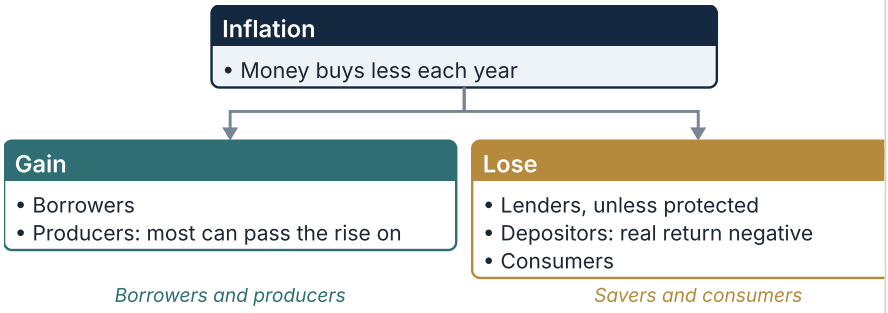
Inflation erodes money's value. If ₹100 bought 1 kg of apples and apples now cost ₹110, ₹1 has gone from 1/100 kg to 1/110 kg. With 10% inflation, **₹110 this year buys what ₹100 bought last year.** Someone with ₹105 is nominally richer but **poorer in real terms.** You need **exactly inflation% extra** to keep your worth.

> **FORMULA**
>
> **Real Interest Rate (RIR) = Nominal Interest Rate (NIR) − Inflation.** Handout example: lent at 10% with 7% inflation, the lender is richer by only **10% − 7% = 3%** in real terms.

Who gains and who loses

Group	Effect	Why
Borrowers	Benefit	Inflation eats into the lender's return and helps shoulder the borrower's burden
Lenders (banks)	Lose, unless protected	Banks protect themselves by (a) charging a high NIR that stays ab inflation, or (b) using a **floating rate:** RIR fixed, NIR = RIR + inflatio
Depositors	Lose	They are lenders to banks with no bargaining power. Deposit rates (the handout says a meagre 2-3%) do not beat inflation, so the re return is generally **negative.** Even fixed deposits hardly beat inflat This does **not** mean keep cash at home: cash loses value at the ra of inflation
Consumers	Lose	Money loses purchasing power
Producers	Generally benefit	Depends on pricing power: necessities have inelastic demand but more competition; luxuries have elastic demand but less competit Most producers can pass on the rise, so profit margins expand

WHO GAINS AND WHO LOSES



10 · Is inflation desirable? Engel's Law and the poor

As a consumer you might prefer deflation, but a healthy economy needs **low and stable** inflation. Low inflation within people's tolerance **keeps producers profitable** so they invest, expand capacity, pay higher wages and create jobs. Stability brings predictability and stops people **delaying** decisions.

> **ENGEL'S LAW (ASTERISKED IN THE HANDOUT)**
>
> **Ernst Engel:** as family income rises, the **% of income spent on food falls,** even if absolute spending on food rises. Corollary: a poor household spends most of its money on necessities like food, whose prices are volatile and whose producers can pass on price rises. So **the poor are disproportionately hit by inflation:** no buffer or luxury spending to cut.

11 · Fiscal drag: how inflation cools itself

In inflation the government collects more **direct and indirect** taxes. Indirect taxes are mostly **ad valorem** (on the value of goods), so the same rate collects more. Direct taxes: a worker who negotiates a raise equal to inflation is pushed into a **higher bracket** under progressive taxation.

The handout's hypothetical (inflation 20%)

	Income ₹9 L	Income ₹10.8 L (+20%)
Slabs (hypothetical)	0-5 L at 10%; 5-10 L at 15%; 10-30 L at 20%; 30 L+ at 25%	Same slabs
Tax	₹50,000 on first 5 L + ₹60,000 on next 4 L = **₹1.1 L**	₹50,000 + ₹75,000 on next 5 L + ₹16,000 on next 80k = **₹1.41 L**
Disposable income	9 − 1.1 = **₹7.9 L**	10.8 − 1.41 = **₹9.39 L**
Change	Post-tax income up **18.8%**	Tax outgo up **28.2%**

Nominal income rose by the full inflation rate (20%), but real disposable income rose only about 18-19%. People pay a larger share of their **increment** as tax. No new tax was imposed; the system does it automatically. People realise they are poorer, cut spending, **AD falls** and prices cool without the government acting. This automatic cooling is **fiscal drag,** acting as an **automatic stabiliser.**

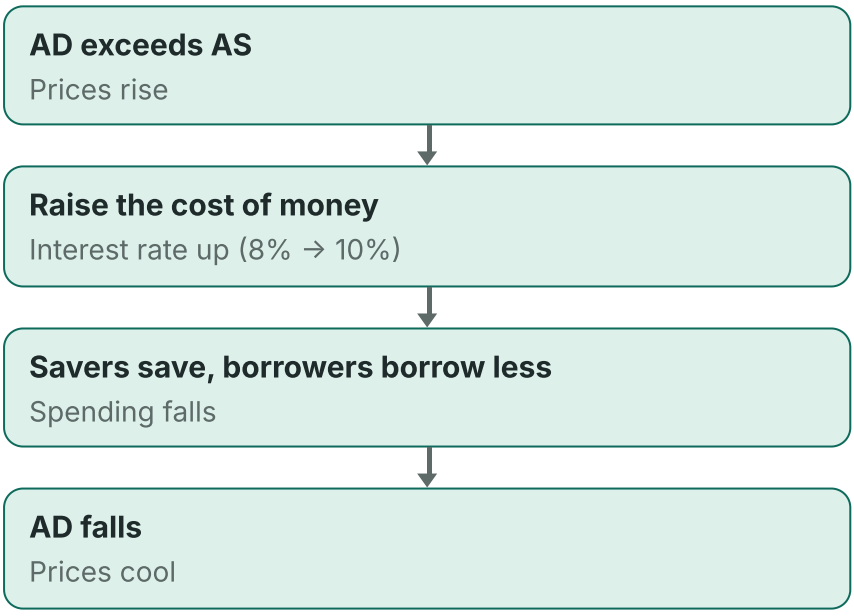
> **HANDOUT ALERT: 18% OR 18.8%**
>
> The table gives **18.8%** for the rise in post-tax income, but the text beneath says "grew by a lesser rate (18%)". Use **about 18.8%** if asked for a number; the point (smaller than 20%) is what the exam wants.

12 · Controlling inflation: why "make money expensive"

PYQs for this topic: 1 Prelims · 0 Mains

- **Two problems:** (1) identifying the cause (price is the collective outcome of many intertwined factors); (2) the ability to fix it (you cannot build roads and ports, or attract capital, in a year). Structural fixes (infrastructure, import resilience, EODB) are necessary but come too late. The solution must be **effective and agnostic of the cause.**
- Inflation is a consequence of **AD exceeding AS.** Bring down AD and prices cool. AD is expenditure using **money.** If money becomes **expensive,** people hold on to it and spend less.
- **The cost of money is the interest rate** (a loan of ₹1 lakh at 8%). Raise it from 8% to 10%: those with money save it for the higher interest, those without cannot afford to borrow. **Both reduce demand,** AD cools and prices fall.
- The price of money, like any price, depends on its **demand and supply.** Reduce the supply of money and its cost rises. **Who does this and how** is the next chapter: money, its demand and supply, and monetary policy.

The handout's logic for controlling inflation



Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: PETROL AND DIESEL ARE INSIDE CORE

Many assume petrol and diesel sit in 'Fuel and Light'. The handout puts vehicle petrol and diesel under Transport and Communication.

Rule: core = headline minus food and fuel (Fuel and Light) only; petrol and diesel come out only in super core.

CONCEPT TRAP: DEFLATION IS NOT DISINFLATION

Deflation is a fall in prices. Disinflation is a fall in the rate of inflation; prices still rise, only slower.

Rule: prices fall = deflation; the rate falls = disinflation.

CONCEPT TRAP: ONE PRICE IS NOT INFLATION

A rise in the price of one good may cause inflation but is not inflation by itself.

Rule: pick the option that says 'general rise' and 'price level'.

PRELIMS TRAP: RECESSION: A RULE OF THUMB

Two consecutive quarters of falling output is a rule of thumb. The US NBER uses broader metrics to declare a recession.

Rule: treat 'two quarters' as the thumb rule, not a legal definition.

HANDOUT ALERT: 18% OR 18.8%

The fiscal-drag table gives 18.8% for the rise in post-tax income but the text beneath says 18%.

Rule: quote about 18.8%; the point is that it is less than 20%.

Past-year questions

13 Prelims and 1 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

1 · What inflation is, and what it is not

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2011 Q236

Economic growth is usually coupled with

a. Deflation
b. Inflation
c. Stagflation
d. Hyperinflation

▶ Show answer

3 · Causes of inflation

5 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2021 Q226

Which one of the following is likely to be the most inflationary in its effects?

a. Repayment of public debt
b. Borrowing from the public to finance a budget deficit
c. Borrowing from the banks to finance a budget deficit
d. Creation of new money to finance a budget deficit

▶ Show answer

2021 Q227

With reference to the Indian economy, demand-pull inflation can be caused / increased by which of the following?

1. Expansionary policies
2. Fiscal stimulus
3. Inflation-indexing wages
4. Higher purchasing power
5. Rising interest rates

Select the correct answer using the code given below:

a. 1, 2 and 4 only
b. 3, 4 and 5 only
c. 1, 2, 3 and 5 only
d. 1, 2, 3, 4 and 5

▶ Show answer

2013 Q231

A rise in general level of prices may be caused by 1. an increase in the money supply

1. a decrease in the aggregate level of output
2. an increase in the effective demand

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

2013 Q232

Which one of the following is likely to be the most inflationary in its effect?

a. Repayment of public debt
b. Borrowing from the public to finance a budget deficit
c. Borrowing from banks to finance a budget deficit
d. Creating new money to finance a budget deficit

▶ Show answer

2011 Q192

India has experienced persistent and high food inflation in the recent past. What could be the reasons?

1. Due to gradual switch over to the cultivation of commercial crops, the area under the cultivation of food grains has steadily decreased in the last five years by about 30%.
2. As a consequence of increasing incomes, the consumption patterns of people have undergone a significant change.
3. The food supply chain has structural constraints.

Which of the statements given above are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

6 · Indices in India and the 2024 base-year CPI

4 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2020 Q228

Consider the following statements:

1. The weightage of food in Consumer Price Index (CPI) is higher than that in Wholesale Price Index (WPI).
2. The WPI does not capture changes in the prices of services, which CPI does.
3. The Reserve Bank of India has now adopted WPI as its key measure of inflation and to decide on changing the key policy rates.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 2 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

2015 Q229

Which of the following brings out the 'Consumer Price Index Number for Industrial Workers'?

a. The Reserve Bank of India
b. The Department of Economic Affairs
c. The Labour Bureau
d. The Department of Personnel and Training

▶ Show answer

2015 Q230

In the Index of Eight Core Industries, which one of the following is given the highest weight?

a. Coal Production
b. Electricity generation
c. Fertilizer Production
d. Steel Production

▶ Show answer

2012 Q235

In India the overall Index of Industrial Production, the Indices of Eight Core Industries have a combined weight of 37.90%. Which of the following are among those Eight Core Industries?

1. Cement
2. Fertilizers
3. Natural Gas
4. Refinery products
5. Textiles

Select the correct answer using the code given below:

a. 1 and 5 only
b. 2, 3 and 4 only
c. 1, 2, 3 and 4 only
d. 1, 2, 3, 4 and 5

▶ Show answer

7 · Key terminology

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2011 Q237

A rapid increase in the rate of inflation is sometimes attributed to the “base effect”. What is “base effect”?

a. It is the impact of drastic deficiency in supply due to failure of crops.
b. It is the impact of the surge in demand due to rapid economic growth.
c. It is the impact of the price levels of previous year on the calculation of inflation rate.
d. None of the statements (a), (b) and (c) given above is correct in this context.

▶ Show answer

9 · Effects of inflation

1 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2013 Q233

Consider the following statements:

1. Inflation benefits the debtors.
2. Inflation benefits the bondholders.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

MAINS (GS-III)

2019 · 10 marks · GDP growth and low inflation

Do you agree with the view that steady GDP growth and low inflation have left the Indian economy in good shape? Give reasons in support of your arguments.

KEYWORDS: low inflation · steady GDP growth · economy in good shape · reasons

12 · Controlling inflation: why “make money expensive”

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2015 · Q33

Which reference to inflation in India, which of the following statements is correct?

a. Controlling the inflation in India is the responsibility of the Government of India only
b. The Reserve Bank of India has no role in controlling the inflation
c. Decreased money circulation helps in controlling the inflation
d. Increased money circulation helps in controlling the inflation

▶ Show answer

Timeline and numbers

1861-1957 — A.W. Phillips studies UK data for the Phillips Curve (inverse relation between inflation (wage growth) and unemployment).

1923	Weimar Germany: the handout's hyperinflation example.
1929	Great Depression: US GDP fell by nearly 30%, unemployment 25%.
2008	Zimbabwe: hyperinflation example.
2009-2010	Skewflation prominent in India (onions, pulses).
2014	Urjit Patel Committee recommends CPI-C as headline instead of WPI. ★
2015	CPI-C adopted as the primary anchor for the Inflation Targeting framework. ★
2017	WPI adjusted: indirect taxes removed so it sits closer to basic prices / factor cost.
Feb 2026	MoSPI releases the new 2024 = 100 CPI base-year series. ★

Connects to

Chapter 5: National Income Accounting

The handout says the base year in inflation gives a constant basket, as in the Real GDP chapter it gives constant prices.

Chapter 3: Unemployment

The Phillips Curve and stagflation link inflation to unemployment; ch3 covers NAIRU and cyclical unemployment.

Chapter 4: Basic Concepts

Necessary versus luxury goods (elasticity) decide the producer's pricing power; normal versus inferior goods connect to Engel's Law.

Chapter 8: Money and Monetary Policy

The handout ends by turning to money, its demand, supply and monetary policy: the cure for inflation.

Budget and Fiscal Policy handout

Government spending drives AD; fiscal drag works through tax brackets.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Flexible Inflation Targeting (FIT): 10 years**: India's Flexible Inflation Targeting framework completed 10 years.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Inflation = rise in price level (not one price). Prices rise when AD exceeds AS. Demand-pull: AD right. Cost-push: AS left.
2. Index = 100 ÷ base price × current price. Example: 10,000 → 15,000 → 16,500: index 150, 165; inflation 10%.
3. CPI by NSO (MoSPI); CPI-AL, CPI-IW by Labour Bureau; WPI by OEA (DPIIT). 2024=100 series: 12 divisions, 358 items, food 36.75% (was 45.86%), Miscellaneous was 28.32%.
4. Headline = CPI-C; target 4% ± 2%; adopted 2015; Urjit Patel Committee 2014. Core = minus food and fuel; petrol and diesel stay in core.
5. Disinflation: rate falls, prices still rise. Deflation: prices fall. Recession: 2 quarters. Depression: severe and prolonged.
6. Stagflation: low growth + high inflation; breaks the Phillips Curve (Phillips, UK 1861-1957).
7. RIR = NIR − inflation. Borrowers gain; lenders and depositors lose. Engel's Law: the poor are hit hardest.
8. Fiscal drag: higher bracket, more tax, AD falls: an automatic stabiliser.

MY NOTES

9. Control: raise the cost of money (interest rate), AD falls, prices cool.
10. Blank page: draw AD-AS with AD shifting right, then AS shifting left, and label the new price level.

ECONOMY · GS FOUNDATION · CHAPTER 7

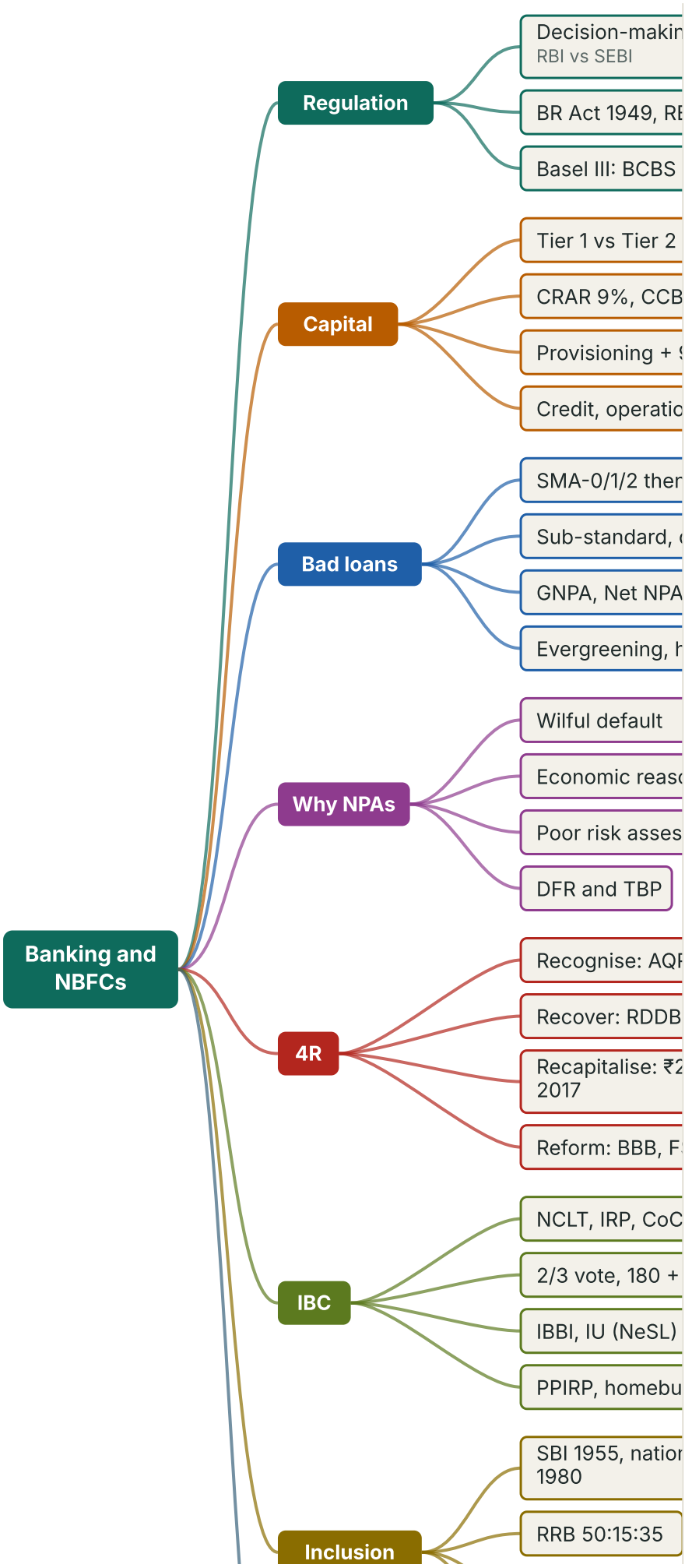
Banking and NBFCs: Regulation, NPAs, IBC and Financial Inclusion

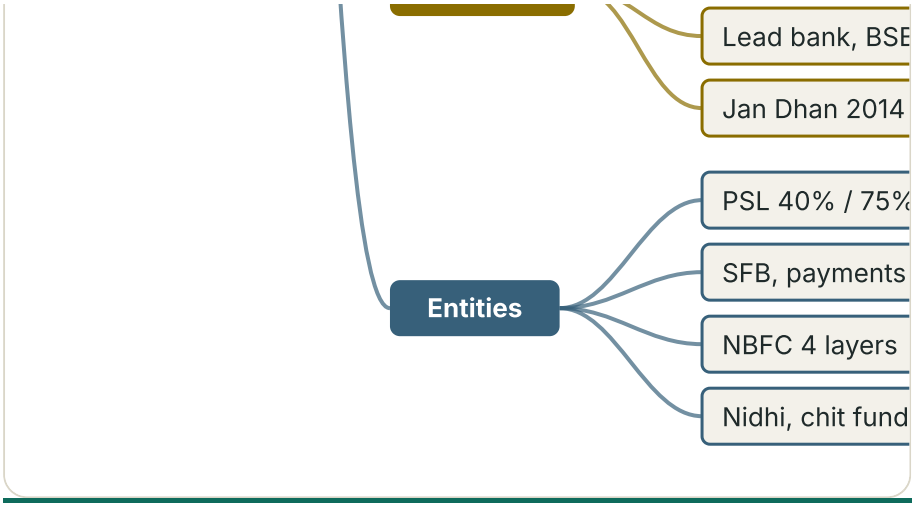
Handout only: no class slides | Handout pages 1-33 | Handout quotes no PYQs | PYQ sheets: 35 Prelims · 2 Mains · High

Why banks are regulated, Basel norms and capital, provisioning and CRAR, SMA and NPA classes, the 4R strategy (AQR, RDDB, SARFAESI, IBC, recapitalisation, reforms), financial inclusion from 1955 to Jan Dhan, priority sector lending, types of banks and the NBFC framework.

Chapter map

MY NOTES


Banking and NBFCs
Regulation
Decision-makin
RBI vs SEBI
BR Act 1949, RE
Basel III: BCBS
Capital
Tier 1 vs Tier 2
CRAR 9%, CCB
Provisioning + S
Credit, operatio
Bad loans
SMA-0/1/2 ther
Sub-standard,
GNPA, Net NPA
Evergreening, h
Why NPAs
Wilful default
Economic reas
Poor risk asses
DFR and TBP
4R
Recognise: AQR
Recover: RDDB
Recapitalise: ₹2
2017
Reform: BBB, F
IBC
NCLT, IRP, CoC
2/3 vote, 180 +
IBBI, IU (NeSL)
PPIRP, homebu
Inclusion
SBI 1955, natior
1980
RRB 50:15:35



In simple words

IN SIMPLE WORDS

- Banks are **decision-taking** intermediaries, so the **RBI** regulates them so that the **bank, not the depositor**, carries lending risk. **SEBI** looks after decision-facilitating ones.
- **Basel III** asks for capital against three risks. **CRAR = Capital / Risk Weighted Assets, at least 9%** (Basel 8%), plus a **2.5%** buffer. Riskier loans use up capital faster.
- Overdue loans climb **SMA-0, 1, 2**, then become an **NPA** after **90 days**: sub-standard, doubtful, loss.
- The **4R** cure: **Recognise** (AQR), **Recover** (RDDB, SARFAESI, IBC), **Recapitalise** (₹2.11 lakh crore bonds) and **Reform** (governance).
- **Financial inclusion** moved from nationalisation to specialised banks to **Jan Dhan (2014)**. **PSL** is **40%** of ANBC, or **75%** for RRBs, co-operative banks and SFBs.
- **NBFCs** lend like banks but cannot take demand deposits or issue cheques; they now sit in **four layers**.

Key terms in plain words

Key term	In plain words
Decision-making intermediary	A bank or NBFC that decides about the supplier's money and bears the risk.
Skin in the game	The bank must have its own money at risk, not only the depositor's.
Tier 1 capital	Core capital: equity, founders' money and retained profits.
Tier 2 capital	Supplemental capital: subordinated debt that must eventually repaid.
CRAR	Capital divided by Risk Weighted Assets; RBI asks at least 9%
Provisioning	Setting aside a % of a loan's value from capital against that loan's risk.
SMA	Special Mention Account: an overdue loan that is a red flag bu not yet a bad loan.
NPA	A loan with principal or interest overdue for more than 90 day

Key term	In plain words
GNPA and Net NPA	GNPA is total NPA loans; Net NPA is GNPA minus provisioning
Evergreening	Abusing restructuring to avoid recognising NPAs.
Haircut	The bank reduces an asset's value to free capital; the right to recover stays.
Twin Balance Sheet Problem	A stressed borrower's balance sheet stresses the bank, whicl then deepens the borrower's trouble.
CIRP	Corporate Insolvency Resolution Process under the IBC.
Committee of Creditors	The body in which financial creditors vote on sale, restructuri or liquidation.
ANBC	Adjusted Net Bank Credit, the base for priority sector lending targets.
Payments bank	Takes deposits and handles remittances but gives no loans or credit cards.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (worked examples, asterisks, "Quick Reference of timelines").

What the handout stresses

Signal in the handout	Wher e	Why it matters
Banks are **decision-taking** intermediaries; regulation makes the **bank, not the depositor,** bear lending risk. **RBI** is the key regulator (**SEBI** for decision-facilitating ones)	Secti ons 1-2	The logic c the whole chapter
CRAR ≥ 9% (Basel 8%), **CCB 2.5%,** Tier 1 versus Tier 2, three risks (credit, operational, market)	Secti on 3	Numbers a a worked example
SMA-0/1/2 (introduced **2014**), **NPA** at 90+ days, sub-standard, doubtful, loss; provisioning ~15%, 25-100%, 100%	Secti on 4	Classificati ladder
4R: Recognise, Recover, Recapitalise, Reform. AQR 2013 proposed, from 2015; **₹2.11 lakh crore** recap bonds in **Oct 2017**	Secti on 6	Dates and amounts
SARFAESI 2002 exclusions; **IBC 2016** creditor-in-control; CoC, 2/3 vote, 180 + 90 days (330 now)	Secti on 6	Statutory detail
Financial inclusion timeline: 1955, 1969, 1975, 1980, 1992, 2005, 2006, 2011, **Aug 2014 PMJDY,** 2015	Secti on 7	The hando own "Quicl Reference'
PSL: **40%** of ANBC; **75%** for RRBs, co-operative banks, SFBs	Secti on 8	Number tra
Payments bank cannot lend; SFB 75% PSL; NBFC 4-layer SBR (2022)	Secti on 9	Differentiat entities

WHAT TO PREPARE

Prelims hooks: CRAR, CCB, Tier 1 and 2, risk-weighted assets; SMA versus NPA; Net NPA and PCR; AQR; CRILC (₹5 crore); DRT, SARFAESI (what it excludes), IBC bodies (IBBI, NCLT, NCLAT, IU, CoC, IRP); recap bonds 2017; P.J. Nayak and BBB, FSIB; PMJDY; RRB 50:15:35; PSL targets; SFB and payments bank limits; NBFC layers; Nidhi and chit funds.

Mains hooks: why regulate banks; how capital norms transfer risk; reasons for NPAs and why PSBs had more; twin balance sheet problem; evaluate the 4R strategy; IBC achievements and challenges; why PSB governance failed (the "Three Cs"); financial inclusion strategies and their limits.

Closing idea: regulation does not stop banks taking risk; it makes them carry it with their own money.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 35 Prelims and 2 Mains questions map to this chapter.

Most-asked topics: Banking and its regulation (10 Prelims, 0 Mains); Financial inclusion (8 Prelims, 2 Mains); Types of banks and financial entities (9 Prelims, 0 Mains).

Prelims years: 2004, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2024. Mains years: 2016, 2022.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · Capital markets and intermediaries

Capital markets are the **markets of money.** Money is exchanged for a **promise,** a **contract** (Indian Contracts Act, 1872: an agreement enforceable in a court of law). Two broad types:

Debt versus equity contracts

	Debt	Equity
Meaning	Money given is to be **repaid,** generally with interest in a promised period	Money is **not paid back;** the supplier gets **rights** (decisions, appointments, partial ownership of assets and incomes)
Examples	Bank loans, bonds	Shares

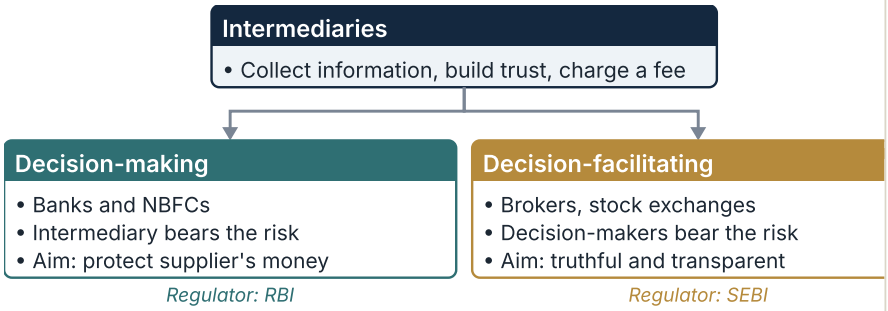
Intermediaries collect and spread information, improve trust and give convenience (creating, standardising and registering contracts), for a fee.

Two kinds of intermediary

	Decision-making	Decision-facilitating
Examples	Banks and NBFCs	Brokers, stock exchanges
Who decides about the money	The intermediary, not the supplier	The decision-makers (demander and supplier) themselves
Risk	The intermediary bears (or should bear) the risk, so it takes most of the reward	Borne by the decision-make
Regulation aims at	Making sure the supplier's money is not put at risk; **RBI** is the key regulator	Being truthful, transparent a non-partisan; **SEBI** is the ke regulator

This unit therefore has two parts: **banks and NBFCs,** and **capital (stock) markets** (the next chapter).

TWO KINDS OF INTERMEDIARY



2 · Banking and its regulation

PYQs for this topic: 10 Prelims · 0 Mains

A bank's business is "**heads I win, tails you lose**": the bank keeps the interest while the **depositor's** money is at risk. That violates a fair transaction, so the bank must have **skin in the game.** A healthy banking system attracts deposits and keeps **credit** ("the lifeline of any economy") flowing.

- **Key laws:** Indian Contracts Act 1872; Negotiable Instruments Act 1881; **RBI Act 1934; Banking Regulation (BR) Act 1949** (the key act, makes RBI the regulator); Companies Act 1956/2013.
- **BR Act, section 5:** "banking" = accepting deposits from the public for lending or investment, repayable on demand or otherwise, **withdrawable by cheque, draft, order or otherwise.** A banking company needs an **RBI licence;** only licensed entities may use the word "bank".
- **Regulations cover:** depositor protection; reserve ratios; declarations on loans, stress and capital; senior appointments; Board independence from shareholders; promoters' minimum capital; regular RBI audits.

CRR and SLR are **deposit-side** regulations. Lending-side rules are also needed, in two forms: **recognition of risks** and **preparation for them.** The bank itself will not recognise risk honestly, so the **central bank** must do it.

3 · Basel norms, capital, provisioning and CRAR

PYQs for this topic: 2 Prelims · 0 Mains

To avoid compliance burden and **regulatory arbitrage** (registering where rules are weakest), central banks coordinate through the **BIS** (Bank of International Settlements, Basel, Switzerland) and its **BCBS** (Basel Committee on Banking Supervision), which issues **prudential (Basel) norms.** The current norms are **Basel III (2008)** per the handout.

The three risks Basel III recognises

Risk	Meaning	Affects
Credit risk	Risk of a particular loan: borrower's or sector's	One loan
Operational risk	IT hacking, key employees resigning, a strike	All loans equally
Market risk	External factors: wars, oil spikes, disasters, failure of other banks	The entire balar sheet

WHY BASEL III (ASTERISK IN THE HANDOUT)

Basel I and II **failed spectacularly in the 2008 Global Financial Crisis** because they grossly underestimated **market and operational risk.** Basel III was designed to ensure banks have enough capital to survive a 2008-level panic.

What "capital" means for a bank

Capital is the business's **own money,** over which it has a high degree of control. A firm raises it through **equity and debt** (both are **liabilities** for the firm and assets for the holder). **Deposits are not capital:** the depositor gives money for safety, with limited consent to lend it. Deposits are **pure liabilities.**

Tier 1 versus Tier 2 capital (Basel III)

	Tier 1 (core capital)	Tier 2 (supplemental)
Made of	Equity, founders' money, retained profits	Subordinated debt that must eventuall repaid
Control	Highest, permanent	Lesser

Preparation is in two parts: **(a)** against individual loans by **provisioning** (credit risk); **(b)** for the bank overall by the **minimum capital requirement** (operational and market risks).

- **Provisioning:** RBI sets a default risk by sector (from historical default data) and a **provisioning ratio.** The bank sets aside that % of the loan value from its capital.

- **Minimum capital:** the **Capital Adequacy Ratio (CAR),** measured as **CRAR = Capital ÷ Risk Weighted Assets ≥ 9%. RBI asks 9%; Basel requires 8%.** RWA = Risk × loan value. So **Capital ≥ 9% of RWA,** or RWA ≤ Capital ÷ 9%. A bank has capital and gives loans: **capital limits how much it can lend.**
- **Capital Conservation Buffer (CCB): 2.5% of RWA,** to protect the 9% line in times of stress. A loan can worsen (risk and provisioning rise), so a bank well capitalised at lending may not stay so.

The handout's farmer example (₹10 L agriculture loan; risk 20%, provisioning 3%)

Step	Calculation	Amount
Provisioning	3% × ₹10 L	₹30,000
RWA	20% × ₹10 L	₹2 L
Minimum capital	9% × ₹2 L	₹18,000
Total capital needed	30,000 + 18,000	**₹48,000** to put ₹10 L of depositors' money a risk

The hypothetical bank: lendable deposits ₹5 Cr, available capital ₹10 L, CRAR 9%. Required capital builds up loan by loan:

Capital used loan by loan (from the handout's table)

Borrower (sector)	Loan	Risk	Provisioning	Cumulative capital required	Adequate (₹ L)?
P1 (Agri)	₹20 L	20 %	4%	₹1,16,000	Yes
P2 (MSME)	₹30 L	30 %	6%	₹3,77,000	Yes
P3 (Home loan)	₹30 L	10%	2%	₹4,64,000	Yes
P4 (Car loan)	₹15 L	15%	3%	₹5,29,250	Yes
P5 (Credit card)	₹12 L	90 %	25%	₹9,26,450	Yes
P6 (Agri)	₹20 L	20 %	4%	₹10,42,450	No, cannot l
P7 (Car)	₹20 L	15%	3%	₹11,29,450	No, cannot l

- Risky lending eats capital quickly: the **₹12 L credit-card loan (P5) takes ₹3,97,200** of capital, while the safer **P6 + P7 (₹42 L of loans) needs only ₹1.16 L + ₹0.87 L = ₹2.03 L.**
- **RBI does not ban risky lending.** It says: you have your own money, take all the risk you want. Regulation makes sense for banks to **prefer many low-risk loans,** so capital lasts and most lendable deposits are used.
- **Dynamism:** as borrowers repay, the asset value falls and required capital falls, freeing capital to lend more. When some borrowers default, their risk is reassessed upwards and provisioning rises.

HANDOUT ALERT: PROVISIONING AND CRAR FIGURES

The farmer example uses provisioning of **3%** for a 20% risk, while the table row P1 (also agri, also 20% risk) uses **4%.** The handout never reconciles them. Exam-hall rule: use the numbers **given in the question;** remember only the method: provisioning + 9% × (risk × loan).

4 · Bad loans: SMA, NPA classes and ratios

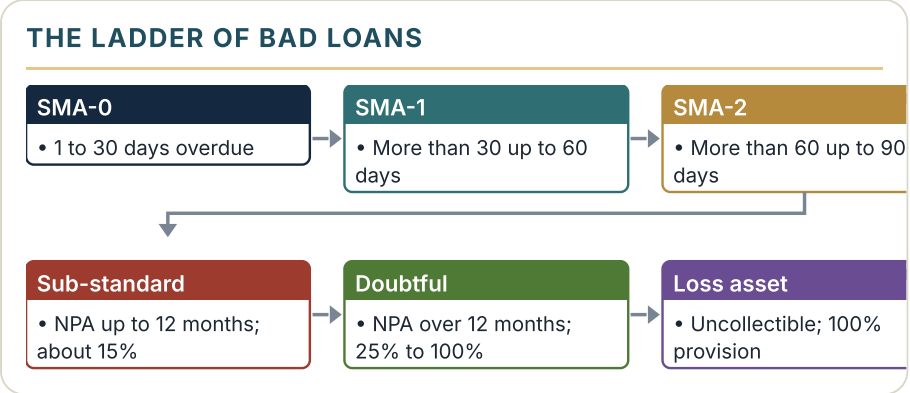
PYQs for this topic: 1 Prelims · 0 Mains

A loan is **overdue** when principal or interest or both are not repaid by the due date. The longer the overdue period, the worse the loan and the more capital it needs.

The ladder of bad loans

Class	Overdue period	Notes
SMA-0	1 to 30 days	Special Mention Account: technically not a bad lo a **red flag.** Introduced **2014**
SMA-1	More than 30 up to 60 days	RBI's central database **CRILC** is alerted at SMA-1 SMA-2
SMA-2	More than 60 up to 90 days	Early Warning System
NPA (more than 90 days)	Principal or interest or both overdue more than 90 days	Before 2014 a loan was either "Standard" (0-89 days) or NPA (90+). Banks exploited it: default 88 days, pay one EMI on day 89, clock resets
NPA 1: Sub-standard	NPA for **less than or equal to 12 months** (from 31 Mar 2005)	Well defined credit weaknesses; possible loss. Provision **~15%**
NPA 2: Doubtful	NPA for **more than 12 months**	Collection in full highly questionable. Provision **25 to 100%**
NPA 3: Loss asset	No time criterion	Considered uncollectible, not written off. Generall classed so about **two years** after doubtful. Provis **100%.** Threatened security can be classed doubt or loss at once

- **Restructured loans:** renegotiated terms (lower interest, longer tenure, more security, lower or paused EMI). Standard practice for genuine difficulty, but they must be recognised separately. **Stressed assets = GNPAs + restructured assets.**
- **GNPA** = total loans classified NPA (as % of total loans). **Net NPA = GNPA − provisioning. PCR (Provisioning Coverage Ratio)** = capital as a proportion of GNPAs.
- **Evergreening:** restructuring abused to avoid recognising NPAs and keep capital free. Hence RBI's transparency rules (AQR).
- **Haircuts and write-offs:** the bank first reduces asset value (haircut) and then to zero (write-off) to free capital. **Not a waiver:** the right to recover stays; it is an accounting step to remain in business.



5 · Why NPAs arise, and what they do

PYQs for this topic: 1 Prelims · 0 Mains

Reasons for NPAs

Type	Details
A. Wilful default (able to repay but does not)	a) diverting the loan to another purpose; b) diverting it to another en (company or person); c) fraudulently disposing of pledged securitie
B. Economic reasons	General slowdown; sectoral slowdown (structural, industry or technology change); geopolitical (sanctions, tariffs, war, blocked tra routes, export-market recession); acts of God (floods, droughts, pandemics); government policy changes (withdrawn incentives, incentives to a competitor sector)
C. Poor risk assessment	Economic reasons hit all banks equally, so similar NPAs are expecte some banks (PSBs, historically, versus private banks) have much hi NPAs, the reason is **poor risk assessment**

Consequences

Term	Meaning
Double Financial Repression (DFR)	Problem in the **bank's** balance sheet: assets become NPAs and yiel nothing, while liabilities (deposits) stay unrelenting; more provisioni cuts its ability to turn liabilities into assets
Twin Balance Sheet Problem (TBP)	Borrower's balance sheet is stressed, so the bank faces DFR; the bank's stress then deepens the borrower's problem (selling pledgec assets at a haircut, higher interest on other borrowers), spreading t others
Loss of trust	Bank runs, bank collapse, ultimately collapse of the financial systen

6 · The 4R strategy: Recognise, Recover, Recapitalise, Reform

PYQs for this topic: 2 Prelims · 0 Mains

India went through, in the handout's words, "amongst the most severe banking crisis in its post independence period." The government and RBI used the **4R framework: 1. Recognise** the true extent; **2. Recover** as much as possible; **3. Recapitalise** the banks; **4. Reform** the banking system.

THE 4R STRATEGY

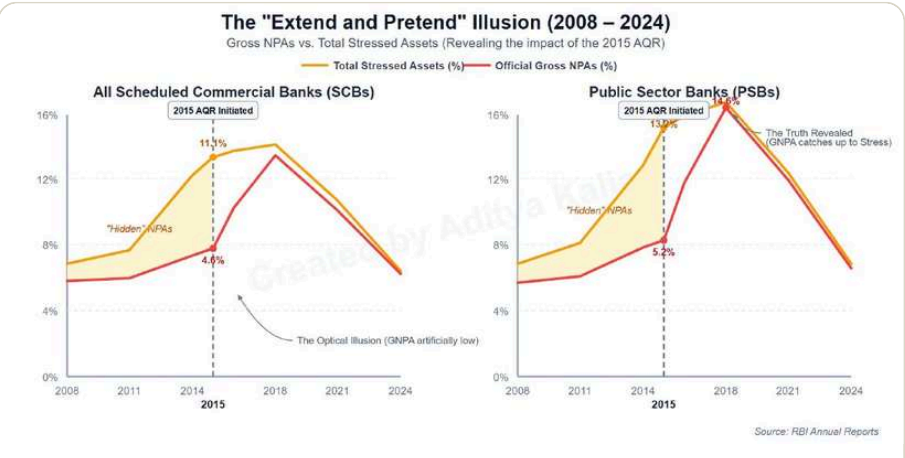
1. Recognise	2. Recover	3. Recapitalise	4. Reform
• AQR from 2015; CRILC above ₹5 Cr	• RDDB 1993, SARFAESI 2002, IBC 2016	• ₹2.11 Lakh Cr bonds, Oct 2017	• Nayak BHC id BBB then FSIB

R1 · Recognition

- NPAs fell from **2002 to about 2008** on rapid growth. After 2008 stress rose but was shown as **restructured loans,** not NPAs (evergreening).
- **AQR (Asset Quality Review)** proposed by RBI in **2013,** implemented from **2015:** banks had to recognise stressed assets in the right category and stop unnecessary restructuring. NPAs reached **18% in PSBs** and overall about **12% until 2017** (as the handout words it).
- **CRILC** (Central Repository of Information on Large Credits) tracks exposures above **₹5 Crore.**

The "Statistical Illusion" and recovery (numbers in the handout)

Date	Number
By 2014	PSB advances had nearly tripled after the 2008 crisis
March 2015	Official **GNPA 4.6%** for the system, but **Stressed Assets 11.1%** (PS **13.2%**)
2015 → March 2018	PSB GNPA ratio spiked from roughly 5% to a peak of **14.58%**
March 2021	GNPA **7.3%**
March 2024	GNPA **2.8%**
September 2024	GNPA of scheduled commercial banks a **12-year low of 2.6%;** Ne NPAs **0.6%**



HANDOUT FIGURE The "Extend and Pretend" Illusion (2008-2024), from the handout: Gross NPAs against Total Stressed more

HANDOUT ALERT: THREE NPA NUMBERS

The text says NPAs reached "18% in PSBs" and the next paragraph says the PSB GNPA peaked at **14.58%** (March 2018). It also says "current NPAs at less than 2%" (recapitalisation section) while the latest figure given is **2.6% (Sept 2024).** Exam-hall rule: quote **14.58%** (PSB peak) and **2.6%** (Sept 2024) with the month; treat 18% and "below 2%" as loose figures.

R2 · Recovery: RDDB, SARFAESI, IBC

Banks have contractual rights under the Contracts Act, but courts are slow; low recovery cuts lending and trust. Three laws tried to raise recovery:

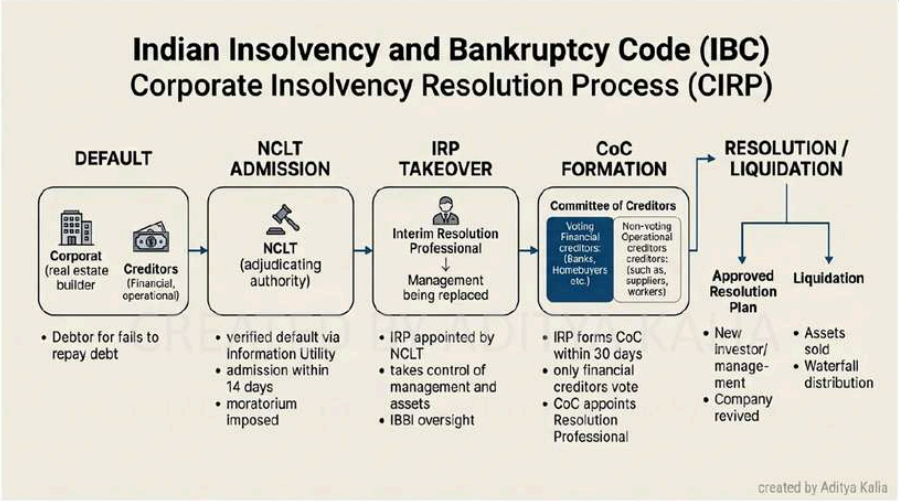
Three recovery laws

	RDDB Act, 1993	SARFAESI Act, 2002	IBC, 2016
Full name	Recovery of Debt due to Banks	Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest	Insolvency and Bankruptcy Code
What it did	Set up **DRT** and **DRAT** for expert, quick resolution	Explicitly recognised lenders' rights on **secured loans:** securitisation, asset reconstruction, enforcement of security	Time-bound resolution; **creditor control** model: creditors get contr the borrower's ass immediately
Limit	Conflict with the regular courts: defaulters got **stay orders;** recovery stayed low (~10%)	Only secured loans; **not agricultural loans** (farm land cannot be seized); not small remaining dues (**under ₹1 lakh**); not if **80% or more** of the principal is repaid	Only the **corporate** process (CIRP) is notified and operational

SARFAESI secured creditors: scheduled commercial banks (PSBs, private, foreign); co-operative banks; notified **NBFCs with asset size of ₹100 Crore or more;** Asset Reconstruction Companies (ARCs); debenture trustees for secured bonds.

- **Securitisation (SARFAESI sense):** a bank sells its bad loans to an **ARC;** the ARC pays by issuing **Security Receipts (SRs)** to Qualified Institutional Buyers or gives SRs to the bank. The bank's books are cleaned and the ARC takes the right to seize the collateral. (In general: turning illiquid assets into tradable securities, e.g. pooling 10,000 home loans into a mortgage-backed security.)
- **Asset reconstruction:** restructuring; **converting debt into equity;** splitting debt into sustainable and unsustainable parts; selling debt to ARCs.
- Post-SARFAESI recovery rose to around **10-14%** per the handout's narrative; still too slow, which led to IBC.

The IBC process (CIRP)



HANDOUT FIGURE The handout's IBC / CIRP chart: Default; NCLT admission (verified default via Information Utility, admission more

1. A debtor defaults on some or all creditors (financial or operational). Creditors approach the **adjudicating authority: NCLT** for a corporate defaulter, **DRT** for a non-corporate one. Appeals go to **NCLAT.** Only the corporate process (**CIRP**) is operational.
2. The AA gives **14 days' notice,** then CIRP starts.
3. If the debtor fails to pay in 14 days, NCLT appoints an **IRP (Interim Resolution Professional),** who takes over management; the existing management (owner) is removed. **IBBI** regulates IRPs, IPs and CIRPs.
4. The IRP consults **Information Utilities (IUs)** and forms the **Committee of Creditors (CoC)** within **30 days.**
5. CoC has financial and operational creditors, but **only financial creditors vote.** The CoC appoints an **Insolvency Professional (IP)** who proposes plans (haircuts, debt-to-equity, new management, changing the business, monetising assets). A plan needs **2/3 of creditors by credit value** and must be agreed within **180 days.**
6. A special extension of at most **90 more days** can be granted: **30 + 180 + 90 = 300 days** (**revised to 330 days** now).
7. An agreed plan goes to **NCLT** for legal validity, and the IRP executes it.
8. If no plan is agreed, the default is **liquidation** of assets equal to the admitted claims.

The IBC ecosystem

Entity	Function
IBBI (regulator)	Regulates the ecosystem, licenses professionals, drafts operational regulations
NCLT / DRT (adjudicating authority)	Legal umpires; ensure the process follows the law, do not make business decisions. NCLT: corporates; DRT: individuals and partnerships
IP / IRP / RP	Licensed turnaround experts (CAs, CSs, ex-bankers); take con of daily operations and assets

Entity	Function
Information Utility (IU)	Digital databases (e.g. **NeSL,** National E-Governance Services with verified records of debts and defaults
CoC	Supreme decision-making body: financial creditors vote on sal restructuring or liquidation

MEMORY AID · WHO RUNS THE IBC PROCESS

C U P I D

CUPID brings debtor and creditors to the table: the five bodies in the IBC ecosystem.

- **C** CoC: supreme decision body; financial creditors vote
- **U** Utility: Information Utilities like NeSL hold verified debt records
- **P** Professionals: IP, IRP and RP run daily operations and assets
- **I** IBBI: regulator that licenses professionals and drafts regulations
- **D** DRT and NCLT: legal umpires; DRT for individuals, NCLT for corporates

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

Recovery rates quoted in the handout

Period	Rate as given
Pre-1993 (civil courts)	Below 10%; litigation 15 to 20 years; most of the time only about 1%
Post-1993 (RDDBFI Act, DRTs)	Historically 20-25%, then 4-5% by 2018 as backlogs grew
Post-2002 (SARFAESI)	Historically 25-30%
Post-2016 (IBC)	Early years above 45%; some cases up to 85-90%; post-covid aroun 32%; "currently around 40%"; later "stabilised around 31-32%". **Bhusl Steel:** acquired by Tata Steel in 2018, about **₹35,200 Cr of ₹56,000 C** claims (**63%**)

HANDOUT ALERT: RECOVERY NUMBERS DISAGREE

The handout gives **three different sets of figures.** RDDB recovery is "~10%" in one place and "20-25%" in another; SARFAESI is "10-14%" in one place and "25-30%" in another; IBC is "around 45%", "around 40%" and "31-32%". Exam-hall

rule: quote the **order** (civil courts < DRT < SARFAESI < IBC) and use the exact figure only if the question gives its source.

IBC challenges and recent developments

Recent issues and changes

Issue	Detail
Liquidation, large haircuts	More liquidation than restructuring; haircuts sometimes 95%; CoCs accepting 80-90% (₹10 recovered per ₹100 lent). RBI urged maximisin value rather than fire-sale liquidation
Real estate	**2018:** homebuyers classed as **financial creditors** with a CoC vote. The threshold: at least **100 homebuyers or 10% of allottees (whichever is lower)** must jointly file. **Reverse CIRP / project-wise resolution** isolate failed project
MSMEs: PPIRP (2021)	**Pre-Packaged Insolvency Resolution Process** only for MSMEs: **debto in-possession** (the promoter keeps control while negotiating)
Cross-border insolvency	India has not fully adopted the **UNCITRAL Model Law;** a draft amendm is in progress
CIRP for MSMEs	Creditors may not find enough buyers

A PASSING NOTE

The handout adds a note on a 2025 Supreme Court reversion regarding operational creditor dues and says insolvency jurisprudence continues to evolve. No details are given, so none are added here.

R3 · Recapitalisation

- A bank in crisis cannot easily raise debt or equity. For PSBs the **owner is the government,** which itself had expenses above revenue and borrowings at the limit. After the AQR, severe undercapitalisation followed, and large NBFCs to which many PSBs had lent began to default.
- **October 2017:** a **₹2.11 Lakh Crore** recapitalisation package, mainly **Recapitalisation Bonds** issued to PSBs. The government issued bonds, the banks lent to it (a **zero-risk** loan needing no capital), and the government returned the money as **equity capital.** So deposits (pure liabilities) were converted to capital through the government.
- The handout calls it “extremely risky”, one that **private banks cannot copy.** In hindsight it worked: banks reformed, IBC gave incentives to recover, PSBs turned profitable and pay dividends to the government, which repays the bonds.

R4 · Reforms: governance of PSBs

Recapitalisation is “a financial bandage”. A **reform** is a shift from patronage and bureaucratic control to **objective, independent, accountable** decision-making.

- **The problem:** the owner (government) exercises ownership rights, especially **appointments,** through Finance Ministry bureaucrats who bear **no personal financial harm** if the bank fails. This creates **moral hazard:** connected people occupy decision posts, loans go to connected entities ("**Telephone Banking**"), competence is punished and a culture of inefficiency spreads.
- **The solution (distance):** the **P.J. Nayak Committee** recommended a **Bank Investment Company / Bank Holding Company (BHC)** to hold the government's bank shares and appoint CEOs on merit, as **Tata Sons** does for the Tata group. The BHC has **not yet been set up.**
- **Bank Board Bureau (BBB)** was constituted in **February 2016** as a compromise. In **2022/2023** the **Delhi High Court** struck down the BBB's mandate (the owner's appointment power could not be delegated). The government **dissolved it and set up the Financial Services Institutions Bureau (FSIB)** (the handout also spells it "Financial Services Intermediary Bureau" once).

> **HANDOUT ALERT: BBB AND FSIB NAMES AND YEARS**
> The handout says the High Court struck down the BBB "in 2023" in one place and "2022/2023" in another, and expands FSIB as "Financial Services Intermediary Bureau" once and "Financial Services Institutions Bureau" elsewhere. Exam-hall rule: write **FSIB (Financial Services Institutions Bureau)** and say "BBB replaced by FSIB"; give a year only if forced, as 2023.

Why PSB risk assessment is poor: the "Three Cs of Fear" (P.J. Nayak 2014 and Raghuram Rajan's 2018 note)

- **Accountability is not low in PSBs; it is criminal.** The "Three Cs": **CBI, CVC, CAG.** A PSB manager's bad commercial decision can bring a criminal inquiry that outlasts their career; this creates **risk aversion** and defensive banking.
- **Payoff matrix:** PVB: high risk + good assessment = high profit, so bonus and promotion. PSB: the manager gets **nothing** (fixed salary) if it goes well, but **jail** if the outcome is bad. Infinite downside, zero upside.
- **Telephone banking:** if a Joint Secretary or politician calls for a ₹5,000 Cr loan, saying no brings a remote posting; saying yes brings political cover. Risk assessment becomes paperwork.

7 · Financial inclusion

PYQs for this topic: 8 Prelims · 2 Mains

Financial inclusion is making the formal financial system accessible to more people. Strict licensing under the BR Act (1949) built trust but made banking an elite club, leaving mass **financial exclusion.** The **Committee on Financial Inclusion (2008)** defined it as ensuring access to financial services and timely, adequate credit for vulnerable groups at an affordable cost.

Four pillars

Pillar	Meaning
Association	Bringing the citizen into the formal system, mainly a bank account
Accessibility	A variety of products (pensions, insurance, micro-credit) easily availal
Affordability	Cost-effective: not exorbitant loans or heavy withdrawal fees
Capability	Financial literacy for rational choices

MEMORY AID · FOUR PILLARS OF FINANCIAL INCLUSION

C **L** **A** **P**

Give financial inclusion a CLAP: four pillars that bring people in.

- **C** Cost-effective: affordability, no exorbitant loans or heavy fees
- **L** Literacy: capability, financial literacy for rational choices
- **A** Account: association, bring the citizen into the formal system
- **P** Products: accessibility, pensions, insurance and micro-credit easily available

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

Steps taken: five phases

The 70-year push

Phase	What happened
1 · State intervention (mass expansion)	**1955 SBI Act:** Imperial Bank nationalised into SBI to push branches into hinterland. **1969 and 1980** nationalisation: the largest private banks wer taken over to compel expansion
2 · Specialised architectur e	**Co-operative banks** (mutual cooperation, not profit). **RRBs (1975 Act):** Centre 50%, State 15%, sponsor bank 35%. **DFIs (1980s):** NABARD (agriculture), SIDBI (MSMEs), NHB (housing), EXIM; they **refinance** reta banks rather than lend directly
3 · Liberalisati on (1990s)	RBI issued new private bank licences in **1993** (HDFC, ICICI, later Axis ar Yes). Tools: **Lead Bank Scheme** (a captain bank per district); **branch licensing policy** (urban branch only if you open in unbanked areas; focu on unbanked areas since 2005, a branch per defined area, e.g. 5,000 people, or **2,000 adults in hilly areas**); **BSBDA / zero-balance account Business Correspondents / Bank Mitras** (mobile branches; deposit and withdraw only, cannot lend)
4 · Structural	By 2013 only **~15% of individuals** and **~40% of households** had accou After the Nachiket Mor and Raghuram Rajan committees RBI moved to

Phase	What happened
innovation (2013-2014)	**differentiated licences:** Small Finance Banks and Payments Banks. Also **tap licensing** (window permanently open)
5 · PM Jan Dhan Yojana (Aug 2014)	Shifted strategy from **area-focused** (open branches and hope) to **person focused** (find each unbanked person and open an account). Phase 1: association; phase 2: keep accounts live and financial education. Result handout: **over 70% of adults and 99%+ of households** banked

Quick reference of timelines (the handout's list)

Year	Event
1955	Imperial Bank nationalised into SBI
1969	Lead Bank Scheme introduced, alongside first wave of nationalisation (14 banks)
1975	Regional Rural Banks Ordinance
1980	Second wave of nationalisation (6 banks)
1992	SHG-Bank Linkage Programme launched by NABARD
2005	No-Frills Accounts (renamed BSBDAs in 2012)
2006	Business Correspondent / Bank Mitra model
2011	Swabhimaan Campaign for villages with population above 2,000
Aug 2014	PMJDY launched
2015	Differentiated licences granted to SFBs and Payments Banks

HANDOUT ALERT: 1993 LICENCES AND 2013 POLICY

The handout says private licences were issued **"for the first time since 1949"** in **1993,** and also says **differentiated licences and on tap licensing** came from **2013,** with licences granted in **2015.** Exam-hall rule: **2013-14** is the policy and recommendation period; **2015** is when licences were granted.

8 · Priority Sector Lending (PSL)

PYQs for this topic: 2 Prelims · 0 Mains

RBI designates certain sectors as priority and makes **all banks** (domestic or foreign, RRB or co-operative, rural or urban, small banks) lend a share of credit to them. Sectors: **agriculture** (sub-targets for small and marginal farmers), **MSMEs and exports, education, housing and social infrastructure, renewable energy,** and **start-ups (status given in 2020).**

PSL targets and tools

Item	Detail
Base	**ANBC** (Adjusted Net Bank Credit)

Item	Detail
Scheduled commercial banks and foreign private banks (sizeable presence)	**40% of ANBC**
RRBs, co-operative banks, Small Finance Banks	**75% of ANBC**
Price	PSL fixes the **allocation, not the price.** Loans carry market rates. Cheaper farm loans come through an **Interest Subvention Scheme (ISS)**
Shortfall	Invest the shortfall in **NABARD's RIDF** (Rural Infrastructure Development Fund) at a low return, or b **PSLCs** (Priority Sector Lending Certificates) from ban that overshoot

9 · Types of banks and financial entities

PYQs for this topic: 9 Prelims · 0 Mains

Types of banks and entities

Type	Key features (from the handout)
Commercial banks (PSB, private, foreign)	Regulated solely by **RBI** under the BR Act 1949; companies under th Companies Act; profit motive
Co-operative banks	Formed under State Cooperative Societies Acts or the Multi-State Cooperative Societies Act. **Dual regulation:** State Government/Registrar for incorporation and management, RBI for c banking functions (capital, liquidity). Motive: mutual assistance
Scheduled banks	In the **Second Schedule of the RBI Act, 1934;** minimum paid-up capital; eligible for **LAF** window loans (Repo/MSF) and automatic clearing-house membership
Non-scheduled banks	Not in the Second Schedule; subject to statutory reserves but no automatic RBI borrowing
RRBs (1975)	Local feel of a co-operative plus professionalism of a commercial b **50:15:35** (Centre, State, sponsor bank)
DFIs	Statutory bodies (NABARD, SIDBI, EXIM): long-term patient capital; **refinance** rather than retail lend
Small Finance Banks	Micro-credit for inclusion. **75% of loans to PSL;** at least **50% of portfolio in loans under ₹25 Lakh** (also "majority of loans under ₹2 Lakh" elsewhere in the handout). Can accept all deposits and issue loans; cannot set up subsidiaries for insurance or pensions
Payments Banks	Remittances and digital payments. Deposits (**demand deposits up t Lakh** per customer); **no loans or credit cards;** must hold **75% of deposits in Government Securities**
NBFCs	Companies under the Companies Act in lending, investment or leasi that **cannot accept demand deposits (CASA)** and **cannot issue cheques**
Nidhi companies	Mutual benefit societies lending and borrowing only among membe MCA regulates operations, RBI only deposit-acceptance rules

Type	Key features (from the handout)
Chit funds	Traditional savings and borrowing schemes; State Governments unc the **Chit Funds Act, 1982;** RBI advisory only

NBFC regulation: who regulates whom, and the Scale-Based Regulation (SBR) layers (effective 2022)

Layer / entity	Meaning
Regulators	RBI regulates core lending NBFCs. **Merchant bankers and venture capital funds: SEBI. Housing finance companies: RBI (formerly NHB Insurance companies: IRDAI**
Base Layer (NBFC-BL)	Non-deposit-taking, asset size **below ₹1,000 Crore;** light regulation
Middle Layer (NBFC-ML)	All deposit-taking NBFCs and non-deposit-taking ones **above ₹1,000 Crore**
Upper Layer (NBFC-UL)	Identified by RBI as systemically critical; bank-like scrutiny
Top Layer (NBFC-TL)	Ideally **empty;** for extreme systemic risk needing bespoke regulation

HANDOUT ALERT: SFB LOAN RULE AND NBFC THRESHOLD

Small Finance Bank ticket-size rule is worded **"majority"** in one place and **"at least 50%"** in another. The SARFAESI NBFC threshold is **₹100 Crore** while the SBR base layer limit is **₹1,000 Crore:** two different rules for two different purposes. Exam-hall rule: SFB = "50%+ of loans under ₹25 L, 75% PSL"; do not mix ₹100 Cr (SARFAESI) with ₹1,000 Cr (SBR).

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: SMA IS NOT YET AN NPA

SMA-0, 1 and 2 are early red flags for 1 to 90 days overdue. A loan becomes an NPA only when overdue for more than 90 days.

Rule: 90+ days = NPA; sub-standard is up to 12 months, doubtful is more than 12 months.

PRELIMS TRAP: TWO DIFFERENT THRESHOLDS

The SARFAESI NBFC threshold is ₹100 Crore, while the SBR base layer limit is ₹1,000 Crore. The SFB ticket-size rule is worded 'majority' once and 'at least 50%' elsewhere.

Rule: SFB = 50%+ of loans under ₹25 L and 75% PSL; do not mix ₹100 Cr with ₹1,000 Cr.

HANDOUT ALERT: PROVISIONING 3% OR 4%

The farmer example uses 3% provisioning for a 20% risk, but the table row P1 (also agri, 20% risk) uses 4%. The handout never reconciles them.

Rule: use the numbers in the question; remember the method: provisioning + 9% x (risk x loan).

HANDOUT ALERT: THREE NPA NUMBERS

The text says NPAs reached 18% in PSBs, then gives a PSB GNPA peak of 14.58%. It also says 'less than 2%' while the latest figure is 2.6% (Sept 2024).

Rule: quote 14.58% (PSB peak) and 2.6% (Sept 2024) with the month; treat 18% and 'below 2%' as loose.

HANDOUT ALERT: RECOVERY FIGURES DISAGREE

RDDB recovery is '~10%' in one place and '20-25%' in another. SARFAESI is '10-14%' and '25-30%'. IBC is around 45%, 40% and 31-32%.

Rule: quote the order (civil courts < DRT < SARFAESI < IBC); give a figure only if the question names its source.

HANDOUT ALERT: BBB, FSIB AND THE LICENCE YEARS

The BBB strike-down is dated '2023' and '2022/2023', and FSIB is expanded in two ways. Private licences are dated 1993, differentiated licences 2013 and 2015.

Rule: write FSIB (Financial Services Institutions Bureau); 2013-14 is policy, 2015 is when licences were granted.

Past-year questions

35 Prelims and 2 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

2 · Banking and its regulation

10 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q286

Consider the following statements:

Statement-I: Syndicated lending spreads the risk of borrower default across multiple lenders.

Statement-II: The syndicated loan can be a fixed amount/lump sum of funds, but cannot be a credit line. Which one of the following is correct in respect of

the above statements?

a. Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
b. Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
c. Statement-I is correct, but Statement-II is incorrect
d. Statement-I is incorrect, but Statement-II is correct

▶ Show answer

2022 Q53

With reference to the 'Banks Board Bureau (BBB)', which of the following statements are correct ?

1. The Governor of RBI is the Chairman of BBB.
2. BBB recommends for the selection of heads for Public Sector Banks.
3. BBB helps the Public Sector Banks in developing strategies and capital raising plans.

Select the correct answer using the code given below :

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2021 Q17

In India, the central bank's function as the 'lender of last resort' usually refers to which of the following?

1. Lending to trade and industry bodies when they fail to borrow from other sources
2. Providing liquidity to the banks having a temporary crisis
3. Lending to governments to finance budgetary deficits

Select the correct answer using the code given below:

a. 1 and 2
b. 2 only
c. 2 and 3
d. 3 only

▶ Show answer

2021 Q54

Consider the following statements:

1. The Governor of the Reserve Bank of India (RBI) is appointed by the Central Government.
2. Certain provisions in the Constitution of India give the Central Government the right to issue directions to the RBI in public interest.
3. The Governor of the RBI draws his power from the RBI Act.

Which of the above statements are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2019 Q24

Which of the following is not included in the assets of a commercial bank in India?

a. Advances
b. Deposits
c. Investments
d. Money at call and short notice

▶ Show answer

2019 Q57

The Chairman of public sector banks are selected by the:

a. Banks Board Bureau
b. Reserve Bank of India
c. Union Ministry of Finance
d. Management of concerned bank

▶ Show answer

2016 Q9

The Term ‘Core Banking Solutions’ is sometimes seen in the news. Which of the following statements best describes/describe this term?

1. It is the networking of a bank’s branches which enable customers to operate their accounts from any branch of the bank on its network regardless of where they open their accounts.
2. It is an effort to increase RBI’s control over commercial banks through computerization.
3. It is a detailed procedure by which a bank with huge non-performing assets is taken over by another bank.

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2016 Q75

With reference to ‘Financial Stability and Development Council’, consider the following statements:

1. It is an organ of NITI Aayog.
2. It is headed by the Union Finance Minister.
3. It monitors macroprudential supervision of the economy.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 3 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

2013 Q43

The Reserve Bank of India regulates the commercial banks in matters of:

1. liquidity of assets
2. branch expansion
3. merger of banks
4. winding-up of banks

Select the correct answer using the code given below:

a. 1 and 4 only
b. 2, 3 and 4 only
c. 1, 2 and 3 only
d. 1, 2, 3 and 4

▶ Show answer

2012 Q46

The Reserve Bank of India (RBI) acts as a bankers' bank. This would imply which of the following?

1. Other banks retain their deposits with the RBI.
2. The RBI lends funds to the commercial banks in times of need.
3. The RBI advises the commercial banks on monetary matters.

Select the correct answer using the code given below:

a. 2 and 3 only
b. 1 and 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

3 · Basel norms, capital, provisioning and CRAR

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 Q59

Consider the following statements:

1. Capital Adequacy Ratio (CAR) is the amount that banks have to maintain in the form of their own funds to offset any loss that banks incur if the account holders fail to repay dues.
2. CAR is decided by each individual bank.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2015 Q61

'Basel III Accord' or simply 'Basel III', often seen in the news, seeks to:

a. develop national strategies for the conservation and sustainable use of biological diversity
b. improve banking sector's ability to deal with financial and economic stress and improve risk management
c. reduce the greenhouse gas emissions but places a heavier burden on developed countries
d. transfer technology from developed Countries to poor countries to enable them to replace the use of chlorofluorocarbons in refrigeration with harmless chemicals

▶ Show answer

4 · Bad loans: SMA, NPA classes and ratios

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2020 Q55

What is the importance of the term "Interest Coverage Ratio" of a firm in India?

1. It helps in understanding the present risk of a firm that a bank is going to give loan to.
2. It helps in evaluating the emerging risk of a firm that a bank is going to give loan to.
3. The higher a borrowing firm's level of Interest Coverage Ratio, the worse is its ability to service its debt.

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

5 · Why NPAs arise, and what they do

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2011 Q62

Why is the offering of "teaser loans" by commercial banks a cause of economic concern?

1. The teaser loans are considered to be an aspect of subprime lending and banks may be exposed to the risk of defaulters in future.
2. In India, the teaser loans are mostly given to inexperienced entrepreneurs to set up manufacturing or export units.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

6 · The 4R strategy: Recognise, Recover, Recapitalise, Reform

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2019 Q56

What was the purpose of the Inter-Creditor Agreement signed by Indian banks and financial institutions recently?

a. To lessen the Government of India's perennial burden of fiscal deficit and current account deficit
b. To support the infrastructure projects of Central and State Governments
c. To act as independent regulator in case of applications for loans of Rs 50 crore or more
d. To aim at faster resolution of stressed assets of Rs 50 crore or more which are under consortium lending.

▶ Show answer

2017 Q60

Which of the following statements best describes the term ‘Scheme for Sustainable Structuring of Stressed Assets (S4A)’, recently seen in the news?

a. It is a procedure for considering ecological costs of developmental schemes formulated by the Government.
b. It is a scheme of RBI for reworking the financial structure of big corporate entities facing genuine difficulties.
c. It is a disinvestment plan of the Government regarding Central Public Sector Undertakings.
d. It is an important provision in ‘The Insolvency and Bankruptcy Code’ recently implemented by the Government.

▶ Show answer

7 · Financial inclusion

8 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2021 Q174

With reference to WaterCredit, consider the following statements :

1. It puts microfinance tools to work in the water and sanitation sector.
2. It is a global initiative launched under the aegis of the World Health Organization and the World Bank.

3. It aims to enable the poor people to meet their water needs without depending on subsidies.

Which of the statements given above are correct?

a. 1 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2016 Q82

Regarding 'Atal Pension Yojana', which of the following statements is/are correct?

1. It is a minimum guaranteed pension scheme mainly targeted at unorganized sector workers.
2. Only one member of a family can join the scheme.
3. Same amount of pension is guaranteed for the spouse for life after subscriber's death.

Select the correct answer using the code given below.

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2016 Q83

Pradhan Mantri MUDRA Yojana is aimed at

a. bringing the small entrepreneurs into formal financial system
b. providing loans to poor farmers for cultivating particular crops
c. providing pensions to old and destitute persons
d. funding the voluntary organizations involved in the promotion of skill development and employment generation

▶ Show answer

2015 Q85

Pradhan Mantri Jan-Dhan Yojana has been launched for

a. providing housing loan to poor people at cheaper interest rates
b. promoting women's Self-Help Groups in backward areas
c. promoting financial inclusion in the country
d. providing financial help to marginalized communities

▶ Show answer

2014 Q37

What is/are the facility/facilities the beneficiaries can get from the services of Business Correspondent (Bank Saathi) in branchless areas?

1. It enables the beneficiaries to draw their subsidies and social security benefits in their villages.
2. It enables the beneficiaries in the rural areas to make deposits and withdrawals.

Select the correct answer using the code given below:

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2012 Q86

The basic aim of Lead Bank Scheme is that

a. big banks should try to open offices in each district
b. there should be stiff competition among the various nationalized banks
c. individual banks should adopt particular districts for intensive development
d. all the banks should make intensive efforts to mobilize deposits

▶ Show answer

2011 Q49

Microfinance is the provision of financial services to people of low-income groups. This includes both the consumers and the self-employed. The service/services rendered under microfinance is/are:

1. Credit facilities
2. Savings facilities
3. Insurance facilities
4. Fund Transfer facilities

Select the correct answer using the code given below the lists:

a. 1 only
b. 1 and 4 only
c. 2 and 3 only
d. 1, 2, 3 and 4

▶ Show answer

2011 Q88

With reference to “Aam Admi Bima Yojana”. Consider the following statements:

1. The member insured under the scheme must be the head of the family or earning member of the family in a rural landless household.
2. The member insured must be in the age group of 30 to 65 years.
3. There is a provision for free scholarship for up to two children of the insured who are studying between classes 9 and 12.

Which of the statements given above is/are correct?

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2022 10 marks Market Economy & Financial Inclusion

Is inclusive growth possible under market economy? State the significance of financial inclusion in achieving economic growth in India.

KEYWORDS financial inclusion | market economy | inclusive growth | significance | economic growth

2016 12.5 marks Pradhan Mantri Jan-Dhan Yojana (PMJDY)

Pradhan Mantri Jan-Dhan Yojana (PMJDY) is necessary for bringing unbanked to the institutional finance fold. Do you agree with this for financial inclusion of the poorer section of the Indian society? Give arguments to justify your opinion.

KEYWORDS PMJDY | unbanked | financial inclusion | bank account | institutional finance | poorer section

8 · Priority Sector Lending (PSL)

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2019 Q81

The Service Area Approach was implemented under the purview of:

a. Integrated Rural Development Programme
b. Lead Bank Scheme
c. Mahatma Gandhi National Rural Employment Guarantee Scheme
d. National Skill Development Mission

▶ Show answer

2013 Q40

Priority Sector Lending by banks in India constitutes the lending to:

a. Agriculture
b. micro and small enterprises
c. weaker sections
d. All of the above

▶ Show answer

9 · Types of banks and financial entities

9 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q205

With reference to the rule/rules imposed by the Reserve Bank of India while treating foreign banks, consider the following statements:

1. There is no minimum capital requirement for wholly owned banking subsidiaries in India.
2. For wholly owned banking subsidiaries in India, at least 50% of the board members should be Indian nationals.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2021 Q20

With reference to 'Urban Cooperative Banks' in India, consider the following statements:

1. They are supervised and regulated by local boards set up by the State Governments.
2. They can issue equity shares and preference shares.
3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966.

Which of the statements given above is/are correct?

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2020 Q21

Consider the following statements:

1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks.
2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2018 Q58

With reference to the governance of public sector banking in India, consider the following statements:

1. Capital infusion into public sector banks by the Government of India has steadily increased in the last decade.

2. To put the public sector banks in order, the merger of associate banks with the parent State Bank of India has been affected.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2017 Q28

What is the purpose of setting up of Small Finance Banks (SFBs) in India?

1. To supply credit to small business units
2. To supply credit to small and marginal farmers
3. To encourage young entrepreneurs to set up business particularly in rural areas.

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2016 Q30

The establishment of 'Payment Banks' is being allowed in India to promote financial inclusion. Which of the following statements is/are correct in this context?

1. Mobile telephone companies and supermarket chains that are owned and controlled by residents are eligible to be promoters of Payment Banks.
2. Payment Banks can issue both credit cards and debit cards.
3. Payment Banks cannot undertake lending activities.

Select the correct answer using the code given below.

a. 1 and 2 only
b. 1 and 3 only
c. 2 only
d. 1, 2 and 3

▶ **Show answer**

2013 Q44

Which of the following grants/grant direct credit assistance to rural households?

1. Regional Rural Banks
2. National Bank for Agriculture and Rural Development
3. Land Development Banks.

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2011 Q50

In India, which of the following have the highest share in disbursement of credit to agriculture and allied activities?

a. Commercial Banks
b. Cooperative Banks
c. Regional Rural Banks
d. Microfinance Institutions

▶ Show answer

2004 Q47

Consider the following statements:

1. The National Housing Bank the apex institution of housing finance in India, was set up as a wholly-owned subsidiary of the Reserve Bank of India
2. The Small Industries Development Bank of India was established as a wholly-owned subsidiary of the Industrial Development Bank of India

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

Timeline and numbers

- **1872** — Indian Contracts Act.
- **1934** — RBI Act (Second Schedule defines scheduled banks).
- **1949** — Banking Regulation Act: RBI regulates banking. ★
- **1955** — Imperial Bank nationalised into SBI. ★
- **1969** — First nationalisation (14 banks); Lead Bank Scheme. ★
- **1975** — Regional Rural Banks Ordinance (Act). ★
- **1980** — Second nationalisation (6 banks). ★

1993	RDDB Act; DRT and DRAT; new private bank licences. ★
2002	SARFAESI Act. ★
2005	No-Frills Accounts (BSBDA from 2012).
2006	Business Correspondent model.
2008	GFC: Basel III motive (the handout dates the norms 2008).
2013	AQR proposed; differentiated licensing policy.
2014	SMA category introduced; PMJDY launched (Aug). ★
2015	AQR implemented; SFB and payments bank licences. ★
Feb 2016	Bank Board Bureau constituted.
2016	IBC enacted. ★
Oct 2017	₹2.11 Lakh Crore recapitalisation package. ★
2018	Homebuyers made financial creditors; Bhushan Steel acquired by Tata Steel.
2020	Start-ups get PSL status.
2021	Pre-Packaged Insolvency Resolution Process for MSMEs.
2022	NBFC scale-based regulation effective.

2023 — Delhi HC strikes BBB mandate; FSIB set up.

Sep 2024 — GNPA 2.6%, Net NPA 0.6%. ★

Connects to

Chapter 6: Inflation

Chapter 6 ends by saying inflation control needs expensive money; banks transmit the cost of money.

Chapter 8: Money and Monetary Policy

CRR, SLR, LAF (Repo/MSF) and the RBI's tools sit in the next chapter; scheduled banks get LAF access.

Chapter 9: Capital Markets

This handout's first section splits intermediaries into decision-making (RBI) and decision-facilitating (SEBI); capital markets are the second half of the unit.

Chapter 13: NABARD and NBFCs

NABARD, RIDF, PSL and priority sectors continue there.

Chapter 12: Budget and Fiscal Policy

Recapitalisation bonds are a fiscal instrument; government borrowing sets the context.

CURRENT AFFAIRS · SEPTEMBER 2026

- **MDR on high-value UPI merchant payments**: NPCI announced a Merchant Discount Rate on select high-value person-to-merchant (P2M) UPI payments under the Payment and Settlement Systems Act, 2007.
- **National Company Law Tribunal (NCLT)**: A special five-member NCLT Bench stayed approval of Subhash Chandra's repayment plan in his personal insolvency case and restrained transfer of his…

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Banks = decision-making intermediaries (RBI); brokers and exchanges = decision-facilitating (SEBI). Regulation: bank bears the risk, not the depositor.
2. CRAR = Capital ÷ RWA ≥ 9% (Basel 8%); CCB 2.5%. Deposits are not capital. Tier 1 = equity; Tier 2 = subordinated debt.
3. Farmer example: provisioning 30,000 + minimum capital 18,000 = 48,000 for a ₹10 L loan.
4. SMA-0 (1-30), SMA-1 (31-60), SMA-2 (61-90); NPA 90+. Sub-standard ≤ 12 months (~15%), doubtful > 12 months (25-100%), loss (100%).
5. Net NPA = GNPA − provisioning. Stressed assets = GNPA + restructured. Haircut ≠ waiver.
6. 4R: Recognise (AQR 2015, CRILC ₹5 Cr), Recover (RDDB 1993, SARFAESI 2002, IBC 2016), Recapitalise (₹2.11 L Cr, Oct 2017), Reform (BBB 2016 → FSIB).
7. SARFAESI: not agricultural, not under ₹1 lakh, not if 80%+ repaid. NBFCs of ₹100 Cr+ can be secured creditors.
8. IBC: NCLT, IRP, CoC (financial creditors vote), 2/3, 180 + 90 = 330 days now; IBBI regulates; IU = NeSL; default = liquidation.
9. RRB 50:15:35. DFIs refinance. Jan Dhan Aug 2014: area-focused → person-focused.
10. PSL: 40% of ANBC; 75% for RRB, co-op, SFB. Payments bank: ₹2 L, no loans, 75% in G-secs. NBFC SBR: Base < ₹1,000 Cr, Middle, Upper, Top.

ECONOMY · GS FOUNDATION · CHAPTER 8

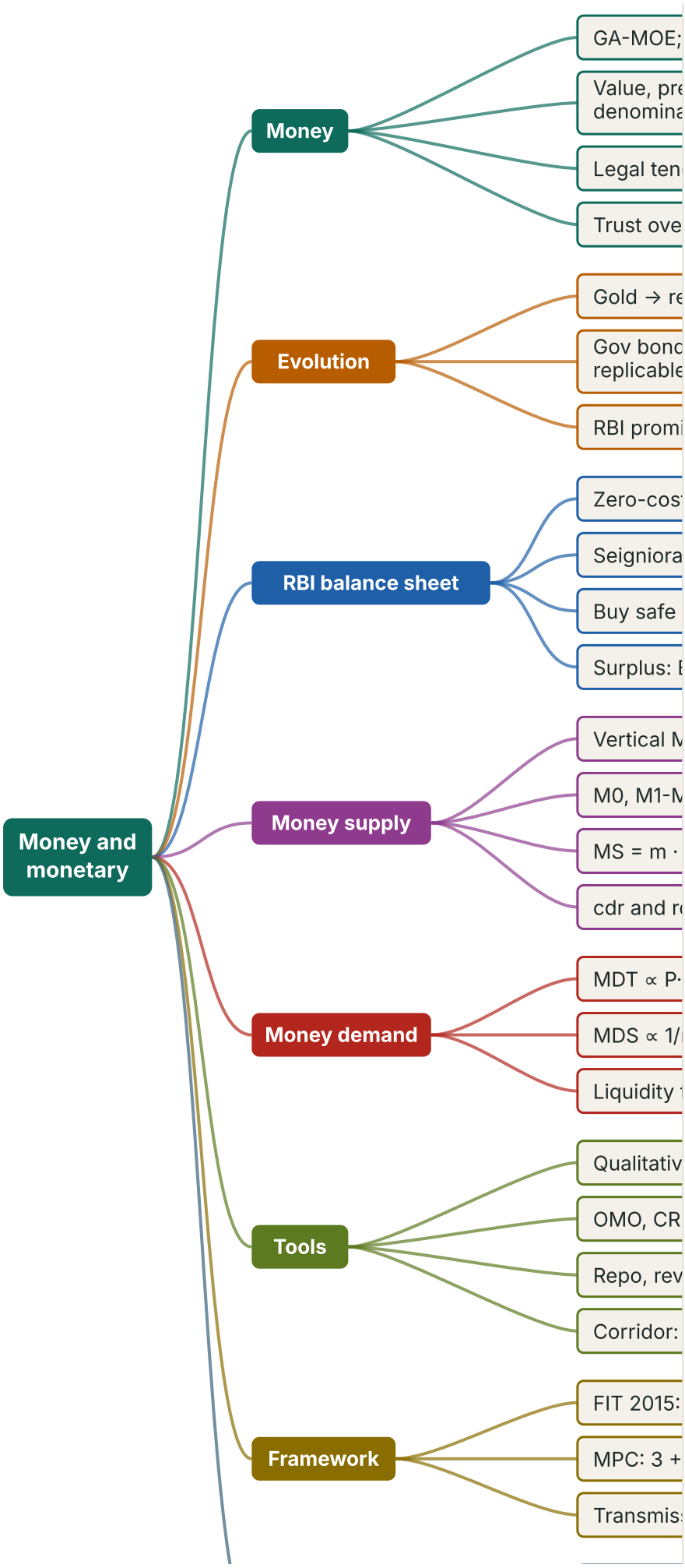
Money and Monetary Policy: Supply, Demand, Cost and Tools

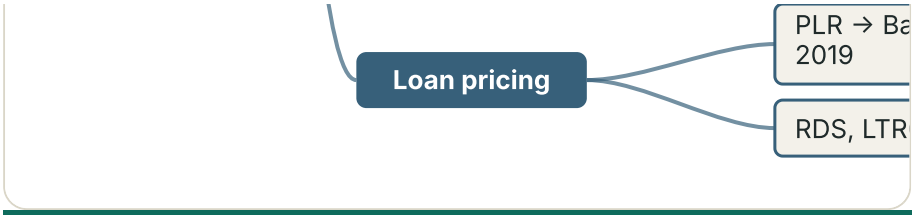
Handout only: no class slides | Handout pages 1-31 | Handout quotes no PYQs | PYQ sheets: 31 Prelims · 1 Mains · High

What money is and its properties, the evolution from gold to fiat, the RBI balance sheet and seigniorage, money supply and its measures (M0 to M4, NM1 to NM3), the money multiplier, money demand and the liquidity trap, the cost of money, the qualitative and quantitative tools (OMO, CRR, SLR, repo, reverse repo, MSF, SDF), flexible inflation targeting and the MPC, loan pricing (PLR to EBLR) and the recent tools.

Chapter map

MY NOTES


Money and monetary
Money
GA-MOE;
Value, pre denomina
Legal ten
Trust ove
Evolution
Gold → re
Gov bond replicable
RBI promi
RBI balance sheet
Zero-cos
Seigniora
Buy safe
Surplus: E
Money supply
Vertical M
M0, M1-M
MS = m ·
cdr and r
Money demand
MDT ∝ P·
MDS ∝ 1/
Liquidity
Tools
Qualitativ
OMO, CR
Repo, rev
Corridor:
Framework
FIT 2015:
MPC: 3 +
Transmis



In simple words

IN SIMPLE WORDS

- **Money** is anything most sellers will accept for real goods: a **generally acceptable medium of exchange (GA-MOE)**. It runs on **trust**; law only enforces acceptance.
- Modern money is a **promise issued by the RBI**, backed by a promise from the government (**bonds**). The RBI earns **seigniorage** because its liabilities cost almost nothing.
- **Money supply = m x M0**. The RBI makes the base (M0); banks multiply it. More cash preference (**cdr**) or more reserves (**rdr**) shrinks the multiplier.
- The **cost of money** (interest rate) comes from a **vertical supply curve** meeting a downward-sloping demand curve. At **r-min** a **liquidity trap** switches policy off.
- RBI uses **qualitative** tools (nudges) and **quantitative** tools (OMO, CRR, SLR, repo, reverse repo, MSF, SDF). The **corridor** is MSF (ceiling), repo, SDF (floor).
- **FIT 2015** fixes the goal at **4% +/- 2%**, set by a **6-member MPC**. Loan pricing moved **PLR, Base Rate, MCLR, EBLR** to improve transmission.

Key terms in plain words

Key term	In plain words
GA-MOE	Generally acceptable medium of exchange: the definition money.
Double Coincidence of Wants (DCW)	In barter you must find someone who has what you want wants what you have.
Legal tender	A way of settling debt that a creditor cannot lawfully refu in India notes, coins and CBDC.
Representative money	Paper promises backed 1:1 by gold held in a vault.
Fiat money	Central bank promises backed by government bonds; the rupee is not a claim on gold.
Seigniorage	Net interest income on assets backing the currency, after printing costs.
High-powered money (M0)	Currency notes created by the central bank; the RBI's tot liabilities.
Narrow and broad money	M1 and M2 are narrow; M3 and M4 are broad.
Money multiplier (m)	How much banks multiply M0 into total money supply: M m x M0.
cdr and rdr	Currency-deposit ratio and reserve-deposit ratio; the high each is, the lower m.
Velocity (v)	How many times a unit of money changes hands in a peri

Key term	In plain words
Liquidity trap	At r-min everyone holds cash, so more money supply doe not lower rates or raise spending.
NDTL	Net demand and time liabilities: demand and time deposit less inter-bank deposits.
Monetary transmission	Whether banks pass RBI's rate decisions on to the real economy.
Sterilisation	Absorbing the rupees created by buying dollars; the MSS does this.
MIBOR	Mumbai Inter-bank Offered Rate; the standard call rate in inter-bank market.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides and no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (starred "**" statements, worked examples, bonus boxes).

What the handout stresses

Signal in the handout	Where	Why it matters
Money = **Generally Acceptable Medium of Exchange (GAMOE)**; legal tender; **trust overrides law**	Sections 1-2	The idea behin the rest of the chapter
RBI balance sheet: zero-cost liabilities, **seigniorage**, buy only safe assets; surplus to government (**Bimal Jalan committee**)	Section 3	Starred statem
M0, M1-M4, and the new **NM1, NM2, NM3** (Y.V. Reddy Committee, 1998)	Section 4	Definitions and what is exclud
MS = m × M0; m falls with higher **cdr** and **rdr**	Section 5	Formulas
MD = MDT + MDS; MS is vertical; **liquidity trap** at r-min	Section 6	Concept plus graphs
Tools: **OMO, CRR, SLR, Repo, Reverse repo, MSF, Bank Rate, SDF;** corridor MSF-Repo-SDF	Section 8	Statements an ceiling/floor
FIT 2015: 4% ± 2%; **6-member MPC** (3 RBI + 3 external); Governor's casting vote	Section 9	Facts
Loan pricing: **PLR → Base Rate (2010) → MCLR (2016) → EBLR (2019)**	Section 10	Chronology
Recent tools: **RDS 2021, LTRO 2020, VRRR, SDF Apr 2022, MSS 2004**	Section 11	Current-affairs hooks

WHAT TO PREPARE

Prelims hooks: properties of money; legal tender in India (notes, coins, CBDC); representative versus fiat money; seigniorage; what M1-M4 include and exclude (vault cash, government deposits, post office deposits); NM1-NM3; money multiplier factors; CRR versus SLR; repo versus reverse repo versus MSF; the corridor; MPC composition; MCLR versus EBLR; MSS, SDF, VRRR, LTRO, RDS.

Mains hooks: why trust matters; why RBI buys only safe assets; the growth-inflation trade-off and why central banks are better at fighting inflation; the case for FIT and the MPC; monetary transmission and why it was weak; liquidity trap; sterilisation and the impossible trinity.

Closing idea: money is a promise; the RBI's job is to keep that promise adequate and trustworthy.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 31 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Tools of monetary policy (10 Prelims, 0 Mains); Some recent tools: the modern arsenal (6 Prelims, 0 Mains); Evolution of money: from gold to fiat (3 Prelims, 0 Mains).

Prelims years: 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023, 2024. Mains years: 2024.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · What money is, and its four properties

PYQs for this topic: 1 Prelims · 0 Mains

Money is a **generally acceptable medium of exchange (GA-MOE).** Barter needs a **Double Coincidence of Wants (DCW):** you must find someone who has what you want and wants what you have. As societies grow, DCW becomes "mathematically impossible". Almost anything can be a medium of exchange in an isolated barter; to be **money,** most sellers in the economy must be willing to part with real goods for it.

Properties of money (what makes something generally acceptable)

Property	Meaning
Value	It must have value itself: **intrinsic** (gold) or **fiat** (determined and enforc by a sovereign). It needs general demand **and limited supply** (you can offer 10 L of water for 1 kg of wheat all the time)
Preservation of value	The acceptor must trust it will keep its purchasing power. It should not (like an apple) and storing it should not be costly
Authenticity of value	The quality and quantity must be easy to verify; otherwise a trusted er must assure it. That entity must be the **only** producer and be able to st

Property	Meaning
	counterfeiting: the sovereign or **central bank**
Denominatio n of values	Divisible into small units (tea) and aggregable into large ones (a house) Not too rare, not infinitely abundant. This makes money a **unit of accou**

2 · Evolution of money: from gold to fiat

PYQs for this topic: 3 Prelims · 0 Mains

- **Modern money** is currency notes: **promises issued by the central bank,** accepted because of **(1) trust** in the issuer and **(2) legal necessity** (legal tender).
- **Legal tender:** a legally mandated way of discharging debt that a creditor **cannot lawfully refuse.** In India, only **currency notes, coins and CBDC** have this status. Legal tender laws do not create value; they enforce acceptance for settling a debt. **"Trust always overrides Law in the long run."**

From gold to fiat (the handout's story)

Gold and silver coins
Minted by kings or trustworthy goldsmiths, with a mark of purity

↓

Problem: demand for transactions outgrew the supply of gold
Gold became too valuable for everyday goods; copper coins failed

↓

Representative money
A trusted goldsmith or banker buys gold and issues promises ("I promise to pay the bearer 0.1 g of gold"): a 1:1 claim on gold in a vault. Trust enters

↓

Central banks evolve
The trustworthy issuers survive; wars and their financing triggered formal structures

↓

Problem: money limited by gold held
More money needs more gold

↓

Fiat money
Central banks add **government bonds** (safe, liquid, replicable) to their assets and issue more promises. The

rupee is **not** a claim on gold: a ₹500 note is exchanged for five ₹100 notes

Why government bonds can stand in for gold

Criterion	Meaning	Examples
Safe	Retains value over the long term, not volatile	Gold; sovereign bonds (the governm is the least-risk entity in its own cou as it can tax)
Liquid	Many buyers and sellers, so no distress sale or large premium. Needs **replicability**	Gold (one gram is like another); shar of one company (each share is identical)
Not replicabl e	Each unit unique, thin market	Land, diamonds

A **bond** is a debt instrument. For the issuer it is a **liability;** for the buyer an **asset** paying a **coupon** on the **face value** until **maturity.** When the central bank buys government bonds it **creates new money** (digitally today). So **modern money is a promise issued by the central bank, backed by a promise issued by the government,** which in turn rests on its future ability to collect taxes.

3 · The RBI's balance sheet, seigniorage and the social contract

RBI's balance sheet (as the handout sets it out)

Assets (what RBI owns)	Liabilities (what RBI owes)
1 · Appreciating assets (no interest, capital gains): physical gold; foreign currency assets (FCA)	**1 · Zero-cost liabilities:** Currency in Circulation (CiC), cost only printing a logistics, interest 0%
2 · Interest-bearing assets: rupee securities (domestic government bonds); foreign government bonds; loans and advances to commercial banks (LAF/repo)	**2 · Low or zero-cost:** bank deposits (CRR balances, interest 0%); government deposits (Centre and Sta
	3 · Accounting provisions and buffe CGRA (Currency and Gold Revaluatio Account: unrealised gains on gold an forex); Contingency Fund (CRB)
Total assets	**Total liabilities = Base Money (M0)**

- RBI creates money by **buying assets** and printing promises. Its assets appreciate or earn interest, and its liabilities cost almost nothing, so it earns large profits.
- **Seigniorage** is the **net interest income** earned on assets backing the currency. Example: RBI earns **7%** on government bonds but pays **0%** on a ₹500 note. The spread minus printing costs is true seigniorage. (Printing costs about ₹1.2-1.3 per note.)

- **Profit is incidental, not intentional.** RBI must buy only the **highest-quality, least-risk** assets so it can always discharge its liabilities. If it bought a volatile asset (the handout's bitcoin example: bought for ₹10 L, value falls to ₹5 L, liabilities stay ₹10 L) liabilities exceed assets, trust is lost and society looks for another GA-MOE. That is the **social contract of modern money.**
- After costs, RBI transfers the surplus to the government under the **Economic Capital framework recommended by the Bimal Jalan committee,** setting aside some profits for potential losses.

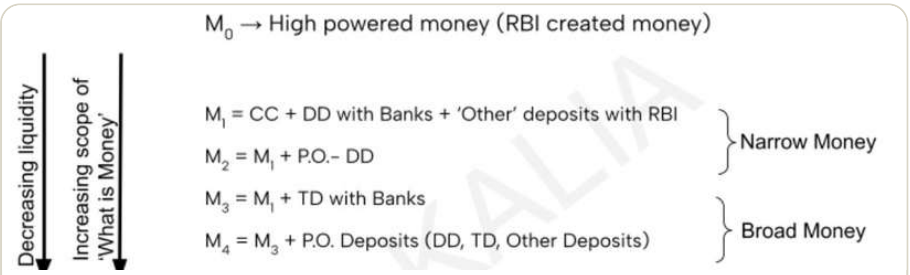
4 · Money supply and its measures

PYQs for this topic: 2 Prelims · 0 Mains

Modern money has two forms: **(i) currency notes** created by the central bank (**high-powered money**) and **(ii) deposits** created by the banking system. RBI controls both and is a **monopolistic producer.**

Why the money supply curve is vertical

For an ordinary good supply rises with price because **(a)** new producers enter and **(b)** existing producers earn more. For money: **(1)** RBI is a monopoly, so no one else can enter; **(2)** RBI's objective is **adequacy and trustworthiness,** not profit, so higher interest earnings do not make it print more. So **MS is independent of its price (the interest rate):** the curve is a **perfectly vertical line,** perfectly inelastic to the interest rate.



HANDOUT FIGURE The handout's ladder of money measures. M0 = high-powered money (RBI-created). M1 = CC + DD with b… more

Terms in the measures

Term	Meaning and what is excluded
CC	Currency in circulation **with the public. Vault cash with banks is exclu**
DD	Demand deposits of the public with the banking system, as liquid as ca **Inter-bank deposits are not counted**
"Other" deposits with RBI	A tiny fraction: foreign central banks, the IMF, quasi-government institutions (like NABARD). **Strictly excludes the Government of India's deposits** because the government is the producer/manager of money; measures what the public holds
TD	Time deposits: available at specific points of time, less liquid than DD. T handout calls it the **most important metric for RBI** (stable capital base long-term loans)

Term	Meaning and what is excluded
PO deposits	Deposits with post offices. Not part of the banking payment and settler system. Long-term products (e.g. National Savings Certificate) are not redeemable before maturity, so they lose the character of money and a not in M1-M3

BONUS: THE NEW AGGREGATES (Y.V. REDDY COMMITTEE, 1998)

Why: after 1991 banks innovated; **post offices lost relevance** as banks spread to rural areas; and the **time maturity blur:** a 14-day FD and a 10-year FD were both "time deposits" in M3, though the first is nearly cash. RBI moved from **who holds money** to **time (liquidity).**

The new monetary aggregates

Aggregate	Definition
NM1 (new narrow money)	Currency with the public + demand deposits + other deposits wi RBI (practically identical to old M1)
NM2	NM1 + **short-term** time deposits of residents (**up to and includin year**)
NM3 (new broad money)	NM2 + **long-term** time deposits of residents (**over 1 year**) + call/term funding from financial institutions

5 · Money creation by banks: the multiplier

PYQs for this topic: 2 Prelims · 0 Mains

RBI injects **M0** by buying assets from primary dealers. The seller keeps part as cash (**cash preference**) and deposits the rest. The bank keeps a **reserve** and lends the rest. The borrower spends it, the receiver again keeps some cash and deposits the rest, and so on. Each round creates less than the last (cash preference and reserves), so the cycle halts. The handout points to **NCERT Macroeconomics** for the full explanation.

FORMULA

MS = m · M0 where M0 is high-powered money, m the money multiplier, MS total money supply.

The two factors behind the multiplier

Ratio	Meaning	Effect on m an MS
cdr (currency-deposit ratio) = cash ÷ deposit	People's preference for cash over deposits. Depends on culture (saving versus spending), access to banking, season (more cash in festivals), black money and tax laws	More cash preference, les deposited and lent: **m, MS ∝ 1/cdr**

Ratio	Meaning	Effect on m an MS
rdr (reserve-deposit ratio) = reserves ÷ deposits	Proportion of deposits banks set aside and cannot lend	Higher rdr, few cycles: **m, MS 1/rdr**

- **Reserves and trust:** depositors have a right to withdraw everything, but banks can assess "normal" demand and reserve for it. Reserves are costly (**liquidity versus profitability:** reserves give 100% liquidity and 0% profit), so banks left alone push rdr towards zero, risking **bank runs.**
- Without trust no one deposits and no multiplication happens; the banking system also **amplifies the reach** of money. So RBI sets a minimum: the **legal reserve ratio (LRR)** in general, the **CRR** in India. MS is therefore seen as depending mainly on the reserve ratio.
- **"The CRR is the legal enforcement of trust."** A free market cannot self-regulate bank reserves.

6 · Demand for money

PYQs for this topic: 1 Prelims · 0 Mains

Money is demanded for three purposes: **transaction** (now), **precautionary** (emergencies, potential future transactions) and **speculative** (to preserve the value of wealth). The handout combines the first two as **transaction demand (MDT).**

- **MDT ∝ VT** (total value of transactions). **VT ∝ P · Q,** so **VT ∝ nominal GDP.**
- **Velocity (v)** is how many times money changes hands in a period. A ₹100 note changing hands 10 times a month carries ₹1,000 of transactions, so v = 10 per month; with v = 5, ₹200 is needed for the same ₹1,000. So **MDT ∝ 1/v,** and **MDT ∝ P·Q ÷ v** (with v constant, MDT ∝ P·Q).
- Velocity depends on spending habits, culture, season (festivals), and the payments system.

Speculative demand (MDS)

If people expect asset prices to fall, they keep money; if to rise, they hold assets. Expectations depend on the expected move in the **interest rate (r).**

Interest rate, expectations and speculative demand

Current r	What people expect	Asset prices expected	Rational action
High	r will fall (money cheaper, more borrowing and spending)	Rise	Buy assets (use money)
Low	r will rise (money dearer, less demand)	Fall	Keep money; sell assets

BOND PRICES AND INTEREST RATES ARE INVERSELY RELATED

The handout's example: hold a bond paying 5%, RBI raises market rates to 8%, nobody wants the 5% bond, so you must cut its price. **Rising interest rates crush the value of existing assets.**

The two extremes of r

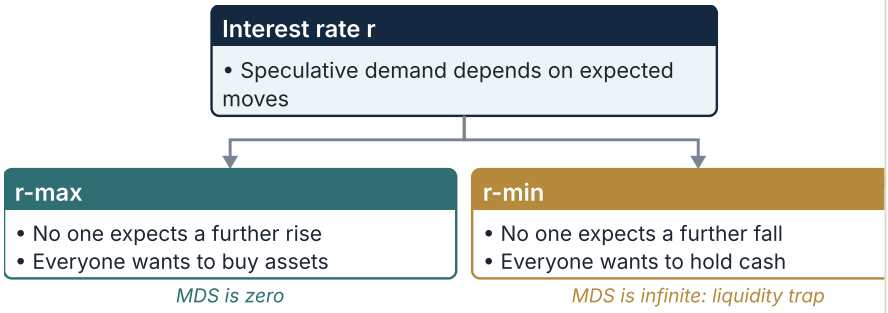
Point	Meaning	Result
r-max	The rate at which no one expects it to rise any further, so everyone expects assets to rise and wants to buy	No one sells; money stays in money fo but is **not speculative.** Speculative demand is **zero.** So as r rises, MDS ke falling
r-min	The rate at which no one expects it to fall further, so everyone expects assets to fall and wants to sell	All money beyond transaction needs is speculative. **MDS is infinitely elastic a = r-min**

So **MDS ∝ 1/r,** and **MD = MDT + MDS** (total demand is transaction plus speculative). MD is directly proportional to **nominal GDP (P·Q)** and inversely to **r:** the **money demand curve slopes downward.**

LIQUIDITY TRAP

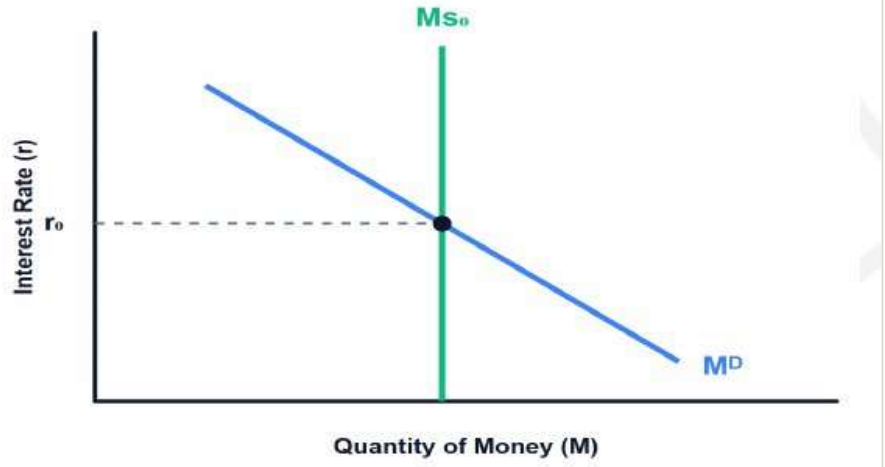
At **r = r-min** everyone holds wealth in cash (MDS = ∞). People prefer cash to investing or spending because they expect interest rates to rise. **An increase in money supply does not lower interest rates or raise spending, so monetary policy loses its power.**

LIQUIDITY TRAP: THE TWO ENDS OF THE INTEREST RATE



7 · The cost of money and the dual mandate

PYQs for this topic: 3 Prelims · 0 Mains



HANDOUT FIGURE Interest rate set by demand and supply of money: a vertical money supply curve (set by the central ba more

- The central bank sets supply (independent of cost); demand varies inversely with cost. Together they set the **interest rate.** Monetary policy aims at the twin objectives of **adequacy and trustworthiness.**
- **Inadequate money** (growth falls): increase supply, r falls, spending and AD rise, growth revives.
- **Too much money:** people doubt the quality of RBI's assets, and money loses purchasing power (a sign of lost trust). Cut supply, r rises, AD falls, prices cool.
- **Dual mandate:** each action has one good and one bad effect. This is the **growth-inflation trade-off** in monetary policy.

8 · Tools of monetary policy

PYQs for this topic: 10 Prelims · 0 Mains

Qualitative versus quantitative tools

	Qualitative	Quantitative
Nature	Influence the **direction** of money supply; exact outcome hard to predict. Work on behaviour, nudging the **multiplier (m)** without changing the monetary base	Precise levers; RBI can calculate the liquidity injected or drained
Tools	Moral suasion; rationing of credit (PSL); regulation of consumer credit; margin requirements (LTV); direct action	OMOs; reserve ratios (C SLR); LAF (repo and reverse repo); MSF; Bar Rate; SDF

A · Qualitative tools

1. **Moral suasion:** persuading banks to adopt certain lending behaviour (e.g. voluntarily restrict lending to speculative stock-market activity in a bubble).

2. **Rationing of credit (PSL):** a mandated percentage of lending to vital sectors (agriculture, MSMEs, education).
3. **Regulation of consumer credit:** higher down payments or shorter repayment tenures to cool consumer demand without changing the cost of money.
4. **Margin requirements (LTV, Loan to Value):** e.g. ₹100 of gold for a ₹60 loan instead of ₹80.
5. **Direct action:** penal interest rates or refusal to extend credit to violators.

MEMORY AID · QUALITATIVE TOOLS: FIVE WAYS TO CLAMP CREDIT

C **L** **A** **M** **P**

Qualitative tools CLAMP down on lending behaviour without touching the cost of money.

- **C** Consumer credit rules: higher down payment, shorter tenure
- **L** LTV margins: e.g. Rs 60 loan on Rs 100 of gold, not Rs 80
- **A** Action, direct: penal rates or refusal of credit
- **M** Moral suasion: persuade banks on lending behaviour
- **P** PSL rationing: mandated lending to vital sectors

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

B · Quantitative tools

Quantitative tools

Tool	What it is	Effect
Open Market Operations (OMO)	RBI buys or sells **G-Secs** in the market. **Controls the base (M0)**	Buying: pays with new curre injects M0 (expansionary). Selling: buyers pay RBI with existing currency, the liability discharged, M0 falls (contractionary)
CRR (Cash Reserve Ratio)	Share of **NDTL** (Net Demand and Time Liabilities = demand and time deposits less inter-bank deposits) kept **with RBI, in cash, earning no interest**	A pure cost to banks. **The RE Amendment Act of 2006 removed the 3% floor and 4 ceiling,** so RBI can set CRR anywhere from 0% to 100%
SLR (Statutory Liquidity Ratio)	Share of NDTL banks must hold in **gold and government bonds** (safe, liquid)	A compromise because high CRR kills profits: bonds pay interest or appreciate; they c be sold in a run

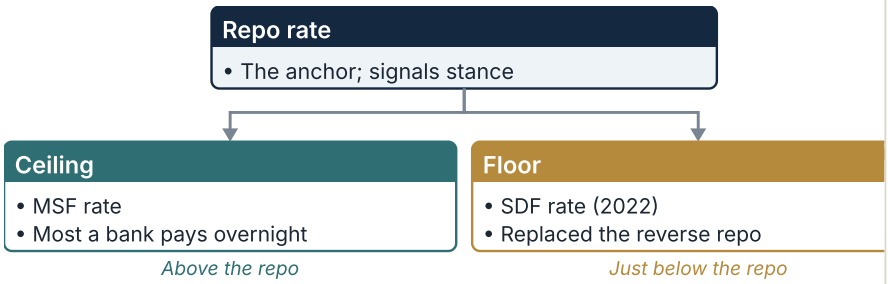
Tool	What it is	Effect
Raising CRR or SLR	Less deposit available to lend	Multiplier m shrinks, MS contracts
Repo (LAF)	RBI **lends** to banks for a short time (**usually one day, maximum 14 days**) against assets; **Repurchase Agreement.** Bank sells assets, RBI creates money (M0 up), bank repurchases later (M0 restored)	Higher repo makes borrowin costlier and is passed on to borrowers
Reverse repo (LAF)	RBI **borrows** from banks when liquidity is in surplus	Higher reverse repo rate: ba park more with RBI, money supply in the economy falls
MSF (Marginal Standing Facility)	When banks run out of G-secs for LAF, they may **dip below the SLR** in a limited way and borrow against the freed securities	At a **penal rate (MSF rate):** it reduces the safety of the system, so RBI "punishes yo balance sheet so you don't make a habit of breaching statutory trust"
Bank Rate	Historically RBI's long-term lending rate to banks	**Operationally dormant;** now aligned with the MSF rate an used mainly as the baseline statutory penalties

To fill a liquidity gap banks can also solicit deposits, borrow in the **call money** market, issue bonds, raise capital, or issue **certificates of deposit.** LAF is the RBI window for the mismatch between loan demand and deposits (liquidity surplus or deficit).

THE POLICY CORRIDOR (MODERN FRAMEWORK)

Ceiling: MSF rate (the most a bank will pay for overnight funds). **Benchmark: Repo rate** (the anchor, signals stance). **Floor: SDF rate** (earlier the reverse repo; **in 2022 the SDF** replaced it as the hard floor, set just below the repo). RBI guides the market cost of money without dictating it by decree.

THE POLICY CORRIDOR



9 · Conduct of policy: resolving the growth-inflation trade-off

PYQs for this topic: 2 Prelims · 1 Mains

- **Problem:** policy depended on the **Governor's preference** (subjectivity) and on **time inconsistency:** governments facing elections press for cheap money to create a temporary boom, which later brings long-term inflation.
- **Limits of fostering growth:** growth needs infrastructure, taxation, EODB, export competitiveness and raw materials. If taxes are oppressive and infrastructure is poor, no one borrows even at 0%. RBI can supply money but cannot force the economy to use it.
- **Dominance in crushing inflation:** structural fixes take years, but raising the cost of money cuts spending whatever the cause. Monetary policy beats fiscal policy for rapid inflation control. So **central banks are more effective against high inflation than at raising growth.**

> **FLEXIBLE INFLATION TARGETING (FIT) AND THE MPC**
> **Monetary Policy Framework Agreement, 2015:** RBI's primary legal responsibility is **CPI inflation of 4% with a ±2% band (2% to 6%).** Within the band, RBI may cut rates to help growth; above 6%, it must hike. A statutory **6-member Monetary Policy Committee (MPC)** sets rates: **3 internal RBI officials (including the Governor)** and **3 external experts nominated by the Government.** Decisions by **majority vote;** the **Governor has a casting vote only in a tie.**

10 · Transmission and the evolution of loan pricing

PYQs for this topic: 1 Prelims · 0 Mains

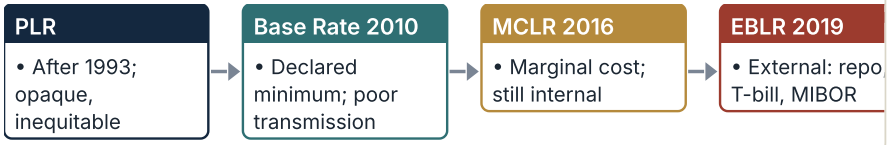
RBI lends only to banks, not to citizens. So effectiveness is judged by **transmission:** whether banks pass RBI's decisions on to the economy. If banks do not lower lending rates when RBI cuts, the policy "signal" never reaches the real economy: the **Monetary Transmission Mechanism.**

Four phases of loan pricing

Phase	Rate	What it did	Weakness
1	**PLR** (Prime Lending Rate), after 1993 deregulation	The lowest rate, charged to the least-risk customer	Not transparently declar those who could negotia paid less than the risk-appropriate rate; others paid more. Inequitable
2 (2010)	**Base Rate**	A **declared PLR:** the minimum any customer pays; no one lends below it. Ended cross-subsidisation	Transmission **poor:** a ba average cost includes millions of old 5-year FD so a repo cut barely mov it
3 (2016)	**MCLR** (Marginal Cost of Funds based	Linked lending rate to the dynamic **marginal** cost: interest on deposits, operating costs, maintenance, and the market cost of marginal funds	Still an **internal** benchma banks tweaked variables (inflating operating costs keep MCLR high

Phase	Rate	What it did	Weakness
	Lending Rate)		
4 (2019 to present)	**EBLR** (External Benchmark Lending Rate)	All new floating-rate **retail (home, auto) and MSME loans** must link to an external benchmark: **repo rate, 91-day or 182-day T-bill yield, MIBOR**	Near-perfect transmissi

LOAN PRICING: FOUR PHASES



EBLR example: home loan = repo (6.5%) + 3% spread = **9.5%.** If repo is cut by 50 basis points to 6.0%, the EMI resets to **9.0%** at the next reset date; the bank cannot block it. **MIBOR** (Mumbai Inter-bank Offered Rate) is the standard call rate in the inter-bank market.

HANDOUT ALERT: "EBLR = MCLR = BR"

The handout writes "**EBLR = MCLR = BR = f(marginal cost of funds)**" as a way to remember that all three express the bank's lending rate. They are **not** the same rule: the Base Rate and MCLR are **internal,** EBLR is **external.** Exam-hall rule: Base Rate 2010 → MCLR 2016 → EBLR 2019; only EBLR is linked to an outside rate.

11 · Some recent tools: the modern arsenal

PYQs for this topic: 6 Prelims · 0 Mains

Recent tools

Tool	What	Why
Retail Direct Scheme (RDS), 2021	Individuals open a **Retail Direct Gilt (RDG)** account directly with RBI to buy and sell G-Secs, T-Bills and Sovereign Gold Bonds, **free of charge**	Broaden the investor base so government borrows from the public, not only banks; a safe alternative to stocks and low-y FDs
LTRO and TLTRO (2020)	RBI lent to banks at the short-term **repo rate for 1 to 3 years** (normal LAF is overnight to 14 days). **Targeted** version: banks had to buy **corporate bonds of stressed sectors** (NBFCs, microfinance)	COVID liquidity freeze: banks hoarded cash; long cheap fun forced transmission
Variable Rate Reverse Repo (VRRR)	Auction-based absorption: RBI announces an amount (e.g. ₹2 Lakh Crore) and banks **bid** the rate	Post-COVID surplus: banks parked trillions at the fixed reverse repo; VRRR pushed sh

Tool	What	Why
		rates towards repo, **tightening without hiking the repo rate**
Standing Deposit Facility (SDF), April 2022	Overnight absorption of funds **without giving any G-Sec collateral; replaced the fixed reverse repo as the floor**	Reverse repo needs collateral; selling G-Secs would crash pri and raise government borrowi costs
Sterilisation and MSS (2004)	Government issues special **MSS bonds;** the money is kept in a locked account with RBI and cannot be spent	Heavy foreign inflows: RBI buy dollars (to protect exporters) a prints rupees (M0), causing inflation; MSS absorbs those rupees. The handout links this the **Impossible Trinity**

Exam traps

Each trap ends with a rule for the exam hall.

CONCEPT TRAP: TRUST BEATS LAW

Legal tender laws do not create value; they only enforce acceptance for settling a debt.

Rule: value comes from trust; legal tender gives enforced acceptance, not value.

PRELIMS TRAP: WHAT MONEY SUPPLY LEAVES OUT

Vault cash with banks, inter-bank deposits and the Government of India's deposits with RBI are not counted.

Rule: MS measures what the public holds; if an option counts vault cash or government deposits, reject it.

CONCEPT TRAP: REPO VERSUS REVERSE REPO

In repo the RBI lends to banks; in reverse repo the RBI borrows from banks when liquidity is in surplus.

Rule: repo = RBI lends (1 to 14 days); reverse repo = RBI borrows.

PRELIMS TRAP: THE FLOOR IS NOW THE SDF

The floor was earlier the reverse repo; since April 2022 the SDF is the hard floor, set just below the repo.

Rule: ceiling MSF, benchmark repo, floor SDF.

PRELIMS TRAP: CRR LIMITS SINCE 2006

The RBI Amendment Act of 2006 removed the 3% floor and the 40% ceiling on CRR.

Rule: CRR can be set anywhere from 0% to 100%; CRR is cash with RBI earning nothing, SLR is gold and bonds.

HANDOUT ALERT: EBLR = MCLR = BR

The handout writes all three as f(marginal cost of funds), but Base Rate and MCLR are internal while EBLR is external.

Rule: Base Rate 2010, MCLR 2016, EBLR 2019; only EBLR is linked to an outside rate.

Past-year questions

31 Prelims and 1 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

1 · What money is, and its four properties

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 Q5

Which one of the following statements correctly describes the meaning of legal tender money?

a. The money which is tendered in courts of law to defray the fee of legal cases.
b. The money which a creditor is under compulsion to accept in settlement of his claims.
c. The bank money in the form of cheques, drafts, bills of exchange, etc.
d. The metallic money in circulation in a country.

▶ Show answer

2 · Evolution of money: from gold to fiat

3 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2022 Q2

With reference to Non-Fungible Tokens (NFTs), consider the following statements :

1. They enable the digital representation of physical assets.
2. They are unique cryptographic tokens that exist on a blockchain.

3. They can be traded or exchanged at equivalency and therefore can be used as a medium of commercial transactions.

Which of the statements given above are correct ?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2020 Q3

With reference to “Blockchain Technology” consider the following statements:

1. It is a public ledger that everyone can inspect, but which no single user controls.
2. The structure and design of blockchain is such that all the data in it are about cryptocurrency only.
3. Applications that depend on basic features of blockchain can be developed without anybody’s permission.

Which of the statements given above is/are correct?

a. 1 only
b. 1 and 2 only
c. 2 only
d. 1 and 3 only

▶ Show answer

2016 Q10

With reference to ‘Bitcoins’, sometimes seen in the news, which of the following statements is/are correct?

1. Bitcoins are tracked by the Central Banks of the countries.
2. Anyone with a Bitcoin address can send and receive Bitcoins from anyone else with a Bitcoin address.
3. Online payments can be sent without either side knowing the identity of the other.

Select the correct answer using the code given below.

a. 1 and 2 only
b. 2 and 3 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

4 · Money supply and its measures

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2020 Q22

If you withdraw Rs. 1,00,000 in cash from your Demand Deposit Account at your bank, the immediate effect on aggregate money supply in the economy will be

a. to reduce it by Rs. 1,00,000
b. to increase it by Rs. 1,00,000
c. to increase it by more than Rs. 1,00,000
d. to leave it unchanged

▶ Show answer

2013 Q39

Consider the following liquid assets:

1. Demand deposits with the banks
2. Time deposits with the banks
3. Savings deposits with the banks
4. Currency The correct sequence of these assets in the decreasing order of liquidity is

a. 1-4-3-2
b. 4-3-2-1
c. 2-3-1-4
d. 4-1-3-2

▶ Show answer

5 · Money creation by banks: the multiplier

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2021 Q18

The money multiplier in an economy increases with which one of the following?

a. Increase in the Cash Reserve Ratio in the banks
b. Increase in the Statutory Liquidity Ratio in the banks
c. Increase in the banking habit of the people
d. Increase in the population of the country

▶ Show answer

2019 Q25

The money multiplier in an economy increases with which one of the following?

a. Increase in the cash reserve ratio
b. Increase in the banking habit of the population
c. Increase in the statutory liquidity ratio
d. Increase in the population of the country

▶ Show answer

6 · Demand for money

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2013 Q38

Supply of money remaining the same when there is an increase in demand for money, there will be

a. a fall in the level of prices
b. an increase in the rate of interest
c. a decrease in the rate of interest
d. an increase in the level of income and employment

▶ Show answer

7 · The cost of money and the dual mandate 3 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2022 Q16

In India, which one of the following is responsible for maintaining price stability by controlling inflation?

a. Department of Consumer Affairs
b. Expenditure Management Commission
c. Financial Stability and Development Council
d. Reserve Bank of India

▶ Show answer

2017 Q27

Which of the following statements is/are correct regarding the 'Monetary Policy Committee (MPC)'?

1. It decides the RBI's benchmark interest rates.
2. It is a 6-member body including the Governor of RBI and is reconstituted every year.
3. It functions under the chairmanship of the Union Finance Minister.

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 3 only
d. 2 and 3 only

▶ Show answer

2014 Q35

If the interest rate is decreased in an economy, it will

a. decrease the consumption expenditure in the economy.
b. increase the tax collection of the Government
c. increase the investment expenditure in the economy
d. increase the total savings in the economy

▶ Show answer

8 · Tools of monetary policy

10 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2023 Q11

Which one of the following activities of the Reserve Bank of India is considered to be part of 'sterilization'?

a. Conducting "Open Market Operations"
b. Oversight of settlement and payment systems
c. Debt and cash management for the Central and State Governments
d. Regulating the functions of Non-banking Financial Institutions

▶ Show answer

2020 Q23

If the RBI decides to adopt an expansionist monetary policy, which of the following it would not do?

1. Cut and optimize the Statutory Liquidity Ratio
2. Increase the Marginal Standing Facility Rate
3. Cut the Bank Rate and Repo Rate

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2015 Q31

When the Reserve Bank of India reduces the Statutory Liquidity by 50 basis points, which of the following is likely to happen?

a. India’s GDP growth rate increases drastically
b. Foreign Institutional Investors may bring more capital into our country
c. Scheduled Commercial Banks may cut their lending rates
d. It may drastically reduce the liquidity to the banking system.

▶ Show answer

2015 Q32

With reference to India economy, consider the following:

1. Bank rate
2. Open market operations
3. Public debt
4. Public revenue

Which of the above is/are component/ components of Monetary Policy?

a. 1 only
b. 2, 3 and 4 only
c. 1 and 2 only
d. 1, 3 and 4 only

▶ Show answer

2014 Q34

The terms ‘Marginal Standing Facility Rate’ and ‘Net Demand and Time Liabilities’ sometimes appearing in news, are used in relation to:

a. Banking operations
b. Communication networking
c. Military strategies
d. Supply and demand of agricultural products

▶ Show answer

2014 Q36

In the context of the Indian economy, which of the following is/are the purpose/purposes of ‘Statutory Reserve Requirements’?

1. To enable the Central Bank to control the amount of advances the banks can create.
2. To make the people’s deposits with banks safe and liquid.
3. To prevent the commercial banks from making excessive profits.
4. To force the banks to have sufficient vault cash to meet their day-to-day requirements.

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 2 and 3 only
d. 1, 2, 3 and 4

▶ Show answer

2013 Q41

In the context of Indian economy, ‘Open Market Operations’ refers to:

a. borrowing by scheduled banks from the RBI
b. lending by commercial banks to industry and trade
c. purchase and sale of government securities by the RBI
d. None of the above

▶ Show answer

2013 Q42

An increase in the Bank Rate generally indicates that the

a. Market rate of interest is likely to fall
b. Central Bank is no longer making loans to commercial banks
c. Central Bank is following an easy money policy
d. Central Bank is following a tight money policy

▶ Show answer

2012 Q45

Which of the following measures would result in an increase in the money supply in the economy?

1. Purchase of government securities from the public by the Central Bank

2. Deposit of currency in commercial banks by the public
3. Borrowing by the government from the Central Bank
4. Sale of government securities to the public by the Central Bank

Select the correct answer using the code given below:

a. 1 only
b. 2 and 4 only
c. 1 and 3 only
d. 2, 3 and 4 only

▶ Show answer

2011 Q48

The lowering of Bank Rate by the Reserve Bank of India leads to

a. More liquidity in the market
b. Less liquidity in the market
c. No change in the liquidity in the market
d. Mobilization of more deposits by commercial banks

▶ Show answer

9 · Conduct of policy: resolving the growth-inflation trade-off

2 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2023 Q225

Consider the following statements:

Statement-I: In the post-pandemic recent past, many Central Banks worldwide had carried out interest rate hikes.

Statement-II: Central Banks generally assume that they have the ability to counteract the rising consumer prices via monetary policy means. Which one of the following is correct in respect of the above statements?

a. Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I
b. Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement-I
c. Statement-I is correct but Statement-II is incorrect
d. Statement-I is incorrect but Statement-II is correct

▶ Show answer

2022 Q15

With reference to the Indian economy, consider the following statements:

1. If the inflation is too high, the Reserve Bank of India (RBI) is likely to buy government securities.
2. If the rupee is rapidly depreciating, RBI is likely to sell dollars in the market.
3. If interest rates in the USA or European Union were to fall, that is likely to induce RBI to buy dollars.

Which of the statements given above are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2024 10 marks Food Inflation & Monetary Policy

What are the causes of persistent high food inflation in India? Comment on the effectiveness of the monetary policy of the RBI to control this type of inflation.

KEYWORDS monetary policy RBI repo rate CPI food inflation effectiveness

10 · Transmission and the evolution of loan pricing

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2016 Q29

What is/are the purpose/purposes of 'Marginal Cost of Funds based Lending Rate (MCLR)' announced by the RBI?

1. These guidelines help improve the transparency in the methodology followed by the banks for determining the interest rates on advances.
2. These guidelines help ensure the availability of bank credit at interest rates which are fair to the borrowers as well as the banks.

Select the correct answers using the code given below:

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

11 · Some recent tools: the modern arsenal

6 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q1

Consider the following statements with respect of the digital rupee:

1. It is a sovereign currency issued by the Reserve Bank of India (RBI) in alignment with its monetary policy.
2. It appears as a liability on the RBI's balance sheet.
3. It is insured against inflation by its very design.

4. It is freely convertible against commercial bank money and cash.

Which of the statements given above are correct?

a. 1 and 2 only
b. 1 and 3 only
c. 2 and 4 only
d. 1, 2 and 4

▶ Show answer

2023 Q13

With reference to the Central Bank digital currencies, consider the following statements:

1. It is possible to make payments in a digital currency without using US dollar or SWIFT system.
2. A digital currency can be distributed with a condition programmed into it such as time-frame for spending it.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2018 Q4

Which one of the following links all the ATMs in India?

a. Indian Banks' Association
b. National Securities Depository Limited
c. National Payments Corporation of India
d. Reserve Bank of India

▶ Show answer

2018 Q6

With reference to digital payments, consider the following statements:

1. BHIM app allows the user to transfer money to anyone with a UPI-enabled bank account.
2. While a chip-pin debit card has four factors of authentication, BHIM app has only two factors of authentication.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2018 Q7

Which one of the following best describes the term "Merchant Discount Rate" sometimes seen in news?

a. The incentive given by a bank to a merchant for accepting payments through debit cards pertaining to that bank.
b. The amount paid back by banks to their customers when they use debit cards for financial transactions for purchasing goods or services.
c. The charge to a merchant by a bank for accepting payments from his customers through the bank's debit cards.
d. The incentive given by the Government, to merchants for promoting digital payments by their customers through Point of Sale (PoS) machines and debit cards.

▶ Show answer

2017 Q8

Consider the following statements:

1. National Payments Corporation of India (NPCI) helps in promoting the financial inclusion in the country.
2. NPCI has launched RuPay, a card payment scheme.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

Timeline and numbers

1993 — RBI begins deregulating interest rates; PLR era.

1998 — Y.V. Reddy Committee: new monetary aggregates NM1-NM3. ★

2004 — Market Stabilisation Scheme introduced. ★

2006 — RBI Amendment Act removes CRR floor (3%) and ceiling (40%). ★

2010 — Base Rate replaces PLR. ★

2015 — Monetary Policy Framework Agreement: FIT 4% ± 2%; MPC. ★

2016 — MCLR introduced. ★

2019 — EBLR for new floating-rate retail and MSME loans. ★

2020 — LTRO / TLTRO during COVID.

2021 — RBI Retail Direct Scheme launched.

Apr 2022 — Standing Deposit Facility introduced; becomes the floor. ★

Connects to

Chapter 6: Inflation

This chapter completes Chapter 6's argument: make money expensive to cool AD.

Chapter 7: Banking and NBFCs

CRR, SLR and LAF act through banks; PSL is a qualitative tool; scheduled banks get LAF access; reserves and trust link to regulation.

Chapter 4: Basic Concepts

Bonds and "safe, liquid, replicable" assets apply the stock-flow and capital ideas; demand and supply of money use the same logic as of goods.

Chapter 10: External Sector

Sterilisation, MSS and the impossible trinity connect RBI's forex purchases to money supply.

Chapter 12: Budget and Fiscal Policy

Government bonds are the asset that backs the rupee; the fiscal deficit decides bond supply.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Flexible Inflation Targeting (FIT): 10 years**: India's Flexible Inflation Targeting framework completed 10 years.
- **Surge in inflows under RBI's forex swap facility**: Inflows under the RBI special USD-INR swap facility reached $143.596 billion (data to 18 September 2026).
- **MDR on high-value UPI merchant payments**: NPCI announced a Merchant Discount Rate on select high-value person-to-merchant (P2M) UPI payments under the Payment and Settlement Systems Act, 2007.
- **Variable Rate Reverse Repo (VRRR)**: RBI absorbed over Rs 6.02 lakh crore in two three-day VRRR auctions; both cut-off rates were 5.24%.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Money = GA-MOE. Properties: value, preservation, authenticity, denomination. Legal tender in India: notes, coins, CBDC. Trust overrides law.
2. Gold coins → representative money → fiat money (central bank promise backed by government bonds: safe, liquid, replicable).
3. RBI: assets = gold, FCA, bonds, loans to banks; liabilities = CiC, bank deposits, government deposits = M0. Seigniorage = net interest income on assets backing currency.
4. MS curve is vertical (monopoly, not profit-driven). M1 = CC + DD + other deposits; M3 adds time deposits; M4 adds post-office. Excluded: vault cash, inter-bank deposits, government deposits. NM1, NM2 (≤ 1 year TD), NM3.
5. MS = m · M0; m falls with higher cdr and rdr. CRR is the legal enforcement of trust.
6. MDT ∝ P·Q/v. MDS ∝ 1/r. Liquidity trap at r-min: policy loses power.
7. Tools: OMO; CRR (cash with RBI, no interest; 2006: 0-100%); SLR (gold, G-secs); repo (1-14 days); reverse repo; MSF (penal, dips into SLR); Bank Rate dormant; SDF (April 2022).
8. Corridor: MSF (ceiling), repo (benchmark), SDF (floor).

9. FIT 2015: 4% ± 2%; MPC 6 members (3 RBI + 3 government nominees); Governor’s casting vote only in a tie.
10. PLR → Base Rate (2010) → MCLR (2016) → EBLR (2019; repo, T-bill, MIBOR). Recent: RDS 2021, LTRO 2020, VRRR, SDF 2022, MSS 2004.

ECONOMY · GS FOUNDATION · CHAPTER 9

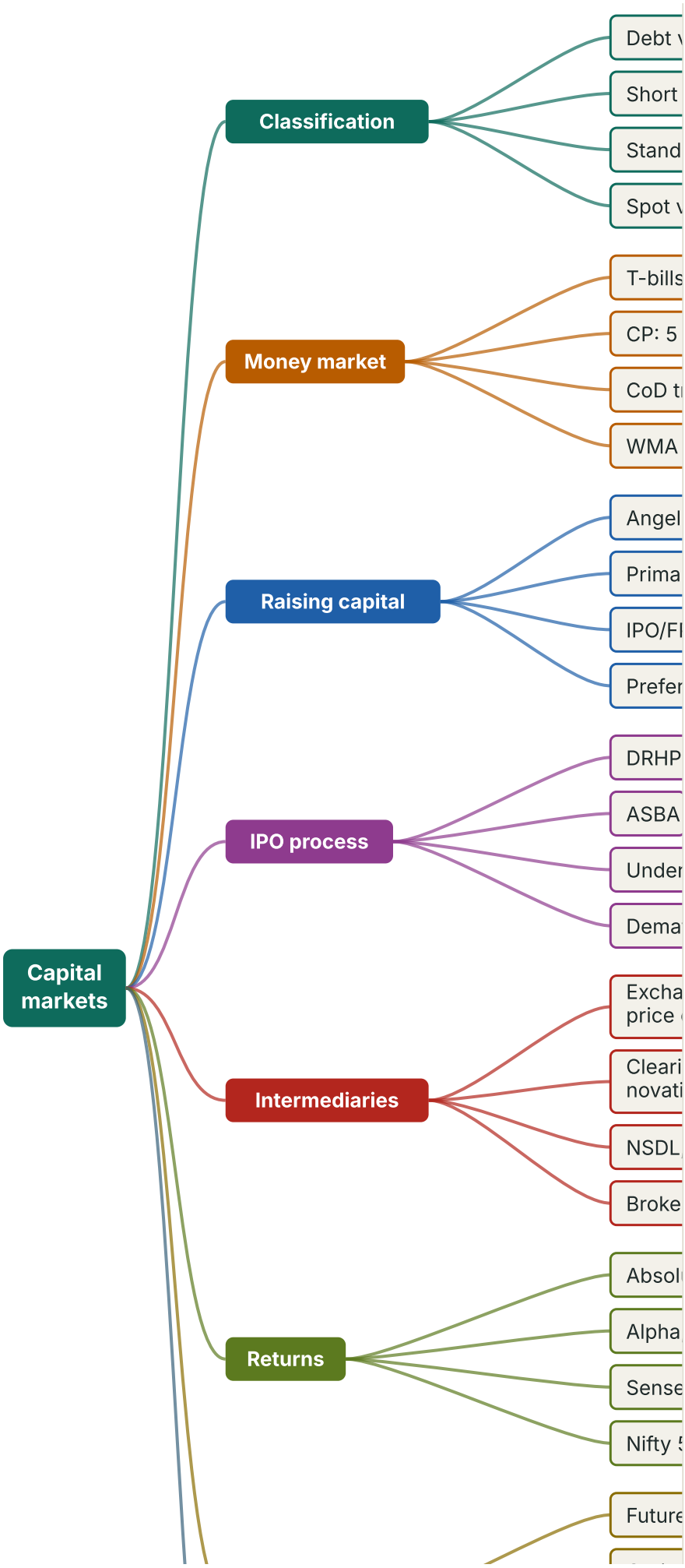
Capital Markets: Money Market, Stock Market, Derivatives and Funds

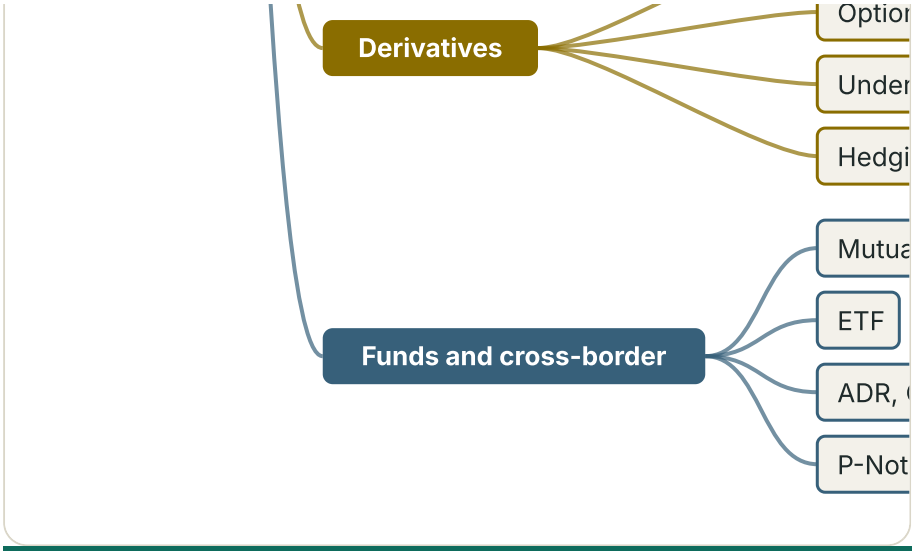
Handout only: no class slides | Handout pages 1-18 | Handout quotes no PYQs | PYQ sheets: 16 Prelims · 1 Mains · High

Classes of contracts, the money market (T-bills, CMBs, CP, CoD), how a company raises capital, the IPO process and OFS, stock market intermediaries (exchange, clearing house, depositories, brokers), returns, alpha and beta, Nifty and Sensex, market versus economy, derivatives (futures and options), mutual funds, ETFs, depository receipts and P-Notes.

Chapter map

MY NOTES


Capital markets
Classification
Debt
Short
Stand
Spot
Money market
T-bills
CP: 5
CoD t
WMA
Raising capital
Angel
Prima
IPO/FI
Prefer
IPO process
DRHP
ASBA
Under
Dema
Intermediaries
Excha price
Cleari novati
NSDL
Broke
Returns
Absol
Alpha
Sense
Nifty 5
Future



In simple words

IN SIMPLE WORDS

- The **money market** trades short-term (**under 1 year**) debt for working capital. The **capital market** trades equity and longer debt for fixed capital.
- In **primary** markets the company issues new shares. In **secondary** markets investors trade and the company is not involved. In an **OFS** the company receives **zero**.
- Strangers can trade because institutions build trust: the **exchange**, the **clearing house** (pre-funding and novation), **depositories** (NSDL, CDSL) and **brokers**.
- **Alpha** is the extra return over a benchmark; **beta** is volatility against it. **Sensex** and **Nifty** are baskets, and an index is **not the economy**.
- **Futures** are an obligation; **options** are a right with a loss capped at the **premium**. Funds, ETFs, depository receipts and P-Notes are other ways to invest.

Key terms in plain words

Key term	In plain words
Near money	Money market instruments: very liquid, low risk and low interest.
Zero coupon	No interest paid; sold at a discount and redeemed at par, as with T-l
OTC	Over The Counter: customised contracts that are not easily traded.
Derivative	A contract with no value of its own; it derives value from an underly
Underwriter	An investment bank that promises to buy all unsold shares.
DRHP and RHP	Draft prospectus with no valuation, which becomes the RHP once th price band is final.
ASBA	Application Supported by Blocked Amount: money is blocked, not debited.
Green shoe option	Over-allotment option used to stabilise the price after listing.
Novation	The clearing house becomes buyer to every seller and seller to ever buyer.
Demat	Digital holding of shares, kept with a depository.

Key term	In plain words
Settlement cycle	Time from execution to credit of shares and money; now T+1.
Alpha	Additional return a portfolio earns over the benchmark.
Beta	Volatility relative to the benchmark; 1.5 means 50% more volatile.
NAV	Net asset value per unit: (assets minus liabilities and expenses) divi by units.
ETF	Passively managed fund whose units are listed and traded live on th exchange.
P-Notes (ODIs)	Offshore Derivative Instruments issued by FIIs; SEBI now requires U disclosure.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis (explicit numbers, definitions and its "starred" points).

What the handout stresses

Signal in the handout	Where	Why it matters
Money market = under 1 year, debt only, "near money"; capital market = long term (fixed capital formation)	Section 1	Basic classificat
T-bills 91, 182, 364 days; CMBs 7-15 days; only the Centre issues them; zero-coupon, sold at a discount	Section 2	Numbers
CP: investment-grade rating (SEBI); **5 AIFIs** can issue (NABARD, NHB, SIDBI, EXIM, NaBFID). **CoD** tradable	Section 2	Lists
Primary versus secondary; IPO/FPO versus **OFS** (company gets zero); **DRHP → RHP; ASBA; green shoe**	Section s 3-4	Process terms
Clearing house: pre-funding and **novation; Depositories Act 1996:** NSDL, CDSL; **T+1,** moving to T+0	Section 5	Institution and dates
Alpha and beta; Sensex 30 companies, base 100, 1979; Nifty 50, base 1000, 1995; rebalanced about every 6 months	Section s 6-7	Numbers
Futures (obligation) versus options (right); **strike, expiry, premium**	Section 8	Highway-and-land example
Mutual fund as a Trust (Indian Trusts Act 1882); AMC; NAV; TER; ETF; **ADR, GDR, IDR; P-Notes (ODIs),** UBO rules 2016-2017	Section s 9-10	Definition

WHAT TO PREPARE

Prelims hooks: T-bill and CMB maturities; who can issue CP and CoD; primary versus secondary market; IPO versus OFS; DRHP/RHP; ASBA; green shoe;

novation; NSDL and CDSL; Sensex and Nifty facts; alpha and beta; futures versus options; NAV and TER; ETF; ADR, GDR, IDR; P-Notes.

Mains hooks: what stock exchanges, clearing houses and depositories do for trust; why the stock market is not the economy and why it can rise when the economy falls; why derivatives are risk-management tools; why retail investors lose; regulation of P-Notes.

Closing idea: a market works because strangers can trust each other; every institution in it exists to manufacture that trust.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 16 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: Money market instruments (8 Prelims, 0 Mains); Stock market intermediaries (3 Prelims, 0 Mains); From a business idea to a public company (2 Prelims, 1 Mains).

Prelims years: 2014, 2019, 2020, 2021, 2022, 2023, 2024. Mains years: 2013.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · Capital markets: the four ways to classify contracts

In capital markets the **demanders and suppliers themselves decide,** so they **bear the risks** and enjoy most of the reward. Intermediaries give information, build trust and do back-end work. (In banking, by contrast, the bank decides: see Chapter 7.) Contracts are classified by:

1. **Rights and obligations:** debt versus equity.
2. **Maturity:** less than 1 year is **short term;** more than 1 year is **long term.**
3. **Terms and conditions:** standardised versus customised.
4. **Settlement:** spot versus futures (derivatives).

Money market versus capital market

	Money market	Capital market
Contracts	Short-term (**below 1 year**) **debt** contracts (equity gives rights in perpetuity, so it is long term)	Equity, and debt of **more than 1 y** (loans, bonds)
Purpose	Manage **working capital** and short-term liquidity mismatches	**Fixed capital formation** (factories expansion)

	Money market	Capital market
Features	Less risky, usually **unsecured,** low interest, extremely liquid: **"near money"**	Money turns into an asset for long money loses liquidity (the asset it may be liquid)

2 · Money market instruments

PYQs for this topic: 8 Prelims · 0 Mains

T-bills, CMBs, CP and CoD

Instrument	Issuer	Key facts (from the handout)
Treasury Bills (T-bills)	**Only the Centre**	Unsecured short-term government debt; maturity **91, 182 364 days; zero coupon:** sold by **auction at a discount** a redeemed at par (face value)
Cash Management Bills (CMBs)	**Only the Centre**	Maturity **7 to 15 days. State governments** manage short-term mismatches through **Ways and Means Advances (WMA) from RBI,** not T-bills
Commercial Paper (CP)	Corporations, several NBFCs, **InvITs, DFIs**	Unsecured; issuer needs a rating **above a SEBI-prescrib minimum investment grade.** Five **AIFIs** (All India Financi Institutions) can issue: **NABARD, NHB, SIDBI, EXIM Bank NaBFID** (National Bank for Financing Infrastructure Development)
Certificate of Deposit (CoD)	Banks	Short-term deposits raised by issuing certificates, used when banks face a liquidity crunch. Unlike FDs, **CoDs are tradable**

3 · Customised versus standardised, spot versus futures

Two more splits

	Customised (OTC)	Standardised
Liquidity	Market not well developed, not easily tradable except via specific counters: **Over The Counter (OTC)**	Many buyers and selle easily tradable on mar
Examples	Loans, debentures, preference shares	Bonds, common equity

- **Spot contracts:** settled on the spot (buyer pays, seller delivers); also called **CNC (Cash and Carry).**
- **Futures (standardised) / Forwards (OTC):** signed today, exchange at a **future date** at a **predetermined price.** The **underlying** is the commodity or contract; the agreed price is the **strike price** (the biggest factor is the **current market price, CMP**); the time limit is **maturity.**

- **Derivatives:** contracts with no value of their own; they **derive** value from the underlying (futures, options, swaps, securitised loans). The handout likens one to a **betting slip** on rain.

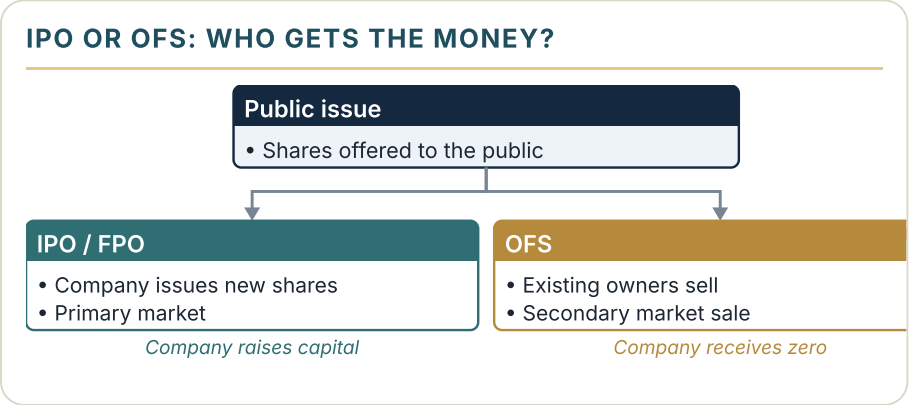
4 · From a business idea to a public company

PYQs for this topic: 2 Prelims · 1 Mains

- A **company** exists independently of the entrepreneur, so it can enter enforceable contracts, sue and be sued. **Authorised capital** is the total shares of some face value it may issue; the part issued is **paid-up capital.** Promoters bring the initial capital. Shares can be given without money, e.g. **sweat equity** for employees.
- Growth stages: **angel investors** (money plus experience, network, mentoring; a valuation is negotiated and equity given); then **venture capital funds, private equity funds, investment banks** (who raise from firms and HNIs); finally the **public.**
- **Primary market:** the company issues **new shares** from its authorised capital. **Secondary market:** an existing investor sells to a new one; **the company is nowhere involved.**
- **Preference shares:** customised shares with **priority rights** (fixed dividend first and capital back first on bankruptcy). Only beyond a point are standardised shares issued for liquidity.

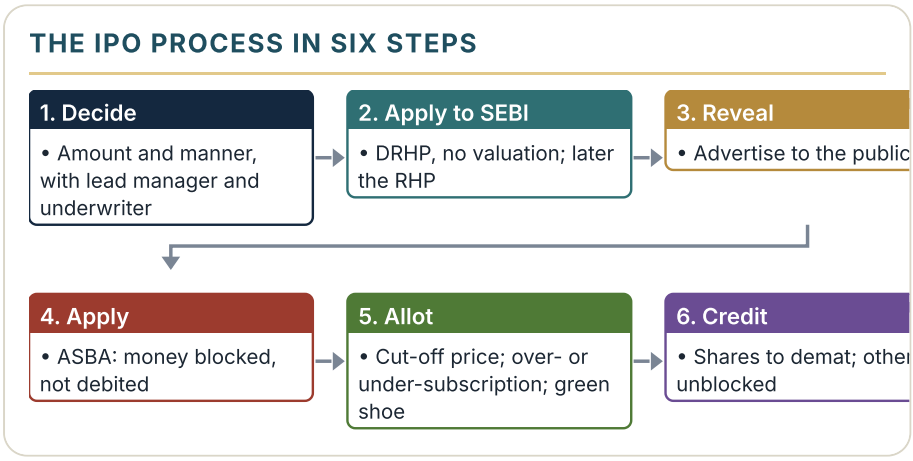
Public issue

Term	Meaning
IPO / FPO	Initial / Follow-on Public Offer: the company issues shares and **raises capital**
OFS (Offer for Sale)	Existing owners sell to the public: a **secondary market** sale. **The compa receives ZERO.** Example in the handout: a ₹10,000 Cr IPO with ₹9,000 C OFS means the company raises only ₹1,000 Cr



The IPO process (SEBI-prescribed)

1. The company decides the amount (e.g. ₹10,000 Cr) and manner (fresh issue or OFS, capital structure, valuation) with advisors: **investment banks (lead manager, underwriter).** An **underwriter** promises to buy all unsold shares.
2. **Application to SEBI:** documents (balance sheet, promoter records, risks). The **DRHP (Draft Red Herring Prospectus)** has **no valuation;** after approval and once the price band is final it becomes the **RHP.** ("Red herring": intentionally lacks final price and quantity.)
3. **Revealing to the public** by advertisement.
4. **Application and allotment** through **ASBA (Application Supported by Blocked Amount):** the money is **blocked, not debited,** so you keep earning savings interest and refunds are not delayed.
5. **Cut-off price. Over-subscription:** demand exceeds supply (fair allocation); **under-subscription:** demand below supply (the underwriter steps in). The **green shoe option** is an over-allotment option for price stabilisation: the underwriter borrows extra shares from promoters and sells them; if the price crashes on listing, the cash is used to buy back shares from the market.
6. Successful applicants get shares in their **demat** accounts; others get funds unblocked.



Public issues and trading both take place on **NSE and BSE;** exchanges serve the **primary** as well as the secondary market (commonly forgotten).

5 · Stock market intermediaries

PYQs for this topic: 3 Prelims · 0 Mains

Five main intermediaries

Intermediary	Role (from the handout)
Stock exchanges (NSE, BSE)	Background tasks, **trust** between strangers, information on demand, sup and price, for **rational price discovery.** Brokers first met under a **Banyan tree in Mumbai in 1875** (today's BSE). Three functions: **trust** (the market the guarantor; the "Amazon" function), **convenience** (transfer of title via

Intermediary	Role (from the handout)
	Registrar), **rationality / price discovery** (participation gives depth, so no can manipulate the price)
Clearing house (CH)	The **trust architect. Pre-funding:** buyer's money is blocked in the trading account and the seller's shares are blocked in the demat account before order. **Novation:** the CH becomes buyer to every seller and seller to ever buyer, so **counterparty risk is annihilated**
Depositories and DPs	Safe storage of digital assets (shares, bonds, MF units, T-bills). The **Depositories Act, 1996** created **NSDL and CDSL** and mandated **dematerialisation.** Before, shares were paper, settlement took **14 days,** a brokers misused client assets, culminating in the **1992 stock market scar**
Brokers	The gateway: citizens cannot trade directly. A **SEBI-registered broker** op a **trading account** (holds funds); a **demat** account is opened with NSDL CDSL
Banks	Provide money to investors, own or borrowed

MEMORY AID · FIVE STOCK MARKET INTERMEDIARIES

S **H** **R** **E** **D**

Intermediaries SHRED the distrust between strangers who trade.

- **S** Sources of money: banks give investors their own or borrowed funds
- **H** House, the clearing house: pre-funding and novation
- **R** Registered brokers: the SEBI-registered gateway to trading
- **E** Exchanges (NSE, BSE): trust, convenience, price discovery
- **D** Depositories and DPs: NSDL and CDSL store digital assets

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

The flow: open trading and demat accounts, place a buy order via the broker, the CH makes sure obligations are met first, orders form **bids and asks,** a matched order is **executed.** The time from execution to credit of shares and money is the **settlement cycle.** Settlement is now **T+1** (T = transaction day) with a **migration to same-day (T+0)** started.

HANDOUT ALERT: DEMAT DATE AND SETTLEMENT

The handout says the **Depositories Act was passed in 1996** and, later, that SEBI required **dematerialisation in 1995.** The 1996 Act is the statutory date; **1995** is given for the SEBI requirement. Also, settlement was **14 days** earlier and is **T+1**

now. Exam-hall rule: quote **Depositories Act 1996 (NSDL, CDSL)**; mention 1995 only if a question uses it.

6 · Returns: absolute, IRR, alpha and beta

PYQs for this topic: 1 Prelims · 0 Mains

Ways to look at returns

Kind	Meaning
Absolute returns	Point to point over a period
Average returns	Per year, as a **compounded** average
IRR / XIRR	Internal rate of return on **cash flows** (regular or irregular investments, dividends, rent, maintenance). The handout's house example: bought at Cr, worth ₹5 Cr in 5 years, but rent and maintenance cash flows change real return
Comparative returns	Against a **benchmark** (Nifty 50, Sensex or a relevant index)
Alpha	The **additional** return a portfolio earns over the benchmark
Beta	The portfolio's **volatility relative to the benchmark.** Beta 1 moves exactly with the Nifty; **beta 1.5 is 50% more volatile (riskier).** High beta with no alpha means more risk without better returns

7 · Benchmarks and indices: Nifty, Sensex and market versus economy

- A **benchmark** is a basket of listed companies with **weights** by relative importance (assessed mainly by **free-float market capitalisation**). Its **weighted average price (WAP)** at the base date is **indexed** to 100 or 1000. If WAP goes from 10,000 (index 100) to 100,000 the index is **1000:** the sector gave **10 times** over 10 years. A relevant benchmark for an IT-heavy portfolio is an IT index.
- Indices are **rebalanced about every 6 months** (firms exit and enter, weights change).

Sensex versus Nifty

	BSE Sensex	Nifty 50
Companies	30	50
Base value	100	1000
Base year	1979	1995

Market versus economy

- Broad indices are used as a **proxy** for economic health, which can mislead. They reflect only the WAP of **50 largest, most formal, cash-rich corporations,** not unorganised MSMEs, agricultural distress, poverty, unemployment, inflation or trade.
- In **systemic shocks (COVID-19)** the market can hit **record highs** while GDP falls and unemployment rises, because large firms survive and capture the share of dying small businesses.
- **Forward-discounting mechanism:** the economy is a mirror of the past and present, but the stock market **discounts the future** (about 18 months ahead in the handout's words). A stock price is the aggregate of what millions expect a company to earn.

8 · Derivatives: the highway-and-land example

The handout uses land worth ₹10 L that could be worth ₹50 L if a highway is approved or ₹5 L if cancelled, with the decision in one year.

Spot versus futures versus option

Contract	What you do	If approved (₹50 L)	If cancelled (₹5 L)	Risk
Spot (cash and carry)	Pay ₹10 L now, take the papers	You own it	You own it	100% risk, all capital tied up
Futures / forward	Agree to buy for **₹11 L** in one year; no money now	Profit **₹39 L**	Loss **₹6 L** (bound to buy a worthless plot)	**Symmetrical,** a obligation for bo
Option	Pay a non-refundable **₹1 L premium** for the **right, not the obligation,** to buy at ₹11 L	Net profit **₹38 L** (cost ₹12 L)	Loss **only ₹1 L:** tear up the contract	**Asymmetrical:** upside large, downside cappe at the premium

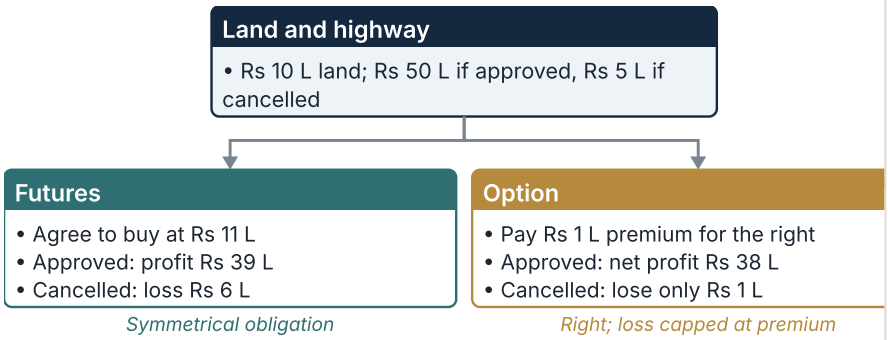
Mapping to market terms

In the example	Term
The barren land	**Underlying asset** (shares, gold, wheat)
The 1-year deadline	**Expiry date**
The agreed ₹11 L	**Strike price**
The ₹1 L token	**Option premium**

- The option itself becomes tradable and valuable (others may offer ₹15 L for it): that is why derivatives are traded.
- **Philosophy:** derivatives are **risk-management (hedging)** vehicles; institutions buy options as insurance. Retail traders use the **leverage** (₹1 L premium controls ₹50 L of exposure) for gambling; the handout says **99% of retail derivative traders lose money.**

- **The ticking clock:** in spot markets you need to be right on **direction;** in derivatives you must be right on **direction AND time.** A call option expiring March 31 is worthless if the highway is announced April 1.

FUTURES VERSUS OPTION



9 · Expert handling of money: mutual funds and ETFs

PYQs for this topic: 1 Prelims · 0 Mains

- **Retail trap:** slogans like "Yeh market sabka hai" and FOMO; by the time news reaches retail traders, institutions have known for months. The handout says **9 out of 10 retail traders lose money** and advises handing capital to experts, i.e. **mutual funds.**
- Every "fund" has: an **owner,** a **designated objective,** a **fund manager, voluntary contributors** and a **corpus.**

Mutual fund versus ETF

	Mutual fund	ETF (Exchange Trac Fund)
Structure	A **Trust** under the **Indian Trusts Act, 1882;** investors are beneficiaries; a board of **Trustees** oversees. An **AMC** (Asset Management Company) launches schemes and hires fund managers	Passively managed: a Nifty 50 ETF holds exact 50 stocks in ir weights
Unit value	Investors get **Units;** value of one unit is **NAV = (assets – liabilities and expenses) ÷ units. TER (Total Expense Ratio)** is capped by SEBI	Value computable ev second
Trading	NAV computed **once a day (EOD);** buy and sell **with the AMC,** not on the exchange	Units **listed on the stock exchange** and traded live like share

10 · Crossing borders: depository receipts and P-Notes

PYQs for this topic: 1 Prelims · 0 Mains

Depository receipts

Instrument	Meaning
Mechanism	An Indian company (the handout uses Infosys) deposits shares with a **local custodian bank** in Mumbai; an **overseas depository bank** issues **receipts** against them, traded in dollars abroad. Avoids conforming the whole accounting system to US standards
ADR	American Depository Receipt: traded in the US
GDR	Global Depository Receipt: Europe or other global markets
IDR	Indian Depository Receipt: the reverse; a **foreign** company raises rupees fr Indian investors by issuing IDRs on BSE/NSE (the handout's example: Stand Chartered)

Participatory Notes (P-Notes) are officially **Offshore Derivative Instruments (ODIs).** They were used as a "washing mechanism" (round-tripping) for black money: illegal wealth goes to a tax haven (Mauritius), is handed to a SEBI-registered **FII** which invests in its own name; the FII issues a P-Note to the owner, passing on the profits. SEBI could not see the real owner. In **2016-2017** SEBI required FIIs to disclose the **Ultimate Beneficial Owner (UBO)** of every P-Note on request; issuance then fell sharply.

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: T-BILLS VERSUS CMBS

T-bills mature in 91, 182 or 364 days; CMBs in 7 to 15 days. Only the Centre issues both; States use Ways and Means Advances from RBI.

Rule: 91/182/364 = T-bill, 7 to 15 days = CMB, States = WMA.

CONCEPT TRAP: OFS GIVES THE COMPANY NOTHING

In an Offer for Sale existing owners sell to the public, a secondary market sale. In the handout's example a Rs 10,000 Cr IPO with Rs 9,000 Cr as OFS raises only Rs 1,000 Cr for the company.

Rule: IPO/FPO raises capital for the company; OFS = company gets zero.

CONCEPT TRAP: EXCHANGES SERVE THE PRIMARY MARKET TOO

Public issues and trading both take place on NSE and BSE, a point commonly forgotten.

Rule: exchanges serve both primary and secondary markets.

HANDOUT ALERT: DEMAT 1995 OR 1996

The handout says the Depositories Act was passed in 1996 and also that SEBI required dematerialisation in 1995.

Rule: quote Depositories Act 1996 (NSDL, CDSL); mention 1995 only if the question uses it.

PRELIMS TRAP: SENSEX AND NIFTY NUMBERS

Sensex has 30 companies, base 100, base year 1979. Nifty has 50 companies, base 1000, base year 1995.

Rule: 30/100/1979 = Sensex; 50/1000/1995 = Nifty.

CONCEPT TRAP: FUTURES VERSUS OPTIONS RISK

Futures are a symmetrical obligation for both sides. An option is a right, so the buyer's loss is capped at the premium.

Rule: obligation and symmetrical = futures; right and capped loss = option.

Past-year questions

16 Prelims and 1 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

2 · Money market instruments

8 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q64

With reference to the Indian economy, "Collateral Borrowing and Lending Obligations" are the instruments of:

a. Bond market
b. Forex market
c. Money market
d. Stock market

▶ Show answer

2024 Q285

Consider the following statements:

Statement-I: If the United States of America (USA) were to default on its debt, holders of US Treasury Bonds will not be able to exercise their claims to receive payment.

Statement-II: The US Government debt is not backed by any hard assets, but only by the faith of the Government. Which one of the following is correct in respect of the above statements?

a. Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
b. Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
c. Statement-I is correct, but Statement-II is incorrect
d. Statement-I is incorrect, but Statement-II is correct

▶ **Show answer**

2023 Q12

Consider the following markets:

1. Government Bond Market
2. Call Money Market
3. Treasury Bill Market
4. Stock Market

How many of the above are included in capital markets?

a. Only one
b. Only two
c. Only three
d. All four

▶ **Show answer**

2022 Q66

With reference to the Indian economy, what are the advantages of "Inflation-Indexed Bonds (IIBs)" ?

1. Government can reduce the coupon rates on its borrowing by way of IIBs.
2. IIBs provide protection to the investors from uncertainty regarding inflation.
3. The interest received as well as capital gains on IIBs are not taxable.

Which of the statements given above are correct ?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2022 Q67

With reference to Convertible Bonds, consider the following statements:

1. As there is an option to exchange the bond for equity, Convertible Bonds pay a lower rate of interest.
2. The option to convert to equity affords the bondholder a degree of indexation to rising consumer prices.

Which of the statements given above is/are correct ?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2021 Q19

Indian Government Bond Yields are influenced by which of the following?

1. Actions of the United States Federal Reserve
2. Actions of the Reserve Bank of India
3. Inflation and short-term interest rates

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

2020 Q69

In the context of the Indian economy, non-financial debt includes which of the following?

1. Housing loans owned by household
2. Amounts outstanding on credit cards
3. Treasury Bills

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

2020 Q71

With reference to the Indian Economy, consider the following statements:

1. ‘Commercial Paper' is a short term unsecured promissory note.
2. ‘Certificate of Deposit’ is a long-term instrument issued by the Reserve Bank of India to a corporation.
3. ‘Call Money’ is a short-term finance used for interbank transactions.
4. ‘Zero-Coupon Bonds’ are the interest- bearing short-term bonds issued by the Scheduled Commercial Banks to corporations.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 4 only
c. 1 and 3 only
d. 2, 3 and 4 only

▶ Show answer

4 · From a business idea to a public company 2 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2024 Q206

With reference to Corporate Social Responsibility (CSR) rules in India, consider the following statements:

1. CSR rules specify that expenditures that benefit the company directly or its employees will not be considered as CSR activities.
2. CSR rules do not specify minimum spending on CSR activities.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2014 Q76

What does venture capital mean?

a. A short-term capital provided to industries
b. A long-term start-up capital provided to new entrepreneurs
c. Funds provided to industries at times of incurring losses
d. Funds provided for replacement and renovation of industries

▶ Show answer

MAINS (GS-III)

2013 10 marks CSR & Inclusive Growth

With a consideration towards the strategy of inclusive growth, the new companies bill, 2013 has indirectly made CSR a mandatory obligation. Discuss the challenges expected in its implementation in right earnest. Also discuss other provisions in the bill and their implications.

KEYWORDS profit CSR mandatory inclusive growth challenges implementation

5 · Stock market intermediaries

3 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q77

In India, which of the following can trade in Corporate Bonds and Government Securities?

1. Insurance Companies
2. Pension Funds
3. Retail Investors

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 and 3 only

c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2022 Q14

Consider the following statements:

1. In India, credit rating agencies are regulated by the Reserve Bank of India.
2. The rating agency popularly known as ICRA is a public limited company.
3. Brickwork Ratings is an Indian credit rating agency.

Which of the statements given above are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2021 Q68

With reference to India, consider the following statements :

1. Retail investors through demat accounts can invest in 'Treasury Bills' and 'Government of India Debt Bonds' in the primary market.
2. The 'Negotiated Dealing System- Order Matching' is a government securities trading platform of the Reserve Bank of India.
3. The 'Central Depository Services Ltd.' is jointly promoted by the Reserve Bank of India and the Bombay Stock Exchange.

Which of the statements given above is/are correct?

a. 1 only
b. 1 and 2
c. 3 only
d. 2 and 3

▶ Show answer

6 · Returns: absolute, IRR, alpha and beta

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2023 Q65

In the context of finance, the term 'beta' refers to

a. the process of simultaneous buying and selling of an asset from different platforms
b. an investment strategy of a portfolio manager to balance risk versus reward
c. a type of systemic risk that arises where perfect hedging is not possible
d. a numeric value that measures the fluctuations of a stock to changes in the overall stock market

▶ Show answer

9 · Expert handling of money: mutual funds and ETFs

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q194

Consider the following:

1. Exchange-Traded Funds (ETF)
2. Motor vehicles
3. Currency swap

Which of the above is/are considered financial instruments?

a. 1 only
b. 2 and 3 only
c. 1, 2 and 3
d. 1 and 3 only

▶ Show answer

10 · Crossing borders: depository receipts and P-Notes

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2019 Q72

Which of the following is issued by registered foreign portfolio investors to overseas investors who want to be part of the Indian stock market without registering themselves directly?

a. Certificate of Deposit
b. Commercial Paper
c. Promissory Note
d. Participatory Note

▶ Show answer

Timeline and numbers

1875 Brokers gather under a Banyan tree in Mumbai (today's BSE). ★

1882 Indian Trusts Act (legal form of a mutual fund).

1979 — Sensex base year (base value 100). ★

1992 — Stock market scam (broker misuse of client assets). ★

1995 — Nifty base year (base value 1000); demat requirement by SEBI. ★

1996 — Depositories Act: NSDL and CDSL. ★

2016-2017 — SEBI UBO disclosure rules for P-Notes. ★

Connects to

Chapter 7: Banking and NBFCs

The previous handout's section 1 on contracts and intermediaries leads here: banks are decision-making intermediaries (RBI), exchanges are decision-facilitating (SEBI).

Chapter 8: Money and Monetary Policy

T-bills, MIBOR, CoD and G-secs are the market instruments RBI uses; T-bills appear as EBLR benchmarks.

Chapter 5: National Income Accounting

The market-versus-economy section contrasts index levels with GDP, unemployment and poverty.

Chapter 10: External Sector

ADR, GDR, IDR, FII and P-Notes link to capital account flows.

Chapter 12: Budget and Fiscal Policy

T-bills and CMBs fund the Centre's short-term needs; States use WMA.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Global bond sell-off and rising sovereign yields**: Long-term yields in the US, UK, France and Japan hit multi-decade highs on inflation worries and fiscal pressure.
- **National Investment and Infrastructure Fund (NIIF)**: NIIF Infrastructure Fund II has raised about Rs 19,000 crore towards a Rs 30,000 crore target.
- **Certificate of Deposit (CD)**: Three-month CD rates fell to about 6.3% from 7.09-7.23% in June 2026, as FCNR(B) inflows (about $127.2 billion) raised liquidity and cut banks' need…
- **Demutualisation of stock exchanges (NSE IPO)**: NSE launched its IPO, bringing demutualisation into focus.
- **Demat 2.0 (tokenised corporate bonds)**: SEBI and RBI launched the Demat 2.0 pilot for tokenised corporate bonds using Distributed Ledger Technology and wholesale digital rupee settlement.
- **SEBI's IT Resilience Index (ITRI)**: SEBI introduced ITRI for Market Infrastructure Institutions (exchanges, clearing corporations, depositories).

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Money market: debt under 1 year, near money, working capital. Capital market: equity and debt over 1 year, fixed capital.
2. T-bills 91/182/364 days, zero coupon at discount; CMBs 7-15 days; only the Centre; States use WMA. CP: investment-grade, 5 AIFIs. CoD: tradable bank deposit.
3. Primary: company issues. Secondary: investors trade; company uninvolved. OFS: company gets zero.
4. IPO: lead manager and underwriter; DRHP (no price) → RHP; ASBA blocks money; green shoe over-allotment.
5. Exchange = trust, convenience, price discovery. Clearing house = pre-funding, novation. Depositories Act 1996: NSDL, CDSL. T+1, moving to T+0.
6. Alpha = excess return over benchmark. Beta = relative volatility (1.5 = 50% more).
7. Sensex: 30, base 100, 1979. Nifty: 50, base 1000, 1995. Rebalanced about every 6 months. Index ≠ economy (forward-discounting).
8. Futures: symmetrical obligation. Option: right with premium, capped loss. Underlying, strike, expiry. Need direction and time.

9. Mutual fund: Trust (1882), AMC, units, NAV once a day, TER capped by SEBI. ETF: passive, listed, live price.
10. ADR (US), GDR (global), IDR (foreign firm in India). P-Notes = ODIs; UBO disclosure 2016-2017.

ECONOMY · GS FOUNDATION · CHAPTER 10

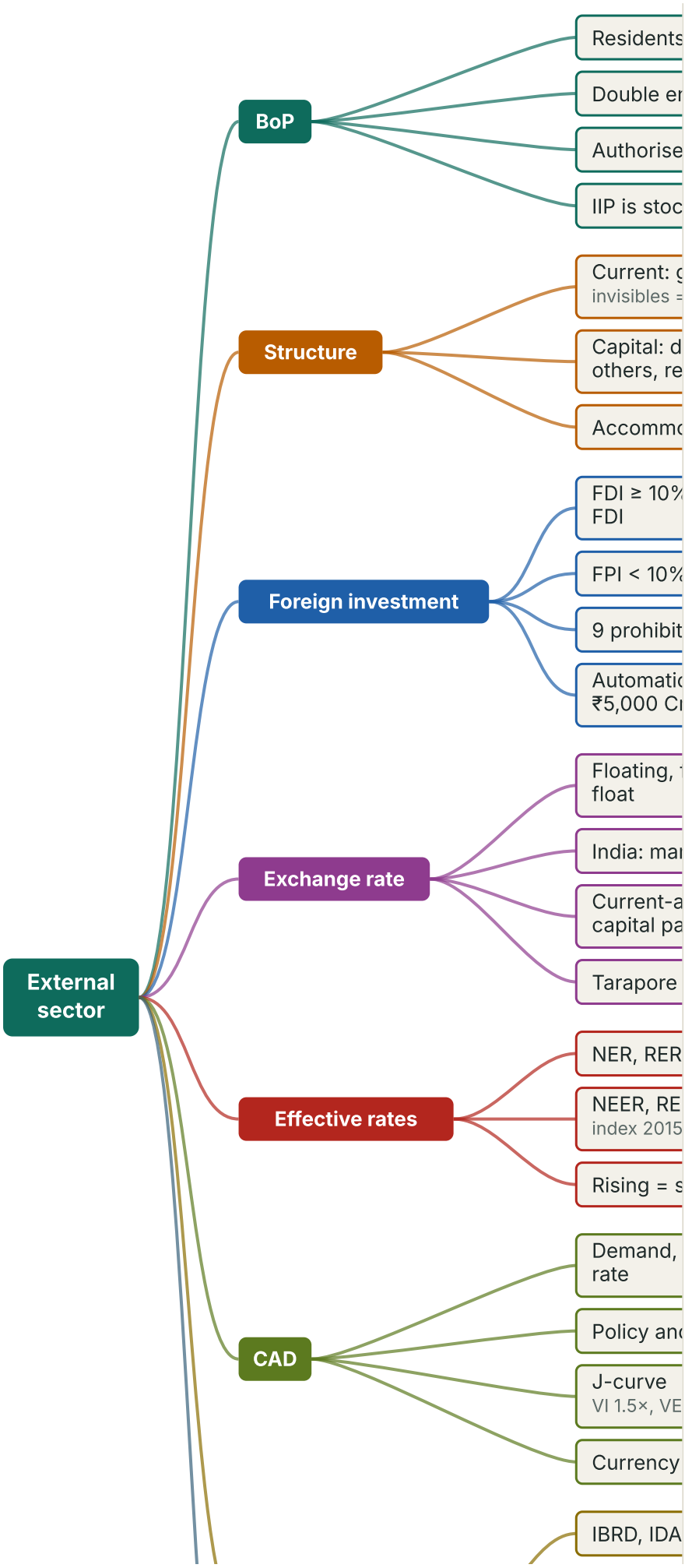
External Sector: BoP, Foreign Investment, Exchange Rates, CAD and IMF/World Bank

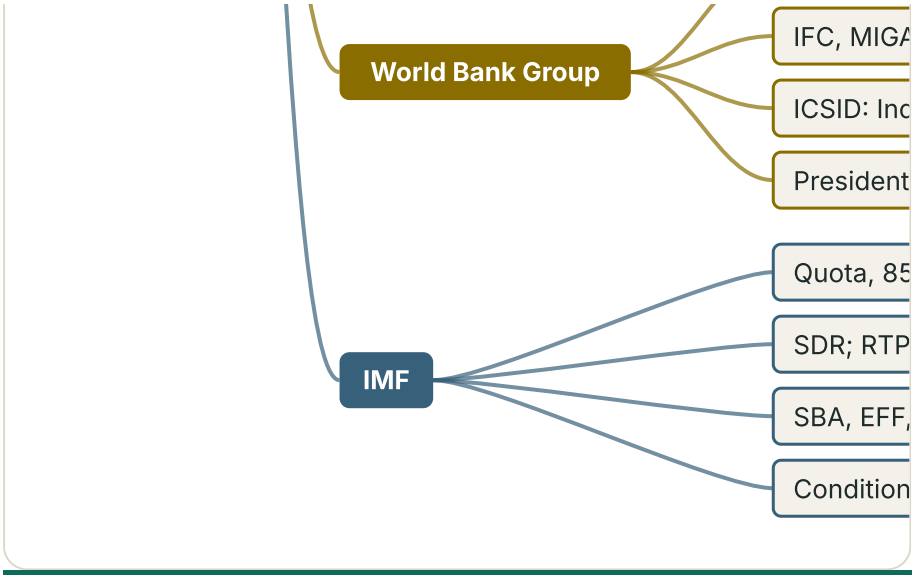
Class slides + handout | Slides 232-250, handout pages 1-47 | Handout quotes no PYQs | PYQ sheets: 45 Prelims · 9 Mains · High

How the BoP is built from forex transactions, autonomous versus accommodative entries, FDI versus FPI and FDI reforms, exchange rate systems and convertibility, nominal, real and effective exchange rates, why a CAD arises and how it is cured, the J-curve and currency wars, and the Bretton Woods institutions: World Bank Group and the IMF with SDRs.

Chapter map

MY NOTES


External sector
BoP
Residents
Double er
Authorise
IIP is stoc
Structure
Current: g
invisibles =
Capital: d
others, re
Accommo
Foreign investment
FDI ≥ 10%
FDI
FPI < 10%
9 prohibit
Automatic
₹5,000 Cr
Exchange rate
Floating,
float
India: mar
Current-a
capital pa
Tarapore
Effective rates
NER, RER
NEER, RE
index 2015
Rising = s
CAD
Demand,
rate
Policy and
J-curve
VI 1.5×, VE
Currency
IBRD, IDA



In simple words

IN SIMPLE WORDS

- The **Balance of Payments (BoP)** is the record of **flows** between **residents and non-residents**. Every entry is **double entry**: a credit and a debit of equal value.
- **Autonomous** items (current and capital accounts) are the choices of people and firms. **Accommodative** items (**change in reserves** and **errors and omissions**) are what the **RBI** does to balance them.
- **FDI** is **10% or more** of equity (an unlisted company is always FDI); **FPI** is below 10% and is **hot money**. India follows a **managed float**: the rupee is fully convertible on the current account and only partly on the capital account.
- A **CAD = VI − VE**. A deficit is not evil; what matters is **how it is financed** and whether **reserves** are enough.
- **Devaluation** can worsen the CAD first (the **J-curve**), and rival devaluations become **currency wars**.
- The **Bretton Woods twins** are the **IMF** (BoP crisis manager, with **quota**, **SDR** and lending windows) and the **World Bank Group** (IBRD, IDA, IFC, MIGA, ICSID).

Key terms in plain words

Key term	In plain words
Balance of Payments (BoP)	A ledger of all flows between residents and non-residents over a period.
IIP (International Investment Position)	The record of stocks, published along with the BoP; valuat changes show here, not in the BoP.
Autonomous items	Self-interest transactions of individuals and firms, shown above the line.
Accommodative items	Change in reserves and errors and omissions, shown belo the line; the RBI balances the books.
Invisibles	Services + incomes + transfers.
ECB (External Commercial Borrowing)	Total commercial debt owed by residents to non-residents.

Key term	In plain words
FDI	Foreign investment with intention of control: 10% or more o equity.
FPI	Foreign investment below 10% with no control; called hot money.
Managed float	Largely floating, but the central bank steps in to curb excessive volatility.
Convertibility	The legal ease of swapping domestic and foreign currency
NEER / REER	Weighted average of the rupee against partner currencies; REER also adjusts for inflation differences.
Current Account Deficit (CAD)	Outgo on the current account exceeds inflow; VI − VE.
J-curve	After devaluation the CAD first worsens, then (hopefully) improves.
Quota (IMF)	A member's share, which fixes its subscription, voting pow and borrowing limit.
SDR	A reserve asset and potential claim on freely usable currencies; not a currency.
RTP (Reserve Tranche Position)	The 25% foreign-currency part of the subscription, withdrawable unconditionally and counted in reserves.

Exam lens: priority and PYQs

SOURCE NOTE

Class slides plus handout. The 19 slides are mostly typed text and Economic Survey charts, not handwritten board work. **The only teacher marks** are **pink ovals and a star** around **2020-21 Q1 and Q2** on the slide "India's BoP: Overall" (slide 13), on both Figure 16 (CAB) and Figure 17a (BoP balance). The slide does not write the reason; the charts show the current account in **surplus** in those two quarters (Figure 17a: blue current-account bars above zero). **No PYQ is quoted** in the slides or the handout: none quoted in the material.

What the class and the handout stress

Signal	Where	Why it matters
Teacher's pink oval and star on 2020-21 Q1-Q2 of the BoP charts	Slide 13	The only marked data point in the deck: a **current-account surplus** quarter pair
BoP = record of flows between residents and non-residents; double entry; credits and debits	Handout 1-2	Core accounting rule
Autonomous (above the line) versus accommodative (below the line): Δ reserves and errors and omissions	Handout 2	The "balance" in BoP
FDI: 10% or more equity (unlisted: always FDI); FPI: below 10%; Arvind Mayaram Committee,	Slide 4, handou	Numbers and lists

Signal	Where	Why it matters
2013-14; 9 prohibited sectors; over 90% via automatic route	t 3	
Managed float; current-account convertibility full, capital account partial; Tarapore Committees 1997 and 2006	Slides 5-6, handou t 3	Classic Prelims
NEER and REER: RBI uses indirect quotes, base 2015-16 = 100; a rising index means a stronger rupee	Handou t 3	Marked as a **"key UP trap"**
J-curve and currency wars	Slide 16, handou t 4	Worked numbers (VI 1.5×, VE down to 0.7
IMF: 191 members, quota, 85% decisions, US over 16%; SDR is not a currency; RTP; lending windows; World Bank Group: IBRD, IDA, IFC, MIGA, ICSID	Handou t 5	Institution facts

WHAT TO PREPARE

Prelims hooks: components of current and capital accounts; invisibles; where reserves sit; FDI versus FPI and the 10% rule; FDI caps (insurance 74%, defence 74% automatic, print media 26%); FIPB abolished; managed float and VERS 1993; Tarapore committees; Masala bonds; NEER/REER index reading; J-curve; Bretton Woods; IBRD versus IDA versus IFC versus MIGA versus ICSID; IMF quota, SDR, RTP, SBA versus EFF.

Mains hooks: causes and cures of CAD with side effects (the slides' cause-policy-consequence frame); why devaluation can worsen CAD; currency wars; why FDI is better than FPI to finance CAD; reserve adequacy; why rupee convertibility on capital account is partial; IMF governance and voting-power criticism; India and ICSID.

Closing idea: a deficit is not evil; what matters is how it is financed and whether the economy can sustain it.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 45 Prelims and 9 Mains questions map to this chapter.

Most-asked topics: International institutions: cooperation and Bretton Woods (15 Prelims, 2 Mains); Foreign investment: from poverty of capital to the control test (5 Prelims, 4 Mains); The IMF: functions, quota, SDR and lending (7 Prelims, 0 Mains).

Prelims years: 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022. Mains years: 2013, 2014, 2015, 2016, 2018, 2023, 2025.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

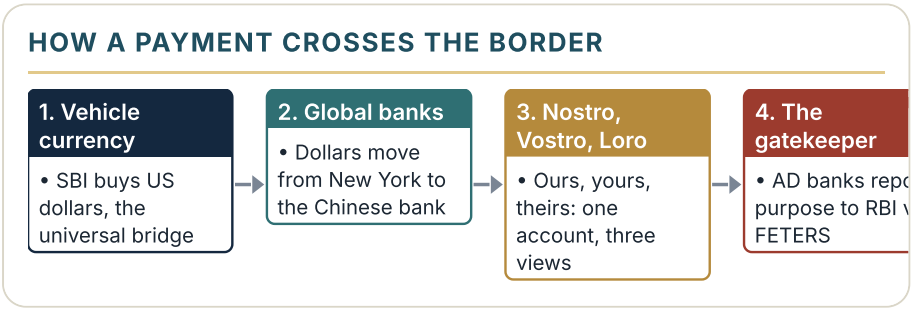
1 · How a payment crosses a border, and how the BoP gets built

PYQs for this topic: 1 Prelims · 0 Mains

The **Balance of Payments (BoP)** is the ledger of all economic transactions between **residents and non-residents** over a period (the handout calls it "the ultimate macroeconomic ledger of a nation"). Millions transact for selfish motives and do not report to the Commerce Ministry, but every one needs rupees converted into foreign currency or back, and that happens through **Authorized Dealer (AD) banks** who must report the value and **purpose** of every conversion to the RBI daily.

The handout's mobile-cover example (₹20 Cr to China)

Step	What happens
Order	A Delhi vendor buys 10 lakh covers at 20 Yuan each = **2 Crore Yuan.** buyer has rupees; the seller needs yuan
Step 1: vehicle currency	The buyer pays SBI about ₹20 Cr. The direct INR-yuan market is not deep, so SBI buys **20 lakh US dollars** (assumed ₹100 per dollar). The **dollar is the universal bridge (vehicle currency)**
Step 2: global banking network	SBI's dollar account is with Bank of America (New York). SBI message transfer $20 lakh to the Chinese bank's (SBS) account at Wells Fargo. SBS sells the dollars in the Chinese forex market (assumed 10 yuan pe dollar) and credits 2 Cr yuan to the seller
Step 3: Nostro, Vostro, Loro	**Nostro** ("ours"): SBI's view of its account in New York. **Vostro** ("yours' Bank of America's view of the same account. **Loro** ("theirs"): a third ba (PNB) referring to SBI's New York account
Step 4: the gatekeeper	RBI regulates forex under **FEMA, 1999.** Only licensed **ADs** convert. Th ask for a **purpose code** and upload daily to RBI through **FETERS** (Fore Exchange Transactions Electronic Reporting System). RBI aggregates into the BoP



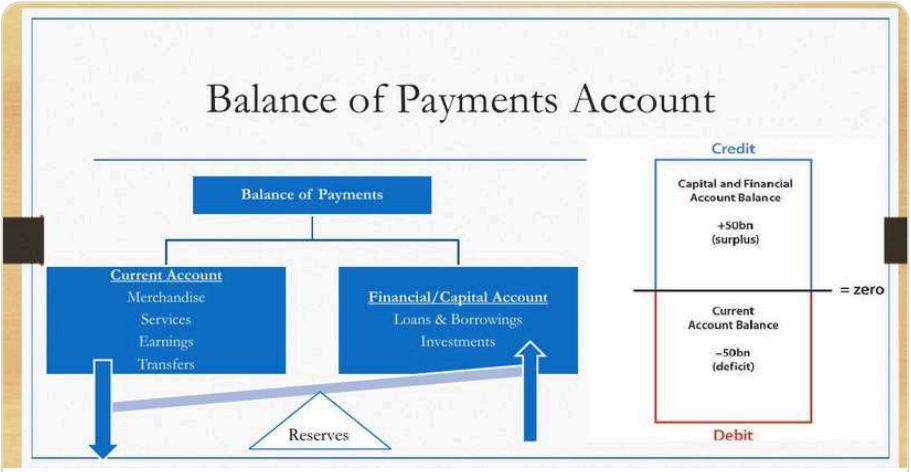
- RBI compiles the BoP on **IMF standards:** the current standard is **BPM6; BPM7 was released in 2025** and is expected to be adopted by **2029.**
- The BoP is a record of **flows.** The record of **stocks** is the **International Investment Position (IIP),** published along with it. Valuation changes appear in the IIP, not the BoP.
- **Double entry:** every transaction has two entries of equal value, a **credit (+)** and a **debit (−);** all entries sum to zero. **Credit** = export of real resources or reduction of foreign assets / increase of foreign liabilities (money entering). **Debit** = imports, or

increase of assets / decrease of liabilities (money leaving). One-sided items (gifts) get offsetting **transfer** entries.

- **Residents and non-residents** are defined as in national accounts: by **centre of economic interest,** not nationality or legal criteria.

2 · Structure of the BoP: autonomous and accommodative

PYQs for this topic: 3 Prelims · 0 Mains



HANDOUT FIGURE Slide 2: Balance of Payments splits into the Current Account (Merchandise, Services, Earnings, Transfe more

Autonomous versus accommodative transactions

	Autonomous ("above the line")	Accommodative ("below the lin
Motive	Self-interest choices of residents and non-residents; nobody controls them	Not self-interested; **necessitate** the net balance above
Items	Current account; capital and financial account	**Change in reserves (Δ Reserve** and **Errors and Omissions (E&O**
Who acts	Individuals and firms	The central bank (**RBI**)

A · The current account (settled transactions)

The current account tracks **settled** transactions that do **not** change assets or liabilities between residents and non-residents.

Current account components

Part	Contents
1.A.a Goods	Merchandise: textiles, electronics, intermediate goods, metals, coal, jewellery, **non-monetary gold** (not held as reserve)
1.A.b Services	Transport, travel, communication, financial, IT, insurance, royalties a licence fees

Part	Contents
1.B Incomes	Compensation of employees; investment income (interest, dividends profits): earned (+), paid (−)
1.C Current transfers	Remittances into India (+), transfers from India (−); no quid pro quo
Invisibles	**Services + incomes + transfers**

MEMORY AID · CURRENT ACCOUNT: FOUR PARTS

G **I** **S** **T**

Get the GIST of the current account: goods, then the three invisibles.

G Goods: merchandise, including non-monetary gold

I Incomes: pay of employees, interest, dividends

S Services: transport, travel, IT, insurance

T Transfers: remittances, no quid pro quo

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

B · The capital (and financial) account: old classification

- **2.A Debt:** borrowings (+), lendings (−), including principal repayments. Classified by **interest rate** (concessional versus commercial), **currency** (domestic versus foreign) and **place** (onshore versus offshore). Governments borrow **concessionally** from agencies like the World Bank; private firms at **commercial** rates. Total commercial debt owed by residents to non-residents is **ECB (External Commercial Borrowing).**
- **Currency of denomination decides who bears exchange rate risk.** The handout's example: borrow in dollars when $1 = ₹90; if the dollar rises to ₹100, every ₹90 borrowed needs ₹100 to repay (before interest). Borrowing in rupees shifts the risk to the lender.
- **Masala bonds: offshore rupee-denominated bonds** an Indian entity issues in (for example) American markets; the exchange rate risk shifts to the buyer; they help global recognition and the **internationalisation of the rupee.** An FII buying Indian government bonds is debt taken onshore in rupees.
- **2.B Investments:** by Indians abroad (−), by foreigners in India (+); withdrawal by foreigners is (−). Split into **FDI** and **FPI.**
- **2.C Others:** banking capital, trade credits, **NRI deposits.**
- **2.D Reserves:** under BPM6 reserve assets sit in the **financial account,** but because FEMA works on a current/capital binary, RBI's standard presentation shows the change in reserves in the capital account.

OLD VERSUS NEW CLASSIFICATION (BPM6)

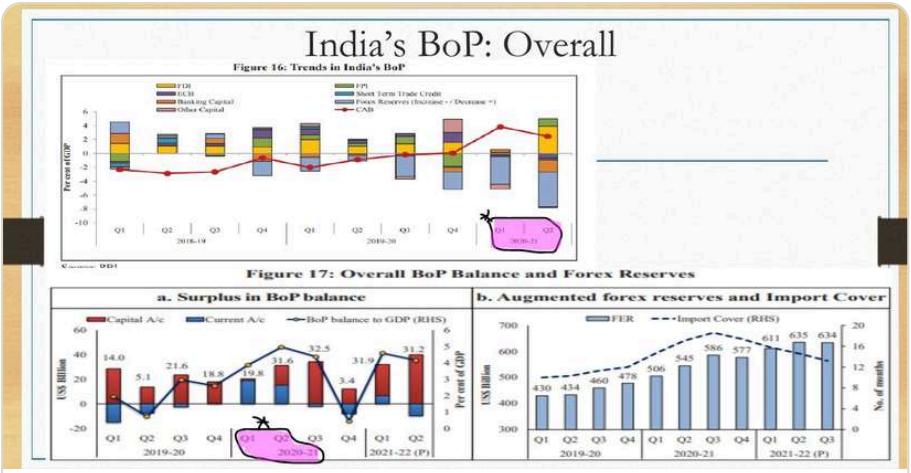
The old "capital account" has moved almost wholly to the **financial account** (external debt and investments). The new **capital account** is narrow: **(a)** acquisition or disposal of non-produced, non-financial assets (e.g. a foreign government buying land in Chanakyapuri for an embassy; outright transfer of a brand name or trademark) and **(b) capital transfers** (debt forgiveness between governments, large investment grants, cross-border inheritances). **The Economic Survey still uses the old Current versus Capital classification.** The handout says there is no need to memorise the RBI tables on pages 12-13.

C · Accommodative transactions: reserves and E&O

- If the net autonomous balance is a **surplus** (example: CAD $10 B but capital surplus $25 B = net surplus **$15 B**) RBI **absorbs** the excess foreign currency into **reserves.** In a net deficit RBI **sells dollars** from reserves. These are **accommodating transactions.**
- Why RBI cannot sit out: if an importer's bank cannot find dollars it goes to RBI; if an exporter's bank cannot find a buyer it sells to RBI. Without RBI the dollar could crash or spike. In an **open economy the central bank is less autonomous.**
- **Mundell-Fleming trilemma (impossible trinity):** a country cannot have all three of **free capital flow, a fixed/managed exchange rate and independent monetary policy.**
- **Worked example:** reserves $500 B; inflows $100 B and outflows $80 B on autonomous items, so reserves should rise by **$20 B to $520 B.** That is the "balance" in the BoP.
- **Errors and Omissions:** if the observed reserve change is $20.4 B against an expected $20 B, **E&O = +$0.4 B** balances it. Causes: timing mismatches, exchange rate moves in transit, unrecorded illegal capital flight.

HANDOUT ALERT: THE "FINAL EQUATION"

The handout writes the closing equation as **"Current Account + Capital Account − Financial Account (which includes Reserves) + Net Errors & Omissions = 0".** Elsewhere it treats reserves as a part of the capital account (old classification) and says autonomous items are balanced by Δ reserves. The signs are not explained. Exam-hall rule: remember the **idea** (autonomous + Δ reserves + E&O = 0) and the **old classification** unless the question uses BPM6.



HANDOUT FIGURE Slide 13: "India's BoP: Overall" (RBI figures 16 and 17). Teacher's marks: pink ovals and a star around 2020 more

TEACHER STRESSED (VISUAL)

What is marked: 2020-21 **Q1 and Q2,** circled in pink with a star, on both overall-BoP charts. **Reading from the charts:** the current account swung to **surplus** in those two quarters while capital inflows continued, so the BoP surplus and forex reserves jumped. The slide gives **no written reason.** Check the notebook for the spoken explanation.

3 · Slide data on India's BoP (Economic Survey charts)

PYQs for this topic: 5 Prelims · 0 Mains

The slide deck then shows RBI/Economic Survey charts for 2019-20 to 2021-22. They are charts, not text, so only the headline readings that the slides state are listed:

- **Slide 3 (Table 6):** major components of India's BoP, 2019-20 to 2021-22, US$ billion (current account, merchandise trade balance, invisibles, capital account, FDI, FPI, loans, banking capital, errors and omissions, overall balance, forex reserves change).
- **Slides 7-9 (trade balance):** growth in exports and imports; the **top 10 export commodities** pie; the top 10 import sources and export destinations. Slide 19 gives **India's top 5 trading partners** (share of foreign trade): **USA 11.3%, China 10.9%, UAE 7.3%, Saudi Arabia 4.1%, Hong Kong 3.7%.**
- **Slide 10 (invisibles):** services exports and imports; remittances; composition of net invisibles (services, transfers, income).
- **Slides 11-12:** current account balance and its composition; FDI and FPI trends (FPI **remained volatile**); capital account composition.
- **Slide 18:** sources of forex reserves (FCA, gold, RTP, SDR) and **import cover** (months).



HANDOUT FIGURE Slide 19 (PIB graphic): India's top 5 trading partners by share of foreign trade, and the top 5 imports (cr more



HANDOUT FIGURE Slide 18: Figure 19 from the RBI: sources of foreign exchange reserves (FCA, gold, RTP, SDR) and import cover (right axis, months), 2018-19 to 2020-21.

4 · Foreign investment: from poverty of capital to the control test

PYQs for this topic: 5 Prelims · 4 Mains

The history (handout)

- **1950s-80s:** absolute poverty; near-zero domestic savings made domestic investment impossible; food dependence on the US **PL-480;** the 1962 war, and Shastri's 1965 **"Jai Jawan, Jai Kisan"** call to skip a meal. Foreign capital was needed but offered on draconian terms: partner with an Indian firm, source **60% locally,** no repatriation of profits. The **LPQ (License, Permit, Quota) Raj** made allocation depend on connections. Suzuki's entry for Maruti in the 1980s needed political manoeuvring.
- **1991:** the **BoP crisis** (threat of sovereign default, IMF pressure) led to the **LPG reforms.** The mindset shift stayed slow: as late as **2012** the government demanded

30% local sourcing from Apple, and Apple walked away.

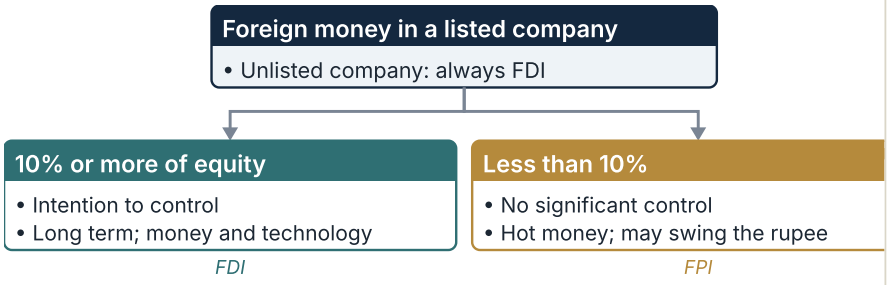
- Reforms listed: **1991** opening, **2000** FDI liberalisation, **2013** new policy, **2016** liberalisation, **2020** foreign investment conditions; the handout ties them to **post-nuclear-test isolation, the 2013 US Fed tapering, demonetisation's bad press, and the 2020 supply-chain shock.**

FDI versus FPI (slide 4 and handout)

	FDI (Foreign Direct Investment)	FPI (Foreign Portfolio Investment, formerly F
Control	Intention to exercise control: **10% or more** equity	No intention to exercise significant control: **less than 10%**
Nature	Long term, stays through downturns; brings money **and technology**	**"Hot money":** cashes o when targets are met o losses mount; money o
Exchange rate	Stable	Large inflow or outflow may cause **sharp appreciation or depreciation**
Regulation	Sectoral limits (mostly liberalised); **multiple approvals** (sectoral regulator, Home, Defence, Environment); earlier **FIPB** and **CCEA;** now mostly **automatic**	Instrumental limits (mos liberalised); regulators **and SEBI;** less cumbersome
Example	Honda building cars; Budget 2021: insurance FDI limit **74% from 49%**	FIIs buying Indian stock and government bonds

Why the old test failed: earlier the split was by **perceived intent** (the old term was **FII**), which was subjective: some "FDI" investors left like hot money and some "FII" funds stayed for decades. In **2013-14,** on the **Arvind Mayaram Committee,** India adopted an **objective "significant control" test** (IMF/OECD).

FDI OR FPI: THE CONTROL TEST



The 10% rule (handout)

Case	Classification
Foreign owner holds **10% or more** of equity in a **listed** Indian company	**FDI**
Foreign owner holds **less than 10%** of a listed company	**FPI**
Any foreign investment in an unlisted private company or startup	**Always FDI,** whatever the percentage

Case	Classification
Equity only counts: 5% equity + 20% of debt	**FPI** (equity below 10%); the debt follows **ECB FPI-debt** rules
Compulsorily convertible instruments (CCPs, CCDs)	Treated as equity today: the 10% is on **"post-issue paid-up equity capital on a fully dilute basis"**
An FPI like BlackRock crosses 10% in a listed company	That investment is **reclassified as FDI;** BlackRock itself stays registered as an FPI

- The term **FII** now only describes a **class of investors** (large funds like BlackRock, Vanguard, KKR). In **2014 SEBI legally erased the term:** FIIs, sub-accounts and **Qualified Foreign Investors** merged into **Foreign Portfolio Investors (FPIs).**
- FDI is subject to **sectoral regulation** (Defence, Insurance, Telecom limits), apart from SEBI and RBI financial-market rules.

> **HANDOUT ALERT: "10% OR MORE" VERSUS "MORE THAN 10%"**
> The **slide** says FDI is **"More than 10% ownership"** and FPI **"Less than 10% holding".** The **handout** says FDI is **"10% or more"** and FPI **"less than 10%".** Exactly 10% is the only case that differs. Exam-hall rule: use **"10% or more = FDI"** (handout and teacher's handout text win); be careful if an option says "more than 10%".

FDI reforms and the present regime

- Almost every sector open to the Indian private sector is open to foreigners **except 9 prohibited sectors:** 1 lottery, 2 gambling and betting (including casinos), 3 chit funds, 4 Nidhi companies, 5 trading in Transferable Development Rights (TDRs), 6 real estate business (pure buying and selling of land for profit), 7 manufacture of tobacco products, 8 atomic energy, 9 railway operations (except certain infrastructure).
- Limits go up to **100%** in several sectors. **Budget 2021: insurance FDI raised to 74% from 49%.**
- **Automatic route: over 90% of FDI** comes this way. No prior approval; inform RBI within **30 days** of bringing the money. A foreigner faces the same regulations as an Indian.
- **Government (approval) route:** sensitive sectors need the Ministry's prior approval through the **Foreign Investment Facilitation Portal (FIFP).** Any foreign investment above **₹5,000 Crore** needs **CCEA** approval. The **FIPB has been abolished.**
- **Defence example:** up to **74%** in a joint venture is automatic (the JV applies to the Ministry of Defence); **100%** needs **CCEA** approval, given on bringing **state-of-the-art technology. Print media:** FDI capped at **26%** (the Ministry of Information and Broadcasting steps in at the control line).
- **Greenfield** = investment in a **new** entity (e.g. Kia building a new factory in Andhra Pradesh). **Brownfield** = investment in an **existing** entity (e.g. Walmart acquiring Flipkart).
- **FPI is money; FDI is marriage:** the entity is regulated, not the investor. **Fit and proper:** when a Japanese bank like Mitsui wanted a **20%** stake in an Indian bank, it

crossed the 10% line and RBI would test its track record, **ultimate beneficial owners** and financial stability. A 6% FPI holding (the handout's Vanguard in Yes Bank example) barely registers.

5 · Exchange rates: demand, supply and quotes

PYQs for this topic: 4 Prelims · 0 Mains

An **exchange rate (ER)** is the price of one currency in terms of another. Neither the US Fed nor the RBI dictates it in India; millions of buyers and sellers do.

- **Direct quote:** $1 = ₹90 (price of foreign currency in domestic units). **Indirect quote:** ₹1 = $(1/90) ≈ $0.011.
- **Demand for dollars (a minus on the autonomous BoP):** importers; income outflows (interest and dividends abroad); **capital flight** (FPIs selling stocks); citizens abroad (tourists, students).
- **Supply of dollars (a plus on the autonomous BoP):** exporters; foreign investors (FDI, FPI); borrowings (ECBs); remittances and tourism.
- The ER is where **D$ meets S$.** A crude oil price surge raises demand for dollars and the dollar becomes costlier (₹90 to ₹95); a flood of foreign investment raises supply and the dollar becomes cheaper.

Exchange rate systems

The four systems (handout; slide 5 for the first three)

System	What it is	Terms and examples
Floating (market based)	The ER is set by demand and supply; no intervention; free movement of foreign currency; needs a deep forex market	**Appreciation / depreciat** (automatic)
Fixed	An authority sets a rigid rate and **enforces** it. A cheap fixed dollar (₹40 against a market ₹90) would explode demand, so the central bank must sell reserves (finite) or **restrict demand** (import bans, limits on profit repatriation and remittances). This breeds **illegal channels and black markets (Hawala)** and shields inefficient domestic producers	**Devaluation / revaluatio** Slide 5: ways to fix: cont demand or supply of fore currency; peg to a stable commodity (**gold standa** pre-World War); peg to another currency throug **currency boards**
Pegged (a variant of fixed)	A country without a deep forex market pegs to a large trading partner's or neighbour's currency	Bhutan's ngultrum and Nepal's rupee pegged to INR (Bhutan 1:1); UAE dir and Hong Kong dollar pegged to the US dollar
Managed float (dirty float, mixed)	Largely floating, but the central bank **intervenes** on certain objectives (e.g. volatility)	**India follows a managed float.** RBI does **not** targe specific value (₹82 or ₹8 its sole aim is to **curb excessive volatility** by selling or buying dollars.

System	What it is	Terms and examples
		handout objects to the te **"dirty float"** as pejorativ

Evolution of India's exchange rate system (handout)

Period	System
1947 - 1971	**Par Value System:** rigidly pegged to the US dollar
1971 - 1975	Pegged to the **UK pound sterling**
1975 - 1992	Pegged to a **basket of currencies**
1992 - 1993	**LERMS** (Liberalized Exchange Rate Management System): dual-rate transition
1993 - present	**VERS** (Voluntary Exchange Rate System) / managed float; rupee fully convertible on the current account

Convertibility of the rupee

- **Convertibility** is the legal ease of swapping domestic and foreign currency. **Non/partially convertible** (restrictions on amount or purpose) is a hallmark of fixed regimes; **fully convertible** needs no RBI permission.
- **Before 1993** the rupee was rigidly fixed and restricted. Today it is **100% convertible on the current account.** On the **capital account** it is **partially convertible:** FDI and FPI are free, but there are limits on corporate **ECBs** and on resident Indians sending capital abroad (**LRS limits**). So the rupee is "partly convertible (or almost fully convertible)".
- **Tarapore Committees (1997 and 2006)** on full capital account convertibility concluded it is too dangerous until India fixes its **fiscal deficit** and **bank NPAs. Slide 6:** the Tarapore recommendation is a **graded move** towards full convertibility: control of **fiscal deficit,** control over **inflation,** shoring up the government's ability to repay debts, controlling **gross NPAs** of banks. The **2nd Tarapore Committee** further recommended: raising **ECB limits,** relaxations for **NRIs, abolition of Participatory Notes.**

MEMORY AID · TARAPORE: CONDITIONS BEFORE FULL CONVERTIBILITY

F **I** **N** **D**

Before opening the capital account, FIND these four things under control.

F Fiscal deficit brought under control

I Inflation brought under control

N NPAs: gross NPAs of banks controlled

D Debt: government's ability to repay is shored up

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

HANDOUT ALERT: TARAPORE COMMITTEE YEARS AND RECOMMENDATIONS

The **slide** lists the first committee's four conditions and a **second** committee's three recommendations without years; the **handout** gives the years **1997 and 2006** and only the conclusion (fiscal deficit and NPAs). Exam-hall rule: **Tarapore I = 1997, Tarapore II = 2006;** link the four preconditions to the first and ECB/NRI/P-Note changes to the second, as the slides do.

External debt (slide 8)

- External debt includes: **sovereign debt, ECBs, FII debt, multilateral debt, Masala bonds,** and (proposed) **sovereign debt bonds.**
- Most foreign debt is **denominated in US dollars,** followed by **INR-denominated debt;** most is of **long-term maturity** (the slide points to an article for detail).

6 · Nominal, real and effective exchange rates

PYQs for this topic: 1 Prelims · 0 Mains

The **absolute** level (₹80 or ₹150 per dollar) is "largely irrelevant"; the **movement** decides **trade competitiveness.**

Depreciation versus appreciation (direct quote)

	Depreciation	Appreciation
Rupee	Loses value; $1 moves from ₹80 to ₹90	Gains value; $1 moves from ₹90 to ₹80
Imports	Costlier, discouraged	Cheaper
Exports	Cheaper for foreigners, encouraged	Costlier, uncompetitive

HANDOUT ALERT: THE COGNITIVE TRAP

The dollar falling from ₹90 to ₹80 is a rupee APPRECIATION. The handout warns "this complication may cost dearly in exams". In a **floating** system the terms are appreciation/depreciation; in a **fixed** system they are **revaluation/devaluation.**

Nominal versus real exchange rate

	Nominal ER (NER)	Real ER (RER)
Meaning	Market price: what exporters actually receive, importers actually pay (e.g. $1 = ₹80)	Inflation-adjusted ER: **RER = NER × (PF ÷ I**

	Nominal ER (NER)	Real ER (RER)
Why it matters	Its movement affects trade	Inflation also moves competitiveness: with NER fixed at ₹80, India's 10% inflation against the US 5% raises the price of Indian expo
Handout numbers	NER ₹80; PF = 105; PD = 110	RER = 80 × 105 ÷ 110 ≈ **₹76** (below NER: t rupee is "actually stronger", imports rise, exports fall)
The fix	Let NER depreciate to ₹85	RER = 85 × 105 ÷ 110: the handout says **"~₹80"** (the arithmetic gives about ₹81), restoring competitiveness

Effective Exchange Rate (EER): the weighted average of an ER over a basket of partner currencies, with weights from **each partner's share of India's trade. NEER** = weighted average of bilateral **nominal** rates. **REER** = NEER **adjusted for inflation differentials.**

> **KEY UPSC TRAP: READING RBI'S NEER AND REER**
>
> **1.** RBI uses **indirect quotes** (it computes the **value of the rupee**), so a **rising EER means a stronger rupee. 2.** RBI publishes an **index** (**base year 2015-16 = 100**). Above 100 means the rupee is **over-valued** against the base; a rising value over time means the rupee is becoming **expensive and losing trade competitiveness. 3.** RBI uses **two baskets:** a quick one with the **6 major trading partners** and a complex one with the **40 largest;** weights follow trade shares and are revised regularly.

7 · Current Account Deficit: causes, cures and side effects

PYQs for this topic: 2 Prelims · 1 Mains

CAD arises when outgo on the current account exceeds inflow, mostly **imports above exports. CAD = VI − VE.** A deficit is **not inherently evil:** for a developing country needing capital machinery it is often unavoidable. The test is **sustainability: quality of financing** (stable **FDI** is sustainable; volatile **FPI** or expensive ECB is not) and **reserve adequacy** (the handout says **6 to 8 months of import bill**).

Reasons for high imports and low exports

High imports	Low exports
High domestic income growth; dependency on natural resources (crude, APIs); low import tariffs; insufficient domestic production capacity; high inflation (domestic goods dear, imports cheap); strong exchange rate	Poor manufacturing base (EODB, taxes, infrastructure, investment) recession abroad; depletion of natural resources; poor quality; h inflation; strong exchange rate

Slide 14 (causes of deficits): demand side: strong domestic growth, weak foreign growth or recession abroad, strong exchange rate. **Supply side:** low investment, low productivity, high relative inflation, high labour costs, poor quality of exports, depletion of resources. The slide also flags **"*Dutch Disease?"** with no explanation in the slides or the handout, so none is given here.

Four groups of reasons, the policy and its trade-off (handout table and slides 15-17)

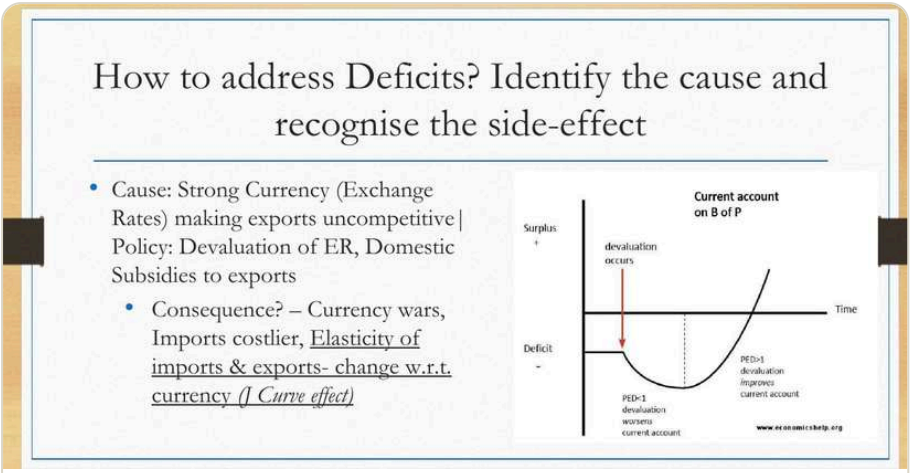
Reason	Policy	Consequence or trad off
1 · Demand side: high incomes; inelastic necessities (crude, APIs); the **"gold sinkhole"** (gold imports lock wealth in vaults, drain forex without productive use); growth itself raises luxury imports	**Demand reduction:** contractionary fiscal or monetary policy; **import restrictions** (tariffs, bans)	The "**sledgehammer**" lower growth, higher unemployment and poverty, loss of busin confidence. Restrictio breed **illegal channel** imports continue and government loses tax revenue
2 · Policy side (tariffs): cheap imports; high taxes on domestic goods. **Inverted Duty Structure (IDS):** tax on finished goods is below tax on intermediates, so importing the finished good is cheaper than assembling	**Impose tariffs, quotas;** raise import taxes, cut taxes on domestic goods, subsidise producers	**Retaliation,** costly, **inflationary, WTO violation,** higher pric for consumers; expor in pharma, petroleum electronics, gems become uncompetitiv because they use imported intermediate
3 · Supply side: poor infrastructure, EODB, low R&D, disasters	**Supply-side policy:** invest in infrastructure; improve EODB, contract enforcement, compliance, land acquisition; skilling; quality checks (**Zero Defect, Zero Effect**); **Production Linked Incentive (PLI) schemes**	**Long term, costly,** nc guarantee; all must b achieved together. "Easier said, impossib to do"
4 · Strong exchange rate: makes imports cheap and exports dear	**Devaluation** of the currency; **domestic subsidies to exports**	**Currency wars,** impo costlier, the **J-curve effect** (below)

The investment paradox and the opportunity cost trap

- To fix the supply side a country must invest (ports, highways, power), sacrificing present welfare (healthcare, education, subsidies) for future returns. **The "China illusion":** a highway generates exceptional returns **only if** synchronised with the "software": **EODB, contract enforcement, land, flexible workforce, talent.** Without them the nation suffers the opportunity cost but gets mediocre gains.
- **Winner-takes-all race:** India, Vietnam, Sri Lanka and Egypt compete for factories leaving China or the US; global firms (Apple, Foxconn) choose a **single** destination. Losers are left with debt and empty industrial parks.
- **Reality check:** Southeast Asian nations opened earlier and have superior infrastructure, so India "is desperately racing to catch up". It is a case that **investment alone is not enough.**

8 · The J-curve and currency wars

PYQs for this topic: 2 Prelims · 2 Mains



HANDOUT FIGURE Slide 16: the J-curve (devaluation occurs; the current account first worsens, then improves). Where PED < more

Devaluation is expected to cut imports and raise exports. But **CAD = VI − VE** where **VI = PI·QI** and **VE = PE·QE.** Upon devaluation PI rises (so QI falls) and PE falls (so QE rises). The net effect depends on **elasticities.**

The handout's worked numbers (inelastic imports and exports)

	Imports	Exports
Price	PI doubles: PI′ = 2 PI	PE halves: PE′ = PE / 2
Quantity	QI falls to 0.75 QI (falls, but less)	QE rises to 1.5 QE (rises, but less)
Value	VI′ = 2 × 0.75 = **1.5 VI** (import bill rises)	VE′ = 0.5 × 1.5 = **0.75 VE** (export reve falls)

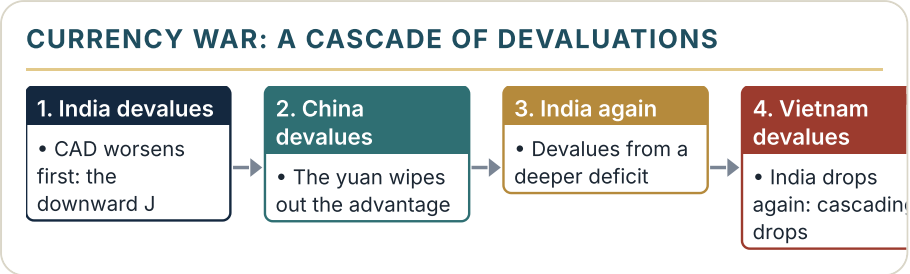
- So **VI up and VE down: CAD worsens first.** The inelasticity assumption is generally true for India: imports are **necessities** (crude, pulses, APIs) and exports are inelastic in the short term (foreign buyers weigh convenience, trust, quality, payment terms, shipping, and competitors cut prices too).
- Countries still devalue hoping that in the **medium to long term** imports fall and exports rise enough to correct the CAD: the **J-curve effect.**

Currency wars (competitive devaluation)

1. India devalues; CAD worsens immediately (the downward stroke of the J).
2. Just as exports become competitive, **China devalues the yuan** and the advantage is wiped out.
3. India devalues again from a deeper deficit; then **Vietnam devalues;** India drops again: a series of cascading drops.

Result: CAD worsens perpetually, capital flees, reserves are bled dry, inflation crushes the population; the country becomes indebted on terms that may undermine **sovereignty.** A

"**beggar thy neighbour**" policy leaves everyone a beggar. Under a **floating** system the CAD causes **depreciation** automatically; no one sees it as an unfair advantage, so there is no retaliation: **floating acts as an automatic stabiliser of CAD.**



9 · International institutions: cooperation and Bretton Woods

PYQs for this topic: 15 Prelims · 2 Mains

- International institutions facilitate **cooperation** among countries that compete for national interest (tariffs, retaliation, devaluation, war). **Game theory** (John von Neumann, then John Nash): when each player acts aggressively for its own maximum payoff, all can end worse off ("race to the bottom"); the **Nash Equilibrium** needs mutually acceptable rules. The handout uses the Iran-Israel-US matrix as a modern illustration.
- **Bretton Woods Conference, 1944** (44 countries): after two World Wars, which the handout says were fundamentally caused by economic desperation, **competitive devaluations** and colonial **debt traps** (underlying cause: the BoP). The handout's example: the East India Company did not conquer Bengal with an army; the Nawabs defaulted and signed over the **Diwani;** British goods paid zero duty in India while Indian goods faced around **200%** in Britain.
- **Keynes (UK)** wanted a neutral global central bank and a stateless currency, the **"Bancor". Harry Dexter White (USA)** demanded a **US dollar (gold-backed) anchor** and voting power proportional to contributions (the US held about **80% of central-bank gold**). White's vision prevailed.

Three questions, three pillars

Problem	Answer
BoP crisis manager: stop a country going bankrupt and being conquered	**International Monetary Fund (IMF)**
Rules of the game: stop tariff wars	The **International Trade Organization (ITO** was proposed and failed; it became the **W** **in 1995**
The builder: rebuild war-torn Europe and finance newly independent colonies	**World Bank (IBRD)**

The IMF and the World Bank, born together, are the **"Bretton Woods Twins".**

10 · The World Bank Group

- "World Bank" strictly means **IBRD + IDA;** the **World Bank Group (WBG)** has **five** institutions. **Goals by 2030:** end extreme poverty (people living on less than **$2.15 a day** to no more than **3%** of the world's population) and promote **shared prosperity** (income growth of the **bottom 40%** in every country).
- **Governance:** voting by shares, not one country one vote; the **USA** is the largest shareholder with large veto power over major changes. **Board of Governors** (usually finance ministers, meets annually); **25 Executive Directors** in Washington D.C. approve loans; the **President is always an American** nominated by the US (the IMF head is always a European).

Five pillars of the World Bank Group

Institution	Function	Funding and borrowers
IBRD (International Bank for Reconstructio n and Development)	The original; long-term, favourable-commercial loans to **middle-income and creditworthy low-income** countries for infrastructure	Issues **World Bank bonds** (A rating) in global markets; ma borrowers: **India, Indonesia, Brazil, Turkey**
IDA (International Development Association), 1960	**Concessionary** window: zero to very low interest **"credits"** and grants to the **poorest;** repayment **30 to 40 years**	Funded by **donor contributi replenished every three yea** beneficiaries: Sub-Saharan Africa (Nigeria, Ethiopia), Bangladesh. **India graduate from IDA in 2014** and is now only an IBRD borrower (form a "Blend" nation)
IFC (International Finance Corporation)	**Private sector arm:** lends directly to private corporations. Most transformative role: **credit guarantee** (credit enhancement) because a firm's rating is capped by its **sovereign rating** (the **"sovereign ceiling trap"**: an Indian corporate pays say 7% instead of 4% in the US)	AAA-rated; also pioneers **loc currency financing** (e.g. rup **Masala bonds**) to reduce exchange rate risk
MIGA (Multilateral Investment Guarantee Agency)	**Insurance arm: Political Risk Insurance** for foreign investors against **expropriation, breach of contract, war and civil disturbance, currency inconvertibility**	Reduces fear of policy instability
ICSID (International Centre for Settlement of Investment Disputes)	International arbitration of disputes between foreign investors and host states	**India is NOT a member:** it se bypassing the domestic judi system as infringing soverei and insists on exhausting domestic remedies first

- **Flagship publications: World Development Report (WDR); Global Economic Prospects** (bi-annual); **Logistics Performance Index (LPI);** the **Ease of Doing Business** index was discontinued and is being replaced by **B-READY.**

11 · The IMF: functions, quota, SDR and lending

PYQs for this topic: 7 Prelims · 0 Mains

The IMF (conceived July 1944 at Bretton Woods) works for **sustainable growth and prosperity of its 191 members** through three missions: **international monetary cooperation, expansion of trade and growth, discouraging harmful policies.** It monitors global financial flows and puts out **BoP crises** before they cause a global meltdown.

Core functions

Function	Details
Surveillance	Monitors exchange rates, capital flows, reserve adequacy. **Article IV** consultations: mandatory annual health-checks on every member; publications: **World Economic Outlook (WEO), Fiscal Monitor, Global Financial Stability Report (GFSR)** and country reports
Capacity building	Technical assistance to central banks on inflation and tax policy
Lending	**Lender of last resort** when a country runs out of foreign currency

- **Structure like a fund:** owner = 191 member countries; objective = stability of the global financial system; **fund manager** = **Executive Board of 25 Executive Directors + 1 Managing Director (26 since 2024);** contributors = members by **quota;** corpus = total contributions.
- **Quota** is set by size of economy, forex reserves, openness to trade. It fixes **(1) subscription, (2) voting power** (not one country one vote; proportional to quota; major decisions need an **85% supermajority,** which gives the **United States (over 16%)** a veto), and **(3) borrowing limits** (a multiple of quota).
- **Votes: Fixed Votes** are shared equally among members (to protect small countries); **Quota-Based Votes** follow each country's share of total quota (if India's quota is 4 of 100, it gets 4% of QBV). Executive Directors represent groups: the **Indian Executive Director represents India, Bhutan, Bangladesh and Sri Lanka** with combined voting power of about **3.5%.** Most decisions are by simple majority; quota reforms need 85%.
- Quota reforms are due every 5 years but are slow; the handout says India now **contributes more than its quota requires** as a signal.

How subscriptions work, SDR and RTP

- The subscription (numerically equal to the quota) is counted in **SDRs,** which the country buys from the IMF. **75% is paid in domestic currency (rupees); 25% in freely usable foreign currency or gold** (USD, JPY, RMB, EUR, GBP). SDR holdings count as **forex reserves.**
- The **25% foreign-currency part** can be withdrawn **unconditionally,** also counted in reserves: the **Reserve Tranche Position (RTP),** "kind of an interest free loan".

- **Forex reserves = gold + foreign currency assets (cash and foreign government bonds) + SDR holdings + RTP.**

What an SDR is

SDR (Special Drawing Rights)	Meaning
Not a currency	Not a medium of exchange: a country cannot buy goods with SDRs
Not a claim on the IMF	A country cannot sell SDRs back to the IMF for currency
Definition	A **potential claim on freely usable currencies** with other IMF memb a **reserve asset** created to supplement reserves
Who can hold	Member countries and prescribed holders (IMF, World Bank, Europe Central Bank)
Position on joining	**Holdings (asset)** = IMF's liability to the country; **allocations (liability** what the country owes. They are equal at the start, so no net interes the IMF sets the **interest rate weekly**

How it works in a crisis: country X (Sri Lanka in the handout's example) sells its holdings to a surplus country Y (Germany) at the SDR price and gets the currency it needs. X's holdings fall below its allocations and it pays **net interest** to the IMF; Y's rise above and it earns interest **from the IMF.** Y is willing to lend because the **IMF** pays and guarantees repayment: the IMF is a **risk management entity** spreading risk across all members. When X exhausts its SDRs it can ask for more: the IMF can **create SDRs out of thin air,** raising holdings and allocations equally. **Until this point the IMF has not lent a rupee from its corpus.**

Direct IMF lending windows (after SDRs and RTP are exhausted)

Facility	For	Terms
Extended Credit Facility (ECF)	Low-income nations; funded by the **Poverty Reduction and Growth Trust (PRGT)**	Zero-interest; long-term support f deep structural BoP problems
Rapid Credit Facility (RCF)	Low-income nations	Emergency, fast, limited condition (natural disasters, COVID-19)
Stand-By Arrangement (SBA)	Middle and high-income nations; market-related interest	Short-term (**1-2 years**) for cyclical BoP crises; **most loans lie here**
Extended Fund Facility (EFF)	Middle and high-income nations	Longer (**3-4 years**) for deep structural weaknesses (the hando cites Pakistan's repeated bailouts)

- **Conditionalities / Structural Adjustment Programs (SAPs)** on SBA and EFF, released in tranches: fiscal austerity, higher taxes, slashed subsidies, privatisation of PSUs, removal of price controls. Seen as a **gross infringement on sovereignty;** the handout also notes allegations of **bias** (EU defaulters get fewer conditions than South Asian countries).
- Before lending, the IMF often consults the **FATF** to check the borrower is not a hub for money laundering or terror financing.

Exam traps

Each trap ends with a rule for the exam hall.

HANDOUT ALERT: 10% OR MORE, OR MORE THAN 10%

The slide says FDI is 'more than 10%'. The handout says '10% or more' and FPI 'less than 10%'. Only exactly 10% differs.

Rule: use '10% or more = FDI'; be careful if an option says 'more than 10%'.

PRELIMS TRAP: RISING NEER/REER MEANS A STRONGER RUPEE

RBI uses indirect quotes (the value of the rupee) and an index with base 2015-16 = 100. Above 100 means over-valued.

Rule: index up = rupee stronger and less trade competitive.

CONCEPT TRAP: DOLLAR FALLS FROM ₹90 TO ₹80

This is a rupee appreciation, not a depreciation. The handout warns it may cost dearly in exams.

Rule: floating system = appreciation/depreciation; fixed system = revaluation/devaluation.

CONCEPT TRAP: DEVALUATION DOES NOT CURE THE CAD AT ONCE

With inelastic trade, the import bill rises to 1.5 VI and export revenue falls to 0.75 VE, so the CAD worsens first.

Rule: devaluation helps only in the medium to long term (J-curve).

PRELIMS TRAP: SDR IS NOT A CURRENCY

You cannot buy goods with SDRs and cannot sell them back to the IMF. It is a potential claim on freely usable currencies.

Rule: SDR = reserve asset, not currency and not a claim on the IMF.

HANDOUT ALERT: TARAPORE I AND II

The slide gives the four conditions and the later recommendations without years. The handout gives 1997 and 2006.

Rule: Tarapore I = 1997 (fiscal deficit, inflation, debt, NPAs); Tarapore II = 2006 (ECB, NRIs, P-Notes).

Past-year questions

45 Prelims and 9 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains

GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes **outline chip** keyword taken from the question itself.

1 · How a payment crosses a border, and how the BoP gets built

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2013 Q138

The Balance of Payments of a country is a systematic record of

a. all import and export transactions of a country during a given period of time, normally a year
b. goods exported from a country during a year
c. economic transaction between the government of one country to another
d. capital movements from one country to another

▶ Show answer

2 · Structure of the BoP: autonomous and accommodative

3 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2014 Q137

With reference to Balance of Payments, which of the following constitutes/ constitute the Current Account?

1. Balance of Trade
2. Foreign Assets
3. Balance of Invisibles
4. Special Drawing Rights

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 4

▶ Show answer

2013 Q139

Which of the following constitute Capital Account?

1. Foreign Loans
2. Foreign Direct Investment
3. Private Remittances
4. Portfolio Investment

Select the correct answer using the code given below:

a. 1, 2 and 3 only
b. 1, 2 and 4 only
c. 2, 3 and 4 only
d. 1, 3 and 4 only

▶ Show answer

2011 Q143

In terms of economy, the visit by foreign nationals to witness the XIX Commonwealth Games in India amounted to

a. Export
b. Import
c. Production
d. Consumption

▶ Show answer

3 · Slide data on India's BoP (Economic Survey charts)

5 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2020 Q113

Consider the following statements:

1. The value of Indo-Sri Lanka trade has consistently increased in the last decade.
2. "Textile and textile articles" constitute an important item of the trade between India and Bangladesh.
3. In the last five years, Nepal has been the largest trading partner of India in South Asia.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 2 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

2020 Q114

Term 'West Texas Intermediate', sometimes found in news, refers to a grade of _ _

a. Crude oil
b. Bullion
c. Rare earth elements
d. Uranium

▶ Show answer

2019 Q120

Consider the following statements:

1. Most of India's external debt is owed by governmental entities.
2. All of India's external debt is denominated in US dollars.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2016 Q131

Which of the following best describes the term 'import cover', sometimes seen in the news?

a. It is the ratio of value of imports to the Gross Domestic Product of a country.
b. It is the total value of imports of a country in a year.
c. It is the ratio between the value of exports and that of imports between two countries.
d. It is the number of months of imports that could be paid for by a country's international reserves.

▶ Show answer

2013 Q140

Which one of the following groups of items is included in India's foreign – exchange reserves?

a. Foreign – currency assets, Special Drawing Rights (SDRs) and loans from foreign countries.
b. Foreign-currency assets, gold holdings of the RBI and SDRs.
c. Foreign-currency assets, loans from the World Bank and SDRs.
d. Foreign-currency assets, gold holdings of the RBI and loans from the World Bank.

▶ Show answer

4 · Foreign investment: from poverty of capital to the control test

5 Prelims · 4 Mains

Read the notes for this topic

PRELIMS

2022 Q197

With reference to foreign-owned e-commerce firms operating in India, which of the following statements is/are correct?

1. They can sell their own goods in addition to offering their platforms as marketplaces.
2. The degree to which they can own big sellers on their platforms is limited.

Select the correct answer using the code given below :

a. 1 only

b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2021 Q111

Consider the following :

1. Foreign currency convertible bonds
2. Foreign institutional investment with certain conditions
3. Global depository receipts
4. Non-resident external deposits

Which of the above can be included in Foreign Direct Investments?

a. 1, 2 and 3
b. 3 only
c. 2 and 4
d. 1 and 4

▶ Show answer

2020 Q115

With reference to Foreign Direct Investment in India, which one of the following is considered its major characteristic?

a. It is the investment through capital instruments essentially in a listed company.
b. It is largely non-debt, creating capital flow.
c. It is an investment which involves debt-servicing.
d. It is the instrument made by foreign institutional investors in the Government securities.

▶ Show answer

2016 Q74

With reference to 'IFC Masala Bonds', sometimes seen in the news, which of the statements given below is/are correct?

1. The International Finance Corporation, which offers these bonds, is an arm of the World Bank.
2. They are the rupee-denominated bonds and are a source of debt financing for the public and private sectors.

Select the correct answer using the code given below.

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2012 Q142

Which of the following would include Foreign Direct Investment in India?

1. Subsidiaries of foreign companies in India
2. Majority foreign equity holding in Indian companies
3. Companies exclusively financed by foreign companies

4. Portfolio investment

Select the correct answer using the code given below:

a. 1, 2, 3 and 4
b. 2 and 4 only
c. 1 and 3 only
d. 1, 2 and 3 only

▶ **Show answer**

MAINS (GS-III)

2016 12.5 marks Foreign Investments

Justify the need for FDI for the development of the Indian economy. Why there is gap between MOUs signed and actual FDIs? Suggest remedial steps to be taken for increasing actual FDIs in India.

KEYWORDS FDI | MOUs signed | actual FDI | gap | remedial steps

2014 12.5 marks Foreign Investments (Defence Sector)

Foreign direct investment in the defence sector is now said to be liberalised. What influence this is expected to have on Indian defence and economy in the short and long run?

KEYWORDS FDI | liberalised | defence sector | short and long run

2013 5 marks Foreign Investments (Multi-Brand Retail)

Discuss the impact of FDI entry into multi-trade retail sector on supply chain management in commodity trade pattern of the economy.

KEYWORDS FDI | supply chain management | commodity trade

2013 5 marks Foreign Investments

Though India allowed foreign direct investment (FDI) in what is called multi brand retail through joint venture route in September 2012, the FDI even after a year, has not picket up. Discuss the reasons.

KEYWORDS FDI | joint venture | multi-brand retail

reasons

5 · Exchange rates: demand, supply and quotes

4 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2021 Q110

Consider the following statements : The effect of devaluation of a currency is that it necessarily

1. improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency
3. improves the trade balance

Which of the above statements is/are correct?

a. 1 only
b. 1 and 2
c. 3 only
d. 2 and 3

▶ Show answer

2019 Q122

Which one of the following is not the most likely measure the Government/RBI takes to stop the slide of the Indian rupee?

a. Curbing imports of non-essential goods and promoting exports.
b. Encouraging Indian borrowers to issue rupee denominated Masala Bonds.
c. Easing conditions relating to external commercial borrowing.
d. Following an expansionary monetary policy.

▶ Show answer

2015 Q133

Convertibility of rupee implies:

a. being able to convert rupee notes into gold
b. allowing the value of rupee to be fixed by market forces
c. freely permitting the conversion of rupee to other currencies and vice versa
d. developing an international market for currencies in India

▶ Show answer

2012 Q141

The price of any currency in international market is decided by the:

1. World Bank
2. demand for goods/services provided by the country concerned
3. stability of the government of the concerned country
4. economic potential of the country in question

Which of the statements given above are correct?

a. 1, 2, 3 and 4
b. 2 and 3 only
c. 3 and 4 only
d. 1 and 4 only

▶ Show answer

6 · Nominal, real and effective exchange rates

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2019 Q123

Consider the following statements:

1. Purchasing Power Parity (PPP) exchange rates are calculated by comparing the prices of the same basket of goods and services in different countries.
2. In terms of PPP dollars, India is the sixth largest economy in the world.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

7 · Current Account Deficit: causes, cures and side effects

2 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2016 Q129

What is/are the purpose/purposes of the Government's 'Sovereign Gold Bond Scheme' and 'Gold Monetization Scheme'?

1. To bring the idle gold lying with Indian households into the economy
2. To promote FDI in the gold and jewellery sector
3. To reduce Indian's dependence on gold imports

Select the correct answer using the code given below.

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2011 Q146

Consider the following action which the Government can take:

1. Devaluing the domestic currency.

2. Reduction in export subsidy.
3. Adopting suitable policies which attract greater FDI and more funds from FIIs.

Which of the following action/actions can help in reducing the Current Account Deficit?

a. 1 and 2 only
b. 2 and 3 only
c. 3 only
d. 1 and 3 only

▶ Show answer

MAINS (GS-III)

2015 · 12.5 marks · Gold Monetization Scheme

Craze for gold in Indians have led to a surge in import of gold in recent years and put pressure on balance of payments and external value of rupee. In view of this, examine the merits of Gold Monetization Scheme.

KEYWORDS: gold imports · balance of payments · current account deficit · Gold Monetization Scheme · external value of rupee · merits

8 · The J-curve and currency wars

2 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2022 · Q109

Consider the following statements:

1. Tight monetary policy of the US Federal Reserve could lead to capital flight.
2. Capital flight may increase the interest cost of firms with existing External Commercial Borrowings (ECBs).
3. Devaluation of domestic currency decreases the currency risk associated with ECBs.

Which of the statements given above are correct ?

a. 1 and 2 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2020 · Q117

If another global financial crisis happens in the near future, which of the following actions/policies are most likely to give some immunity to India?

1. Not depending on the short-term foreign borrowings

2. Opening up to more foreign banks
3. Maintaining full capital account convertibility

Select the correct answer using the code given below:

a. 1 only
b. 1 and 2 only
c. 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2025 10 marks Protectionism

What are the challenges before the Indian economy when the world is moving away from free trade and multilateralism to protectionism and bilateralism? How can these challenges be met?

KEYWORDS protectionism bilateralism multilateralism free trade challenges

2018 15 marks Protectionism

How would the recent phenomena of protectionism and currency manipulations in world trade affect macroeconomic stability of India?

KEYWORDS protectionism currency manipulations macroeconomic stability world trade

9 · International institutions: cooperation and Bretton Woods

15 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2020 Q151

Find correct statement(s) about AIIB:

1. AIIB has more than 80 member nations.
2. India is the largest shareholder in AIIB.
3. AIIB does not have any members from outside Asia.

Codes:

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3 only

▶ Show answer

2020 Q152

With reference to Trade–Related Investment Measures (TRIMS), which of the following statements is/are correct?

1. Quantitative restrictions on imports by foreign investors are prohibited.
2. They apply to investment measures related to trade in both goods and services.
3. They are not concerned with the regulation of foreign investment.

Select the correct answer using the code given below:

a. 1 and 2 only
b. 2 only
c. 1 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2020 Q153

In which one of the following groups are all the four countries members of G20 ?

a. Argentina, Mexico, South Africa and Turkey
b. Australia, Canada, Malaysia and New Zealand
c. Brazil, Saudi Arabia and Vietnam
d. Indonesia, Japan, Singapore and South Korea

▶ **Show answer**

2018 Q154

Consider the following countries :

1. Australia
2. Canada
3. China
4. India
5. Japan
6. USA

Which of the above are among the 'free-trade partners' of ASEAN ?

a. 1, 2, 4 and 5
b. 3, 4, 5 and 6
c. 1, 3, 4 and 5
d. 2, 3, 4 and 6

▶ **Show answer**

2018 Q155

India enacted the Geographical Indications of Goods (Registration and Protection) Act, 1999 in order to comply with the obligations

a. ILO
b. IMF
c. UNCTAD
d. WTO

▶ **Show answer**

2017 Q157

Consider the following statements:

1. India has ratified the Trade Facilitation Agreement (TFA) of WTO.
2. TFA is a part of WTO's Bali Ministerial Package of 2013.
3. TFA came into force in January 2016.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 1 and 3 only
c. 2 and 3 only
d. 1, 2 and 3

▶ **Show answer**

2017 Q259

The Global Infrastructure Facility is a/an

a. ASEAN initiative to upgrade infrastructure in Asia and financed by credit from the Asian Development Bank.
b. World Bank collaboration that facilitates the preparation and structuring of complex infrastructure Public-Private Partnerships (PPPs) to enable mobilization of private sector and institutional investor capital.
c. Collaboration among the major banks of the world working with the OECD and focused on expanding the set of infrastructure projects that have the potential to mobilize private investment.
d. UNCTAD funded initiative that seeks to finance and facilitate infrastructure development in the world.

▶ **Show answer**

2016 Q158

Find correct statement(s):

1. New Development Bank has been set up by APEC.
2. The headquarters of New Development Bank is in Shanghai.

Answer Codes:

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2016 Q161

In the context of which of the following do you sometimes find the terms amber box, blue box, and green box in the news?

a. WTO affairs
b. SAARC affairs
c. UNFCCC affairs
d. India–EU negotiations on FTA

▶ **Show answer**

2015 Q132

The problem of international liquidity is related to the non-availability of:

a. goods and services
b. gold and silver
c. dollars and other hard currencies
d. exportable surplus

▶ Show answer

2015 Q162

The terms 'Agreement on Agriculture', 'Agreement on the Application of Sanitary and Phytosanitary Measures' and 'Peace Clause' appear in the news frequently in the context of the affairs of the

a. Food and Agriculture Organization
b. United Nations Framework Conference on Climate Change
c. World Trade Organisation
d. United Nations Environment Programme

▶ Show answer

2014 Q165

'Broad-based Trade and Investment Agreement (BTIA)' is sometimes seen in the news in the context of negotiations held between India and

a. European Union
b. Gulf Cooperation Council
c. Organization for Economic Cooperation and Development
d. Shanghai Cooperation Organization

▶ Show answer

year not stated Q166

With reference to the "G20 Common Framework", consider the following statements:

1. It is an initiative endorsed by the G20 together with the Paris Club.
2. It is an initiative to support Low Income Countries with unsustainable debt.

Which of the statements given above is/are correct ?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

year not stated Q167

The Global Competitiveness Report is published by the

a. International Monetary Fund
b. United Nations Conference on Trade and Development
c. World Economic Forum
d. World Bank

▶ Show answer

year not stated Q169

Consider the following:

1. Asian Infrastructure Investment Bank
2. Missile Technology Control Regime
3. Shanghai Cooperation Organisation India is a member of which of the above?

a. 1 and 2 only
b. 3 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2023 15 marks Farm Subsidies and WTO

What are the direct and indirect subsidies provided to farm sector in India. Discuss the issues raised by the World Trade Organization (WTO) in relation to agricultural subsidies.

KEYWORDS WTO direct and indirect subsidies agricultural subsidies

2013 10 marks Food security and WTO

Food security bill is expected to eliminate hunger and malnutrition in India. Critically discuss various apprehensions in its effective implementation along with the concerns it has generated in WTO

KEYWORDS WTO food security apprehensions hunger and malnutrition

11 · The IMF: functions, quota, SDR and lending

7 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2022 Q150

"Rapid Financing Instrument" and "Rapid Credit Facility" are related to the provisions of lending by which one of the following?

a. Asian Development Bank
b. International Monetary Fund
c. United Nations Environment Programme Finance Initiative

d. World Bank

▶ Show answer

2020 Q116

"Gold Tranche" (Reserve Tranche) refers to

a. a loan system of the World Bank
b. one of the operations of a Central Bank
c. a credit system granted by WTO to its members
d. a credit system granted by IMF to its members

▶ Show answer

2016 Q130

Recently, which one of the following currencies has been proposed to be added to the basket of IMF's SDR?

a. Rouble
b. Rand
c. Indian Rupee
d. Renminbi

▶ Show answer

2016 Q159

With reference to the International Monetary and Financial Committee (IMFC), consider the following statements:

1. IMFC discusses matters of concern affecting the global economy and advises the International Monetary Fund (IMF) on the direction of its work.
2. The World Bank participates as an observer in IMFC's meetings.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2016 Q160

'Global Financial Stability Report' is prepared by the

a. European Central Bank
b. International Monetary Fund
c. International Bank for Reconstruction and Development
d. Organization for Economic Cooperation and Development

▶ Show answer

2014 Q163

Which of the following organizations brings out the publication known as 'World Economic Outlook'?

a. The International Monetary Fund
b. The United Nations Development Programme

c. The World Economic Forum
d. The World Bank

▶ Show answer

2011 Q164

Regarding the International Monetary Fund, which one of the following statements is correct?

a. It can grant loans to any country.
b. It can grant loans to only developed countries.
c. It grants loans to only member countries.
d. It can grant loans to the central bank of a country.

▶ Show answer

Timeline and numbers

- **1944** — Bretton Woods Conference (44 countries): IMF and World Bank. ★
- **1947-1971** — Par value system: rupee pegged to the US dollar.
- **1960** — IDA established.
- **1971-1975** — Rupee pegged to the pound sterling.
- **1975-1992** — Rupee pegged to a basket of currencies.
- **1991** — BoP crisis; LPG reforms. ★
- **1992-1993** — LERMS dual rate; then VERS / managed float from 1993. ★
- **1995** — WTO comes up (the ITO's successor).
- **1997** — First Tarapore Committee on capital account convertibility. ★
- **1999** — FEMA replaces earlier foreign exchange law.

2006	Second Tarapore Committee. ★
2013-2014	Arvind Mayaram Committee: 10% control test; SEBI erases the term FII (2014). ★
2014	India graduates from IDA.
2021	Budget 2021: insurance FDI cap 74% from 49%. ★
2025	BPM7 released (adoption expected by 2029).

Connects to

Chapter 8: Money and Monetary Policy

RBI's forex purchases and sterilisation (MSS) link reserves to money supply; the impossible trinity is mentioned in both.

Chapter 9: Capital Markets

FPI, ADR, GDR, IDR and P-Notes belong to capital flows recorded in the BoP.

Chapter 7: Banking and NBFCs

AD banks report to RBI; NPAs are a Tarapore precondition.

Chapter 5: National Income Accounting

Residents and non-residents follow the SNA concept; net exports are part of GDP.

Chapter 6: Inflation

Higher relative inflation raises the REER and hurts exports; devaluation is inflationary.

Chapter 11: GST

Taxes on domestic goods and the Inverted Duty Structure link to export competitiveness.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Surge in inflows under RBI's forex swap facility**: Inflows under the RBI special USD-INR swap facility reached $143.596 billion (data to 18 September 2026).
- **Global bond sell-off and rising sovereign yields**: Long-term yields in the US, UK, France and Japan hit multi-decade highs on inflation worries and fiscal pressure.
- **Districts as Export Hubs (DEH)**: The Districts as Export Hubs initiative now covers over 770 districts.
- **Copper price rise**: Copper prices are up on short-term supply disruption and structural demand growth.
- **Anti-dumping duties on aluminium products**: DGTR recommended extending anti-dumping duty for five years on certain aluminium imports.
- **UK recognises India's CCTS under UK CBAM**: The UK recognised India's Carbon Credit Trading Scheme as a qualifying overseas carbon-pricing scheme under its Carbon Border Adjustment Mechanism.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. BoP = flows between residents and non-residents; ADs report to RBI (FETERS); double entry; stocks in IIP; BPM6 now, BPM7 by 2029.
2. Current account: goods, services, incomes, transfers (invisibles = last three). Capital: debt, investments, others, reserves. New capital account is narrow.
3. Autonomous (above the line) versus accommodative (Δ reserves, E&O). Impossible trinity.
4. FDI ≥ 10% (unlisted always FDI); FPI < 10%; Mayaram Committee 2013-14; 9 prohibited sectors; automatic route 90%+; FIPB abolished; CCEA above ₹5,000 Cr; insurance 74%.
5. Exchange rate systems: floating, fixed, pegged, managed float. India: VERS since 1993. Current account fully convertible; capital partly. Tarapore 1997 and 2006.
6. Dollar from ₹90 to ₹80 = rupee appreciation. RER = NER × PF/PD. NEER/REER: indirect quotes, base 2015-16 = 100, rising = stronger rupee.
7. CAD = VI − VE. Reserves 6-8 months of imports. Demand, policy (IDS), supply, exchange rate causes.

8. J-curve: PI×2, QI×0.75 → VI×1.5; PE÷2, QE×1.5 → VE×0.75. CAD worsens first. Currency wars.
9. World Bank Group: IBRD, IDA (1960; India graduated 2014), IFC, MIGA, ICSID (India not a member). President American; IMF head European.
10. IMF: 191 members, quota → subscription, votes, limits; 85% decisions, US > 16%; SDR (not a currency); RTP; SBA 1-2 y, EFF 3-4 y; conditionality.

ECONOMY · GS FOUNDATION · CHAPTER 11

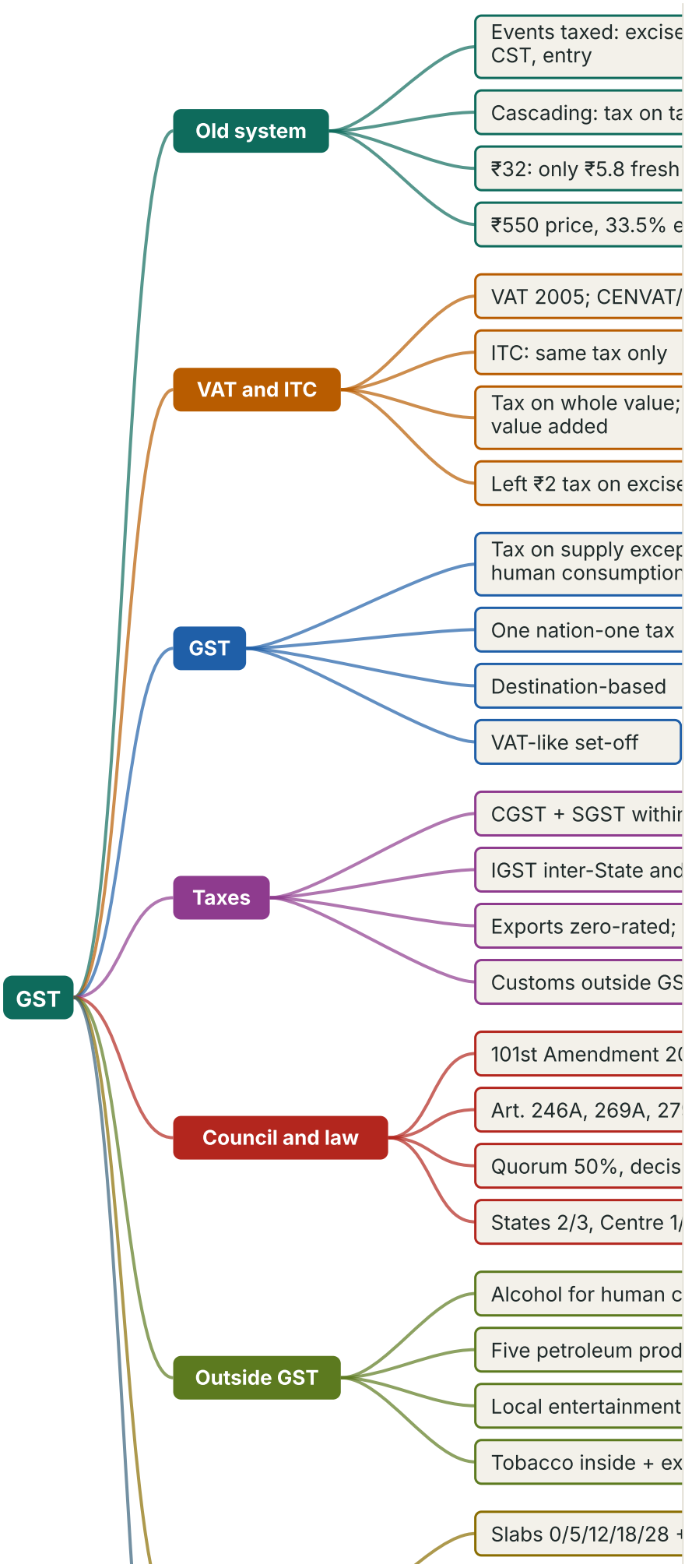
Goods and Services Tax (GST)

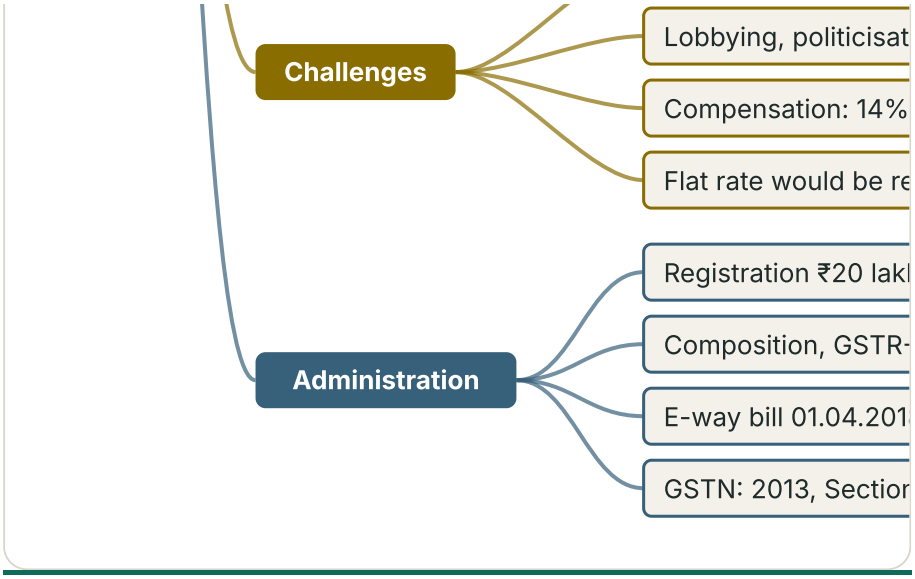
Handout only: no class slides | Handout pages 1-13 | Handout quotes no PYQs | PYQ sheets: 4 Prelims · 3 Mains · Medium

Taxes as events, the old indirect-tax system and cascading (tax on tax), VAT and Input Tax Credit, why GST completes the job, the GST definition and its three properties, CGST, SGST and IGST, the GST Council, what stays outside GST, benefits and challenges, state compensation, revenue neutral rate, anti-profiteering, the Constitution (101st Amendment) Act, registration, composition, e-way bill and GSTN.

Chapter map

MY NOTES


GST
Old system
Events taxed: excise
CST, entry
Cascading: tax on ta
₹32: only ₹5.8 fresh
₹550 price, 33.5% e
VAT and ITC
VAT 2005; CENVAT/
ITC: same tax only
Tax on whole value;
value added
Left ₹2 tax on excise
GST
Tax on supply excep
human consumption
One nation-one tax
Destination-based
VAT-like set-off
Taxes
CGST + SGST within
IGST inter-State and
Exports zero-rated;
Customs outside GS
Council and law
101st Amendment 20
Art. 246A, 269A, 27
Quorum 50%, decis
States 2/3, Centre 1/
Outside GST
Alcohol for human c
Five petroleum prod
Local entertainment
Tobacco inside + ex
Slabs 0/5/12/18/28 +



In simple words

IN SIMPLE WORDS

- Taxes are levied on **events**. In the old system many events (production, sale, inter-State sale, entry) were each taxed, so tax piled on tax. This is **cascading**.
- In the shirt example only **₹5.8** of the ₹32 tax was on fresh value; the rest was tax on tax or on value already taxed.
- **VAT (2005)** taxed value added through **Input Tax Credit (ITC)**, which works for a tax against the **same tax** only. VAT still taxed excise, so cascading was not fully gone.
- **GST** is the wider VAT: one event, the **supply** of goods or services, with **CGST + SGST** inside a State and **IGST** across States. It is **destination-based**; **customs** stays outside.
- The **GST Council** (Art. 279A) decides by a **75%** majority; States carry **2/3** weight and the Centre **1/3**.
- **Alcohol** for human consumption, **five petroleum products** and local **entertainment tax** are outside GST. **Exports are zero-rated**.

Key terms in plain words

Key term	In plain words
Indirect tax	Levied on A, who collects it from B; B bears the burden.
Cascading	Tax on tax and tax on value already taxed.
CST (Central Sales Tax)	Levied by the Centre on inter-State sales; the whole amount goes to the selling State.
VAT	A tax on value added; State sales tax became VAT in 2005.
CENVAT / MODVAT	The 1980s VATting of Central excise duty.
ITC (Input Tax Credit)	Tax paid on inputs is offset against tax on the output, same ta only.
Destination-based	The taxing authority is the place where goods are supplied to
CGST / SGST	The Centre's and the destination State's parts of GST on a sa within a State.

Key term	In plain words
IGST	Levied by the Centre on inter-State supplies and imports.
Zero-rated	Exports carry no tax and are eligible for full duty drawback.
GST Council	The apex policy body under Art. 279A: Union FM as chair, Sta ministers as members.
Revenue Neutral Rate (RNR)	The average GST rate that gives the government the same revenue as before.
Anti-profiteering	Law that makes it illegal to keep a tax cut as extra profit.
Composition levy	An optional turnover-based tax for small taxpayers.
E-way bill	The movement document for goods, for inter-State movemer from 01.04.2018.
GSTN	The common pass-through portal company for registration, returns and payment.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides and no teacher ink. The handout carries the teacher's **handwritten worked examples** (the shirt example in pink); those are part of the handout, not a forecast. **No Prelims or Mains PYQ is quoted** in this handout: none quoted in the material. Priority below is the handout's own emphasis.

What the handout stresses

Signal in the handout	Wher e	Why it matter
Cascading = tax on tax and tax on value already taxed. Of ₹32 tax, only **₹5.8** was on fresh value	Sectio n 2	Core concept; shirt example
ITC works only **tax against the same tax**. Tax is always charged on the entire value; ITC makes it effectively a tax on value added	Sectio n 3	Two "very important poin in the handout
GST = tax on supply of goods and services **other than alcohol for human consumption; one nation-one tax, destination-based, VAT-like**	Sectio n 4	Statutory definition
CGST, SGST, IGST; SGST goes to the destination state; customs is not part of GST	Sectio n 4	Statement trap
GST Council (Art. 279A): chair Union FM; quorum 50%; decision by **75%**; States **2/3** weight, Centre **1/3**	Sectio n 5	Numbers
101st Amendment Act, 2016 (08.09.2016); Art. **246A, 269A, 279A;** 5 petroleum products outside GST for now	Sectio ns 5-6	Provisions
Compensation: base on pre-2017 revenue, **14%** assumed growth, **5 years (till 2022);** only for shortfall caused by GST	Sectio n 7	Number and condition
Revenue neutral rate; anti-profiteering; exports zero-rated	Sectio n 7	Concept questions

Signal in the handout	Where	Why it matters
Registration ₹20 lakh (₹10 lakh special category), composition, GSTN (2013, Section 25 company, Infosys), e-way bill 01.04.2018	Section 8	Numbers and dates; conflict flagged

WHAT TO PREPARE

Prelims hooks: the three properties of GST; GST on what (not alcohol for human consumption); CGST, SGST, IGST; ITC rule; what is outside GST; GST Council composition and voting; Articles 246A, 269A, 279A; 101st Amendment; compensation (14%, 5 years); zero-rated versus exempt; RNR; anti-profiteering; GSTN; composition and registration limits.

Mains hooks: how GST ends cascading and why compliance rose; GST and cooperative federalism (pooled sovereignty versus loss of State autonomy); challenges (multiple slabs, lobbying, petroleum outside); why compensation became a conflict; why a single flat rate would be regressive.

Closing idea: GST is the 2005 VAT idea taken to its end: one event, one tax chain, one credit system.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Medium. 4 Prelims and 3 Mains questions map to this chapter.

Most-asked topics: Benefits, challenges, compensation, RNR and anti-profiteering (1 Prelims, 2 Mains); What GST is (1 Prelims, 0 Mains); The old system: taxes are levied on events (1 Prelims, 0 Mains).

Prelims years: 2011, 2014, 2017, 2018. Mains years: 2013, 2019, 2020.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · The old system: taxes are levied on events

PYQs for this topic: 1 Prelims · 0 Mains

- **Taxes are levied on events:** sale of a good or service, generation of income, change of international boundary (customs), profit of a company. The person on whom tax is levied deposits it with the government.
- **Indirect tax:** the tax is levied on A and A pays the government, but A **collects it from B,** who bears the burden. Centre, States and local bodies all levied such taxes.
- **Old regime flow:** every producer pays **excise duty** to the Centre on production. On every sale the State levies **sales tax** (later VAT). Wholesaler and retailer add margins;

sales tax applies at every sale. The consumer bears it all.

- **Central Sales Tax (CST):** a State cannot tax an inter-State sale because that would distort free movement of goods (**Art. 301-307**). The Centre levies CST and **transfers the entire amount to the selling State.**

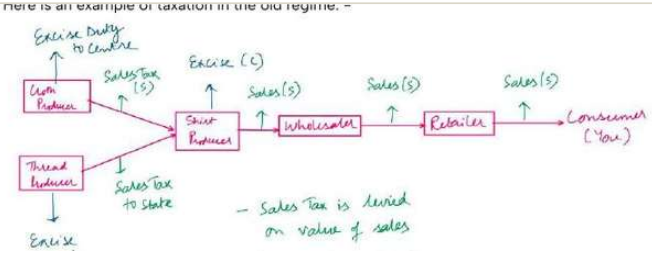
MEMORY AID · EVENTS THAT ARE TAXED

P **I** **C** **S**

Tax takes PICS of events: whenever something happens, a tax is levied.

P	Profit of a company
I	Income generated
C	Change of international boundary (customs)
S	Sale of a good or service

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

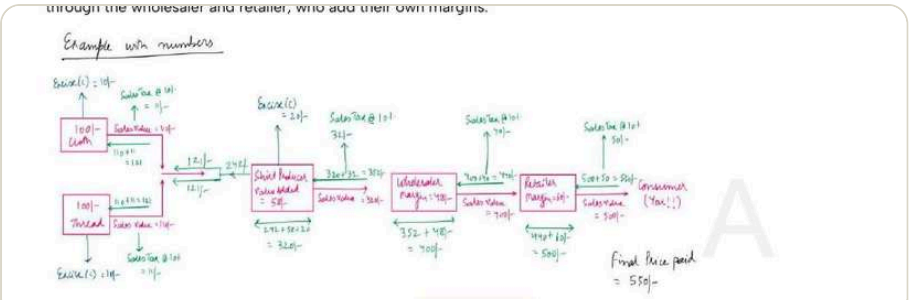


HANDOUT FIGURE Handout page 2 (teacher's drawing): the old regime. Cloth and thread producers pay excise duty to the more

2 · The problem: cascading of taxes

PYQs for this topic: 0 Prelims · 1 Mains

The shirt example: value added at each stage is **₹366** (cloth 100, thread 100, shirt producer 58, wholesaler 48, retailer 60). The consumer pays **₹550,** so the effective tax is **₹184 on ₹550 = 33.5%.** The handout's conclusion: with that burden nobody would ask for a bill. The problem is **compounding: double taxation of the same value and a tax on tax.** This is **cascading.**



HANDOUT FIGURE Handout page 3 (teacher's drawing): the shirt example with numbers. Cloth and thread ₹100 each with exc more

Take the sale from producer to wholesaler: sales value **₹320,** sales tax at **10% = ₹32,** so the wholesaler pays **₹352.** The ₹32 breaks down as:

Where the ₹32 comes from

Part	Amount	What it is
Tax on the value added by the shirt producer	**₹5.8**	Fresh value: the onl legitimate part
Tax on the producer's own excise duty (₹20)	₹2	Tax on tax
Tax on value added by cloth producer and by thread producer (₹10 each)	₹20 (10 + 10)	Tax on value alread taxed
Tax on the excise paid by cloth and thread producers (₹1 each)	₹2	Tax on tax
Tax on the sales tax between cloth/thread and the shirt producer (₹1.1 each)	₹2.2	Tax on tax

THE PUNCHLINE

Out of ₹32 levied at this stage, only **₹5.8** was on value not yet taxed. The remaining **₹26.2** was tax on tax or tax on value already taxed.

HANDOUT ALERT

In the handout's algebra line, "121 (cost paid to cloth producer)" is written twice; the second should be the thread producer. The totals are unaffected. **Exam-hall rule:** learn the five-part split above, not the algebra.

3 · The correction: VAT (2005) and Input Tax Credit

PYQs for this topic: 1 Prelims · 0 Mains

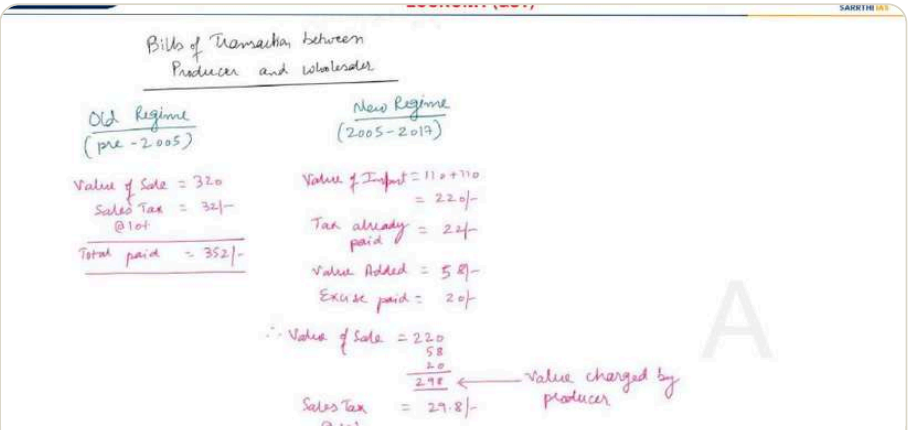
- **From 2005, State sales tax is levied on value added,** not the whole transaction; this was itself called **VAT.** For Central excise, the VATting system was already used in the **1980s** and was called **CENVAT / MODVAT.**

- **Aim:** reduce the burden by making taxation fair and so raise **compliance.** In the example, the producer-to-wholesaler tax falls to a tax on ₹58 only (₹5.8).
- **Input Tax Credit (ITC):** the tax already paid on inputs (the previous stage) with proof, the bill, is **offset** against the tax payable on the output. The producer had paid ₹11 each on cloth and thread, so **₹22** of ITC sits in his account.

TWO VERY IMPORTANT POINTS (HANDOUT)

1. Tax is always charged on the entire value of the transaction. The government cannot see your value added. Taxing value added is the **objective;** ITC is how it is **achieved.** The seller's bill shows only inputs plus value added, so the customer is charged accordingly.

2. ITC and offsetting work only for a tax against the same tax. VAT against VAT, not against excise (a Central tax) or State taxes such as entertainment, luxury and octroi.



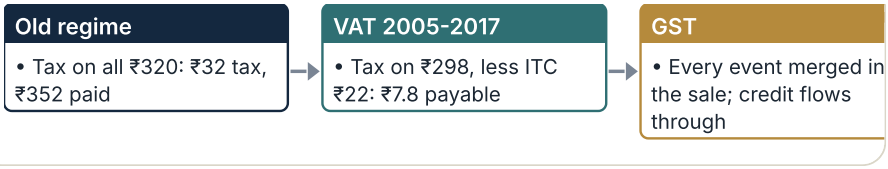
HANDOUT FIGURE Handout page 5 (teacher's drawing): bills of transaction between producer and wholesaler. Old regime (p more

Old regime versus VAT: producer to wholesaler

	Old regime (pre-2005)	VAT (2005-2017)
Tax base	₹320 (everything)	₹298 (input 220 + value added 58 + exc 20)
Tax	₹32	₹29.8, less ITC ₹22 = **₹7.8 payable**
Total paid by wholesaler	₹352	₹327.8
What is left of cascading	All of it	The **₹2 tax on excise** (VAT is still levied c excise duty)

- **Benefit of VAT:** the tax burden falls because the taxable value is far smaller.
- **Shortcoming:** cascading is **not eliminated,** because VAT is still levied on excise. **GST removes it completely** by removing every other event of taxation except sale, so that all taxes can be offset against each other.

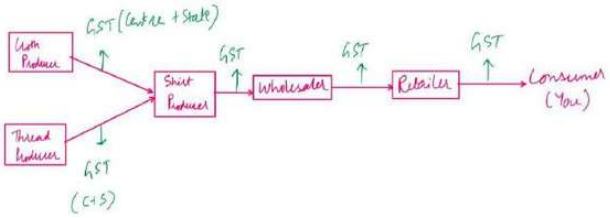
PRODUCER TO WHOLESALER: THREE REGIMES



4 · What GST is

PYQs for this topic: 1 Prelims · 0 Mains

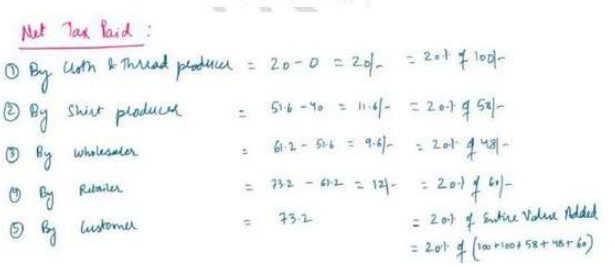
GST is the wider application of the VAT system. It removes all other events of indirect tax **(except Customs)** and combines them into one event: **the sale of a good or a service.** There is no excise, CST or entry tax/octroi any more. A produces and sells to B: only GST. B sells to C and charges tax on the value added.



HANDOUT FIGURE Handout page 6 (teacher's drawing): the GST chain. Cloth and thread producers, shirt producer, wholesale[r] more

The same shirt under GST at an assumed 20%

Stage	Value added	GST on the sale	Net tax paid after ITC
Cloth and thread producers	₹100 each	₹20 each (on ₹100)	₹20 − 0 = **₹20** each (20% of 100)
Shirt producer	₹58	₹51.6 (on 258)	51.6 − 40 = **₹11.6** (20% of 58
Wholesaler	₹48	₹61.2 (on 306)	61.2 − 51.6 = **₹9.6** (20% of 4
Retailer	₹60	₹73.2 (on 366)	73.2 − 61.2 = **₹12** (20% of 60
Consumer pays	₹366 in total	**₹73.2** = 20% of 366	**Final price ₹439.2** (against ₹550 earlier)

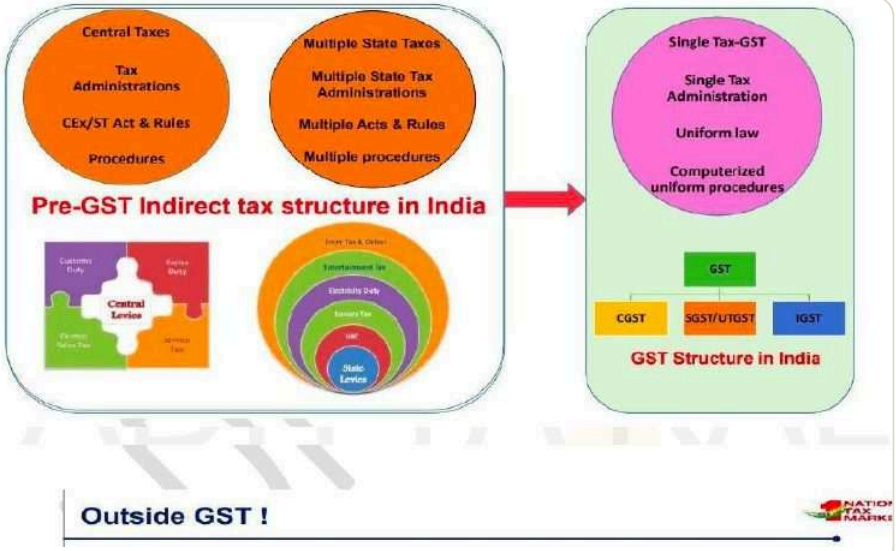


HANDOUT FIGURE Handout page 7 (teacher's drawing): "Net tax paid" at each stage, ending with the customer paying 73.2 = more

HANDOUT ALERT

A tiny bracket note at the bottom of the numbers diagram (page 6) is handwritten and hard to read; it appears to compare ₹439.2 with ₹550 under the earlier tax

regime. **Check your notebook.** The 20% is the teacher's assumed rate for the example, **not** an actual GST slab (the handout's slabs are 0, 5, 12, 18 and 28).



HANDOUT FIGURE Handout page 12: the pre-GST structure (Central taxes with their administrations, Acts and procedur‹ **more**

Statutory definition and three properties

GST is **any tax on supply of goods and services other than on alcohol for human consumption.**

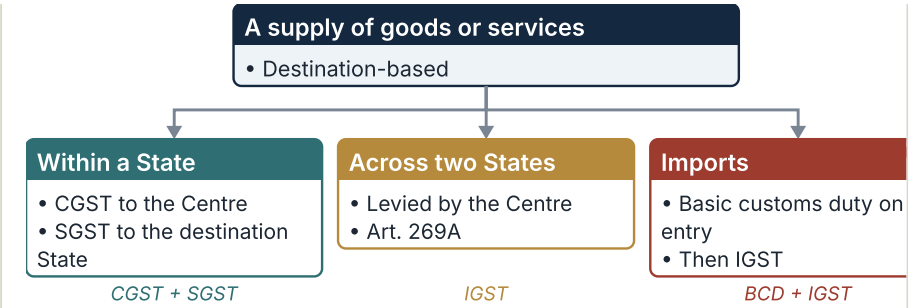
Three properties

Property	Meaning
One nation-one tax	Subsumes many indirect taxes: **VAT, CST, Excise, Service tax,** etc.
Destination-based	The taxing authority is the place where goods are **supplied to,** not where the sale originates
VAT-like structure	Taxes paid at previous stages are available as **set-off** at the next st

CGST, SGST and IGST

Tax	When	Who gets the revenue
CGST + SGST	Sale **within a State** (the consumer sees two components)	CGST: the Centre. SGST: the **destination** State
IGST (Integrated GST)	Sale **across two States**	Levied by the Centre on inter-Stat supplies and imports (Art. 269A)

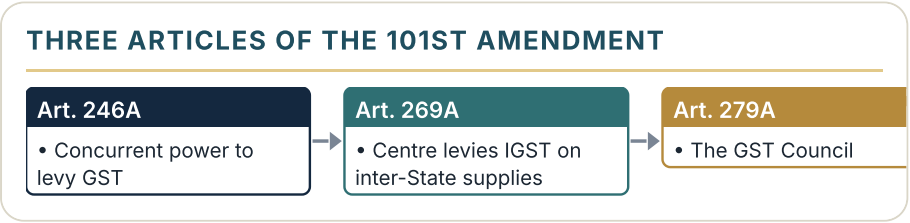
WHICH GST APPLIES



- The goods and services to be taxed and the other essential design features must be **common** between the Centre and the States.
- **International trade:** GST is destination-based, so **exports are zero-rated. Zero-rated does not mean exempt:** exporters are eligible for **full duty drawback. Customs duty is not part of GST. Imports** are taxed like domestic goods: **basic customs duty** on entry, then **IGST.**

5 · GST Council and the Constitution

- **Constitution (101st Amendment) Act, 2016,** notified on **08.09.2016.**
- **Art. 246A:** concurrent jurisdiction for levy and collection of GST by the Centre and the States.
- **Art. 269A:** the Centre levies and collects **IGST** on inter-State supplies, including imports.
- **Compensation** to States for loss of revenue for **five years** on the recommendation of the GST Council (the handout cites “Clause 19”).
- **Petroleum:** crude, high speed diesel, motor spirit (petrol), natural gas and aviation turbine fuel to be brought under GST **from a later date** on the Council’s recommendation.



GST Council (Article 279A)

Feature	Provision
Chairperson	Union Finance Minister
Vice Chairperson	Chosen from the Ministers of State Governments
Members	Minister of State (Finance) and all Finance/Taxation Ministers of each State
Quorum	**50%** of total members
Decision	**75% majority**

Feature	Provision
Weightage	**States 2/3, Centre 1/3**
Role	Apex policy-making body: recommends on model GST laws, rates, pla of supply rules and everything related to GST

FEDERALISM ARGUMENT

Some commentators say GST made States **surrender financial sovereignty** (visible during Covid when States could not raise indirect tax rates). The handout rejects this: the Centre and States have **"pooled their sovereign rights"** through the Council to streamline taxation. Use both sides in Mains.

6 · Outside GST, and what GST changed in administration



HANDOUT FIGURE Handout page 11: "Outside GST!" Alcohol for human consumption: power to tax remains with the State. Fi more

- **As of March 2022 (handout):** petroleum and petroleum products are **not** subject to GST; they stay under the earlier system. **VAT and other input taxes paid on them cannot be offset against GST.**
- **12 nautical miles:** the area up to 12 nautical miles is under **Central administration,** but States can collect tax on economic activities carried out there.
- **Stamp duties** on legal agreements continue to be levied separately by States.

READING TIP

The handout's text says GST excludes "alcohol for human consumption", and the infographic adds that **tobacco is inside GST** with an extra Central excise power. **Exam-hall rule:** alcohol, five petroleum products and local entertainment tax are outside GST; tobacco is inside.

7 · Benefits, challenges, compensation, RNR and anti-profiteering

PYQs for this topic: 1 Prelims · 2 Mains

Benefits

- **Simple to administer and efficient.** A wider and growing tax base (registered users) shows higher compliance. In the old system the honest taxpayer paid his own share and the evader's.
- **ITC across Centre and State taxes** is called the biggest reform: earlier Central and State taxes were isolated and administered separately, so there was no offsetting. Harmonised administration cuts duplication and red tape; automated GSTN reduces errors and eases filing.
- **Compliance logic:** a good tax law has **low cost of compliance and high cost of non-compliance.** Earlier, multiple events and authorities made compliance costly, and catching an evader depended on a tax officer, so the penalty was usually a bribe. Under GST the **system** catches the evader and the cost reaches the legal penalty.



HANDOUT FIGURE Handout page 13: Benefits of GST (12 items in two groups). Group one: reduction in cascading of taxes an… more

Challenges

- **Multiple slabs: 0%, 5%, 12%, 18% and 28%** (handout, 2022); raw agricultural produce is **zero-rated;** luxury goods and goods with negative externalities attract a **cess** above 28%. This is the most important challenge.
- Filings fell drastically (e.g. **GSTR-3B**) but are still more than the "zero" that businesses practically filed earlier.

- **Lobbying and politicisation:** producers (especially food processing) seek zero rating; the Centre, with its majority in the Council, is accused of cutting rates with an eye on elections.
- **One flat rate** may be ideal, but it would be **regressive.** The multiple rates add a **progressive** element: 0 or 5% for necessities, 18% and 28% plus cess for luxury and demerit goods. A reform of slabs is still desirable.

Compensation to States

- States demanded compensation before pooling their rights. Each State's **pre-2017 indirect tax revenue** was taken and an **average nominal growth of 14% a year for five years** (till **2022**) was assumed.
- If actual revenue under GST falls short of this path, the **Centre compensates the shortfall.** The handout stresses: only for a shortfall **on account of GST implementation.** Not for the State's own failure or a pandemic.
- The **GST compensation cess** on luxury and demerit goods funds this. It was meant to end in 2022; the handout says it is not yet going away "thanks to Covid".

Revenue Neutral Rate (RNR)

RNR is the average GST rate at which the government receives **the same revenue** despite the change in tax law, input credits and exemptions. Pre-GST incidence in most States was about **30%** (12% excise, 14% VAT and others). Example: at 30% effective rate, ₹10 of tax means only **₹33** of the ₹100 of output was taxed (one-third of GDP). If GST taxes **double** the value (two-thirds of GDP), a **15%** rate still gives ₹10. That 15% is the RNR.

Anti-profiteering

With a lower RNR, goods should be cheaper. But the seller may keep the **tax reduction as extra profit** instead of passing it on. That is **profiteering,** and GST law makes it **illegal.** Institutions: **National Anti-Profiteering Authority,** a **Standing Committee** and **State-level Screening Committees** (all "already set up" per the handout).

8 · Features of the Act: registration, composition, e-way bill and GSTN

Main features

Feature	Provision (handout)
Jurisdiction	Concurrent: Centre levies **CGST,** States levy **SGST;** Centre levies **IGS** on inter-State supplies and imports
Mode	All transactions and processes **electronic:** non-intrusive administrati
Registration	**PAN-based;** only if turnover is **above ₹20 lakh** (**₹10 lakh** for special category States except J&K); **voluntary registration** allowed
Deemed registration	In **three working days**

Feature	Provision (handout)
Input Tax Credit	On taxes paid on all procurements, except a few specified items
E-way bill	For all inter-State movement of goods from **01.04.2018;** by **16.06.201** all States and UTs had introduced it for intra-State movement

Composition levy

- An **alternative, optional** levy for small taxpayers to bring simplicity and cut compliance cost: tax at a **prescribed percentage of turnover** every quarter instead of the normal rate.
- **Not available** to inter-State suppliers, service providers (**except restaurant service**) and specified manufacturers.
- **Quarterly return in Form GSTR-4** on the GSTN portal by the **18th of the month** after the quarter (July-September 2017 return due **18 October 2017**).

HANDOUT ALERT

Composition threshold conflict: the "Main Features" list says **₹100 lakh;** the composition-levy paragraph says turnover up to **₹75 lakh (₹50 lakh in a few States).** The handout does not reconcile them. **Exam-hall rule:** if the options carry both, pick the one matching the wording (₹75 lakh with the composition levy paragraph); if only one is present, use it.

Goods and Services Tax Network (GSTN)

- Incorporated in **March 2013** as a **Section 25** private limited company with paid-up capital of **₹10 crore.**
- **Equity holders:** earlier Centre, States **and private sector; now completely government owned.**
- A **common pass-through portal** for taxpayers to submit registration applications, file returns and pay tax. **Infosys** is the Managed Service Provider (MSP); **73 GST Suvidha Providers (GSPs)** appointed.

Exam traps

Each trap ends with a rule for the exam hall.

HANDOUT ALERT: COMPOSITION LIMIT: ₹75 LAKH OR ₹100 LAKH

The Main Features list says ₹100 lakh; the composition-levy paragraph says ₹75 lakh (₹50 lakh in a few States). The handout does not reconcile them.

Rule: if both appear, pick the one matching the wording (₹75 lakh with the composition levy); if only one is present, use it.

HANDOUT ALERT: 20% IS NOT A GST SLAB

The 20% in the shirt example is the teacher's assumed rate. The handout's actual slabs are 0, 5, 12, 18 and 28.

Rule: never quote 20% as a slab.

PRELIMS TRAP: ALCOHOL IS OUT, TOBACCO IS IN

The handout excludes alcohol for human consumption. Tobacco is inside GST, with an extra Central excise power.

Rule: outside = alcohol, five petroleum products, local entertainment tax.

CONCEPT TRAP: ZERO-RATED IS NOT EXEMPT

Exports are zero-rated and eligible for full duty drawback. Exempt does not get credit or drawback.

Rule: zero-rated = credit and drawback; exempt = none.

CONCEPT TRAP: ITC WORKS FOR THE SAME TAX ONLY

VAT is offset against VAT, not against excise or State taxes like entertainment, luxury and octroi. Tax is always charged on the entire value.

Rule: ITC is how a tax on value added is achieved, never across different taxes under the old system.

PRELIMS TRAP: COMPENSATION COVERS GST-CAUSED LOSS ONLY

States get the shortfall from a 14% assumed growth path for five years (till 2022), but only on account of GST implementation.

Rule: not for a State's own failure or a pandemic.

Past-year questions

4 Prelims and 3 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes · outline chip keyword taken from the question itself.

1 · The old system: taxes are levied on events

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2014 Q98

The sales tax you pay while purchasing a toothpaste is:

a. tax imposed by the Central Government
b. tax imposed by the Central Government but collected by the State Government
c. tax imposed by the State Government but collected by Central Government
d. tax imposed and collected by State Government

▶ Show answer

2 · The problem: cascading of taxes

0 Prelims · 1 Mains

Read the notes for this topic

MAINS (GS-III)

2013 10 marks GST

Discuss the rationale for introducing Good and services tax in India. Bring out critically the reasons for delay in roll out for its regime.

KEYWORDS GST cascading of taxes input tax credit GST Council destination-based VAT rationale delay in roll out

3 · The correction: VAT (2005) and Input Tax Credit

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2011 Q99

Which one of the following is not a feature of “Value Added Tax”?

a. It is a multi-point destination-based system of tax.
b. It is a tax levied on value addition at each stage of transaction in the production distribution chain.
c. It is a tax on the final consumption of goods or services and must ultimately be borne by the consumer.
d. It is basically a subject of the Central Government, and the State Governments are only a facilitator for its successful implementation.

▶ Show answer

4 · What GST is

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 Q96

Consider the following items:

1. Cereal grains hulled
2. Chicken eggs cooked
3. Fish processed and canned
4. Newspapers containing advertising material

Which of the above items is/are exempted under GST (Goods and Services Tax)?

a. 1 only
b. 2 and 3 only
c. 1, 2 and 4 only
d. 1, 2, 3 and 4

▶ Show answer

7 · Benefits, challenges, compensation, RNR and anti-profiteering

1 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2017 Q97

What is/are the most likely advantages of implementing 'Goods and Services Tax (GST)'?

1. It will replace multiple taxes collected by multiple authorities and will thus create a single market in India.
2. It will drastically reduce the 'Current Account Deficit' of India and will enable it to increase its foreign exchange reserves.
3. It will enormously increase the growth and size of the economy of India and will enable it to overtake China in the near future.

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2020 15 marks GST (Compensation & Federalism)

Explain the rationale behind the Goods and Services Tax (Compensation to States) Act of 2017. How has COVID-19 impacted the GST compensation fund and created new federal tensions?

KEYWORDS GST Compensation | compensation to States | cess | 14% | COVID-19 | compensation fund | federal tensions

2019 | 10 marks | GST Revenue Implications

Enumerate the indirect taxes which have been subsumed in the Goods and Services Tax (GST) in India. Also, comment on the revenue implications of the GST introduced in India since July 2017.

KEYWORDS GST | Revenue Neutral Rate | compensation | revenue implications | July 2017

Timeline and numbers

- **1980s** — VATting of excise duty: CENVAT/MODVAT (Central).
- **2005** — State sales tax becomes VAT (tax on value added). ★
- **March 2013** — GSTN incorporated as a Section 25 company, ₹10 crore capital.
- **08.09.2016** — Constitution (101st Amendment) Act, 2016 notified. ★
- **01.07.2017** — GST comes into effect. ★
- **01.04.2018** — E-way bill for all inter-State movement of goods.
- **16.06.2018** — All States and UTs have e-way bill for intra-State movement.

2022

Five-year State compensation period ends (14% assumed growth). Compensation cess still continuing per the handout. ★

Connects to

Chapter 12: Budget and Fiscal Policy

GST revenue, indirect versus direct tax shares and fiscal federalism feed the Budget.

Chapter 6: Inflation

Cascading and price effects: GST's promise of lower prices is an inflation argument.

Chapter 10: External Sector

Zero-rating of exports, IGST on imports and Make in India.

Chapter 5: National Income Accounting

Revenue neutral rate depends on how much of GDP is taxed (tax base).

Chapter 2: Inequality

Progressive versus regressive elements of the multi-slab GST.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Cascading: tax on tax and tax on already-taxed value. Shirt example: ₹550 price, 33.5% effective tax; ₹32 of which only ₹5.8 fresh.
2. VAT 2005 (State), CENVAT/MODVAT 1980s (Centre). VAT still taxed excise: ₹2 cascading left.
3. ITC: same tax only. Tax is charged on whole value; ITC makes it effectively on value added.

4. GST: tax on supply except alcohol for human consumption. One nation-one tax, destination-based, VAT-like.
5. CGST + SGST within a State; IGST inter-State and imports. SGST to destination State. Customs outside GST.
6. Exports zero-rated (not exempt); full drawback. Imports: BCD then IGST.
7. 101st Amendment 2016 (08.09.2016). Art. 246A (concurrent), 269A (IGST), 279A (Council).
8. Council: FM chair; quorum 50%; decision 75%; States 2/3, Centre 1/3.
9. Outside GST: alcohol for human consumption, five petroleum products, local entertainment tax. Tobacco inside + extra excise.
10. Slabs 0/5/12/18/28 + cess. Compensation: 14% growth for 5 years (till 2022), only for GST-caused shortfall.
11. RNR: rate that keeps revenue same. Anti-profiteering: pass the benefit on.
12. Registration ₹20 lakh (₹10 lakh special category). Composition ₹75 lakh vs ₹100 lakh (conflict). GSTN 2013, Section 25, Infosys, 73 GSPs. E-way bill 01.04.2018.

ECONOMY · GS FOUNDATION · CHAPTER 12

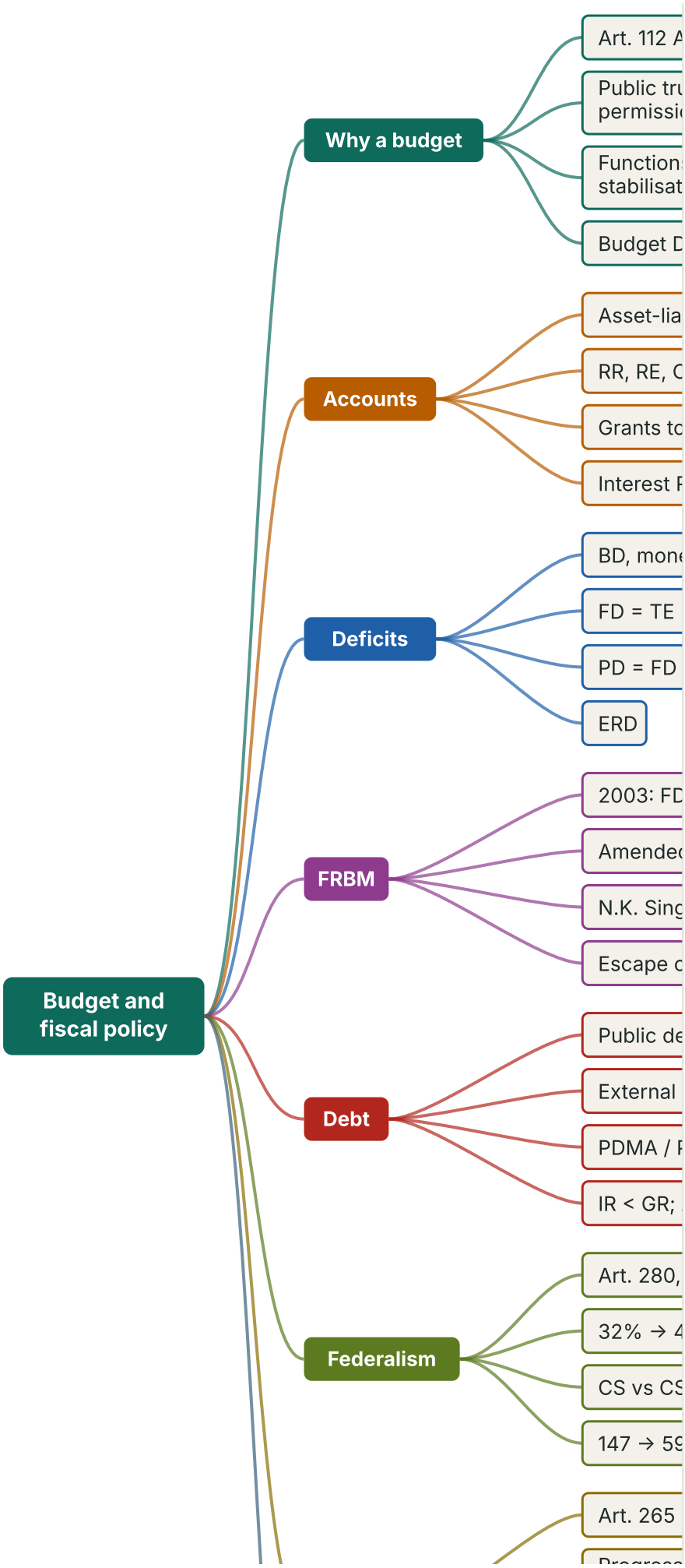
Government Budget and Fiscal Policy

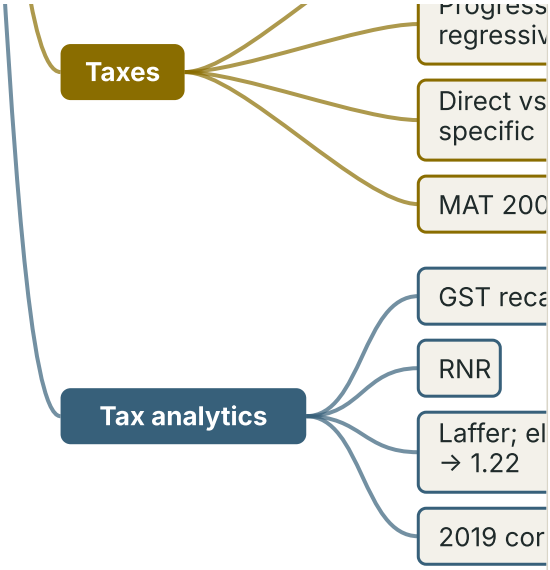
Class slides + handout | Slides 314-342, handout pages 1-57 | Handout quotes no PYQs | PYQ sheets: 25 Prelims · 10 Mains · High

Why a budget exists (Articles 112 and 113), its three functions, revenue and capital accounts, budget deficit and monetisation, WMA, fiscal deficit and its cousins, FRBM and the N.K. Singh Committee, public debt and the IR-GR rule, Finance Commission devolution, central sector and centrally sponsored schemes, Budget 2026-27 numbers, the classification of taxes, MAT, GST recap, revenue neutral rate, Laffer curve, elasticity and buoyancy, and the slide-only topics (growth and investment models, tax evasion, PPP).

Chapter map

MY NOTES


Budget and fiscal policy
Why a budget
Art. 112 A
Public tru
permissi
Function
stabilisat
Budget D
Accounts
Asset-lia
RR, RE, C
Grants to
Interest P
Deficits
BD, mone
FD = TE
PD = FD
ERD
FRBM
2003: FD
Amended
N.K. Sing
Escape c
Debt
Public de
External
PDMA / P
IR < GR;
Federalism
Art. 280,
32% → 4
CS vs CS
147 → 59
Art. 265



In simple words

IN SIMPLE WORDS

- The **budget** is the yearly statement of expected receipts and spending (**Art. 112**). The **Lok Sabha** gives permission (**Art. 113**). Budgeting is **accounting for the future**.
- The **asset-liability test** sorts every entry. If assets or liabilities change, it is **Capital**; if not, it is **Revenue**. Interest is revenue, principal repayment is capital, and grants to States are revenue.
- **Fiscal Deficit = Total Expenditure - Non-Debt Receipts**, which is the year's **borrowing**. **Primary Deficit** removes interest. **Revenue Deficit = RE - RR**. After **WMA (1997)** the Budget Deficit is zero.
- **FRBM 2003** bound the government to an FD of 3% and no Revenue Deficit. The **N.K. Singh Committee** added a **60% debt anchor** (Centre 40, States 20), escape clauses and counter-cyclical policy.
- Debt stays safe when the **interest rate is below the growth rate (IR < GR)**. Keep **public debt** apart from the **debt of the nation**.
- States get money through **Finance Commission devolution** and through **schemes**. Taxes are classified by burden, by method and by how the rate behaves. **Elasticity** follows the tax rate; **buoyancy** follows GDP.

Key terms in plain words

Key term	In plain words
Budget Deficit (BD)	Total Expenditure minus Total Receipts. The government's intent exceed its capabilities.
Monetised deficit	The part of the deficit financed by RBI printing money against government bonds.
WMA (1997)	Ways and Means Advances: short-term RBI loans for temporary mismatch. The government promised not to present a BD.
Fiscal Deficit (FD)	Total Expenditure minus Non-Debt Receipts; equals the borrowir the year.

Key term	In plain words
Primary Deficit (PD)	Fiscal Deficit minus interest payments; shows the current government's own shortfall.
Revenue Deficit (RD)	Revenue Expenditure minus Revenue Receipts; borrowing just to the government.
Effective Revenue Deficit	Revenue Deficit minus grants given for creating capital assets.
Deficit and debt	Deficit is a yearly flow; debt is the stock of all unpaid past deficit
Public Debt	Borrowing through G-Secs and T-Bills, held in the Consolidated Fund of India.
Other Liabilities	Money held as banker or trustee (provident funds, NSSF, pensio funds), held in the Public Account.
Counter-cyclical policy	Save in good times and spend in bad times; pro-cyclical policy reinforces the cycle.
Central Sector Scheme	Scheme run by central machinery, usually 100% funded by the Centre.
Centrally Sponsored Scheme	Scheme run by the State with a central grant; the State adds a matching share, usually 40%.
Ad valorem and specific tax	Ad valorem is a percentage of value; specific is based on a phys measure whatever the price.
Revenue Neutral Rate (RNR)	The GST rate that gives the government the same revenue as the old taxes.
Tax buoyancy	% change in tax revenue divided by % change in nominal GDP, v rates unchanged.

Exam lens: priority and PYQs

SOURCE NOTE

No teacher ink. I checked all 29 slides: they are typed text, tables and charts with no handwriting. The handout has none either. **No Prelims or Mains PYQ is quoted** in the slides or the handout: none quoted in the material. Priority below is the handout's own emphasis: its "Crucial Trap" and "Ultimate Prelims Trap" boxes, its explicit tables, and its remark that the debt-dynamics proof "will not be asked in the exam".

What the handout stresses

Signal in the handout	Where	Why it mat
"The Ultimate Prelims Trap": PMFBY is a Central Sector scheme although the States pay 50% of the premium subsidy	Sectio n 7	Explicit trap
"Crucial Trap": External Public Debt versus External Debt of the Nation	Sectio n 6	Explicit trap
Asset-liability test decides revenue versus capital; grants to States are Revenue Expenditure	Sectio n 3	Classificati rule

Signal in the handout	Where	Why it mat
BD → 0 after WMA (1997); FD = TE − NDR = borrowing; PD = FD − interest; RD = RE − RR; ERD	Sectio ns 4-5	Definitions formulas
FRBM 2003: FD 3%, eliminate RD, three statements; amendments **2004, 2012, 2015, 2018**	Sectio n 5	Dates
N.K. Singh: debt anchor **60%** (Centre 40, States 20); five escape clauses; counter-cyclical policy	Sectio n 5	Committee
IR < GR; five principles of debt management; Δd ≈ (i − g)·d + p	Sectio n 6	Concept (proof not examined)
Art. 280 and 275; 14th FC 32% → 42%, 15th 41%; horizontal criteria table; **Art. 282**	Sectio n 7	Numbers a weights
CSS reform: 147 → 59 (Chaturvedi) → **30** (Sub-Group of CMs); 6 **core of the core; 25% flexi-fund;** portability	Sectio n 7	Numbers
Direct versus indirect (impact and incidence); progressive, proportional, regressive; ad valorem versus specific; **MAT 2005**	Sectio n 9	Classificati
RNR; Laffer curve; elasticity; buoyancy (0.72 → 1.22)	Sectio n 11	Concepts a numbers

WHAT TO PREPARE

Prelims hooks: Art. 112, 113, 265, 280, 275, 282, 279A; revenue versus capital classification of any item; definitions and relationships of RD, FD, PD, ERD; BD and monetised deficit; WMA (Normal, Special); FRBM dates and escape clauses; public debt versus other liabilities versus external debt; Finance Commission criteria; CS versus CSS; PMFBY trap; types of tax (progressive, direct, ad valorem, specific); MAT; RNR; elasticity versus buoyancy.

Mains hooks: why the budget is the annual renewal of the social contract; why deficits and debt are not bad by themselves but need rules; why FRBM lost credibility and what N.K. Singh fixed; counter-cyclical policy; intergenerational equity (oil bonds); fiscal federalism (devolution versus schemes); the narrow income-tax base and the complexity-evasion link; Laffer curve and the 2019 corporate tax cut; buoyancy as the test of GST.

Closing idea: a budget is accounting for the future, and every rule in this chapter exists because governments cannot be trusted to restrain themselves.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: High. 25 Prelims and 10 Mains questions map to this chapter.

Most-asked topics: Taxation: law, classification and the direct tax picture (8 Prelims, 2 Mains); Expenditure and fiscal federalism (3 Prelims, 3 Mains); The FRBM Act and the family of deficits (3 Prelims, 2 Mains).

Prelims years: 2010, 2011, 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023. Mains years: 2013, 2015, 2016, 2017, 2018, 2019, 2021, 2024, 2025.

> All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

1 · Why the State exists, and why it must present a budget

PYQs for this topic: 1 Prelims · 0 Mains

- **The State** is an artificial entity created by the people to provide goods the market cannot (defence, legal systems, clean air). Its **authority** is the right to collect taxes; its **responsibility** is to spend for the people.
- **Accounting** records the past; **budgeting is accounting for the future.** A government cannot be "shocked" or "unprepared", so it must account and budget.
- **Article 112 (Annual Financial Statement, AFS):** the President causes a statement of **estimated** receipts and expenditure to be laid before both Houses every financial year. It must show separately the expenditure **charged on the Consolidated Fund** and other expenditure, and **distinguish revenue-account expenditure from other expenditure.**
- **Doctrine of Public Trust:** the government exists only as long as it has legitimacy. Two building blocks of trust: **transparency** (Art. 112) and **permission** (Art. 113).
- **Article 113(2):** the Lok Sabha may assent, refuse, or assent subject to a **reduction** of any demand for grants. This is "no taxation without representation", which is why only the directly elected House votes on the budget.

> **HANDOUT LINE**
> The budget "is not just a spreadsheet; it is the annual renewal of the social contract and the ultimate document of public trust."

2 · Budget functions and objectives

PYQs for this topic: 1 Prelims · 1 Mains

The **Budget Division (Department of Economic Affairs, Ministry of Finance)** prepares the documents. The slides and handout agree on three functions:

Three functions

Function	Objective	Meaning
Taxation (distribution)	**Equity**	Collect more from those who can give more; the budget is the tool of redistribution
Expenditure (allocation)	**Efficien**	Provide public goods (non-rivalrous consumption); prioritise defence, infrastructure and health over populist freebies

Function	Objectivecy	Meaning
Stabilisation (macro steering)	Balance	Maximising tax discourages growth; maximising spending cau inflation. Aim: desirable inflation, growth, lower unemploymen balanced regional development, exports, technology

The slides add: “these objectives themselves are not as important as the ways to achieve them. Budget is an exercise in which every government presents its vision and strategy.”

> **TOTAL RECEIPTS (HANDOUT ASIDE)**
> Total Receipts (TR) include even the money **borrowed** that year. **TR = RR + CR,** where CR is debt and non-debt capital receipts.

3 · Accounting in the budget: revenue and capital accounts

PYQs for this topic: 3 Prelims · 1 Mains

- **Slides:** Revenue Account Budget and Capital Account Budget. **Plan and Non-Plan budget abolished since 2017** after the **Rangarajan committee (2012)** (slide only). **Railway budget merged** with the general budget. Date of presentation **preponed to 1 February.**
- The Constitution only says to distinguish revenue expenditure from “other”. Over time “other” became the **Capital Account,** and receipts are classified the same way.
- **Why separate revenue?** To test whether the government is **viable day to day:** do its rightful receipts cover its core running costs?
- **The problem:** “core” is subjective (defence yes; free grain for 75% or 30% of people debatable; running an airline or steel plant?). The Supreme Court is quoted: the capital-revenue distinction is **“describable but not strictly definable.”**

> **THE SOLUTION: THE ASSET-LIABILITY TEST**
> Define **Capital** strictly; whatever does not fit is Revenue. If a transaction **changes the government’s assets or liabilities,** it is **Capital Account.** If it leaves them untouched, it is **Revenue Account.** The handout compares this with the BoP, where the capital account was defined and the rest became current.

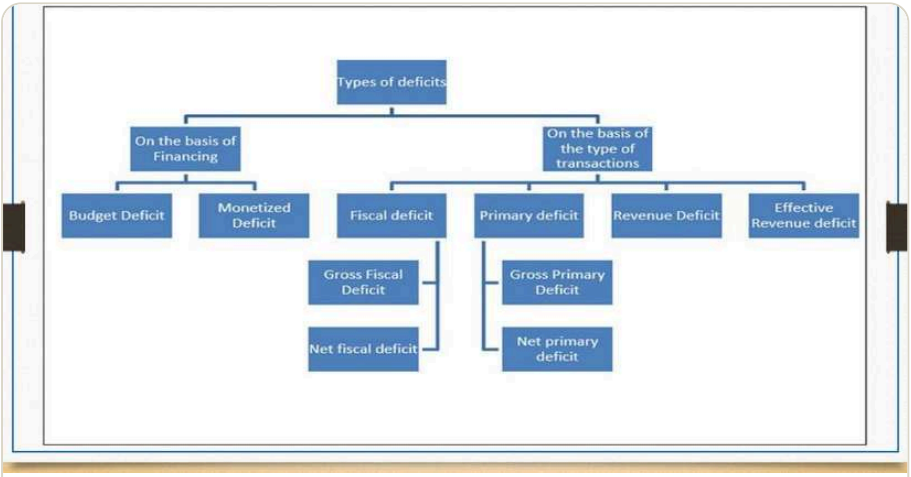
Ledger effects

Entry	Assets	Liabilities
Capital Expenditure	↑	↓ (or no rise)
Capital Receipts	↓	↑

The four entries

Entry	Meaning	Examples (handout)
Revenue Receipts (RR)	"Rightful" receipts, **non-redeemable;** no liability, no asset sold	**Tax:** Income tax, corporate tax, GST, customs. **Non-tax:** fines, fees, **PSU dividends, interest received on loans** previously given, **grants fro foreign nations**
Revenue Expenditure (RE)	**Maintenance** expenses; creates no asset and reduces no liability	Salaries, pensions, office expenses, **subsidies interest payments**
Capital Receipts (CR)	Money that **creates a liability or reduces an asset**	**Debt-creating:** G-Secs, T-Bills, sovereign bon foreign loans. **Non-debt: disinvestment** (e.g. A India, LIC), **recovery of loans** advanced to Stat
Capital Expenditure (CE)	Creates an asset or reduces a liability	**Physical:** highways, ports, hospitals, fighter je **Financial:** loans to States or foreign nations, equity into a PSU. **Liability-reducing:** repayme of **principal**

- **Interest is Revenue Expenditure; repaying principal is Capital Expenditure.**
- **The Defence rule:** routine defence maintenance (salaries, rations, ammunition) is Revenue Expenditure; purchase of fighter jets and carriers is Capital.
- **Any transfer by the Centre to a State (except a loan) is Revenue Expenditure,** even if the State builds a highway with it, because no asset is created for the Centre. This leads to the **Effective Revenue Deficit** (section 5).



HANDOUT FIGURE Slide 13: "Types of deficits." On the basis of financing: Budget Deficit and Monetized Deficit. On the basi more

4 · Deficit versus debt, budget deficit, monetisation and WMA

PYQs for this topic: 4 Prelims · 0 Mains

- **Deficit** is a **flow:** excess of expenses over receipts in a year. **Debt** is a **stock:** the accumulation of all unpaid past deficits.

- **Budget Deficit (BD) = Total Expenditure − Total Receipts.** TE is the government's **intentions;** TR its **capabilities.** A habitual BD admits it cannot keep its promises: the budget becomes "political theatricality" and public trust is shattered.
- **CADP / AIBP paradox:** the **Command Area Development Programme (1974)** announced canals the budget could not fund, so in **1996** the **Accelerated Irrigation Benefit Programme (AIBP)** was launched to complete the old scheme.
- **Monetised Deficit:** the part of BD financed directly by **RBI printing money** against government bonds.

Why monetisation is catastrophic

Consequence	Explanation
Loss of central bank independence	RBI becomes the government's printing press and cannot control money supply
Destruction of currency integrity	RBI's balance sheet fills with bonds of a heavily indebted government; trust in the note collapses; run-away inflation
Inflation	Excess money. **Excess-money inflation is controllable; inflation from permanent loss of trust is structural**

WMA (1997): ending the deficit habit

- In **1997** RBI and the government entered agreements that effectively **abolished BD and monetisation;** the most important was the **Ways and Means Advances (WMA) Agreement.** The government **promised not to present a BD.**
- RBI in return helps with **temporary liquidity mismatch** (expenses are daily, receipts periodic). Two loans, to the Centre and States:

WMA

Type	Feature
Normal WMA	Short-term, **unsecured overdraft** based on the government's minimum balance
Special WMA	Beyond the Normal limit; needs **collateral** (G-Secs or T-Bills)

RBI and governments (Centre and States) meet **before each budget** to decide the amount and manner of WMA. These loans are strictly **short term.**

Market discipline fails

- After WMA the logic was that the market would punish indiscipline by refusing to lend or charging high rates. **It failed:** the government that borrows is not the one that repays. Milton Friedman's image: spending is like alcohol, the good effects come immediately and the hangover (inflation) later; discipline is withdrawal.
- **Inter-generational inequity:** the present generation enjoys the benefit, the **children repay,** and the future loses the ability to borrow in need. **Example: Oil Bonds (2005-2012):** with crude prices high, the government issued bonds to oil marketing companies instead of raising petrol prices; today's taxpayers pay the interest and were told lower oil prices could not be passed on because of the old debt.

- **Intra-generational inequity:** heavy borrowing causes **crowding out** (less money for the private sector, higher interest rates for everyone), and the resulting **inflation hurts the poor** (Engel's law, Chapter 6).
- **Debt is not bad by itself:** government spending has a **multiplier** (AD = C + G + I + X − M; a rise in G raises C and then I, so AD rises by more). But borrowing must stay within sustainable limits or the result is **recession with very high inflation.**

5 · The FRBM Act and the family of deficits

PYQs for this topic: 3 Prelims · 2 Mains

FRBM Act, 2003

- Parliament legally bound its own hands. Original requirements: **(1) keep Fiscal Deficit within 3% of GDP, within 5 years; (2) eliminate Revenue Deficit, within 5 years; (3) present three statements** with the budget:
  - **Macro-Economic Framework Statement:** growth prospects, GDP estimates, external sector balance.
  - **Medium-Term Fiscal Policy (MTFP) Statement: three-year rolling targets** for Fiscal Deficit, Revenue Deficit and Debt.
  - **Fiscal Policy Strategy Statement:** strategic priorities, taxation and expenditure policy, justification for major deviations.
- Together these are the **"fiscal consolidation roadmap".** The deadlines were missed, the Act was amended repeatedly, and its credibility fell.

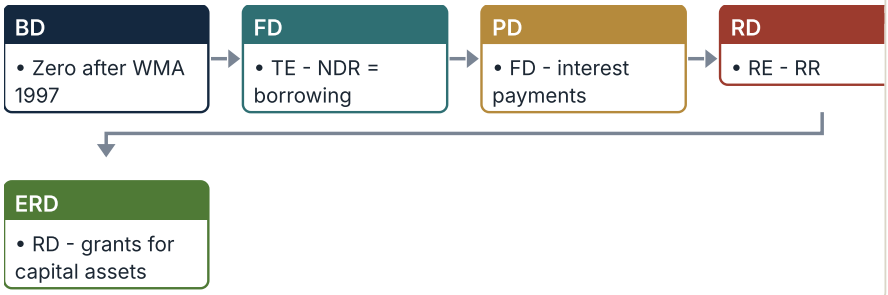
The deficits

Definitions

Deficit	Formula or meaning	Handout point
Fiscal Deficit (FD)	**TE − Non-Debt Receipts (NDR)** = Debt CR = **borrowing in the year**	Derivation: since BD = 0 after WMA, TR = TE, so + Debt CR + Non-Debt CR = TE, hence Debt CR TE − (RR + NDCR)
Gross FD (GFD)	TE − NDR: actual borrowing	
Net FD (NFD)	GFD less the government's **lending** to States and PSUs	Shows how much the government borrows for **it own use**
Primary Deficit (PD)	**FD − interest payments**	Interest is the largest, non-discretionary item (all past debt); removing it shows the current government's own shortfall. Gross and Net versi exist

Deficit	Formula or meaning	Handout point
Revenue Deficit (RD)	**RE – RR**	Government is borrowing just to run itself: "the hallmark of an unsustainable State"; FRBM target its elimination
Effective Revenue Deficit (ERD)	RD − grants for creation of capital assets (A)	Transfers to States are RE of the Centre but may build assets (CSS: village roads, hospitals, irrigat power). Add A to CE for **Effective Capital Expenditure;** deduct A from RE for **Effective RE**

HOW THE DEFICITS BUILD ON EACH OTHER



The glide path and the amendments

FRBM glide path (handout table)

Year	FRBM FD target	Actual FD	Reason
2003-04	Baseline	4.5%	Pre-FRBM baseline
2004-05	~4.2%	4.0%	Strong tax buoyancy
2005-06	~3.9%	4.1%	Slight slip
2006-07	~3.6%	3.5%	GDP growth above 9%
2007-08	3.0%	**2.5%**	Overachieved; corporate tax collections
2008-09	2.5% (budgeted)	**6.0%**	Global Financial Crisis, 6th Pay Commission, ₹71,000 crore farm loan waiver, oil bonds
2009-10	3.0%	**6.5%**	Stimulus: excise cuts, high expenditure

Amendments

Year	Change
2004	Sunset date for targets pushed from **2008 to 2009**
2012	**ERD introduced;** deadline pushed to **2015**
2015	Deadlines pushed again to **2018**
2018	Act **overhauled** on N.K. Singh Committee lines. **RD and ERD targets scrapped** FD target pushed to **3% by 2021**

HANDOUT ALERT

The glide-path table lists a **2008-09 FRBM target of "2.5% (budgeted)"** next to a 2007-08 target of 3.0%, and the amendment list says targets were suspended in 2009. The handout does not explain the 2.5% figure. **Exam-hall rule:** remember the story (3% target, 2.5% in 2007-08, 6.0% and 6.5% after the crisis), not the intermediate targets.

N.K. Singh Committee (2016)

The original escape clause ("extraordinary circumstances") was vague; the government suspended the Act in 2009. The Committee recommended:

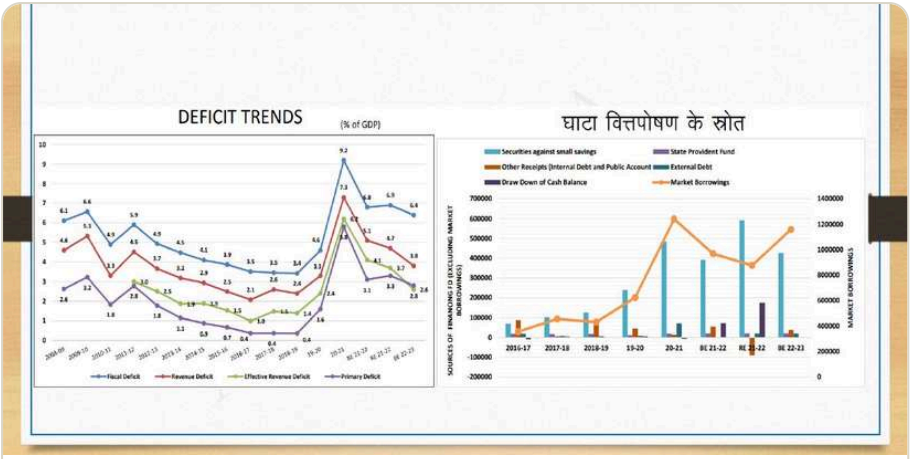
1. **Debt as the primary anchor,** deficit as the operational target. A ceiling for **General Government Debt at 60% of GDP (Centre 40%, States 20%).**
2. **Objective escape clauses:** (a) national security or act of war; (b) national calamity; (c) collapse of agriculture severely affecting farm output and incomes; (d) structural reforms with unanticipated fiscal implications; (e) a quarterly **fall in real output growth of at least three percentage points below its average of the previous four quarters.**
3. **Counter-cyclical fiscal policy:** save in booms to have room to borrow and spend in recessions.

Pro-cyclical reality versus counter-cyclical policy

Parameter	High growth phase	Low growth phase
Ability to borrow and resources (taxes)	High	Low
Need to spend	Low (economy doing well)	High (e.g. high unemployment)
Actual spending (pro-cyclical reality)	High, because ability is high	High but relatively less, through unsustain borrowing; expenditure is rigid downward

ECONOMIC SURVEY BOX (QUOTED IN THE HANDOUT)

Counter-cyclical policy is contractionary in good times and expansionary in bad times; pro-cyclical policy reinforces the cycle. "Indian Kings used to build palaces during famines and droughts to provide employment."



HANDOUT FIGURE Slide 14: deficit trends (% of GDP) for Fiscal, Revenue, Effective Revenue and Primary Deficit, with the more

6 · Public debt, other liabilities and debt sustainability

PYQs for this topic: 1 Prelims · 0 Mains

Total liabilities of the Government of India

Part	Where it sits	What it is
Public Debt	Consolidated Fund of India	Borrowed from the market to finance the Fiscal Deficit via **G-Sec and T-Bills;** a direct contractual obligation. **Sovereign debt** is the international term for this. Slides: **Internal Debt** (owed to residen and **External Public Debt** (owed to non-residents: FIIs, foreign governments)
Other Liabilities	Public Account of India	Money held in the government's custody as banker or trustee, w interest and principal owed: **NSSF, Provident Funds, Pension Fu (NPS), Judicial Deposits.** Slides name the Public Provident Fund and NPS

Total Liabilities = Public Debt + Other Liabilities.

CRUCIAL TRAP (HANDOUT): PUBLIC DEBT VERSUS THE NATION'S DEBT

Internal Public Debt: government borrowing within the country (banks, RBI, citizens).

External Public Debt: the government's borrowing from foreign entities (e.g. the World Bank).

External Debt of the Nation: much larger; **External Public Debt plus private-sector borrowing abroad** (e.g. **ECBs by corporates, NRI deposits**). "Do not confuse the debt of the Sovereign with the debt of the Nation." (Slides: ECBs are one large component.)

Who manages the debt: RBI, PDMA and PDMC

- RBI is the government's **debt manager** and also the **monetary authority.** The conflict: as monetary authority it fights inflation (raises the cost of money); as debt manager it wants the **cheapest loans.**
- The government has several times proposed an independent **Public Debt Management Agency (PDMA).** At present an interim **Public Debt Management Cell (PDMC)** exists within the Ministry of Finance for internal debt; the transition is incomplete and RBI still plays a major role.

Five principles of debt management

1. **Minimise the cost of borrowing.**
2. **Prefer domestic over external sources:** owed in rupees; avoids geopolitical pressure.
3. **External debt in domestic currency** (FII purchase of rupee G-Secs, **Masala Bonds**). Dollar debt plus rupee depreciation can explode the burden (Sri Lanka, Latin America).
4. **Elongate maturity** (10, 20 or 40 years), because short-term debt such as 91-day T-Bills creates **rollover risk.**
5. **IR < GR:** the interest rate must stay below the growth rate of the economy.

MEMORY AID · FIVE PRINCIPLES OF DEBT MANAGEMENT

M **E** **D** **I** **C**

A MEDIC keeps the nation's debt healthy.

M	Maturity: elongate it (10, 20 or 40 years)
E	External debt in domestic currency (Masala Bonds)
D	Domestic sources preferred over external
I	Interest rate below the growth rate (IR < GR)
C	Cost of borrowing: minimise it

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

SLIDE 16: OBJECTIVES OF DEBT MANAGEMENT

Low cost; longer maturity; financed locally; external debt in domestic currency; ability to pay (relationship with growth: the **interest rate-growth rate differential**). N.K. Singh: **Debt:GDP 60% (40% Centre, 20% States).**

Why IR < GR: the debt dynamics

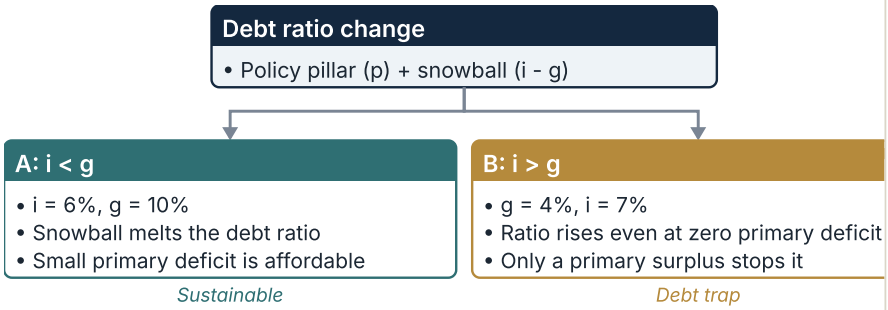
Let **d** = debt/GDP, **i** = nominal interest rate, **g** = nominal GDP growth, **p** = primary deficit as % of GDP. Starting from FD = PD + interest and interest = i × last year's debt, the handout derives:

> **THE RESULT**
> **Δd ≈ (i − g) × d(t−1) + p.** Two pillars: the **policy pillar (p)** and the **snowball effect (i − g)·d.**

Two scenarios

Scenario	Example	Result
A: i < g (sustainable)	i = 6%, g = 10%, so (i − g) = −4%	The snowball **melts** the debt ratio; a small primary deficit is affordable; "the nation outgrows its liabilities"
B: i > g (debt trap)	g = 4%, i = 7%, so (i − g) = +3%	Even with **zero primary deficit** the ratio rises; only **primary surplus** stops it, which is "political suicid

DEBT DYNAMICS: WHICH SIDE OF IR AND GR?



> **WHAT NOT TO LEARN**
> The handout says the full mathematical proof (Economic Survey, chapter 2) "is never going to be asked in an exam". Keep the final relation and the two scenarios.

Slide 15 adds the definition of **External debt of a country:** the external debt of the government plus citizens towards the rest of the world; ECBs are a large component.

7 · Expenditure and fiscal federalism

PYQs for this topic: 3 Prelims · 3 Mains

- **Unitary bias:** the Centre has more and richer tax powers and fewer direct responsibilities than States. Corporate taxes are recorded where a firm is headquartered but earned across the country, so "it is **India's** wealth". Rich States can spend on infrastructure and tax breaks; poor States (Meghalaya, Bihar) cannot even pay salaries without the Centre as equaliser.
- Two channels: **(a) Finance Commission devolution and grants, (b) scheme-based transfers.**

Finance Commission (Articles 280 and 275)

- **Art. 280:** the President constitutes a Finance Commission **every five years;** it is a neutral umpire dividing the net proceeds of taxes: **vertical devolution** (Centre versus all States) and **horizontal devolution** (among States).
- **Art. 275 (safety net):** statutory **grants-in-aid** from the Consolidated Fund of India for structurally weak States with a revenue deficit; **legal, unconditional rights.**
- **Art. 282:** the Centre (or States) may make grants for any "public purpose", even outside legislative competence. This is the route of discretionary scheme transfers.
- **Vertical:** the **14th FC (Y.V. Reddy, 2015-20)** raised the States' share of central taxes from **32% to 42%.** The **15th FC (N.K. Singh, 2021-26)** recommended **41%;** the 1% fall is because J&K became a Union territory (adding J&K and Ladakh, the share slightly increased). The **16th FC** has been set up.

Horizontal devolution: weights

Criterion	14th FC (2015-20)	15th FC (2021-26)	Rationale
Income distance	50.0%	45.0%	Core equity metric: per-capita income against the richest State; poorer States g more
Population (1971)	17.5%	0.0%	Dropped; protected States that controlle population
Population (2011)	10.0%	15.0%	Absolute administrative need; angered Southern States
Demographic performance	0.0%	**12.5%**	New; rewards lower Total Fertility Rates (pacify Southern States)
Area	15.0%	15.0%	Larger States cost more to administer
Forest cover / ecology	7.5%	10.0%	Rewards preserving forests
Tax and fiscal efforts	0.0%	**2.5%**	New; rewards tax-collection efficiency
Total	100%	100%	

> **HANDOUT ALERT**
>
> The handout says India's TFR "has now reached 2.0 (**NFHS-2**), which is below the replacement level of 2.1." NFHS-2 is an old survey round, so this is probably a slip for a recent round. **Exam-hall rule:** use only the idea (TFR below replacement level 2.1); check the survey name in your notebook before quoting it.

Demographic argument: the Southern States did not use coercive laws; they went through an **earlier demographic transition** driven by industrialisation, female literacy and maternal healthcare. As Northern States urbanise, their TFR is falling too.

Central Sector Schemes versus Centrally Sponsored Schemes

CS versus CSS

	Central Sector (CS)	Centrally Sponsored (CSS)
Subjects	Union List or direct central intervention	State or Concurrent List (health, education, agriculture)
Execution	Entirely by Central machinery	By the State government
Funding	Typically **100% Centre** (PM-KISAN, BharatNet, defence procurement)	Centre gives a **grant-in-aid** to the Stat State adds its **matching share (usually 40%)**
Friction	Low	Primary source of friction in federalism ties up State treasury funds

> **THE ULTIMATE PRELIMS TRAP: PMFBY**
>
> **Pradhan Mantri Fasal Bima Yojana is officially a Central Sector Scheme** (Statement 4B of the Union Budget) even though the premium subsidy is shared **50:50 by Centre and State** after the farmer pays 1-5% of the premium. Reason: the Centre pays its share **directly to the insurance companies,** bypassing the **State Treasury (State Consolidated Fund).** So "CS = always 100% Centre-funded" is **false.**

Slide 11 lists the examples: Central Sector: **MIS and Price Support, PM-KISAN, Crop Insurance Scheme, Interest Subvention Scheme, NBC, BARC, Ayushman Bharat, FAME India, Khelo India** and more. Centrally Sponsored Schemes are shown as a table of core-of-the-core and core schemes.

From command and control to cooperative federalism

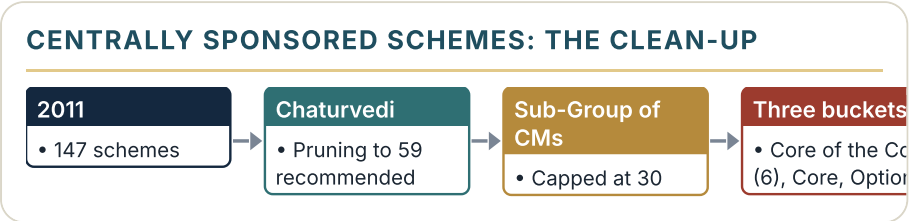
- **Planning Commission era:** the Centre used Art. 282 to make State-subject schemes with **tied grants.** A State with its own working scheme (the handout names Tamil Nadu's Mid-day Meal) had to drop it, adopt the Centre's and obey its conditions. Pre-election schemes overlapped (Sabla and Indira Gandhi Matritva Sahyog Yojana).
- **2011:** CSS had grown to **147 schemes.** The **B.K. Chaturvedi Committee** recommended pruning to **59.**
- **2014 shift:** (1) the **14th FC** raised devolution from 32% to 42%, leaving less money for conditional CSS; (2) market orientation made top-down planning obsolete; (3) regional parties demanded cooperative federalism. The **Planning Commission was abolished in 2014 and replaced by NITI Aayog.**
- NITI Aayog's first Governing Council set up a **Sub-Group of Chief Ministers** (headed by Shivraj Singh Chouhan, then CM of Madhya Pradesh). It **capped CSS at 30** in three buckets:

The three buckets

Bucket	Features	Examples
Core of the Core (6)	Social protection umbrellas for the most vulnerable; **first charge** on the budget (funding cannot be cut)	MGNREGA, NSAP, umbrella schemes for S STs and Minorities
Core (~22-24)	Shared **usually 60:40. 25% Flexi-Fund:** States may use 25% of the allocation to	Jal Jeevan Mission, PM Awas Yojana, National

Bucket	Features	Examples
	tweak components	Health Mission
Optional	States may adopt, ignore or replace. **Portability clause:** an unused lump sum can be moved into a Core scheme	Border Area Developm Programme

Outcome (handout): the Optional category "withered away": States did not tie up their own funds for optional schemes and used portability to boost Core schemes.



Major expenses of the Centre

- **A. Centre's Expenditure:** (a) Establishment expenditure; (b) Central Sector Schemes; (c) other expenses such as **interest payment.**
- **B. Central Transfers:** (a) **Finance Commission grants** (revenue-filling or sector-specific); (b) **CSS;** (c) grants or loans to States.
- **Composition of transfers (handout chart):** a large share is Finance Commission transfers (devolution under Art. 280 and grants under Art. 275); schemes and other transfers under Art. 282 are the rest. Devolution is **untied** and rising: "this is **fiscal federalism**."

8 · Receipts and the Budget at a Glance (2026-27)

PYQs for this topic: 1 Prelims · 1 Mains

Now we are ready to look at receipts and expenses together– the Budget profile.

बजट का सार Budget at a Glance

(₹ करोड़) (In ₹ crore)

		2024-2025 वास्तविक Actuals	2025-2026 बजट अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 बजट अनुमान Budget Estimates
1. राजस्व प्राप्तियां	1. Revenue Receipts	3036619	3420409	3342323	3533150
2. कर राजस्व (केंद्र को निवल) [1]	2. Tax Revenue (Net to Centre) [1]	2500039	2837409	2674661	2866922
3. कर भिन्न राजस्व	3. Non Tax Revenue	536580	583000	667662	666228
4. पूंजीगत प्राप्तियां	4. Capital Receipts	1616249	1644936	1622519	1814165
5. ऋणों की वसूली	5. Recovery of Loans	24617	29000	30190	38397
6. अन्य प्राप्तियां	6. Other Receipts	17202	47000	33837	80000
7. उधार और अन्य देयताएं [2]	7. Borrowings and Other Liabilities [2]	1574431	1568936	1558492	1695768
8. कुल प्राप्तियां (1+4)	8. Total Receipts (1+4)	4652867	5065345	4964842	5347315
9. कुल व्यय (10+13)	9. Total Expenditure (10+13)	4652867	5065345	4964842	5347315
10. राजस्व लेखा पर	10. On Revenue Account	3600914	3944255	3869087	4125494
जिसमें से	of which				
11. ब्याज भुगतान	11. Interest Payments	1115575	1276338	1274338	1403972
12. पूंजीगत आस्तियों के सृजन हेतु सहायता अनुदान	12. Grants in Aid for creation of Capital Assets	272656	427192	308151	492702
13. पूंजीगत लेखा पर	13. On Capital Account	1051953	1121090	1095755	1221821
14. प्रभावी पूंजीगत व्यय (12+13)	14. Effective Capital Expenditure (12+13)	1324609	1548282	1403906	1714523
15. राजस्व घाटा (10-1)	15. Revenue Deficit (10-1)	564296 (1.7)	523846 (1.5)	526764 (1.5)	592344 (1.5)
16. प्रभावी राजस्व घाटा (15-12)	16. Effective Revenue Deficit (15-12)	291640 (0.9)	96654 (0.3)	218613 (0.6)	99642 (0.3)
17. राजकोषीय घाटा [9-(1+5+6)]	17. Fiscal Deficit [9-(1+5+6)]	1574431 (4.8)	1568936 (4.4)	1558492 (4.4)	1695768 (4.3)
18. प्राथमिक घाटा (17-11)	18. Primary Deficit (17-11)	458856 (1.4)	292598 (0.8)	284154 (0.8)	291796 (0.7)

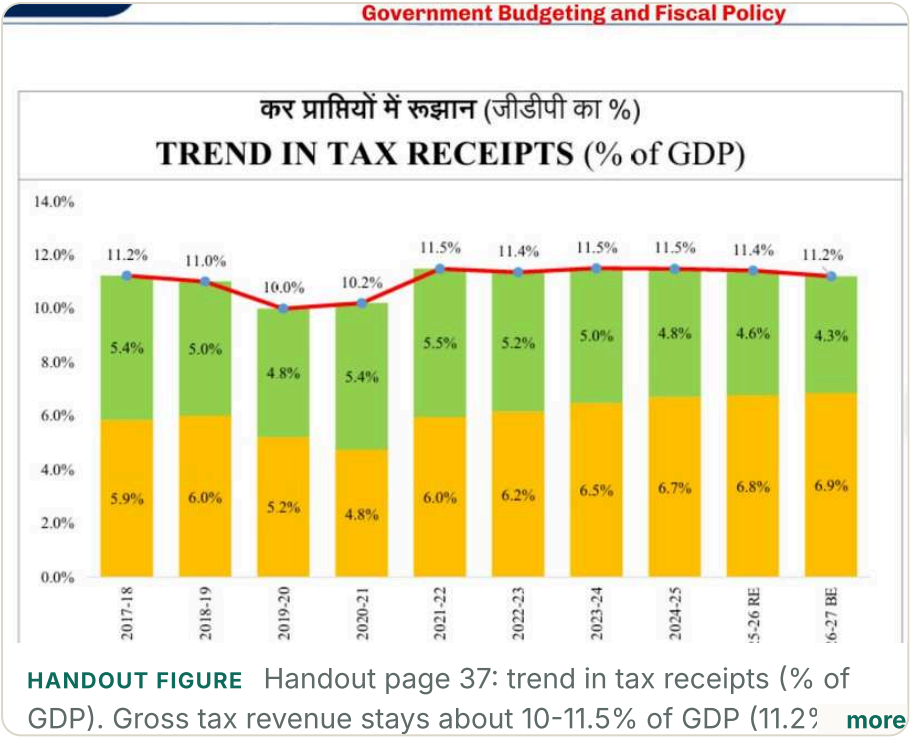
[1] केन्द्र द्वारा राज्यों को पिछले वर्षों के लिए देय निवल राशि होने के कारण सं.अं 2025-26 में ₹9,084 करोड़ की कमी की गई है।
[2] इससे नगदी शेष में आहरण द्वारा कमी शामिल है।
टिप्पणी :
(i) एनएसओ द्वारा जारी सूचना के अधार पर वित्त वर्ष 2026-27 के लिए जीडीपी

[1] RE 2025-26 is adjusted by ₹9,084 crore on account of net amount receivable by Centre from the States for prior years.
[2] Includes drawdown of Cash Balance.
Notes:
(i) The GDP for FY 2026-27 is estimated at ₹393,00,393 crore,

HANDOUT FIGURE Handout page 39: "Budget at a Glance" (₹ crore), Actuals 2024-25, BE 2025-26, RE 2025-26 and BE 2 more

Budget 2026-27 BE: how the identities work

Item	Figure (₹ crore)	% of GDP	Check
Fiscal Deficit	16,95,768	**4.3%**	= Borrowings and other liabilities = TE − (RR recovery of loans + other receipts)
Revenue Deficit	5,92,344	**1.5%**	= Revenue expenditure 41,25,494 − Revenue receipts 35,33,150
Effective Revenue Deficit	99,642	**0.3%**	= RD − grants for capital assets 4,92,702
Primary Deficit	2,91,796	**0.7%**	= FD − interest payments 14,03,972



HANDOUT FIGURE Handout page 37: trend in tax receipts (% of GDP). Gross tax revenue stays about 10-11.5% of GDP (11.2% more

- **Tax:GDP is stable** (the handout says it was the same 20 years ago). The key change is the **rising share of direct taxes.** Net receipts have risen, but as a share of GDP they are almost the same.
- **Receipts pie (handout):** the share of **Income tax on individuals is greater than any other tax, including corporation tax.** "Do not jump to conclusions so quickly" (see section 9).
- **Slide 12 (Budget Profile)** draws the receipts and expenditure of the Centre as one picture (budget size ₹39.45 lakh crore in the slide; gross tax revenue, net tax receipts, non-debt capital receipts, debt receipts on one side; scheme expenditure, transfers and establishment, interest payment on the other).

9 · Taxation: law, classification and the direct tax picture

PYQs for this topic: 8 Prelims · 2 Mains

- Taxation is the financial execution of the **social contract** for goods that are **non-rivalrous and non-excludable.** It is "forceful extraction", so **Article 265: "No tax shall be levied or collected except by authority of law."**
- **Structure of a tax law:** (1) **taxable event;** (2) **taxable value** (deductions, exemptions); (3) **rate;** (4) **responsible entity;** (5) **manner of payment and collection** (TDS, advance tax; designated department).

Classification of taxes

Basis	Types	Handout examples and notes
Distributive features	**Progressive:** rate rises with taxable	Progressive: **income tax** (5% to 30%). Proportio **corporate tax** (~25% small, 30% larger; flat with

Basis	Types	Handout examples and notes
(slide 18, handout)	amount. **Proportional:** flat rate. **Regressive:** the rate falls as income rises (the poor pay a larger share)	each tier). Regressive: **indirect taxes on goods** (same tax on a biscuit packet; the government u luxury and necessity slabs to make it progressiv Direct tax can turn regressive when the rich eva and the salaried middle class bears the burden
Bearer of burden	**Direct: impact** (initial liability) and **incidence** (final burden) on the **same person. Indirect:** impact on one, incidence on another	Direct: income tax, corporate tax. Indirect: GST the seller (impact), shifted to the consumer (incidence). The seller must still **deposit** the tax. **Exceptions:** GST **Reverse Charge Mechanism** (buyer deposits); **TDS** (payer deposits)
Method of levying	**Ad valorem:** a percentage of value. **Specific:** based on a physical characteristic regardless of price	Ad valorem: 18% GST on a phone, 7% stamp du 10% customs. A higher rate for luxuries (28%) d not change its nature. Specific: excise on volum fuel, carbon tax on coal (e.g. ₹400 per tonne), professional tax (₹2,500 a year). **Compound dut** both together, e.g. **cigarettes** (ad valorem on MR plus specific on filter length)

Taxes by event (handout and slide 19)

Tax	Event	Levying entity	Pays government	B s b e
Income tax	Earning income (IT Act 1961, now **2025 Act**)	Centre	Earner	E e
Corporate income tax	Profits of a company	Centre	Company	C p
Minimum Alternate Tax (MAT)	If tax paid is less than the threshold (slide: only if CIT is **below 18%** of profits under the Companies Act)	Centre	Company	C p
Professional tax	Being a professional	State	Professional	P s a
Excise duty	Production	Centre	Producer	B r
Customs duty	Entry into a country	Centre	The importer (changer of boundary)	B r
Entry tax / Octroi	Entry into a State / local body	State / Local body	The importer	B r
Service tax	Sale of service	Centre	Seller	C u
Central Sales Tax	Inter-State sale of goods	Centre, **given entirely to the selling State**	Seller	B r

Tax	Event	Levying entity	Pays government	B s b e
Sales tax / VAT	Intra-State sale	State	Seller	B r
GST	Sale of goods and services	Centre + State	Seller	B r

Other direct taxes: **Wealth tax (Centre; now abolished), Professional tax (States), capital gains tax (part of IT).**

> **HANDOUT ALERT**
>
> In the narrative on indirect tax events, the **labels are swapped:** "Intra-State sale" describes a Delhi buyer ordering from a Maharashtra seller (that is **inter-State**, which attracted CST), and "Inter-State sale" describes buyer and seller in the same State (that is **intra-State**, taxed by sales tax or VAT). The handout's own table has them right. **Exam-hall rule:** CST = inter-State; sales tax/VAT = intra-State.

Income tax in the handout

- The **IT Act, 1961** (replaced by the **2025 Act**) recognises **five heads of income:** Salaries, House Property, Business/Profession, Capital Gains, Other Sources. **Agriculture** is a source of income but the Centre cannot tax it; only States can, and **no State does.**
- A tax law must: recognise income (borrowing is a liability, not income; only the ₹2,000 profit on a ₹8,000 saree sold for ₹10,000 is income), determine taxable value (flat **30% standard deduction** on rent; earlier **indexation** on real-estate capital gains), apply rates by asset class and holding period, and collect (**TDS**).
- Exemptions are a **nudge** towards "good" expenses (health and life insurance, housing, capital goods, charity). To stop firms avoiding a fair minimum, **MAT was introduced in 2005** (tax on profits declared under the **Companies Act, 2013**); for individuals the equivalent is the **AMT (Alternate Minimum Tax).**

MEMORY AID · FIVE HEADS OF INCOME

C H O P S

The Income Tax Act CHOPS your income into five heads.

C Capital gains
H House property
O Other sources
P Profession or business
S Salaries

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

Complexity feeds evasion

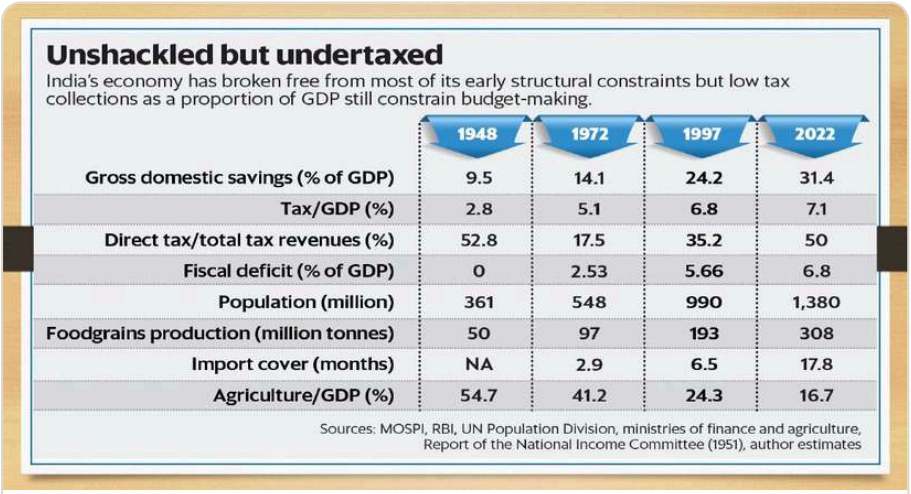
- Law works only if the **cost of compliance is low and the cost of non-compliance is high,** both together (speed-limit example).
- A **700-page** Act amended yearly to stop evasion has become the **facilitator** of evasion: honest taxpayers need chartered accountants (high compliance cost) and the State cannot track every creative scheme (low non-compliance cost). The rich exploit it (trusts, shell companies, "agricultural" farmhouses). A simpler **Direct Tax Code (DTC)** makes evasion harder.

Corporate versus personal tax: busting the myth

- In **2019** the base corporate rate was cut from about **30% to 22%** (15% for new manufacturing). From **2021 onwards PIT collections surpassed CIT.**
- The handout argues this is **not inherently anti-poor:** companies do not consume; profits reach individuals as dividends and salaries, which are then taxed as personal income. In most G7 economies **corporate tax is below 10%** of tax revenue; India's CIT share is about **22-26%.**

The narrow tax base

- Of **140 crore** people only **8-9 crore** file returns; about **7 crore** are zero-tax filers; the effective taxpaying base is **under 2 crore (about 1.5%).** The **top 1% of taxpayers bear nearly 90%** of direct tax, mostly the salaried middle class under **TDS.**
- The handout calls the new Direct Tax Code "a moral imperative" to widen the net.



Unshackled but undertaxed

India's economy has broken free from most of its early structural constraints but low tax collections as a proportion of GDP still constrain budget-making.

	1948	1972	1997	2022
Gross domestic savings (% of GDP)	9.5	14.1	24.2	31.4
Tax/GDP (%)	2.8	5.1	6.8	7.1
Direct tax/total tax revenues (%)	52.8	17.5	35.2	50
Fiscal deficit (% of GDP)	0	2.53	5.66	6.8
Population (million)	361	548	990	1,380
Foodgrains production (million tonnes)	50	97	193	308
Import cover (months)	NA	2.9	6.5	17.8
Agriculture/GDP (%)	54.7	41.2	24.3	16.7

Sources: MOSPI, RBI, UN Population Division, ministries of finance and agriculture, Report of the National Income Committee (1951), author estimates

HANDOUT FIGURE Slide 22: "Unshackled but undertaxed" (MOSPI, RBI, UN, ministries; National Income Committee 195 **more**

10 · From VAT to GST: the recap in this handout

> **READ THIS WITH CHAPTER 11**
>
> The handout says you should not proceed unless you have read the separate GST handout (Chapter 11). This section repeats the core and adds the later developments.

VAT: achieved and not solved

What VAT achieved	What VAT could not solve
Reduced cascading within State taxes; tax effectively on value addition	**No ITC across different taxes:** VAT could not be offse against **excise** (Central) or **service tax;** excise could n be offset against VAT, so cascading continued
Self-policing: the buyer wants an invoice to claim ITC	**No ITC across States:** VAT paid in Maharashtra not offset-able in Gujarat; inter-State trade still bore **CST** (non-creditable)
Lower effective burden and better compliance	**Fragmented rates:** each State had its own rates, exemptions and procedures: **29 VAT laws**

- **GST** (101st Amendment Act, 2016; effective **1 July 2017**): tax on supply of goods and services other than alcohol for human consumption. Three properties: **one nation-one tax** (subsumes excise, service tax, VAT, CST, entry tax, octroi, luxury tax), **destination-based** (a shirt made in Tamil Nadu and sold in Delhi gives the State component to **Delhi**), and **seamless ITC** (across goods and services, across CGST and SGST and IGST, and across all stages).
- **Example:** a ₹1,000 intra-State sale at 18% gives **CGST ₹90 to the Centre and SGST ₹90 to the State;** an inter-State sale gives **IGST ₹180 collected by the Centre** (half shared with the destination State later).
- **GST Council (Art. 279A):** Union FM chair; **Vice-Chairperson a State Finance Minister elected by State members;** members: Union MoS (Finance) and Finance/Taxation Ministers of **all States and UTs;** quorum **50%;** weights **Centre 1/3, States 2/3;** majority **75%**, so the Centre cannot decide alone. Recommendations are **not constitutionally binding,** but in practice both sides implement them.

Federalism debate

States' argument	Counter-argument (handout)
GST destroyed fiscal autonomy: earlier a State could raise VAT overnight for drought relief. **Kerala floods (2018)** and **COVID (2020)** are cited: States could not raise indirect taxes unilaterally	Old autonomy meant barriers to trade, octroi and check-post harassment, and **29 different VAT rate** unified market gave the consumer and honest businessman more. **Ease of Doing Business rank: (2017), 77 (2019), 63 (2020).** Gains for States: hig revenue, Centre borrowing on their behalf in COVI national common market (Art. 301-307), end of ch post raj

> **HANDOUT ALERT**
>
> **Two things changed after the GST handout (Chapter 11).** (1) This handout says **GST 2.0 in August-September 2025 rationalised the tax rates** and refers to an

"updated GST document" that is **not in the material.** Chapter 11 still lists the old five slabs (0, 5, 12, 18, 28). I have not written the new slabs. **Exam-hall rule:** for current rates use the latest Council notification, not this chapter. (2) This handout puts the pre-GST effective indirect-tax rate at **about 33%** and the RNR examples at 25% and 20%; Chapter 11 says **about 30%** and a 15% example. They are different illustrations of the same idea.

Inverted duty structure (GST 1.0)

When the **input tax rate is higher than the output rate,** ITC piles up and the firm depends on refunds. The handout's examples: **textiles** (input 12-18% against 5% on fabric), **pharmaceuticals** (12-18% on APIs and packaging, against 5-12% on medicines), **fertilisers** (5-18% inputs, 5% or exempt output) and **export-oriented units** (0% on exports). FY 2025-26: **₹1.5 lakh crore+** refunds pending (all categories). The simple fix is aligning rates; it was not done because of political sensitivity, revenue loss and lobbying. **GST 2.0 (August-September 2025) addressed it by rationalising rates.**

- **Final assessment:** a unified market, irreversible formalisation (**1.44 crore businesses** in the formal system), check-posts gone, and, in the handout's words, "cascading is 70% eliminated, the remaining is only and only because of petroleum." Gaps: refunds, litigation, rates, petroleum, federalism tensions. For consumers, goods cheaper but **services costlier;** SMEs mixed; large enterprises clear winners.

11 · Revenue Neutral Rate and the three pillars of tax analytics

Revenue Neutral Rate (this handout)

The **RNR** is the rate that gives the government **the same revenue** as under the old laws. The handout's reasoning: pre-GST effective indirect-tax incidence was about **33%** of a good's value. India's **Tax:GDP is about 15-17%** (Centre 11-12%, States about 5%); of the Centre's ~11%, about 6% direct and 5% indirect; States' VAT about 5%. So indirect taxes were about **10% of GDP.** If 33% × X% of GDP = 10% of GDP, **X ≈ 30%:** only about **30% of GDP was actually being taxed.**

If GST widens the base

Share of GDP taxed	RNR needed to still collect 10% of GDP
~30% (pre-GST)	33%
40%	**25%** (a quarter)
50%	**20%** (a fifth)

Because how much more would be taxed was unknown, rates had to be set up front, hence **multiple slabs at the start** (goods placed in the nearest slab to protect revenue). The government set up the **Arvind Subramanian (ex-CEA) committee** to recommend the RNR.

1 · The Laffer Curve

An **inverted U:** tax rate (0-100%) on the X-axis and revenue on the Y-axis. At **0%** revenue is zero; at **100%** nobody works, so revenue is again zero; somewhere between lies an **optimal rate (t*).** Beyond it, higher rates encourage evasion and reduce economic activity, so revenue falls. Since t* is unknown, governments experiment.

2 · Tax elasticity (responsiveness to policy)

Holding GDP and other factors constant: **Tax Elasticity = % change in tax revenue ÷ % change in tax rates.** If a 10% rate rise raises revenue only 2% (evasion), the tax is highly inelastic.

The 2019 corporate tax cut: Laffer curve in action

Category	Old rate	New rate
Existing domestic companies	30% + surcharge (~35% effective)	**22%** + surcharge (~25.17% effect about 10 percentage points lower
New manufacturing companies (post Oct 2019)	25%	**15%** + surcharge (~17.01%), abou percentage points lower
Revenue cost estimate		**₹1.45 lakh crore a year**

Corporate tax collections (₹ crore)

Year	Collection	YoY growth	Note
2018-19	6,63,572	17.1%	Pre-cut baseline
2019-20	5,56,876	−16.1%	Cut announced Sept 2019; COVID approachin
2020-21	4,57,719	−17.8%	Full COVID year
2021-22	7,12,037	+55.6%	Recovery and base effect
2022-23	8,25,834	+15.9%	Strong recovery
2023-24	9,11,735	+10.4%	Settled growth
2024-25	10,22,000	+12.1%	Continued buoyancy

The government's Laffer argument: at about 35% India was in the "prohibitive zone", near or beyond t*; a cut to about 25% would attract FDI, reduce profit shifting to tax havens, encourage reinvestment and bring more companies into the formal system. **Verdict (handout):** revenue fell first (FY20, FY21), then surged (FY22: ₹7.12 lakh crore; FY23: ₹8.25 lakh crore). Lower rates plus a digitised compliance net generated more revenue.

> **HANDOUT ALERT**
>
> The handout itself warns that such analysis is "inherently difficult" because **100 other factors changed** (COVID, tariffs, schemes, slowdown, recovery). It also gives "30%" for the old rate and "~34.9% to ~25.17% inclusive of surcharges", while the table says "~35%". **Exam-hall rule:** quote the direction (30 → 22, and 25 → 15), not the effective figures.

3 · Tax buoyancy (responsiveness to growth)

Holding tax rates and policy constant: **Tax Buoyancy = % change in tax revenue ÷ % change in nominal GDP. Greater than 1** means collections grow faster than GDP without tax hikes; the tax net is capturing new wealth efficiently.

Pre-GST versus post-GST buoyancy

Period	Buoyancy	Reading
Pre-GST (2012-13 to 2015-16)	**0.72** (States' subsumed taxes, Interim Budget 2024 data)	For every 1% GDP growth, collections grew only 0.72%
Post-GST (2017-18 to 2022-23)	**1.22** (SGST revenues)	GST fundamentally expanded th formal sector, even through CO

ELASTICITY VERSUS BUOYANCY

Elasticity: tax revenue response to a **change in the tax rate** (GDP held constant). **Buoyancy:** tax revenue response to **GDP growth** (rates held constant). Handout verdict: GST was a "monumental success" in buoyancy because E-way bills and automated ITC matching capture growth more efficiently than VAT-era inspector raj.

12 · Slide-only topics (no handout text): growth models, tax evasion and PPP

CLASS SLIDES ONLY

These topics appear only on the slides, with no handout paragraph. They are reproduced exactly as the slides state them; nothing is added.

Growth and investment models (slides 24-28)

- **Objectives of the budget: growth. Trickle-down approach:** the top grows and benefits are redistributed through government policy; "the bottom is passive beneficiary." **Inclusive growth** (slide diagram): reduction of poverty, job creation, enhancement of skills, reduction of regional disparities, access to essential services like health and education, special focus on vulnerable groups, industrial development.
- **Sustainable Development Goals** (slide 25): the 17 goals, from No Poverty to Partnerships for the Goals.
- **Investment models: import substitution; Harrod-Domar model** (savings, investment and ICOR); **heavy-industry led growth: the Mahalanobis model:** increasing investments; directing public investment towards industry (predominance of the **public sector in capital goods**); import substitution for self-reliance; an elaborate system of controls and industrial licensing.
- **Export-led growth; Aatmnirbhar Bharat. Schumpeter's three stages:** (1) growth from more factors of production (transition from primary sector to industry: agrarian China to industrial China); (2) growth from higher productivity of factors (investment

raises productivity); (3) growth from inventing new ways to raise productivity (research and innovation: “modern America”).

- **Public-Private Partnership:** the need arises from the thin spread of government resources and the wish to include the private sector in public goods that can be monetised. **The 4 Rs** to decide in any agreement: **Resources, Risks, Responsibilities, Rewards.** Standard contracts: **BOT, EPC, HAM** (hybrid annuity model), **Swiss Challenge** model, **Viability Gap Funding.**

Tax planning, avoidance and evasion (slide 23)

Three terms

Term	Slide definition
Tax planning	Legal, legitimate way to reduce taxable income through acceptable expenses and investments
Tax avoidance	“May not be illegal, but certainly illegitimate”
Tax evasion	**Illegal**

The slide also lists: **BEPS** (Base Erosion and Profit Shifting); **related-party transactions, the arm’s length principle, advance pricing agreements; DTAA** (double taxation avoidance agreements); **GAAR** (General Anti-Avoidance Rules); and **money laundering and round tripping** (referred to the Security classes).

> **GOODS AND SERVICES TAX SLIDES (20-21)**
> Slide 20: destination-based; value added; **collect tax on the entire value, let the depositor declare value added by showing the value of inputs on which tax was paid, refund the difference through ITC.** Slide 21: features of a good tax system: **incentive to comply** (less costly for the compliant) and **disincentive to not comply** (costly for the non-compliant, measured by the **system’s** ability, not the individual tax officer’s, to catch offenders); one channel for reporting, collecting and verifying; “now the system catches an offender, not an individual (at least theoretically!)”.

Exam traps

Each trap ends with a rule for the exam hall.

> **PRELIMS TRAP: PMFBY IS A CENTRAL SECTOR SCHEME**
> The premium subsidy is shared 50:50 by Centre and State, yet PMFBY is officially a Central Sector Scheme. The Centre pays its share directly to the insurance companies, bypassing the State treasury.
>
> **Rule: 'Central Sector = always 100% Centre-funded' is false; PMFBY is the exception.**

> **PRELIMS TRAP: PUBLIC DEBT VERSUS THE NATION'S DEBT**

External Public Debt is the government's borrowing from foreign entities. External Debt of the Nation is larger: it adds private-sector borrowing abroad, such as ECBs and NRI deposits.

Rule: do not confuse the debt of the Sovereign with the debt of the Nation.

CONCEPT TRAP: GRANTS TO STATES ARE REVENUE EXPENDITURE

Any transfer by the Centre to a State, except a loan, is Revenue Expenditure even if the State builds a highway with it. Interest is Revenue Expenditure; repaying principal is Capital Expenditure.

Rule: ask only whether the Centre's own assets or liabilities change.

CONCEPT TRAP: ELASTICITY IS NOT BUOYANCY

Elasticity measures the response of revenue to a change in the tax rate, with GDP held constant. Buoyancy measures the response to GDP growth, with rates held constant.

Rule: rate change = elasticity; GDP growth = buoyancy (0.72 before GST, 1.22 after).

HANDOUT ALERT: INTER-STATE AND INTRA-STATE ARE SWAPPED

In the handout's narrative on indirect tax events, the labels are swapped. The handout's own table has them right.

Rule: CST = inter-State sale; sales tax or VAT = intra-State sale.

HANDOUT ALERT: GST RATES CHANGED AFTER THE HANDOUT

The handout says GST 2.0 (August-September 2025) rationalised the rates, but the updated document is not in the material. Chapter 11 still lists the old five slabs.

Rule: for current rates use the latest Council notification, not this chapter.

Past-year questions

25 Prelims and 10 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

1 · Why the State exists, and why it must present a budget

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2010 Q95

Which one of the following is responsible for the preparation and presentation of Union Budget to the Parliament?

a. Department of Revenue
b. Department of Economic Affairs
c. Department of Financial Services
d. Department of Expenditure

▶ Show answer

2 · Budget functions and objectives

1 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2021 Q217

Which among the following steps is most likely to be taken at the time of an economic recession?

a. Cut in tax rates accompanied by increase in interest rate
b. Increase in expenditure on public projects
c. Increase in tax rates accompanied by reduction of interest rate
d. Reduction of expenditure on public projects

▶ Show answer

MAINS (GS-III)

2016 12.5 marks Gender budgeting

Women empowerment in India needs gender budgeting. What are the requirements and status of gender budgeting in the Indian context?

KEYWORDS gender budgeting women empowerment requirements status

3 · Accounting in the budget: revenue and capital accounts

3 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2022 Q107

With reference to the expenditure made by an organization or a company, which of the following statements is/are correct ?

1. Acquiring new technology is capital expenditure.

2. Debt financing is considered capital expenditure, while equity financing is considered revenue expenditure.

Select the correct answer using the code given below :

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2016 Q127

Which of the following is/are included in the capital budget of the Government of India?

1. Expenditure on acquisition of assets like roads, buildings, machinery, etc.
2. Loans received from foreign governments.
3. Loans and advances granted to the States and Union Territories.

Select the correct answer using the code given below.

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

2011 Q94

The authorization for the withdrawal of funds from the Consolidated Fund of India must come from

a. The President of India
b. The Parliament of India
c. The Prime Minister of India
d. The Union Finance Minister

▶ Show answer

MAINS (GS-III)

2021 10 marks Capital vs Revenue Budget

Distinguish between Capital Budget and Revenue Budget. Explain the components of both these Budgets.

KEYWORDS capital receipts revenue receipts capital expenditure revenue expenditure capital budget revenue budget components

4 · Deficit versus debt, budget deficit, monetisation and WMA

4 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2016 Q128

There has been a persistent deficit budget year after year. Which action/actions of the following can be taken by the government to reduce the deficit?

1. Reducing revenue expenditure
2. Introducing new welfare scheme
3. Rationalizing subsidies
4. Reducing import duty

Select the correct answer using the code given below.

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2, 3 and 4

▶ Show answer

2015 Q134

There has been a persistent deficit budget year after year. Which of the following actions can be taken by the government to reduce the deficit?

1. Reducing revenue expenditure
2. Introducing new welfare schemes
3. Rationalizing subsidies
4. Expanding industries

Select the correct answer using the code given below.

a. 1 and 3 only
b. 2 and 3 only
c. 1 only
d. 1, 2, 3 and 4

▶ Show answer

2013 Q234

In India, deficit financing is used for raising resources for:

a. economic development
b. redemption of public debt
c. adjusting the balance of payments
d. reducing the foreign debt

▶ Show answer

2011 Q145

Which one of the following statements appropriately describes the “fiscal stimulus”?

a. It is a massive investment by the Government in the manufacturing sector to ensure the supply of goods to meet demand surge caused by rapid economic growth.
b. It is an intense affirmative action of the Government to boost economic activity in the country.
c. It is the Government’s intensive action on financial institutions to ensure disbursement of loans to agriculture and allied sectors to promote greater food production and contain food

d. It is an extreme affirmative action by the government to pursue its policy of financial inclusion.

▶ Show answer

5 · The FRBM Act and the family of deficits 3 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2020 Q112

Along with the Budget, the Finance Minister also places other documents before the Parliament which include 'The Macro Economic Framework Statement'. The aforesaid document is presented because this is mandated by

a. Long standing parliamentary convention
b. Article 112 and Article 110(1) of the Constitution of India
c. Article 113 of the Constitution of India
d. Provisions of the Fiscal Responsibility and Budget Management Act, 2003

▶ Show answer

2019 Q121

In the context of India, which of the following factors is/are contributor/ contributors to reducing the risk of a currency crisis?

1. The foreign currency earnings of India's IT sector.
2. Increasing government expenditure.
3. Remittances from Indians abroad.

Select the correct answer using the code given below:

a. 1 only
b. 1 and 3 only
c. 2 only
d. 1, 2 and 3

▶ Show answer

2018 Q125

Consider the following statements:

1. The Fiscal Responsibility and Budget Management (FRBM) Review Committee Report has recommended a debt to GDP ratio of 60% for the general (combined) government by 2023, comprising 40% for the Central Government and 20% for the State Governments.
2. The Central Government has domestic liabilities of 21% of GDP as compared to that of 49% of GDP of the State Governments.
3. As per the Constitution of India, it is mandatory for a State to take the Central Government's consent for raising any loan if the former owes any outstanding liabilities to the latter.

Which of the statements given above is/are correct?

a. 1 only
b. 2 and 3 only
c. 1 and 3 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2025 15 marks Fiscal Health Index (FHI)

Explain how the Fiscal Health Index (FHI) can be used as a tool for assessing the fiscal performance of states in India. In what way would it encourage the states to adopt prudent and sustainable fiscal policies?

KEYWORDS: states, sustainable, Fiscal Health Index, fiscal performance, prudent, fiscal policies

2013 10 marks FRBM

What are the reasons for introduction of Fiscal responsibility and Budget Management (FRBM) act, 2003? Discuss critically its salient features and their effectiveness.

KEYWORDS: FRBM Act, fiscal deficit, escape clause, reasons, salient features, effectiveness

6 · Public debt, other liabilities and debt sustainability

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2018 Q73

Consider the following statements:

1. The Reserve Bank of India manages and services Government of India Securities but not any State Government Securities.
2. Treasury bills are issued by the Government of India and there are no treasury bills issued by the State Governments.
3. Treasury bills are issued at a discount from the par value.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 3 only
c. 2 and 3 only
d. 1, 2 and 3

▶ Show answer

7 · Expenditure and fiscal federalism

3 Prelims · 3 Mains

Read the notes for this topic

PRELIMS

2023 Q100

Consider the following :

1. Demographic performance
2. Forest and ecology
3. Governance reforms
4. Stable government
5. Tax and fiscal efforts For the horizontal tax devolution, the Fifteenth Finance Commission used how many of the above as criteria other than population area and income distance?

a. Only two
b. Only three
c. Only four
d. All five

▶ **Show answer**

2015 Q135

With reference to the Fourteenth Finance Commission, which of the following statements is/are correct?

1. It has increased the share of States in the central divisible pool from 32 percent to 42 percent.
2. It has made recommendations concerning sector-specific grants.

Select the correct answer using the code given below:

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ **Show answer**

2014 Q136

With reference to the Union Budget, which of the following is/are covered under Non-Plan Expenditure?

1. Defence Expenditure
2. Interest Payments
3. Salaries and pensions
4. Subsidies

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 1, 2, 3 and 4
d. None

▶ **Show answer**

MAINS (GS-III)

2024 10 marks Social Sector Expenditure Trends

Examine the pattern and trend of public expenditure on social services in the post-reforms period in India. To what extent this has been in consonance with achieving the objective of inclusive growth?

KEYWORDS inclusive growth | public expenditure | social services | post-reforms | trend | pattern

2019 15 marks Public Expenditure Management

The public expenditure management is a challenge to the government of India in the context of budget-making during the post-liberalization period. Clarify it.

KEYWORDS public expenditure management | budget-making | post-liberalization | challenge

2015 12.5 marks Direct Benefit Transfer (DBT) Subsidies

In what way could replacement of price subsidy with Direct Benefit Transfer (DBT) change the scenario of subsidies in India? Discuss.

KEYWORDS subsidies | DBT | price subsidy

8 · Receipts and the Budget at a Glance (2026-27)

1 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2011 Q144

Why is the Government of India disinvesting its equity in the Central Public Sector Enterprises (CPSEs)?

1. The Government intends to use the revenue earned from the disinvestment mainly to pay back the external debt.
2. The Government no longer intends to retain the management control of the CPSEs.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

MAINS (GS-III)

2017 15 marks Government Budgeting

One of the intended objectives of Union Budget 2017-18 is to ‘transform, energize and clean India’. Analyse the measures proposed in the Budget 2017-

18 to achieve the objective.

KEYWORDS Union Budget 2017-18 | measures

9 · Taxation: law, classification and the direct tax picture

8 Prelims · 2 Mains

Read the notes for this topic

PRELIMS

2022 Q101

Which one of the following situations best reflects “Indirect Transfers” often talked about in the media recently with reference to India ?

a. An Indian company investing in a foreign enterprise and paying taxes to the foreign country on the profits arising out of its investment
b. A foreign company investing in India and paying taxes to the country of its base on the profits arising out of its investment
c. An Indian company purchases tangible assets in a foreign country and sells such assets after their value increases and transfers the proceeds to India
d. A foreign company transfers shares and such shares derive their substantial value from assets located in India

▶ Show answer

2021 Q102

Which one of the following effects of creation of black money in India has been the main cause of worry to the Government of India?

a. Diversion of resources to the purchase of real estate and investment in luxury housing
b. Investment in unproductive activities and purchase of precious stones, jewellery, gold, etc.
c. Large donations to political parties and growth of regionalism
d. Loss of revenue to the State Exchequer due to tax evasion

▶ Show answer

2018 Q89

With reference to India's decision to levy an equalization tax of 6% on online advertisement services offered by non-resident entities, which of the following statements is/are correct?

1. It is introduced as a part of the Income Tax Act.
2. Non-resident entities that offer advertisement services in India can claim a tax credit in their home country under the "Double Taxation Avoidance Agreements".

Select the correct answer using the code given below:

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2017 Q104

With reference to the 'Prohibition of Benami Property Transactions Act, 1988 (PBPT Act)', consider the following statements:

1. A property transaction is not treated as a benami transaction if the owner of the property is not aware of the transaction.
2. Properties held benami are liable for confiscation by the Government.
3. The Act provides for three authorities for investigations but does not provide for any appellate mechanism.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. 1 and 3 only
d. 2 and 3 only

▶ Show answer

2017 Q126

Consider the following statements:

1. Tax revenue as a per cent of GDP of India has steadily increased in the last decade.
2. The fiscal deficit as a per cent of GDP of India has steadily increased in the last decade.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2015 Q91

With reference to the Union Government, consider the following statements.

1. The Department of Revenue is responsible for the preparation of the Union Budget that is presented to the Parliament.
2. No amount can be withdrawn from the Consolidated Fund of India without the authorization of the Parliament of India.
3. All the disbursements made from Public Account also need Authorization from the Parliament of India.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 2 and 3 only
c. 2 only
d. 1, 2 and 3

▶ Show answer

2015 Q220

A decrease in the tax to GDP ratio of a country indicates which of the following?

1. Slowing economic growth rates
2. Less equitable distribution of national income

Select the correct answer using the code given below.

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

2012 Q93

Under which of the following circumstances may 'capital gains' arise?

1. When there is an increase in the sales of a product
2. When there is a natural increase in the value of the property owned
3. When you purchase a painting and there is a growth in its value due to increase in its popularity

Select the correct answer using the code given below:

a. 1 only
b. 2 and 3 only
c. 2 only
d. 1, 2 and 3

▶ Show answer

MAINS (GS-III)

2018 10 marks LCGT and DDT

Comment on the important changes introduced in respect of the Long-term Capital Gains Tax (LCGT) and Dividend Distribution Tax (DDT) in the Union Budget for 2018-2019.

KEYWORDS Long-term Capital Gains Tax | Dividend Distribution Tax | changes

2013 10 marks Government Budgeting (tax-expenditure)

What is meaning of the term tax-expenditure? Taking housing sector as an example, discuss how it influences budgetary policies of the government.

KEYWORDS tax expenditure | housing sector | budgetary policies

Timeline and numbers

1974	Command Area Development Programme launched.
1980s	CENVAT/MODVAT: VATting of excise.
1996	AIBP launched to complete old irrigation projects.
1997	WMA Agreement: government stops presenting a Budget Deficit; deficit monetisation ends. ★
2003	FRBM Act: FD 3%, eliminate RD, three statements. ★
2004	FRBM sunset date moved from 2008 to 2009.
2005	State VAT; MAT introduced.
2005-2012	Oil Bonds issued to oil marketing companies.
2008-09	FD 6.0% against FRBM target (crisis, 6th Pay Commission, farm loan waiver, oil bonds). ★
2011	CSS had grown to 147 schemes; B.K. Chaturvedi Committee suggested 59.
2012	ERD introduced; FRBM deadline moved to 2015. Rangarajan committee (Plan/Non-Plan, slide).
2014	Planning Commission replaced by NITI Aayog; 14th FC raises devolution to 42%. ★
2015	FRBM deadlines moved to 2018.

2016	N.K. Singh Committee on FRBM; 101st Amendment (GST). ★
2017	GST starts (1 July); Plan/Non-Plan abolished (slide). ★
2018	FRBM overhauled; RD and ERD targets scrapped; FD 3% by 2021. ★
September 2019	Corporate tax cut: 30% → 22%, new manufacturing 15%. ★
2021-26	15th FC period: 41% vertical devolution; 12.5% demographic performance weight. ★
August-September 2025	GST 2.0 rate rationalisation (per handout).
2026-27 BE	FD 4.3%, RD 1.5%, ERD 0.3%, PD 0.7% of GDP; GDP estimate ₹393,00,393 crore. ★

Connects to

Chapter 11: Goods and Services Tax

The full GST story; section 10 here is the recap and the later changes.

Chapter 4: Basic Concepts

Public goods and the origin of the State are cited from the "Basic Concepts" chapter.

Chapter 6: Inflation

Engel's law, and why monetisation and excess spending are inflationary.

Chapter 8: Money and Monetary Policy

RBI as debt manager versus monetary authority; WMA; T-bills and G-Secs.

Chapter 10: External Sector

The BoP capital-account logic mirrors the asset-liability test; ECBs and external debt.

Chapter 2: Inequality

Equity function of taxation; regressive versus progressive taxes.

Chapter 13: NABARD and NBFCs

Next chapter in the handout set.

CURRENT AFFAIRS · SEPTEMBER 2026

- **Western Dedicated Freight Corridor (WDFC) completed**: The PM inaugurated the final sections of the WDFC, completing the 2,843-km DFC network (Eastern and Western).
- **Consumer Protection (E-Commerce) Amendment Rules, 2026**: The Department of Consumer Affairs notified amendments to the 2020 E-Commerce Rules; in force from January 2027.
- **DILRMP 3.0 (2026-31)**: The Ministry of Rural Development issued Operational Guidelines for DILRMP 3.0 (2026-2031).
- **National Investment and Infrastructure Fund (NIIF)**: NIIF Infrastructure Fund II has raised about Rs 19,000 crore towards a Rs 30,000 crore target.
- **Corporate Mitra Scheme**: First batch of the Corporate Mitra Course began with 2,879 learners, after the Union Budget 2026-27 announcement.
- **BIS: compulsory certification for screen protectors**: BIS certification is compulsory for smartphone screen protectors from 1 April 2027.
- **First global road surface dataset**: Heidelberg University and HeiGIT built the first global multi-temporal dataset of road surface conditions.
- **India's first LNG-powered train**: Flagged off from Sabarmati, Gujarat.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. Art. 112: Annual Financial Statement (estimated receipts and expenditure; distinguish revenue from other). Art. 113: Lok Sabha assents, refuses or reduces demands.

2. Functions: taxation = equity; expenditure = efficiency; stabilisation = balance of growth, prices and employment.
3. Asset-liability test: changes assets or liabilities → Capital; else Revenue. Grants to States (not loans) are RE. Interest RE; principal CE.
4. BD = TE − TR; monetised deficit = RBI printing. WMA 1997: Normal (unsecured) and Special (against collateral).
5. FD = TE − NDR = borrowing. PD = FD − interest. RD = RE − RR. ERD = RD − grants for capital assets.
6. FRBM 2003: FD 3%, RD zero, 3 statements. Amended 2004, 2012 (ERD), 2015, 2018 (RD/ERD dropped).
7. N.K. Singh: debt 60% of GDP (Centre 40, States 20); 5 escape clauses; counter-cyclical policy.
8. Public debt (Consolidated Fund) + Other liabilities (Public Account). External Public Debt ≠ External Debt of the Nation.
9. Debt principles: low cost, domestic, domestic currency, long maturity, IR < GR. $\Delta d \approx (i - g)d + p$.
10. FC: Art. 280 (devolution), 275 (grants), 282 (public purpose grants). 14th FC 32→42%; 15th 41%. 15th weights: income 45, pop 2011 15, demographic 12.5, area 15, forest 10, tax effort 2.5.
11. CS = Centre executes; CSS = State executes, 60:40 core. PMFBY is a CS scheme (50:50 premium subsidy). CSS 147 → 59 → 30; 6 core of the core; 25% flexi-fund.
12. Taxes: progressive, proportional, regressive; direct (impact = incidence), indirect; ad valorem versus specific. MAT 2005. Art. 265.
13. RNR: pre-GST ~33% on ~30% of GDP = 10% of GDP. Laffer curve; elasticity (rate); buoyancy (GDP): 0.72 pre-GST, 1.22 post-GST.
14. Budget 2026-27 BE: FD 4.3%, RD 1.5%, ERD 0.3%, PD 0.7%.

ECONOMY · GS FOUNDATION · CHAPTER 13

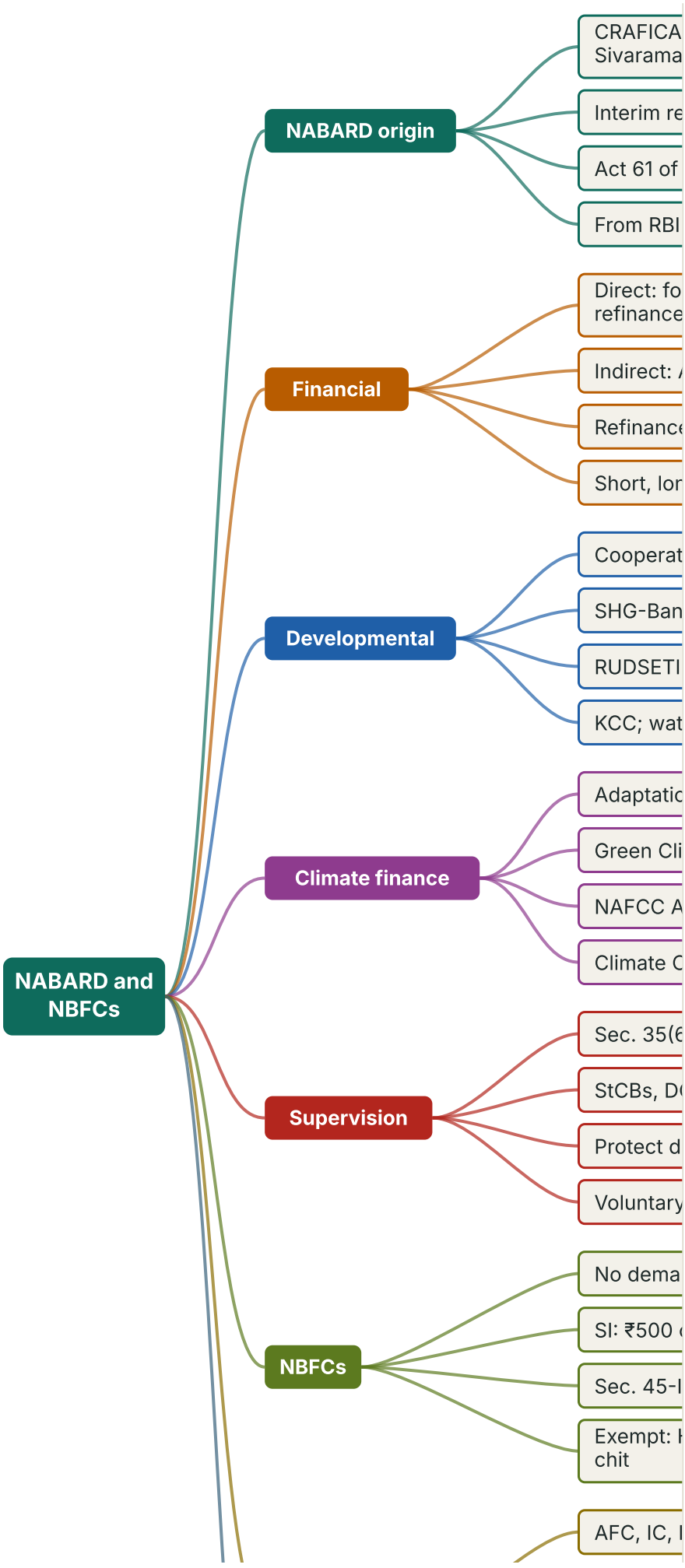
NABARD, NBFCs, Chit Funds and Ponzi Schemes

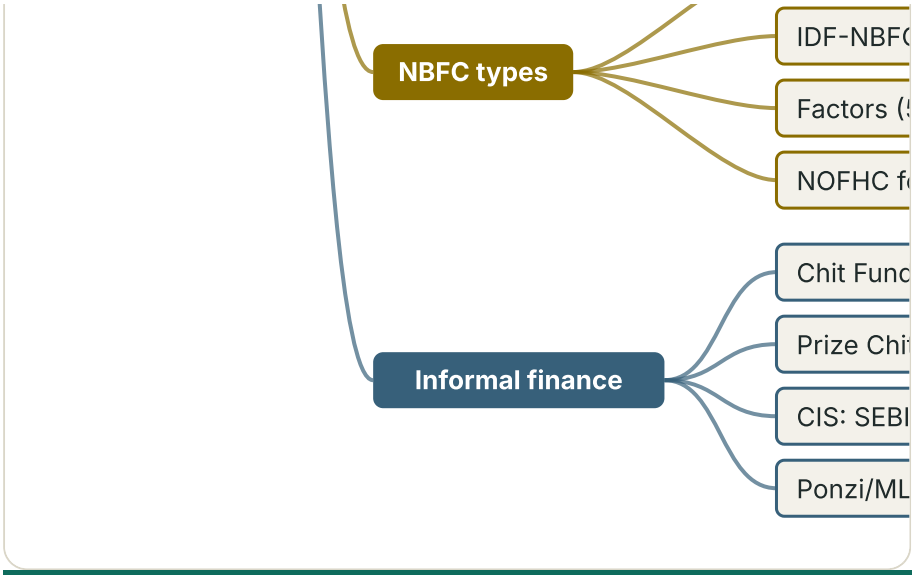
Handout only: no class slides | Handout pages 1-13 | Handout quotes no PYQs | PYQ sheets: 4 Prelims · 1 Mains · Light

NABARD’s origin (CRAFICARD), mission and three kinds of functions (financial, developmental, supervision), LTIF and PMAY-G funding, climate finance (Adaptation Fund, Green Climate Fund, NAFCC, Climate Change Fund), what an NBFC is and how it differs from a bank, NBFC categories and regulators, deposit rules, residuary NBFCs, chit funds, collective investment schemes, and Ponzi and multi-level marketing schemes.

Chapter map

MY NOTES


NABARD and NBFCs
NABARD origin
CRAFICA Sivarama
Interim re
Act 61 of
From RBI
Financial
Direct: fo refinance
Indirect:
Refinance
Short, lor
Developmental
Cooperat
SHG-Ban
RUDSETI
KCC; wat
Climate finance
Adaptatic
Green Cli
NAFCC A
Climate C
Supervision
Sec. 35(6
StCBs, D
Protect d
Voluntary
NBFCs
No dema
SI: ₹500
Sec. 45-I
Exempt: chit
AFC, IC, I



In simple words

IN SIMPLE WORDS

- **NABARD** began with the **CRAFICARD** committee (30 March 1979, B. Sivaraman). It was created by **Act 61 of 1981** and started on **12 July 1982**. It is now fully owned by the Government of India.
- It has three kinds of functions: **financial** (refinance, RIDF, LTIF, PMAY-G), **developmental** (cooperatives, SHG-Bank Linkage, RSETIs) and **supervision** (StCBs, DCCBs, RRBs).
- NABARD is the only **National Implementing Entity** in India for the **Adaptation Fund** (July 2012) and also for **NAFCC**.
- An **NBFC** lends and invests like a bank but cannot take **demand deposits**, is not in the payment system and has no **DICGC** cover.
- Some firms are not registered by RBI because another regulator handles them: **SEBI, IRDA, NHB, MCA** or the **State Governments**.
- **Chit funds** are run under a State-administered Act. **CIS** is regulated by **SEBI**. **MLM, pyramid and Ponzi** schemes are banned by the **1978 Act**.

Key terms in plain words

Key term	In plain words
CRAFICARD	The committee that reviewed institutional credit for agriculture and rural development; it led to NABARD.
ARDC	Agricultural Refinance and Development Corporation; its refinance functions went to NABARD.
SHG Bank Linkage Project	NABARD's 1992 project linking self-help groups to banks; called th world's largest microfinance project.
Refinance	NABARD's support to banks and other eligible lenders so they can lend to rural borrowers.
RIDF	Rural Infrastructure Development Fund; a direct finance route for r infrastructure.
NIE	National Implementing Entity: a national body recognised by the Adaptation Fund Board that meets its fiduciary standards.

Key term	In plain words
NAFCC	National Adaptation Fund for Climate Change (August 2015), meet adaptation costs of vulnerable States and UTs.
NBFC	A company that does loans, securities, leasing, hire-purchase, insurance or chit business, but not mainly farming, industry, trade property.
NOF	Net Owned Funds; an NBFC needs Rs 2 crore (since April 1999) to registered.
RNBC	Residuary Non-Banking Company; its principal business is receivi deposits under any scheme.
Systemically important NBFC	An NBFC with assets of Rs 500 crore or more (older RBI classification).
CIC	Core Investment Company; an NBFC that holds shares and securi of group companies.
NOFHC	Non-Operative Financial Holding Company; the vehicle for a prom group to set up a new bank.
ROSCA	Rotating Savings and Credit Association; the chit fund is its Indian version.
CIS	Collective Investment Scheme; money pooled for units, such as ti share in resorts. Regulated by SEBI.
Ponzi scheme	High-return promises paid out of new depositors' money, with no asset creation.

Exam lens: priority and PYQs

SOURCE NOTE

Handout only. No class slides, no teacher ink. **No Prelims or Mains PYQ is quoted:** none quoted in the material. Priority below is the handout's own emphasis (its numbered facts and question-and-answer boxes). Several figures here come from an older RBI FAQ and are **dated** (see the alerts); Chapter 7 carries the newer NBFC scale-based regulation.

What the handout stresses

Signal in the handout	Where	Why matt
CRAFICARD (30 March 1979, B. Sivaraman) → NABARD Act 61 of 1981 → NABARD on 12 July 1982; now fully owned by the Government of India	Sectio n 1	Origi and dates
NABARD's three function heads: financial, developmental, supervision	Sectio n 2	Class ation
SHG Bank Linkage 1992; KCC; LTIF 2016, ₹20,000 crore; PMAY-G	Sectio ns 2-3	Sche s
NABARD = National Implementing Entity for the Adaptation Fund (July 2012, only NIE for India) and NAFCC	Sectio n 5	Clima finan

Signal in the handout	Where	Why matt
Section 35(6) Banking Regulation Act 1949: inspection of StCBs, DCCBs, RRBs	Sectio n 6	Provi n
NBFC versus bank: no demand deposits, no cheques, no DICGC cover	Sectio n 7	Thre differ es
Systemically important NBFC: ₹500 crore; registration **Sec. 45-IA RBI Act 1934,** NOF **₹2 crore** since 1999	Sectio n 7	Num s (da
NBFC categories: **AFC, IC, IFC, IDF-NBFC, CIC, MFI, Factors, MGC, NOFHC**	Sectio n 8	List v numb
Chit Funds Act 1982; Prize Chits and Money Circulation Schemes (Banning) Act 1978; CIS regulated by **SEBI**	Sectio ns 10-11	Regu rs

WHAT TO PREPARE

Prelims hooks: NABARD's origin and committee; SHG-BLP, KCC, LTIF, RIDF, PMAY-G funding; Adaptation Fund versus Green Climate Fund (founding, HQ); NAFCC; NABARD's supervisory powers; NBFC versus bank; which NBFCs RBI does not regulate and who does; NBFC categories and their thresholds; deposit rules; chit funds versus deposits; CIS regulator; Ponzi and MLM legality.

Mains hooks: why a separate rural credit institution was needed; NABARD's role in microfinance and climate adaptation; why NBFCs are important but regulated differently; why RBI restricts NBFC deposits (depositor protection); the fraud pattern of Ponzi schemes and the multiple-regulator gap.

Closing idea: rural credit needs an institution with an unfair focus on the village, and depositor money needs a regulator with an unfair suspicion of everyone else.

PYQ SHEETS

PYQ weight from the Saarthi subject-wise sheets: Light. 4 Prelims and 1 Mains questions map to this chapter.

Most-asked topics: NBFCs: what they are and how they differ from banks (2 Prelims, 0 Mains); Financial functions (1 Prelims, 1 Mains); Developmental functions (1 Prelims, 0 Mains).

Prelims years: 2010, 2020, 2023, 2024. Mains years: 2014.

All of them are in Past-year questions, grouped by topic, with Mains keyword chips.

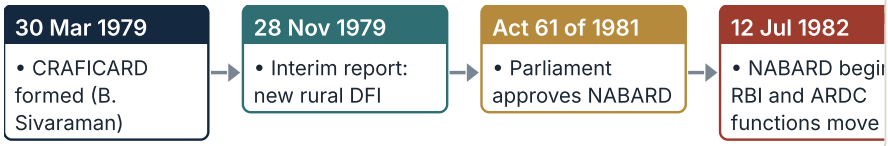
1 · How NABARD came to be

- The importance of **institutional credit for the rural economy** was clear early in planning. At the Government's insistence RBI constituted the **Committee to Review**

the Arrangements for Institutional Credit for Agriculture and Rural Development (CRAFICARD) on **30 March 1979,** chaired by **B. Sivaraman,** former member of the Planning Commission.

- Its **interim report (28 November 1979)** asked for a new organisational device giving "undivided attention, forceful direction and pointed focus" to rural credit: a unique **development financial institution.**
- **NABARD** was approved by Parliament through **Act 61 of 1981** and came into existence on **12 July 1982,** by **transferring RBI's agricultural credit functions** and the refinance functions of the **Agricultural Refinance and Development Corporation (ARDC).**
- After the share capital of the Government and RBI was revised, **NABARD is today fully owned by the Government of India.**

HOW NABARD CAME TO BE



MISSION (HANDOUT)

"Promote sustainable and equitable agriculture and rural development through participative financial and non-financial interventions, innovations, technology and institutional development for securing prosperity."

2 · Functions at a glance

Three heads, touching almost every aspect of the rural economy: **Financial, Developmental, Supervision.**

- Refinance support and rural infrastructure; **district-level credit plans** and guiding banks to meet targets.
- **Supervising Cooperative Banks and Regional Rural Banks (RRBs),** helping them adopt sound practices and the **CBS** (core banking) platform.
- Designing new development schemes and implementing the Government of India's schemes; **training handicraft artisans** and giving them a marketing platform.

CLAIMS TO REMEMBER (HANDOUT)

The **SHG Bank Linkage Project (1992)** "has blossomed into the **world's largest microfinance project**". **Kisan Credit Card** was designed by NABARD. It has **financed one-fifth of India's total rural infrastructure** and was a **pioneer in watershed development** as a tool for climate proofing.

3 · Financial functions

PYQs for this topic: 1 Prelims · 1 Mains

Direct and indirect finance

Type	What it covers
Direct finance	Loans for **food parks, warehouses, cold storage and cold chain;** credit to **marketing federations; Rural Infrastructure Development Fund (RIDF)** an **NABARD Infrastructure Development Assistance;** direct refinance to **cooperative banks;** support to **Producer Organisations**
Indirect finance	Contributions to **Alternative Investment Funds** invested in rural sectors; **L Term Irrigation Fund; PMAY-G** funding

Long Term Irrigation Fund (LTIF)

- Set up in **2016** within NABARD with an initial corpus of **₹20,000 crore** to fund and fast-track **incomplete major and medium irrigation projects.** A Mission was set up in the Ministry of Water Resources, River Development and Ganga Rejuvenation.
- Aim: bridge the resource gap and finish the projects during **2016-2020.** Priority I: **23 projects by 2016-17;** Priority II: **31 projects by 2017-18;** Priority III: **balance 45 projects by 2019-20.**

PMAY-Grameen (PMAY-G)

- A **pucca house with basic amenities** for all houseless households and those in kutcha or dilapidated houses **by 2022;** implemented by the **Ministry of Rural Development.** About **2.95 crore** houses by 2022; **one crore by March 2019.**
- For one crore houses over 3 years (2016-17 to 2018-19) the requirement was **₹81,975 crore: ₹60,000 crore** from budgetary sources and **₹21,975 crore** through **borrowings from NABARD.** In **2017-18** NABARD sanctioned **₹9,000 crore** to NRIDA for the central share.

Refinance

Refinance types

Type	Features (handout)
Off-farm refinance	E.g. rural housing, renewable energy, rural MSMEs
Short-term refinance	Linked to production and productivity, marketing, and raising surplus and savings
Long-term refinance (LTF)	Investment credit that creates **assets and capital formation,** induces technological upgradation. **Long and medium term refinance to banks;** lo period **up to a maximum of 15 years.** For agriculture and allied activities (minor irrigation, farm mechanisation, land development, soil conservatio dairy, sheep/goat), artisans, SSI, non-farm sector, handicrafts, handlooms powerlooms, and voluntary agencies and **self-help groups**

Eligible to access refinance: **State Cooperative Agricultural and Rural Development Banks, RRBs, commercial banks, NBFCs** and others.

> **HANDOUT ALERT**
> The LTIF, PMAY-G and refinance figures are from **2016-2019** and use targets that have now passed (2020, 2022, March 2019). Treat them as **history of the scheme design,** not as current status. **Exam-hall rule:** a question on "current" status needs the latest budget or ministry data, which is not in this material.

4 · Developmental functions

PYQs for this topic: 1 Prelims · 0 Mains

- **More than 50% of rural credit** is disbursed by **cooperative banks and RRBs,** and NABARD regulates and supervises them. Under **Institutional Development (ID)** it supports: **Rural Credit Cooperatives; State Cooperative Banks (StCBs); Central Cooperative Banks (CCBs); Primary Agricultural Credit Societies (PACS); State Cooperative Agriculture and Rural Development Banks (SCARDBs); Primary Cooperative Agriculture and Rural Development Banks (PCARDBs).**
- **Farm sector:** Farm Sector Development Department (FSDD) and Farm Sector Policy Department (FSPD).
- **Off-farm sector:** financial inclusion; micro credit innovation; **women Self-Help Groups, Joint Liability Groups and the SHG-Bank Linkage programme;** microfinance to various bodies.
- **RUDSETI / RUDSETI-type institutions / RSETIs:** specialised institutions giving entrepreneurship and skill training to rural youth and women; NABARD assists those meeting its criteria.

5 · Climate finance: the funds NABARD works with

Four climate funds

Fund	Set up	Key facts (handout)
Adaptation Fund (AF)	Under the **Kyoto Protocol** of the **UNFCCC;** established **2001,** officially launched **2007 at CoP 7, Marrakech**	Finances **concrete adaptation projects** for vulnera communities in developing countries that are Kyot Parties. Funded by government and private donors **and a 2% share of proceeds of Certified Emissior Reductions (CERs)** under the **CDM. HQ Washingt USA.** Managed by the **Adaptation Fund Board** (16 members, 16 alternates); **World Bank is interim trustee**
Green Climate Fund (GCF)	Decision at **COP 16, Cancun (December**	An **operating entity of the financial mechanism o the UNFCCC. HQ Songdo, Incheon City, Republic Korea.** Aims at a **paradigm shift to low-emission,**

Fund	Set up	Key facts (handout)
	2010); operationalised at **COP 17, Durban (2011)**	**climate-resilient development** by helping develop countries limit emissions and adapt
National Adaptation Fund for Climate Change (NAFCC)	**August 2015**	Meets adaptation costs for **vulnerable States and UTs.** Budget provision **₹350 crore** for 2015-16 and 2016-17; estimated need **₹181.5 crore** for 2017-18. Prioritises needs under the **State Action Plan on Climate Change (SAPCC)** and missions under the **National Action Plan on Climate Change (NAPCC)**
NABARD Climate Change Fund	Created from NABARD's profit in **2016-17**	NABARD contributes **annually from its profit.** For climate impacts, adaptation and mitigation, awareness, knowledge sharing and sustainable development. A "unique initiative" by a DFI

- **National Designated Authority (NDA)** for the Adaptation Fund: the **Ministry of Environment, Forest and Climate Change;** proposals go with the NDA's endorsement.
- **NABARD is accredited as National Implementing Entity (NIE)** for the Adaptation Fund in **July 2012** and is **the only NIE for India.** An NIE is a national legal entity nominated by a Party and recognised by the Board as meeting its **fiduciary standards;** it bears **full responsibility** for management, finance, monitoring and reporting.
- NABARD is also designated **NIE for NAFCC** by the Government of India: it facilitates identification of project ideas from SAPCCs, formulation, appraisal, sanction, disbursement, monitoring and evaluation, and capacity building. Under the GCF heading the handout also notes **"NABARD is accredited as National Implementing Entity."**

> **HANDOUT ALERT**
>
> The Adaptation Fund line says it was "officially launched in **2007** at **CoP 7** in Marrakech", and the Green Climate Fund line numbers its COPs (16 in Cancun, 17 in Durban). The year and the COP number for the launch **do not obviously match. Exam-hall rule:** remember "established 2001, launched 2007, Marrakech" only if an option uses the same wording; check the COP numbering in your notebook.

6 · Supervision functions

- **Section 35(6) of the Banking Regulation Act, 1949** empowers NABARD to inspect **State Cooperative Banks, Central Cooperative Banks (DCCBs) and Regional Rural Banks.**
- NABARD also inspects, **on a voluntary basis,** state-level cooperative institutions such as **SCARDBs, Apex Weavers Societies and Marketing Federations.**

Objectives of supervision

#	Objective
1	Protect the interest of **present and future depositors**
2	Ensure business conforms to the relevant **Acts, rules, regulations and bye-la**
3	Ensure observance of rules and guidelines of **NABARD, RBI and the Governm**
4	Examine the **financial soundness** of the banks
5	Suggest ways to strengthen institutions so they can **purvey rural credit** more efficiently

MEMORY AID · FIVE OBJECTIVES OF SUPERVISION

C **A** **R** **D** **S**

Supervision checks the CARDS of every rural cooperative bank and RRB.

- **C** Credit: strengthen institutions to purvey rural credit
- **A** Acts, rules, regulations and bye-laws are followed
- **R** Rules and guidelines of NABARD, RBI and the Government observed
- **D** Depositors, present and future, are protected
- **S** Soundness of the banks' finances is examined

Memory aid made from the handout's own list; the letters are rearranged, so the order is free.

7 · NBFCs: what they are and how they differ from banks

PYQs for this topic: 2 Prelims · 0 Mains

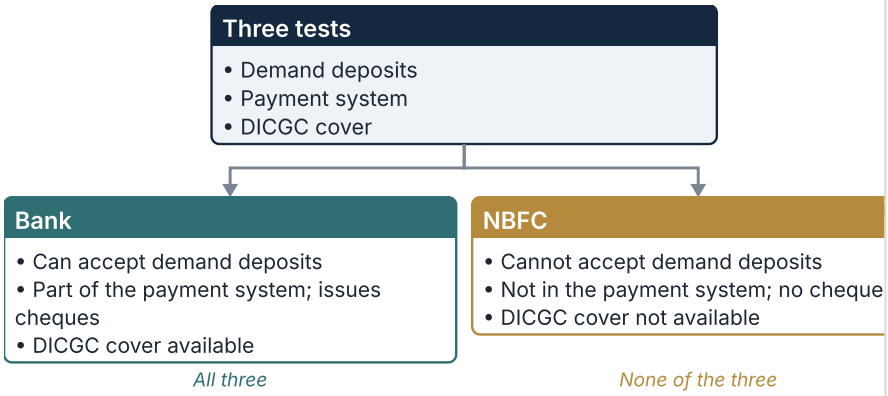
- A **Non-Banking Financial Company (NBFC)** is a company registered under the **Companies Act, 1956** engaged in **loans and advances; acquisition of shares, stocks, bonds, debentures, securities; leasing; hire-purchase; insurance business; chit business.** It excludes institutions whose **principal business** is agriculture, industry, trading in goods (other than securities), providing services, or buying, selling or constructing immovable property.
- A company whose principal business is **receiving deposits** under any scheme, lump sum or instalments, is also an NBFC: the **Residuary Non-Banking Company (RNBC).**

NBFC versus bank (the three differences)

	Bank	NBFC
Demand deposits	Can accept	**Cannot** accept demand depos

	Bank	NBFC
Payment and settlement system	Part of it; issues cheques drawn on itself	**Not part of it;** cannot issue cheques drawn on itself
Deposit insurance (DICGC)	Available	**Not available** to NBFC deposit

BANK OR NBFC?



- **Systemically important NBFCs:** asset size of **₹500 crore or more** (last audited balance sheet), because their activities bear on the financial stability of the economy.
- **Registration:** under **Section 45-IA of the RBI Act, 1934,** no NBFC may carry on business without a **Certificate of Registration** and **Net Owned Funds (NOF) of ₹25 lakh (₹2 crore since April 1999).**
- **Exempt from RBI registration** (to avoid dual regulation), subject to conditions: **Venture Capital Fund, Merchant Banking and Stock-broking companies** (SEBI); **insurance companies** (IRDA); **Nidhi companies** (Ministry of Corporate Affairs; Section 620A Companies Act 1956); **Chit companies** (Chit Funds Act 1982; State Governments); **Housing Finance Companies** (**National Housing Bank**); **Stock Exchanges; Mutual Benefit companies. Mortgage Guarantee Companies** are notified as NBFCs (Section 45-I(f)(iii)); **Core Investment Companies** under ₹100 crore, or ₹100 crore and above but not accessing public funds, are exempt.

Who regulates what (handout)

Entity	Regulator
Housing Finance Companies	National Housing Bank
Merchant bankers, VCFs, stock exchanges, stock brokers and sub-brokers	SEBI
Insurance companies	IRDA
Chit fund companies	State Governments (under the Funds Act 1982)
Nidhi companies	Ministry of Corporate Affairs
Deposit acceptance of banks, co-operative banks and NBFCs	RBI

HANDOUT ALERT

> This handout classifies systemically important NBFCs at **₹500 crore; Chapter 7** (the newer scale-based regulation, 2022) uses layers with the Base Layer at **non-deposit NBFCs below ₹1,000 crore.** They are different regimes. **Exam-hall rule:** pick the figure that matches the wording of the question (older "NBFC-ND-SI" language: ₹500 crore; scale-based layers: ₹1,000 crore base). The handout also quotes the **DICGC cover as ₹1 lakh,** which may be dated; check the current limit.

8 · Categories of NBFCs

NBFCs are classified by **liabilities** (deposit-accepting and non-deposit-accepting), by **size** (non-deposit taking: **systemically important, NBFC-ND-SI,** and others, **NBFC-ND**), and by **activity.**

Types by activity

Type	Definition (handout)
Asset Finance Company (AFC)	Principal business is **financing physical assets** support productive activity, e.g. automobiles, tractors
Investment Company (IC)	Principal business is the **acquisition of securities**
Infrastructure Finance Company (IFC)	At least **75% of total assets in infrastructure loans;** minimum **NOF ₹300 crore;** minimum rating **"A"; CRAR 1**
Infrastructure Debt Fund NBFC (IDF-NBFC)	Facilitates **long-term debt into infrastructure;** raises ru or dollar bonds of **minimum 5-year maturity; only IFCs can sponsor** IDF-NBFCs
Systemically Important Core Investment Company (CIC-ND-SI)	NBFC acquiring shares and securities, meeting conditio
NBFC-Micro Finance Institution (NBFC-MFI)	Non-deposit taking; **not less than 85% of assets** in qualifying assets
NBFC-Factors	Non-deposit taking; principal business **factoring;** financ assets in factoring **at least 50% of total assets** and inc from it **not less than 50% of gross income**
Mortgage Guarantee Company (MGC)	**At least 90%** of turnover or gross income from mortgag guarantee; **NOF ₹100 crore**
NBFC-NOFHC (Non-Operative Financial Holding Company)	Wholly owned vehicle through which a promoter group up a **new bank,** holding the bank and other financial services companies

9 · Residuary NBFCs, prudential norms, interest and deposits

- **RNBC:** principal business is **receiving deposits** under any scheme, and it is **not** an Investment, Asset Financing or Loan company. It must maintain **investments as per RBI directions,** in addition to liquid assets, and prudential norms apply. **No ceiling** on deposits, but **100% of deposit liability** must be invested in highly liquid, secure

instruments: **Central/State government securities, fixed deposits with scheduled commercial banks, CoDs of SCBs/FIs, units of mutual funds.**

- **Prudential norms:** NBFC (Deposit Accepting or Holding) Prudential Norms **Directions 2007;** Non-SI Non-Deposit NBFCs **Directions 2015;** SI Non-Deposit NBFCs **Directions 2015.** They cover income recognition, asset classification, provisioning, exposure norms, disclosures, capital adequacy, limits on investment in land and building and unquoted shares, and **LTV for gold-loan NBFCs.** Deposit-accepting NBFCs also meet **statutory liquidity** requirements.
- **Interest rates:** RBI has **deregulated** interest on loans by financial institutions (**except NBFC-MFIs**). The rate depends on the loan agreement but must be **transparent and disclosed** in the application form and sanction letter.

Who may accept public deposits

Entity	Rule
Banks, including co-operative banks	May accept deposits
NBFCs with a deposit-accepting CoR	Only those with a **specific authorisation** an an **investment-grade rating,** to a limit of **1.5 times NOF**
Housing Finance Companies; companies under the **Companies (Acceptance of Deposits) Rules**	Up to a certain limit
Co-operative credit societies	From **members** only, not the general public
Unincorporated bodies (individuals, partnerships, associations)	**Prohibited** from deposit-taking as principal business; prohibited from even accepting deposits if they carry on financial business

- **Since 1997 RBI has issued no new CoR for deposit acceptance** to NBFCs; as a matter of policy only **banks** should accept public deposits.
- **Deposit terms (handout):** maximum interest **12.5%;** paid or compounded at rests not shorter than monthly; **minimum 12 months, maximum 60 months; no deposits repayable on demand.** Unrated AFCs had to be rated by **31 March 2016** or could not renew or accept deposits.
- **Why so restrictive:** depositors place money **on trust,** unlike an investor who shares risk and return; **protection of depositors' interest is supreme.** Banks are the most regulated; **DICGC** pays insurance on deposits up to **₹1 lakh** if a bank fails (handout figure).

10 · Chit funds

- **Chit funds / chitty / kuri** are **saving institutions** with no standard form: members make **periodic subscriptions;** each period's collection goes to one member chosen by **bid, lot, auction or tender;** every member gets a turn before a second round. They are the Indian version of **Rotating Savings and Credit Associations (ROSCAs).**
- **Chit Funds Act, 1982, Section 2(b):** a "chit" is a transaction where a person agrees with a specified number of persons that each subscribes a sum (or grain) in instalments

over a definite period, and **each subscriber in turn** gets the **prize amount** by lot, auction or tender. **It is not a chit** if some, but not all, subscribers get the prize without liability to pay future subscriptions, or if all get it by turns **with** a liability to pay future subscriptions.

- **Regulation:** the **Chit Funds Act 1982** is a **Central Act administered by State Governments;** the Centre has framed **no rules,** so **registration and regulation are by States** under their own rules. RBI counts them as NBFCs under **Miscellaneous Non-Banking Company (MNBC)** but has laid down **no separate framework.**
- **Fraud:** cheating by a chit company through fraudulent schemes is an offence under the **Prize Chits and Money Circulation Schemes (Banning) Act, 1978;** State Governments investigate and prosecute.
- **Name rule:** under **Rule 8(2)(b)(iii) of the Companies (Incorporation) Rules, 2014** a company whose main business is a chit fund cannot be incorporated unless its name indicates it ("Chit Fund").

Chit subscription versus deposit

	Deposit (RBI Act 1934)	Chit
Definition	Acceptance of money **other than** share capital, money from banks and FIs, security deposits, earnest money and advances against goods or services, and **subscriptions to chits.** All other amounts received as loan or in any form are deposits	Instalment subscriptions with a rotating prize; **specifically excluded** fr "deposit"
RBI position	Regulated	Chit funds **prohibited by RBI from accepting deposits from August 2009;** RBI can prosecut chit fund that accepts public deposits

HANDOUT ALERT

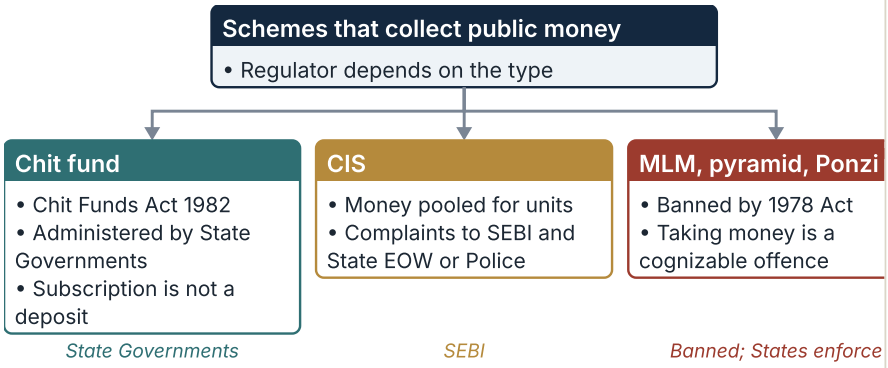
The handout gives the date of the RBI prohibition on chit funds accepting deposits as **"August 2009"** in one place and **"2009"** in another. They agree on the year. Another small point: the section on "regulation" says RBI has **no** framework for chit funds, yet it also says RBI **can prosecute** a chit fund that takes deposits. **Exam-hall rule:** chit funds are regulated by **State Governments;** RBI's only hook is the deposit ban.

11 · Collective investment schemes, MLM and Ponzi schemes

Who regulates what

Activity	Regulator or law
Multi-Level Marketing, direct selling, online selling companies	**Not RBI.** The respective **State Government**
Collective Investment Schemes (CIS) (money for units: time-share in resorts, profit from sale of wood, developed commercial plots)	**SEBI.** Complaints go to SEBI and to the **EOW/Polic of the State Government**
Money circulation, MLM / pyramid and Ponzi schemes	Banned under the **Prize Chits and Money Circulat Schemes (Banning) Act, 1978;** acceptance of mo is a **cognizable offence;** monitored and dealt with **State Governments.** RBI's role: only advising and assisting the Centre in framing rules

WHO HANDLES WHICH MONEY-COLLECTING SCHEME?



- **Pyramid / MLM:** income comes **not from selling a product** but from enrolling more members who pay hefty fees; a portion goes up the pyramid. **Any break in the chain collapses it,** and the lowest members suffer most.
- **Ponzi scheme:** collects money on promises of **high returns;** with **no asset creation,** one depositor's money is paid as another's return. The scheme becomes unviable, cannot return even the principal, and the perpetrators disappear.
- The 1978 Act prohibits any person to **promote or conduct** a prize chit or money circulation scheme, **enrol** as a member, or participate by **receiving or remitting money.**

Exam traps

Each trap ends with a rule for the exam hall.

PRELIMS TRAP: AN NBFC IS NOT A BANK

An NBFC cannot accept demand deposits, is not part of the payment and settlement system and cannot issue cheques drawn on itself. Its depositors have no DICGC cover.

Rule: lends like a bank, but all three banking features are missing.

PRELIMS TRAP: CHIT FUNDS ARE NOT REGULATED BY RBI

The Chit Funds Act 1982 is a Central Act administered by State Governments. A chit subscription is not a deposit. RBI's only hook is the ban on chit funds accepting deposits (2009).

Rule: chit funds = State Governments; RBI only has the deposit ban.

PRELIMS TRAP: TWO CLIMATE FUNDS, TWO HEADQUARTERS

The Adaptation Fund has its HQ in Washington, USA, and the Green Climate Fund has its HQ in Songdo, Incheon, Republic of Korea.

Rule: Adaptation Fund = Washington; GCF = Songdo, Korea.

CONCEPT TRAP: SECTION 35(6) IS NOT SECTION 45-IA

Section 35(6) of the Banking Regulation Act 1949 lets NABARD inspect StCBs, DCCBs and RRBs. Section 45-IA of the RBI Act 1934 is the NBFC registration rule.

Rule: 35(6) = NABARD inspects rural banks; 45-IA = NBFC registration.

HANDOUT ALERT: RS 500 CRORE OR RS 1,000 CRORE

This handout makes a systemically important NBFC Rs 500 crore. Chapter 7 (scale-based regulation, 2022) puts the Base Layer at non-deposit NBFCs below Rs 1,000 crore.

Rule: use the figure that matches the wording of the question; the older NBFC-ND-SI wording means Rs 500 crore.

HANDOUT ALERT: ADAPTATION FUND: 2007 AND COP 7

The handout says the Adaptation Fund was established in 2001 and launched in 2007 at CoP 7, Marrakech. The year and the CoP number do not obviously match.

Rule: use the wording only if an option repeats it; check the COP numbering in your notebook.

Past-year questions

4 Prelims and 1 Mains questions for this chapter, from the Saarthi subject-wise PYQ sheets (Prelims 2004–2024, Mains GS-III 2013–2025). Each group sits under the notes topic it tests. Try the question first, then open the answer.

solid chip keyword that appears in this chapter's notes outline chip keyword taken from the question itself.

3 · Financial functions

1 Prelims · 1 Mains

Read the notes for this topic

PRELIMS

2020 Q79

Under the Kisan Credit Card Scheme, short-term credit support is given to farmers for which of the following purposes?

1. Working capital for maintenance of farm assets
2. Purchase of combine harvesters, tractors and mini trucks
3. Consumption requirements of farm households
4. Post-harvest expenses
5. Construction of family house and setting up of village cold storage facility

Select the correct answer using the code given below:

a. 1, 2 and 5 only
b. 1, 3 and 4 only
c. 2, 3, 4 and 5 only
d. 1, 2, 3 and 4

▶ Show answer

MAINS (GS-III)

2014 12.5 marks Agriculture Finance

"In the villages itself no form of credit organisation will be suitable except the cooperative society." – All Indian rural credit survey. Discuss this statement in the background of agriculture finance in India. What constrain and challenges do financial institutions supplying agricultural finances? How can technology be used to better reach and serve rural clients?

KEYWORDS technology agriculture finance cooperative society rural credit survey rural clients

4 · Developmental functions

1 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2023 Q78

Consider the following statements:

1. The Self-Help Group (SHG) Programme was originally initiated by the State Bank of India by providing microcredit to the financial deprived.
2. In an SHG, all members of a group take responsibility for a loan that an individual member takes.
3. The Regional Rural Banks and Scheduled Commercial Banks support SHGs.

How many of the above statements are correct?

a. Only one
b. Only two
c. All three
d. None

▶ Show answer

7 · NBFCs: what they are and how they differ from banks

2 Prelims · 0 Mains

Read the notes for this topic

PRELIMS

2024 Q63

Consider the following statements:

1. In India, Non-Banking Financial Companies can access the Liquidity Adjustment Facility window of the Reserve Bank of India.
2. In India, Foreign Institutional Investors can hold the Government Securities (G-Secs).
3. In India, Stock Exchanges can offer separate trading platforms for debts.

Which of the statements given above is/are correct?

a. 1 and 2 only
b. 3 only
c. 1, 2 and 3
d. 2 and 3 only

▶ Show answer

2010 Q51

With reference to the Non-banking Financial Companies (NBFCs) in India, consider the following statements:

1. They cannot engage in the acquisition of securities issued by the government.
2. They cannot accept demand deposits like Savings Account.

Which of the statements given above is/are correct?

a. 1 only
b. 2 only
c. Both 1 and 2
d. Neither 1 nor 2

▶ Show answer

Timeline and numbers

1978 — Prize Chits and Money Circulation Schemes (Banning) Act.

30 March 1979 — CRAFICARD (B. Sivaraman Committee) constituted. ★

28 November 1979 — CRAFICARD interim report recommends a new rural DFI.

1981	NABARD Act 61 of 1981. ★
12 July 1982	NABARD comes into existence (RBI agricultural credit functions + ARDC refinance). ★
1982	Chit Funds Act.
1992	SHG Bank Linkage Project launched. ★
1997	RBI stops issuing new CoRs to NBFCs for deposit acceptance. ★
April 1999	NOF requirement for NBFCs raised from ₹25 lakh to ₹2 crore.
2001 / 2007	Adaptation Fund established / officially launched (per handout).
August 2009	RBI prohibits chit funds from accepting deposits.
December 2010	Decision to set up the Green Climate Fund (COP 16, Cancun).
2011	GCF operationalised at COP 17, Durban.
July 2012	NABARD accredited NIE for the Adaptation Fund. ★
August 2015	National Adaptation Fund for Climate Change (NAFCC).
2016	Long Term Irrigation Fund, ₹20,000 crore. ★
2016-17	NABARD Climate Change Fund created from profit.

Connects to

Chapter 7: Banking and NBFCs

The newer scale-based NBFC regulation and the banking structure; this chapter's NBFC figures are the older RBI FAQ.

Chapter 9: Capital Markets

SEBI regulates CIS, merchant bankers and stock-brokers; mutual funds are approved investments for RNBC deposits.

Chapter 8: Money and Monetary Policy

CoDs and G-Secs appear as RNBC investments.

Chapter 12: Budget and Fiscal Policy

CSS and Central Sector schemes such as PMAY-G.

Chapter 3: Unemployment

RSETIs and SHGs link to rural livelihoods and self-employment.

Recall sheet

Read once, hide it, then rebuild the chapter from memory.

1. CRAFICARD (30 Mar 1979, B. Sivaraman) → NABARD Act 61 of 1981 → NABARD 12 July 1982. Took RBI's agri credit and ARDC refinance. Now fully GoI-owned.
2. Three functions: financial, developmental, supervision. SHG-BLP 1992 = world's largest microfinance project. KCC designed by NABARD.
3. LTIF 2016, ₹20,000 crore, incomplete irrigation projects (23 + 31 + 45). PMAY-G: ₹81,975 crore for one crore houses, ₹21,975 crore via NABARD.
4. Long-term refinance up to 15 years. Eligible: StCARDBs, RRBs, commercial banks, NBFCs.
5. More than 50% of rural credit by co-operative banks and RRBs.

6. Adaptation Fund: Kyoto Protocol, 2% of CER proceeds, HQ Washington, NABARD NIE July 2012. GCF: Cancun 2010, Durban 2011, HQ Songdo. NAFCC Aug 2015. NABARD Climate Change Fund from 2016-17 profits.
7. Supervision: Section 35(6) BR Act 1949 (StCBs, DCCBs, RRBs); SCARDBs voluntary.
8. NBFC ≠ bank: no demand deposits, no cheques, no DICGC. SI NBFC ₹500 crore (older). Sec. 45-IA; NOF ₹2 crore since April 1999.
9. RBI does not register: VCF/merchant bankers/brokers (SEBI), insurance (IRDA), Nidhi (MCA), chit (States), HFC (NHB).
10. IFC 75%, NOF ₹300 crore, rating A, CRAR 15%. MFI 85%. Factors 50%/50%. MGC 90%, ₹100 crore. NOFHC sets up a new bank.
11. RNBC: deposits, 100% invested in approved instruments. Deposits only with CoR + investment grade, up to 1.5 × NOF; 12-60 months; max 12.5%; no new CoR since 1997.
12. Chit funds: Chit Funds Act 1982 (States); not deposits; banned from deposits Aug 2009. CIS: SEBI. MLM, Ponzi: banned by the 1978 Act; States enforce.

Priority and PYQ index

H = 6 chapters · M = 5 · L = 3. Prelims years as quoted in the handout and class slides; a number in brackets is the count in that year.

Ch	Chapter	Priority	Prelims PYQs
0	Start Here: How to Use This Notebook	L	PYQ sheets: 0 Prelims · 0 Mains · Light
1	Poverty: Meaning, Measurement and India's Progress	L	Handout quotes no PYQs; PYQ sheets: 4 Prelims · 0 Mains · Light
2	Inequality: Measures, Causes and Growth Models	M	Handout quotes no PYQs; PYQ sheets: 3 Prelims · 6 Mains · Medium
3	Unemployment: Measures, Types, Causes and Labour Market	H	10 Prelims PYQs quoted; PYQ sheets: 12 Prelims · 8 Mains · High
4	Basic Concepts of Economics: PPF, Goods and Capital	M	1 Prelims PYQ quoted; PYQ sheets: 8 Prelims · 2 Mains · Medium
5	National Income Accounting: GDP, GVA, GNP and Alternatives	M	3 Prelims PYQs quoted; PYQ sheets: 6 Prelims · 4 Mains · Medium
6	Inflation: Causes, Measurement, Effects and Control	M	Handout quotes no PYQs; PYQ sheets: 13 Prelims · 1 Mains · Medium
7	Banking and NBFCs: Regulation, NPAs, IBC and Financial Inclusion	H	Handout quotes no PYQs; PYQ sheets: 35 Prelims · 2 Mains · High
8	Money and Monetary Policy: Supply, Demand, Cost and Tools	H	Handout quotes no PYQs; PYQ sheets: 31 Prelims · 1 Mains · High
9	Capital Markets: Money Market, Stock Market, Derivatives and Funds	H	Handout quotes no PYQs; PYQ sheets: 16 Prelims · 1 Mains · High
10	External Sector: BoP, Foreign Investment, Exchange Rates, CAD and IMF/World Bank	H	Handout quotes no PYQs; PYQ sheets: 45 Prelims · 9 Mains · High
11	Goods and Services Tax (GST)	M	Handout quotes no PYQs; PYQ sheets: 4 Prelims · 3 Mains · Medium
12	Government Budget and Fiscal Policy	H	Handout quotes no PYQs; PYQ sheets: 25 Prelims · 10 Mains · High
13	NABARD, NBFCs, Chit Funds and Ponzi Schemes	L	Handout quotes no PYQs; PYQ sheets: 4 Prelims · 1 Mains · Light